

J.B. Chemicals & Pharmaceuticals Ltd. (JBCHEPHARM)

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Call: Aug 2022

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GOOD PEOPLE
for GOOD HEALTH

August 9, 2022
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001
BSE Scrip Code: 506943
Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(0a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call scheduled for Investors and Analysts on August 5, 2022 at 2.00 p.m. IST in relation to results and developments for the first quarter ended on June 30, 2022. It is also available on the website of the Company.

We request you to take this on record.

Thanking you,

Yours faithfully,

For J.B. Chemicals & Pharmaceuticals Limited

[inact Sandeep Phadnis

Vice President — Secretarial

& Company Secretary

Registered Office: Corporate Office:

J.B. Chemicals & Pharmaceuticals Limited, J.B. Chemicals & Pharmaceuticals Limited,

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J B Pharma

Q1 FY23 Earnings Conference Call Transcript

August 5, 2022

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day, and welcome to J.B. Pharma Q1 FY'23 Earnings Conference Call as on 5 August, 2022. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza, Vice President at J.B. Pharma. Thank you, and over to you, sir.

Jason D'Souza: Thank you. Thank you, Stephen. Welcome to the earnings call of J.B. Pharma. We have with us today the management of J.B. Pharma, Mr. Nikhil Chopra, CEO and Whole Time Director; and Mr. Lakshay Kataria, Chief Financial Officer. Mr. Kunal Khanna has taken ill today, and as a result, is not able to attend this call.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available on the Q1 FY'23 results presentation that has been sent to all of you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call and give his opening remarks.

Nikhil Chopra: Thanks. Thank you, Jason, and good afternoon, and a warm welcome to everyone joining us today for the discussion on the operating and the financial performance for J.B. Pharmaceutical during Q1 FY'23. I shall

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commence with a review of our first quarter performance and share some thoughts on our business. Later on, our CFO, Mr. Lakshay Kataria, will continue with the financial highlights. After our remarks, we would be glad to engage with all of you over a discussion.

Gentlemen, we are all on the call, we are pleased to report a healthy growth in top line underlined by strong sustained trends in the domestic business and complemented by robust improvement in our international business. It is heartening that we have been able to deliver this performance despite the challenging operating environment.

During Q1 FY'23, revenues on a reported basis increased by 30% year-on-year to INR 785 crore. Domestic formulations delivered good growth and crossed a revenue INR 400 crore in a quarter. This is all-time high revenue that we have generated for India business as on today. Organic growth for domestic business was in mid-teens as compared to flat growth as reported in IPM for quarter 1. We continue to be the fastest growing company among the top 25 as per IQVIA MAT June '22 data. Our approach on enhancing field-force productivity is yielding intended results, so also our focus on driving our chronic business.

As we nurture our new product launches in the adjacent therapies, our big brands continue to get bigger. Just to give you some perspective, our brands like Metrogyl, Cilacar-T, Nicardia have each further improvement their rankings within Top 300. J.B. Pharmaceuticals has also announced its prescription ranking and now stands to number 15 in IPM as per IQ. And also happy to report that J.B's. prescription base increased from 2.6 crore prescription in quarter 1 FY'22 to 4.09 crore in quarter 1 FY'23, growing at 57%.

Just to give brief highlights on what has been happening in our inorganic business that we acquired in last 6 to 8 months. The acquired product portfolio from Sanzyme has performed well, whereas in Sporlac, which is a leading brand in Sanzyme, we have seen market share gains. Azmarda represents an extension of our leadership portfolio in the cardiology segment. Heart failure is relative a new sub-segment and vastly underserved. We are presently in the investment mode for Azmarda and are witnessing good results month-on-month. Our teams on the ground are fully geared up with an end-to-end portfolio from hypertension to the prevention of heart failure.

In keeping with our outline strategy to be present in high potential categories, we have also completed the acquisition of 4 paedia brands, on a combined basis, this account for INR 33 crore in sales in FY'22. This acquisition will provide J.B. a comprehensive portfolio with well-known brands to cater pediatrician as a specialty. It will increase our market coverage and align with our go-to-market model.

Moving along, our international operations have demonstrated a healthy uptick in focus markets. South Africa is showing attraction in the generic segment across both public and private market. We are also seeing robust demand in tenders and new launches in private market in South Africa. Russia and CIS has shown a stable demand trend given the challenges. As all of you are aware, in the geopolitical realities, we continue to have a

cautious approach, and I'm happy to note that our receivables position is positive.

In the CMO segment, we enjoy global leadership in the world of lozenges, more so in herbal and medicated varieties. We have grown the scope of our relationship with our key clients through continued new product development in both lozenges and liquid formulations during quarter 1 FY'23 as we reported. Also happy to share that we could surpass a revenue of INR 100 crore for quarter 1 FY'23 in the world of CDMO segment, which is ever highest that we have achieved. With a strong order book position, we are in a comfortable position to drive this business further.

The CMO business tends to be front-loaded with first 2 quarters of the financial year performing better than the later half. We are pleased with the progress that we have made in last 2 years in transforming our company and business. There is a scope to further improve our share in the domestic market through a combination of better growth in core therapies, whereas we are continuing to support the line extensions and developing new brands.

The emphasis on growth is clearly coming across with operating parameters building up as per plan. Our aspiration in domestic market is to make our big brands bigger, focus on both market share and prescription gains for our acquired portfolio and organic portfolio, target focused life cycle management in existing brands and pursue new brand launches, which will continue to do as committed.

There is an exciting opportunity to be had in the international operations as well, where we have selective approach and are focusing identified geographies as well. In case of international market, we will continue to benefit from consistent execution in the world of CMO segment through new launches as well as adding new partners, healthy mix between private and public market in South Africa and continued demand revival in selected RoW markets. As the corporate growth accelerates and the business mix enhances, we shall see a transition into maintaining or increasing our EBITDA margins, given our disciplined focus on cost optimization initiatives.

That brings me to the conclusion of my remarks, and I would like to call upon now Mr. Lakshay to share his views more on the financial performance for the quarter. Over to you, Lakshay.

Lakshay Kataria: Thank you, Nikhil. A very good afternoon to all of you, and welcome to our Q1 earnings call. I will now take you through the financial highlights of the quarter. On the revenue front, the domestic business and international business reached new highs during the quarter. The reported revenue growth of 30% comprised of 20% organic growth and the rest coming through the new acquisitions made last quarter and this quarter. The depreciation in rupee vis-a-vis dollar also aided our growth.

Overall, for the quarter, the domestic business reported a revenue of INR 418 crore, and international business reported a revenue of INR 366 crore, which is a growth both year-on-year and quarter-on-quarter. The gross margin for quarter 1 came in at close to 63% compared to 64% in the previous year. Excluding Azmarda, gross margins for the business were relatively flat.

The gross margins, as you all know, have taken the impact of inflationary pressure in terms of input costs, packing material costs, which have been managed through a slew of cost management and pricing initiatives. The good news is that we've seen softening in certain packing materials like aluminums and also on the international freight costs. But given the continued volatility that we see on the geopolitical and the economic front globally, we continue to monitor the situation, particularly for the fuel supplies and API prices.

Overall, we hope to sustain the gross margin closer to 64% for the fiscal with the March improvement coming through in Azmarda margins on the expiry of LOE. Given the high inflation prevailing across the world, we've been trying to maintain our operating margins in the range of 24% to 26 %, and this quarter's operating margin was in line with our guidance.

On the EBITDA front, the Q1 FY'23 operating EBITDA was at INR 190 crore, including an adjustment for non -cash ESOP charge of INR 17 crore. This, when compared to Q1 FY'22, operating EBI TDA of INR 164 crore is a growth of 16% year -on-year. During the quarter, the employee expenses, excluding ESOP charges, have increased by 19% on account of the annual increments and the integration of the workforce from

acquisitions. Operating expenses have now largely normalized with the normalization of operations post - COVID, baking of operating expenses of acquired businesses and increase in freight and power and fuel expenses.

Depreciation during the quarter was at elevated level due to amortization o f acquired brands. The PAT for the quarter came in at INR 105 crore, which saw a year -on-year decline of 12% on account of higher treasury income in the previous year, non -cash ESOP cost, which was not present in the same quarter last year, depreciation of the acquired brands and finance costs. On the cash flow generation also, I'm happy to report the business continued its strong trajectory. Overall, we ended with a debt of INR 325 crore, which was largely to fund the acquisition of Azmarda. And on the cas h and investment front, we ended with cash of over INR 180 crore compared to INR 56 crore last quarter.

That's all from my side for now. We would now like to open this forum for an interactive session with all of you, and we'll be happy to res pond to your questions. Thank you.

Moderator: The first question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Now on the CMO business, we saw a very good traction this quarter. So if you can just comment on what led to the growth on the CMO business this quarter in terms of which clients and which markets contributed to growth? And then the second part on the CMO business, you have indicated that the CMO revenue tends to be front loaded in 1H of every year. But la st year, in fiscal '22, the second half was heavier for the CMO business. So given the growth which you have seen on the CMO business in 1Q, what is your outlook for the CMO business for the full fiscal '23?

Nikhil Chopra: Yes, Rahul. This is Nikhil Chopr a. So overall, we saw the demand coming across all the markets outside India because the CDMO business, what we do is outside India. And this was overall more happened because of the

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cough and cold, which where our major dominant portfolio is. Equally, if you look at in quarter 4 last year, we could see the surge happening, which has continued in quarter 1. And as I see, because this all businesses, we do with all the multi -national partners and for them, quarter 3 of ours is the last quarter for them. So t he way we are seeing trajectory this year that the orders for our CDMO business are more front -loaded, that is what we see and that is what I commented that we have a robust order book for at least next 3 to 4 months.

And overall, as the year -end comes an d Christmas comes in, there we see overall demand overall being tepid, and they keep enough stocks to cater the market. Our guidance for overall year for CDMO business, the way trajectory we are looking at and this quarter, we could plunge INR 100 crore, we will continue to see plus/minus 10% demand for which we have order book for next 3 to 4 months. And overall, the contribution that, Rahul, we have been talking from this business, which was last year 10%, and this year, we are seeing this business contri bution should be close to around

13% to 14% for overall business. That is what I can say at this moment of time.

Rahul Jeewani: So you are saying that FY'23, the CDMO business contribution to full year revenues will be around 13%, 14%?

Nikhil Chopra: Yes.

Rahul Jeewani: And sir, second question on the India business. You spoke about the organic growth for our India portfolio being mid-teens. But if you can also comment quantitatively on how Sanzyme and Azmarda have grown during the quarter because on Sanzyme, you have been trying to implement this prescriber overlap as well as geographical synergies, which you see between your and Sanzyme portfolio. So anything which you could highlight on the growth trends for both Sanzyme and Azmarda?

Nikhil Chopra: So overall

I, both the assets, Rahul, which is a combination of Sanzyme, let me start with Sanzyme, we are seeing a monthly run rate of around INR 12 crore to INR 13 crore. And this is showing growth of mid to high teens, that is what I can say at this moment of time. And the overall plan that we have put in place with 3 benefits that we enjoyed, J.B. as compared to Sanzyme as an entity was more from a prescriber base, more from a geographical footprint and equally life cycle management. So we have started seeing some benefits coming out of geographical footprint and prescriber base. More from life cycle management, you should see a couple of more products coming into the market in next 2 to 3 months. That is where we stand from Sanzyme as an entity.

Equally, when you look at Azmarda, our monthly run rate is now around close to INR 7 crore to INR 8 crore, that is where we stand. More so, we are in an investment mode as Lakshay stated, more so in terms of looking at how much more we can get patient pool and more and more patients getting diagnosed because as you are aware, last time also I had commented that the incidence of heart potential patients in India of heart failure are close to 11 million to 12 million patients and the treatment today which has been offered is close to around 15% to 20% patients are getting treated. So the emphasis is how more and more number of patients can get diagnosed with the help of 2D and 3D echo, that is the intention. And we have a dedicated

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teams, who are going and promoting this product to cardiologists and physicians. And we are seeing good uptake in terms of more and more patients getting diagnosed and the run rate is close to around INR 7 crore to INR 8 crore, which should go up in the coming time.

Rahul Jeewani: And just one follow-up on Azmarda. so anything which you could comment on how the market would form out, post the patent expiry in December '22? Anything which you would have seen in the Sitagliptin market, which you can conclude for Azmarda as well?

Nikhil Chopra: See, there are cases in terms of when you saw what happened with Vildagliptin and now what you are seeing happening with Sitagliptin, there are more than 100 brands in the market. But what I would like to point out that as compared to Vilda and Sitagliptin, heart failure is a very specialized market. Obviously, we will see more than 50 players coming in, price erosion will happen, but obviously the brand which stands will have its own value. So we are keeping fingers crossed in terms of the overall strategy that we will put in place when the LOE sets in.

And right now, what is stopped on the agenda is to how to at least have critical mass of patients who are getting diagnosed, and this is overall more beneficial for the patient community and post LOE sets in, let us look at it in terms of where the price sets in because it will be overall more benefit for the Indian population who will be getting quality medicine at affordable price. And if the overall uptake, which I'm telling that around 15% to 20% population today or the potential people who are suffering are getting the

treatment, it may go up to 30%, 40%. That is what is going to happen. That is what I can say at this moment of time.

Rahul Jeewani: Just one last question before I join back the queue. So if we look at the comment that our gross margins are flat except Azmarda, then that implies that Azmarda has impacted our gross margins by 150 basis points to 160 basis points. But at least the calculations, which I'm working with, per my calculations, the impact should have been around 90 basis points. So the impact on account of Azmarda seems to be higher on the gross margin side. So if you can please explain that.

Lakshay Kataria: Rahul, let me pick that. Yes, you're right. The impact is actually higher because this was transition period. So we wanted to make sure there

is

continuity of supply, and we had to incur certain extra cost in terms of air freight, etc. and sourcing, which we've done to make sure during the transition period, we do not lose out on the volume. But the impact on gross margin is, yes, significantly higher than 90 basis points.

Rahul Jeewani: Okay. So going forward, can we expect that the impact would be closer to 100 basis points then on a normalized basis?

Lakshay Kataria: I think it will take some more time as the inventory sort of transitions as we consume the opening inventory, I think it will probably be Q3, where you'll see some relief. And as we come out of LOE in Q4 is when you will see a significant improvement in the gross margins.

Moderator: The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

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Nikhil Mathur: So sir, in the Capital Markets Day that you've hosted, you had mentioned that there's a chance that J.B. Chemicals margins might take a hit in FY'23 because of the high cost of procurement for raw material and other stuff, which was toward second half of FY'22. But since you mentioned that on a Q-on-Q basis, the gross margin was stable as much as Azmarda, just trying to reconcile, there should have been some bit of gross margin hit, right? Or why hasn't that happened?

I'm asking is that your gross margins are stable on a quarter-on-quarter basis. But in the Capital Markets Day, you had highlighted that J.B. Chemicals which will be working with higher cost of inventory in FY'22 because there was a lot of procurement that was done towards second half of FY'22. So basis that, shouldn't the gross margins come under pressure in this particular financial year, but Q1 you have supported stable gross margin?

Nikhil Chopra: So that is what Lakshay stated earlier that when you see the gross margin, which we reported last year was close to 64%.

Lakshay Kataria: We were at 65%.

Nikhil Chopra: 65%, then this quarter, if you see our gross margin is close to 63%. So there is a 1.5% dip that we see. That is what we will see for next 3 to 4 months. And once the LOE expires for Azmarda, overall, the gross margins will go up in a significant way and will come back to our gross margin trajectory by quarter 4.

Nikhil Mathur: Sorry, sir. I'm not clear. In 4Q, reported 66% gross margin.

Jason D'souza: Nikhil, I think the product mix is very different between Q4 and Q1, and thus that comparison is not apt.

Nikhil Mathur: Okay. So you believe that the impact of higher raw material costs is there in this particular quarter?

Jason D'souza : Yes, that's what we stated, that higher raw material cost is there in the quarter.

Nikhil Mathur: Okay. And sir, you also had given up EBITDA margin guidance of 24% to 26% for FY'23. We have done 24% this particular quarter, and you have also mentioned that you are starting to see some things starting to soften now. So can it be assumed that from 2Q onwards, the margin could possibly towards the higher end of this range?

Nikhil Chopra: See, Nikhil, if you look at our operating EBITDA margin is still 24% plus. So the guidance that we have given is a guidance of range between 24% to 26%. So you will see some quarter 25%, some quarter you will see 26%, maybe we can get back to 24%. So that is our guidance that we are putting across because you are living in a very volatile world . Please understand the overall geopolitical issues, the currencies, the receivables, all those things have to put in place. So somewhere we are seeing some tailwinds in terms of the commodity price going down overall, but there are tailwinds in terms of the fuel and gas price is going up. So that up and down will happen, and that is how we have guided for the year, 24% to 26% margin.

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Nikhil Mathur: And sir, one final question on the acquisitions that the company is und

ertaking. So the pediatric brands from Dr. Reddy, Azmarda did. Any synergies that we see with the existing portfolio because on the face of it, the multiple seems to be slightly on the higher end of these acquisitions, but can they be complemented with some higher sales of existing portfolio, which can be cross sell by the same set of medical reps?

Nikhil Chopra: So Nikhil, a very good question. And if you look at the 4 brands that we have acquired from Dr. Reddy's, they now are being promoted by our team, which are 300 people under the division of Nova, who already are promoting respiratory and pediatric products. So if you look at what we are trying to do is to position ourselves as a company in the clinic of pediatrician, which will be more getting in the world of gut product promotion, which is a combination of Rantac Syrup that we have, Exotus syrup that we have. And now we have got Z&D, equally we have got a brand, which is Pecef, which is antibiotic, which has got a good starting point.

So this will, over a period of time, probably we'll be able to add more color, very initial studies that we are into. You will see probably Q3 onwards where we'll be able to share more information in terms of how the tax rate is happening in terms of the acquisition that we did of this 4 brands. Azmarda, we have a team, field force of around 180 to 200 people who are promoting Azmarda as a brand, and we are looking at 1 or 2 product additions that we will do over a period of time within the team more in the field of cardiology, maybe in the world of arrhythmias. So all those synergies will come into place. That is what we are looking forward.

Moderator: The next question is from the line of Anubhav Aggarwal from Credit Suisse. Please go ahead.

Anubhav Aggarwal: Just a couple of clarities. First, the sales force incremented the total, including supervisors, et c. has gone from 2,100 to 2,500. So the delta 400, Nikhil, you just mentioned Azmarda may be taking 200 delta and the remaining 200 is all at Sanzyme because I still remember Sanzyme when it came to you, they had about 300, 325 people. Can you just clear the math here?

Nikhil Chopra: Yes. So J.B. is organic, we were having 2,000 people, 300 people are now as a part of team for Sanzyme and 200 people are a part of team of Azmarda. So in totality, we have 2,500 people.

Anubhav Aggarwal: Okay. And for this pediatric acquisition we've done from Dr. Reddy's, what's the payback period do you have in mind for that?

Nikhil Chopra: So generally, a payback period is 6 years. That is what task that we have taken. But as you see, what we are trying to do with Sanzyme and Azmarda, obviously, the expiration would be much more higher as compared to what we have committed to the Board. So we will look at how we can get it sub 6 years.

Anubhav Aggarwal: Okay. And the same applies that pediatric acquisition as well?

Nikhil Chopra: You should track us quarter -to-quarter. You will get to know more in terms of how we are faring.

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Anubhav Aggarwal: Sure. And for this quarter, when we look at the base products for us, some of the larger products like Rantac and Metrogyl, how would they have grown for this quarter year, rough idea?

Nikhil Chopra: So they are growing low double -digit. That is where we stand because last year, if you look at particularly to talk about Rantac as a brand, it was a part of COVID regimen treatment. And today, where we stand and we had a very good season for Metrogyl. So we are working now at a very high base of both the products. So low double -digit growth is what we could achieve for the quarter.

Anubhav Aggarwal: So when we look at the base business, the organic growth, so Cilacar would have grown at about high teens to 20% and the rest of the portfolio the Rantac, Metrogyl, Nicardia would have grown about low double -digit. That's the time f

ramework we can work with?

Nikhil Chopra: So you can look at Rantac, Metrogyl, Nicardia growing at 12% to 14%. You can count on Cilacar brand growing at around 14% to 16%. Obviously , there are other brands also. There are other 10 potential brands, which we never talk about that we have in our kitty, just to give you an example, we have a product called Bizfer Xt, which is iron segment, which is a INR 1 crore brand, then we have brands like LAXOLITE, Zecuf syrup, there are many brands where we have seen very good uptake. Some of the new launches that we have done in the field of respiratory, they are also seeing good traction in terms of prescription. So overall, this is what you can assume 12% to 14% growth for our acute portfolio and close to mid -teen growth for our chronic portfolio.

Anubhav Aggarwal: Okay. And next question is on Sanzyme. How strong is seasonality in this portfolio? Is second quarter significantly high for this or one is significantly higher for this?

Nikhil Chopra: You should see the same traction what you saw in quarter 1, probably quarter 3 onwards. Overall, the demand gets overall, you will see things going down. But what we are trying to do is we are looking at by that time if we have 1 or 2 good products in the terms of life cycle management that we'll be putting in the market, that is a plan. Now let us see in terms of how much we are successful in getting those products at that time. But rightly, so the first half of the year is overall a better demand for probiotic as a market.

Anubhav Aggarwal: So Nikhil, how do we look at this molecule? If you run it to INR 12 crore, INR 13 crore, so yearly -wise, give and take, INR 150 crore kind of number we guys can roughly work with for the Sanzyme portfolio?

Nikhil Chopra: So just to clarify that when we are talking about INR 12 crore to INR 13 crore revenue for Sanzyme portfolio, Sporlac is around close to INR 6 crore to INR 7 crore. There are other parts in the portfolio, which is a combination of products for infertility, products for store management. There are some supplements. So overall, probiotic contributes around 60% and 40% we have rest of the portfolio. And you are rightly in terms of, we should see revenue traction for the year close to around between INR 140 crore to INR 150 crore for the year.

Anubhav Aggarwal: A couple of more questions. One is the CMO business. So just trying to understand this. You mentioned across markets, there was a little higher
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orders from the customers. Now at the customer end, is this restocking about the inventory only the end market sales, they are seeing it higher because now you've seen 2 quarters, which is a very high demand.

Nikhil Chopra: Obviously, the end customer demand is on the higher side. That started some time, I think, in mid of last year quarter 4, and that we continue to see. Probably the stocking part happens for us, calendar quarter is quarter 2. That is how things happen. And if the end customer demand continues to be there, then it should surprise all of us.

Anubhav Aggarwal: And Nikhil, when you talked about this can be 13%, 14%, so like very roughly your revenue this year will be about INR 3,000 crore. So roughly are you talking about INR 380 crore to INR 400 crore for the CMO business?

Nikhil Chopra: No. We are not talking about INR 380 crore, INR 400 crore for CMO business. So if you understand the overall orders, this is the orders, which we procure for our CMO business are more frontloaded for H1 part of the calendar. As the festivity and the festive season starts more so Christmas and in western part of the world, probably there are holidays for 45 days, 60 days, so that is how they at least look at stocking the products and look at it in terms of how they will be able to make the demand which will start coming for them in quarter 1, which is January onwards. For them,

January to March is the first quarter and for us, January to March is the last quarter. So I don't want to get into any absolute figure on revenue we will do. But the trajectory that we are seeing is around INR 83 crore, if I'm not wrong, Lakshay, for quarter 4, INR 85 crore for quarter 4, INR 100 crore for quarter 1. We should be close to between these 2 figures probably in quarter 2. Quarter 3, we'll be able to give more color probably in our quarter 2 results commentary.

Moderator: The next question is from the line of Rashmi Sancheti from Dolat Capital. Please go ahead.

Rashmi Sancheti: Congratulations on good set of numbers. Just a clarity again on CMO segment. So earlier, when you commented 13% to 14% of the overall revenues, that is what the CMO segment would contribute. That basically was not the contribution and it wasn't the growth which you were expecting for FY '23?

Jason D'Souza: Rashmi, I think when you are modeling the CMO business, Nikhil clearly mentioned that in the first half, it is a heavier base and then the latter half it is subdued. So I guess when you're modeling the CMO business is best to look at a like of a mid-teens growth. That's what I think we are more comfortable with, and that's what we've kind of already guided to.

Rashmi Sancheti: Okay. And coming to the domestic business, in the presentation, it is mentioned that the overall prescription base has become 4.09 crore. Can you just give a split between the GPs and the specialist prescription in this? And how does it look like in Q1 FY'22, I mean, last year?

Nikhil Chopra: Exact details, Rashmi, I don't have, but Jason can come back to you. But just to give you a rough guidance in terms of the way I see it would be around 60%, 65% GPCB and around 30%, 35% specialist.

Rashmi Sancheti: This is as of today, right? I mean, generally, 60% to 65% is what we are running now. And how does it look like 1 year back?
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Nikhil Chopra: Yes. It would be 5%, 7% up. It would have been 60%, it would be 70-80. Please understand, then if you want exact details, we'll come back to you.

Jason D'Souza: But the reason why we have given prescription, very strong prescription growth that clearly shows the kind of work that is happening at the doctor

level and clearly shows how primary sales are also will get impacted because of this higher prescription. That's the reason we have indicated those numbers.

Rashmi Sancheti : And related to the South Africa sales, can you give the figures like what kind of growth we have seen and how many launches we have done in this business?

Lakshay Kataria: So in South Africa, it's been upwards of 25% growth during the quarter. And both public and private business continue to do well. Overall, from a new product perspective, sorry, I can't share those details on the call.

Rashmi Sancheti: And private public ratio would be 50 -50 in this quarter also?

Lakshay Kataria: Yes, roughly in that so.

Rashmi Sancheti: And my last question is related to debt. If you can give the figure for FY'22 between long -term debt and short -term borrowings?

Lakshay Kataria: So end of quarter, we had a debt of about INR 325 crore, of which roughly INR 300 crore was long -term debt, which was taken by acquisition of Azmarda and balance was working capital. And we had a cash and investment of about INR 180 crore plus at the end of the quarter.

Moderator: The next question is from the line of Abdulkader Puranwala from Elara. Please go ahead.

Abdulkader Puranwala: Sir, my first question is with regards to Azmarda profitability. So when we spoke about the monthly sales of INR 7 crore to INR 8 crore, and on the gross margin level, the entire impact was largely alluded to Azmarda sales. Would it be fair to assume that currently at an EBITDA level, this would still not be a major contributor?

Lakshay Kataria: Yes. In fact

, Abdul, we've been guiding all of you that actually we are in an investment mode, particularly till the time the LOE expires. So actually, it's a negative EBITDA from the brand as of now.

Abdulkader Puranwala: So sir, I mean, from Q4 onwards, then once the LOE expires, I mean what is the kind of margin we should expect from this product?

Lakshay Kataria: Overall, I think we should aim for at least a company level of EBITDA. And like Nikhil said, obviously, there are moving parts. We need to see how the pricing , etc. pans out. But our minimum aspiration should be that we should do slightly better than the company average EBITDA on this portfolio.

Abdulkader Puranwala: Okay. And sir, my final question was on the MR count. So we added close to 400 to 500 MRs for these 2 portfolios that we acquired. So sir, for future acquisitions, would you further go to increase your MR account in order to increase your reach? Or this will be largely absorbed within this existing?

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Nikhil Chopra : See it will all depend upon Abdul the type of opportunity which comes on the table. For example, let me give example of the 4 pediatric brands that we acquired, there was no addition of any medical representative on the ground. But equally for a specialized promotional products in the world of heart failure, you need to have a team because you already are having a revenue of INR 60 crore to INR 70 crore where we will need people to go and this is a big opportunity according to the heart failure is a disease of next decade. So it will all Abdul depend upon the type of portfolio, whether we can fit that portfolio within our existing business or we want to give it or we see better opportunity in having field force, which will give justice to the acquired brands.

Moderator: The next question is from the line of Gagan Tharaja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Sir, the first question is around sacubitril Azmarda. Dapagliflozin also has an indication expansion for heart failure. And NIH data from U.S. actually shows dapagliflozin has better outcomes than sacubitril. You already have DAPA with you. So I was just wondering what's the thought process or rationale behind going into sacubitril as well?

Nikhil Chopra: See, dapagliflozin has been promoted by different team. And you are right, absolutely right in terms of dapagliflozin has a role in patients with heart failure. But we are not a big player in the world of dapagliflozin, and we're making slow inroads. But if you look at sacubitril/valsartan the product has been there in the U.S. market for last now, I think a decade. And Jason correct me that, it's a \$4 billion product for Novartis. So it has got a lot of studies and supporting evidence in terms of what sacubitril/valsartan bills on the table as compared to dapagliflozin. So that is how we have taken a call of looking at the primary therapy in heart failure is going to be sacubitril/valsartan and dapagliflozin will have its own role. And once I think the LOE expires, probably you will see not much difference in the price point of both the products and you may see better uptake of sacubitril/valsartan, which has got its own benefit and improvement in the quality of life of the patients who are suffering from heart failure.

Gagan Thareja: And the reason I was asking was also one more reason I was asking is because these are possibly very comorbid conditions, both diabetes and heart failure for a fairly significant chunk of the population, especially in India. So from an Indian context, you feel what worked in U.S. would equally work well in India as well?

Nikhil Chopra: So if you look at for our products, which is a patented product to generate a revenue of around INR 500 crore in 4 years for its existence in India itself talks about the strength of the molecule. And there are enough evidence available in In

dian population also. And when we are going and talking to the top cardiologists of the country, they are very much very aligned in terms of the stage 3 and stage 4 patients of heart failure where they are using sacubitril/valsartan as a starting therapy. And at some given time, as LOE expires and the medicine will become more affordable, you will start seeing acceptance of sacubitril/valsartan in stage 2 part of the journey of the patient also.

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Gagan Thareja: Sir, and on your acquired Sanzyme portfolio, if you could give us a little more sort of detailed understanding as to how post acquisition Sporlac and Lobun and some of the other brands are working out and how you're strategizing around these because overall, you've indicated they're growing well in the mid-teens, but is there a difference between how Sporlac is picked up and how Lobun and the others are doing?

Nikhil Chopra: So this entire entity of Sanzyme is into 3 clusters. The cluster 1 is Sporlac and different variants of Sporlac, which is 60% of the revenue where we have seen market share gain. And quarter 1, if you look at Sporlac as a brand, which has grown at 26% as compared to Bifilac and Vizylac which have grown at around 18%, 20%. So we are seeing good uptick in terms of prescription for Sporlac. And the intention going there is what I spoke earlier that how do we at least encash the J.B. strength of GPCB prescriber base, which is today very much giving us benefit for Rantac and Metrogl as a brand. And equally, in next couple of months, you should see some more variance of Sporlac, which will be premium priced to be in the market. That is point number one.

Point number two, which I have spoken earlier also, Oxalo and Lobun are class probiotic, high-priced probiotic more for chronic kidney disease patient. And there, we are going to nephrologists, the intentions are how do we generate more scientific data and make this brand bigger. These both brands contribute around 15% to 20% of the revenue, and we are seeing the June uptick because J.B. as a company, we cover all 2,000 nephrologists

and we have got a very good prescription uptake from nephrologists as a specialty for our Cilacar, Cilacar -T, Nicardia . So there, we enjoy equity.

Third part of this business is, business in the world of women health, more so in the world of infertility, which is once again, 15% to 20% of the revenue where we have teams who visit around 1,200 in fertility clinics. And there also, we are on the verge of doing life cycle management in terms of the portfolio gap that we see. So that should also see overall uptick, probably it will take more time because this is a highly intensified competitive market where we have very big players who enjoy better market share. So this is what commentary I can give on what we have observed in last 3 to 4 months of operation of Sanzyme as entity.

Moderator: The next question is from the line of Ashish from IIFL AMC. Please go ahead.

Ashish : Sir on the CMO business, obviously, we have plans to double the scale, but then would we be sticking to medical lozenges ? Or you feel there is an opportunity for us to diversify then grow the business accordingly?

Nikhil Chopra: So the entire opportunity on the table for CMO business is twofold. First is, how do you widen your portfolio? And earlier also what I have shared that we want to venture into areas like sleep disorders, motion sickness, oral thrust, sexual wellness, acid reflux disorders. So there are some proof of concepts which we have developed, and we have shared with our partners. And this understand getting into new category of business and when you get a reference product, when you develop the product, you have to share with your partners, they do their own research and then they come back depending upon what potential the product has. So that is a process which is on. That is

point number one. And that as and when happens, we'll be more than happy to share.

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Equally, the business development work that we are trying to do is to add more partners because we have enough capacity in terms of the lozenges that we can make and look at working with more partners across the globe, maybe in the Eastern part of Europe, some parts of Russia, some parts of Southeast Asia. So there are some more partners where have been on. So as and when things proceed, we'll be more than happy to share with all of you.

So just to share with you, Reckitt we started for their brand called Strepsil in Australia as a market. Now we are looking at opportunity with Reckitt in Russia, in Southeast Asia. So that is how things happen. But this business has got its own gestation period that has to be understood. We were fortunate enough that we could see a good uptick because of supposedly more a seasonal flu type cough and cold season, which probably has happened in Western part of the world in where our partners are in Southeast Asia, Australia and New Zealand, Canada, South Africa, Russia, where our partners sell these products.

And this is what we want to do in the world of CMO, and we have got all the capabilities and we have got all the capacities. That is where I see and it's a differentiated entire approach where we can bring enough opportunities on the table. And it takes time for any company to get into this scale of having partners whom we have been working for last now 2, 3 decades and equally, rightly also have the capacity to add more partners.

And third part is to get into new age portfolio because what COVID has taught us that cough and cold will be more seasonal, but immunity, wellness, motion sickness, sleep disorders, these are the new areas where our customers are looking forward if this therapeutic delivery can come in the world of lozenges, which has to be overall low dosage form .

Ashish : So to double the scale from, say, INR 250 crore to INR 500 crore, would you need very high investments? Or you feel we already have the facilities at our

disposal?

Nikhil Chopra: We have the capability to manufacture 2 billion lozenges across the year. Right now, our output is close to 1 billion plus. That is where we stand. So we have enough capacities.

Ashish : Got that, fair enough. And another question was on these branded markets of Russia CIS. Obviously, we had plans to launch 2 to 3 products every year. And obviously, on the OTC side and there on build on the legacy, but how is the market shaping up currently? Because the larger distributors control almost around 50% of the market. So given the current construct around Russia, Ukraine, how this market panning out?

Lakshay Kataria: So the way we've seen quarter 1 pan out, it is not the strongest sort of quarter for us because of the seasonality of the portfolio we offer. Usually, we start seeing traction towards July, August. So sequentially, we do expect the traction to get better. And as far as the new launches are concerned, we are pretty much on path. So we haven't sort of made any change to our strategy on that part of our business.

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Ashish : Okay. And any time on the South African generic market, you would like to contribute because so much less talked about market. I understand it's a smaller proportion of the overall skin, but still.

Lakshay Kataria: Like I mentioned, during the quarter, we saw upwards of 25% growth, and both public and private business continue to do well. And our focus there has really been to sort of scale up that subsidiary, and it's pretty much on track.

Moderator: The next question is from the line of Neelam Punjabi from Perpetuity. Please go ahead.

Neelam Punjabi: I wanted to understand if you can just comment on your Russia business. How has it done during the quarter?

Lakshay Kataria : So like I

mentioned, this is not the strongest quarter for Russia because of the portfolio that we carry. This is usually a bit of a leaner quarter, but the demand has held steady year-on-year. So I think the business overall hasn't sort of seen any deterioration on headwinds. And as we now get into Q2 and as you know, we start getting for the cough and cold season, et c. it should start seeing better traction from this quarter onwards. And on the receivables side, also, we've seen decent traction in the last quarter.

Neelam Punjabi: My second question is on your PAT. So if I look at over the last 2 years, our revenues and EBITDA have grown quite well. But on the PAT level, we are largely flat, which is understandable given the soft cost, higher depreciation due to acquisitions and loss of treasury income. But going forward, what's the trajectory that we can see in terms of earnings growth?

Lakshay Kataria: Let me just explain you, I think, a little bit more conceptually as how we look at it as a management team. When we started this journey on acquisition, we had a cash of about INR 700-odd crore. It was earning us about INR 50 crore a year. We've invested it in a business called Sanzyme, which we brought EBITDA of about INR 50 crore a year. We feel that this INR 50 crore in the next 4 to 5 years can become INR 100 crore, right? That's our hypothesis and that was the whole logic of buying this business.

So we personally feel that while there will be a depreciation hit and the treasury income has gone away, but we've created a more sustainable income stream and a cash flow stream for the company. And given today's age and world where our treasuries across the board are struggling with varying yields and currencies and interest rates moving up and down, I think this whole strategy served us better. That's how we look at it as a management team.

And to your question on PAT, I think if I look at it from a sequential basis, now ESOP costs are largely stabilizing. And as we move into Q2, Q3 of the year, they will sort of become comparable with the base as well because the base also carries E SOP cost and some of the treasury income also will get normalized. So you will start seeing the benefit of EBITDA growth also into PAT growth. So I think you have to bear for 1 or 2 more quarters in, you will sort of start seeing upward trajectory on the P AT as well.

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Neelam Punjabi: And if you look at ROC Es, they have come down from 42% to 22% given the acquisitions. Do we see this ROC E numbers going back to the historical levels as the growth from Sanzyme and the acquired portfolio companies?

Lakshay Kat aria: So I think when I look at 42%, I think I personally feel 42% was coming on a back when probably we were not investing as much into acquisitions and the business, right? And a lot of our sort of PAT, et c. was being driven by treasury income. Will we go back to 42%, maybe no. But ca n we get back to 30%, 35% over the next 3 to 4 years, for sure. But I just want to caveat this understanding, this also depends on overall our M&A strategy and further investment s that we may choose to make. So that will come and explain to you as and when those opportunities arise. But with the portfolio we have as of today, can we go back to 30%, 35%, for sure.

Neelam Punjabi: And sir, you have been a guidance of 24% to 26% EBITDA margin this year, do we start seeing our historical FY'21, 27% margin that will starting next year?

Nikhil Chopra: See, Neelam, very difficult to talk about next year because please understand the guidance that we are giving is on the basis of the volatile world that we are living into, at some given right now, we are seeing some tailwinds in the case of commodities, in the case of freights stabilizing. But if you look at still there are pressures in terms of gas, in terms of fuel, in terms of curre ncy volatility, in terms of

RMPM procurement for some specific products.

So net -net what we are looking at that how overall the EBITDA margins should flow from delivering market beating growth. That is the intention going ahead, and we are building an org anization, which is more future ready, which is more into progressive portfolio. Never we have launched new products in the world of RoW market. You will see us launching new products in the world of RoW market next year, which are more progressive in natu re, which are more in the world of cardiology, diabetology. So those will need investment.

Equally, we now have a team of 2,500 people on the ground in terms of if what earlier was spoken that the payback period has to be sub 6 years. So we have to make t he right investment in terms of how do we drive better prescription traction. And from 2 crore, if we have 1 crore to 4 crore prescription, why not to aspire for 6 crore prescription in the coming time by making right investment. So we are looking organiza tion from a theme of invest to grow, that is what is the intention.

And equally, a huge opportunity in terms of what we are ranking in the world of CMO business, where there are new proof of concepts which are in the entire journey of development. So thes e all things will play as and when things stabilize. Once things stabilize, we'll be able to give better direction in terms of what trajectory of EBITDA margin we are looking at. And we plan to do some time that in quarter 3 as we see things normalizing.

Neelam Punjabi: And just one last question on my end. Given we have acquired Dr. Reddy's like pediatric portfolio 4 brands. And our current depreciation as of Q1 is INR 26 crore. How much will it go going forward?

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Lakshay Kataria: The DRL acquisition will not impact so much, the annualized impact of that portfolio will be about INR 5 crore again.

Moderator: Ladies and gentlemen, we take the last question for today from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani : Now the 57% prescription growth, which we have indicated for the quarter, does that include Sanzyme and Azmarda as well? And if yes, can you please talk about how over organic prescriptions would have grown?

Nikhil Chopra: We can come back to you on that data, but this includes Sporlac and Azmarda. That is what I can say at this point of time. And please understand, this was on a low base. That is how you see 57% growth. But the agenda going ahead is what I've spoken Rahul, earlier also that how do we start getting more and more prescription from the specialist. And more so, PYD has also increased in a big way. That is the number of prescriptions which we are getting from the same doctor is also showing encouraging and healthy data.

So we are trying to look at prescription from a view of how do we have a fundamental strong base of prescribers and more so coming from the specialists because from a GPCB base, we have got now a prescription for Rantac, Metrogyl, Sporlac, which are 3 big brands in the country. So we are looking at that new products that we have launched, which should be coming from specialty, which is in the case of cardiology, nephrology, pediatrician, Chest physician, diabetology, that is the agenda. That is why we wanted to share in terms of we have seen uptake in prescription overall and the PYD also is increasing, and we are seeing some uptake in terms of the prescription uptake from the specialists. But more data, Jason can share with you probably in a day or so.

Jason D'Souza: But, Rahul, just one point. This is IQVIA data. So if it is there in the base this year, it is also there in the base last year, Sanzyme and the other brands.

Rahul Jeewani: Okay. So this is like -for-like growth for the overall portfolio?

Jason D'Souza: Right. Correct. That's correct.

Rahul Jeewani: And just one follow -up,

sir. So on the specialist doctor coverage, so what is our doctor coverage on the specialist side as of now in terms of our coverage and how do you see it expanding over the next, let's say, 2 to 3 -year period?

Nikhil Chopra: We don't want to expand. See Rahul, we are covering close to 3.5 lakh doctors. And I think the specialty coverage would be close to around 1.5 lakh doctors. We have enough doctors that we are covering. Please understand what I was trying to talk earlier, that we are looking at how do we start getting prescriptions from the doctors who are today not supporting us and how do we start getting prescription from the doctor who are already giving us prescription, that is what we want to do. So we don't want to start covering 5 lakh doctors. That is what we don't want to do and what earlier also I have spoken that we do in short to mid -term, we don't have any plans to increase the field force.

Basically, the agenda going ahead is how to at least have a motivated, better trained, charged field force on the ground who are doing the right job, getting into the world of digital retailing, getting into the world of retailing progressive portfolio, helping them in terms of how we can get into the world of medical marketing, conferences that we can hold and at least come close to the doctor community. Wherever at least we want to play, we want to win. That is what we want.

Moderator: Thank you. I would now like to hand the conference over to the management for their closing comments. Over to you.

Jason D'Souza: Thanks very much, Stephen. I think with that, we have run out of time. So I would like to thank all the participants who have attended the J.B. Pharma's Q1 FY'23 call. With this, we would like to conclude the earnings call. Thank you, everyone.

Nikhil Chopra: Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of J.B. Pharma, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2022

November 18 , 2022

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 ; Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on November 14 , 2022 at 3.30 p.m. IST in relation to results and developments for the second quarter ended on September 30, 2022. The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 16

J.B. Pharma
Q2-FY23 Earnings Conference Call Transcript
November 14, 2022

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator : Ladies and gentlemen , good day and welcome to J.B. Pharma 's Q2 FY'23 Earnings Conference Call as on the 14th of November 2022.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ' * ' then ' 0 ' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jason D'Souza, Vice President at J.B. Pharma. Thank you, and over to you, sir .

Jason D'Souza : Welcome to the Q2 Earnings Call of J.B. Pharma. We have with us today, Mr. Nikhil Chopra, CEO and Whole Time Director; Mr. Kunal Khanna, President; and Mr. Lakshay Kataria, Chief Financial Officer at J.B. Pharma.

Before we begin, I would like to state that some of the statements in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available on the Q2 FY'23 investor presentation that has been sent to you earlier.

With this, I would like to hand it over to Mr. Nikhil Chopra to begin the proceedings of

the call for his opening comments, after which Mr. Lakshay Kataria will address the financial highlights. Over to you, sir.

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Nikhil Chopra : Thank you , Jason , and good afternoon to everyone , and a warm welcome to those joining us today for our discussion on the operating and financial performance for J.B. Pharma during Quarter Two and H1 FY23.

I will begin with a commentary on our quarter two performance and share the perspective on the business . I will be followed by our CFO – Lakshay Kataria who will bring the financial perspective to you . Following the remarks , we will be happy to address queries that you may have over a discussion .

Dear friends , I am happy to , I am pleased to share a healthy set of numbers on the top line during quarter two supported by healthy traction in domestic market and continued momentum in the international operations . In quarter two FY23, our revenues showed 36 % improvement to INR 809 crore .

In the domestic market, we continue to see buoyant trend for our business with a revenue of 434 crore . Organic growth for the quarter was mid-teens, once again , JB outpacing industry growth in quarter two FY23, and we remained to be the fastest growing company in top 25 as per IQVIA MAT September '22 data .

Our key brands have continued growing larger , and to share some statistics , Metrogyl gained 56 ranks to rank at 149 number . Cilacar T gained 76 ranks to be 212 number . Nicardia gained 27 ranks to be at 218 number . Cilacar gained 6 ranks to be 48 ranked brand and Rantac gained 4 ranks to be 41st rank brand . These are all MAT figures for our key top five brands .

Prescription wise JB ranked 15th in IPM with quarterly prescriptions increasing to 4.12 crore in quarter two FY23 from 2.65 crore in quarter two FY22 showing a growth of 55%.

Just to give a brief highlight on what has been happening in our inorganic business that we acquired in the last six to eight months :

Our portfolio of acquired brands have shown a robust 25 % growth in quarter two FY23 as per IQVIA data, and on a like -to-like basis . As per IQVIA data, the acquired portfolio from Sanzyme has performed well , where Sporlac grew 50% and retained number one rank in its covered market space .

Azmarda, which represents an extension of our leadership portfolio in the cardiology segment , has delivered 46 % growth . Heart failure is relatively a new sub -segment and vastly under served . During September '22, Azmarda featured in IPM Top 300 list also . We are presently in the investment mode for Azmarda and are witnessing good results month -on-month . Our teams on the ground are fully geared up with a portfolio from hypertension to the prevention of heart failure .

Coming to international business :

Our international business reported a strong trend with growth across all segments . CMO revenues were the highest that we recorded , and that was translated into best ever sales in our International results. CMO revenue were 64 % higher in quarter two FY23 year -on-year. This segment today accounts to 28 % to our international sales , and in H1 FY23 from 20 % in FY22.

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Within the CMO segment – JB has earned a global niche in production and marketing of lozenges, especially in medicated and herbal varieties . Our teams are constantly at work with research in lozenges and liquid formulation with important clients , and we shall continue investing for further scale of this business .

Our formulations and API segments also delivered double -digit performance with our home markets of South Africa and Russia performing as per our expectations .

Momentum continues to build up in our international operations , despite the situation that we are facing in Russia and CIS region , has presented us with a favorable demand scenario . Our approach in this region is that of caution , and we are mindful of managing the health of our operations and have been keeping watch on key parameters including receivables .

JB's progress is built on a solid foundation

with emphasis on core therapies. We are seeing strong traction in our top performing brands and acquired brands in the domestic market which are consistently delivering market leading performance . With the combination of line extensions and forays into new products , we are driving this momentum forward .

Moving on to how do we see the business shaping in the coming period :

Within domestic markets , we seek to make our key brands even stronger with a sharp focus on building brand franchise in terms of market share and higher prescriptions .

We have already completed the integration of our acquired brands and are also well placed to manage post LOE events for our acquired brands like Azmarda.

With the extensive portfolios we offer in focus therapies, we are better placed to manage product life cycles with a view of building upon our shares in those therapies. We expect our domestic business to continue outperform the market growth. Thereby a mix of organic and inorganic growth will allow us to maintain sustained momentum in our domestic business.

Our view on our international operation is also attractive. As you all know, we have focused on select markets with the right products. We are optimistic about driving good sales growth. Our position in export formulations, especially the ROW market has improved quarter-on-quarter. The traction we are seeing in our portfolio.

Over the next six months, we will also focus on finding new products for our export formulations market which would help us for long-term perspective. Our revenue levers are in place, and we are emphasizing better operating efficiencies and higher productivity in businesses, which together are forming the base for our sustaining our operating margins in the light of cost pressures across businesses.

I do now draw to close my opening remarks and would like to request our CFO – Mr. Lakshay to address you with a perspective of financial performance. Thank you, all, and over to you, Lakshay.

Lakshay Kataria: Thank you, Nikhil. A very good afternoon to all of you, and welcome to our earnings call. I shall now cover the highlights of our financials for Q2 FY23:

On the revenue front, the domestic and international business stood at a mix of 46/54 of the total revenues respectively. While the domestic business recorded mid-teen growth organically, strong performance of acquired portfolio that Nikhil mentioned

earlier, helped maintain another quarter of 400 plus crore revenue in the domestic business.

JB Pharma's international business continued its strong momentum and grew at 28% year-on-year to deliver 375 crore in Q2 on the back of good performance in all the three business segments, that is export formulations, CMO and API.

Gross margins for the quarter were at 63%, similar levels of last quarter, and compared to 65% in the previous year. The margin saw an impact of inflationary pressure on input costs and packing material cost and also impact of low margins from Azmarda.

As the quarter progressed, we witnessed further softening in areas like international scrape, how the raw material costs largely continue to hold at elevated levels. The global scenario remains volatile. We are cautious and continue to monitor this situation specifically with respect to fuel and energy prices.

As we had mentioned earlier, we aim to maintain our EBITDA margins between 24 to 26% for FY23 with a focus on revenue growth. During the quarter, our operating EBITDA for the quarter was at INR 202 crore compared to 140 crore and was the increase of 44% year-on-year.

During the quarter, other expenses as a percentage of sales improved despite normalization of marketing expense on a lower COVID base in the same quarter last year, and higher utility and fuel prices. As indicated in prior quarters, depreciation during the quarter was high because of amortization

of acquired brands.

Profit after tax for the quarter was at INR 111 crore, which is an increase of 13% from INR 98 crore in quarter two FY22.

Lastly, on the cash flow front, for H1 FY23, the cash flows were sturdy. The borrowings of the business increased to 350 crore compared to 26 crore as of March '22 on account of acquisitions. Cash and investments as at end of September '22 was at 203 crore compared to 57 crore as at 31st March '22. The strong cash flow momentum for the business continues, and we are seeing a healthy conversion from EBITDA to free cash flows for the organization. Our working capital metrics, that is inventory and receivables, saw improvement because of March '22. We are confident that the cash flow momentum from operating business will continue.

With this, I may now request the moderator to please open the forum for discussion.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul Jeewani from IIFL Securities Limited.

Rahul Jeewani: Thanks for taking my question, sir. Sir, can you please comment on what has led to strong growth in your required brands of Sporlac and Azmarda? You spoke about the fact that you are in the investment phase for Azmarda. So, what are some of these investment measures which you are taking? And given the strong growth which we have seen on Azmarda this year, how do you view, or how do you see this brand growing next year given the fact that Jan '23 the patent for Azmarda expires?

Nikhil Chopra : Rahul, overall , let me first answer your question on what is happening for Sporlac and Azmarda , what is happening on the ground ? As what earlier we had commented that when we acquired this enzyme as a asset, there were three , four levers that we thought would help us in terms of inching up the revenues and improve the profitability which has helped us . First off, that was overall synergy that we see in the prescriber base . We already have experience of handling mass brands, which is a combination of Rantac and Metrogl, which overall has helped us to manage Sporlac brand very well in this last six to eight months .

Also overall , Sanzyme as an asset was under presented and underrepresented in many parts of the country . So, in some parts of the country , we have looked at in terms of how do we improve the share of voice with the help of team members on the ground ? That also will help us , and we have also got into some of the life cycle management for Sporlac as a brand .

Not only Sporlac , but if you look at other parts of the Sanzyme asset that we have acquired , which is a combination of specialized probiotic like Lobun, Oxalo , our infertility portfolio , each part of that portfolio has given us a good jump in revenue. So, that has overall help ed us for Sporlac and Sanzyme, from a perspective of what is happening in the field of heart failure , I think the share of voice has overall improved with a strong team of 200 people on the ground .

What we saw the opportunity majorly in the clinic of cardiologists in many of the big hospitals getting into account the point of care diagnostic for 2D and 3D Ec ho, more and more patients getting diagnosed , adoptions of patients to ad here to the therapy that overall has helped us in terms of what we started with when we acquired this brand was close to around 6, 6.5 crore , and today , we ha ve close to around 9 to 10 crore . So, this is where we stand .

Post LOE, what is going to happen , and this earlier also we have shared in terms of we will see a n influx of around 50 , 70 Brands coming in . Overall, the cost of therapy will come down . Volumes over a period of time in the next year should go up by two to three times . So, we see a huge opportunity .

Talking more from a patient perspective , the sufferin g of heart failure in India

is big .

Around 12 to 15 million patients are potential sufferers of heart failure , when we talk to the cardi ologists and what data suggests . And today only 10 to 15 % of them are getting the treatment . So, diagnosis , looking at what more we can do , looking at how we can closely work with cardiologists as a specialty , that all things we have been doing , and we will continue to do all those things , and that is where we stand with these two acquisitions what we have done .

Rahul Jeewani : Sure, sir. Just two follow -ups on Sporlac and Azmarda. So, for Sporlac , have you launched the liquid probiotics , which you were supposed to launch in the domestic market ? And given the strong growth which we are seeing in Azmarda this year, do you think that this high base will become a headwind for us going into next year as far as Azmarda's growth is concerned ?

Nikhil Chopra : So, let me answer the first part of the question . Second part of the question , Kunal will take over . Sporlac we have launched a couple of formulations . We have launched a version of a sachet that is in the form of Sporlac GG. That is what we have launched . We have not , that also goes for pediatrician as a specialty only . That is where we

stand . You will see us la unching one or two more versions of Sporlac in the field of gastroenterology and women healthcare. That is what is going to happen with the Sporlac as a brand. Kunal, you would like to take the question on Azmarda , how things are going to shape up in post LOE volume , pricing ?

Kunal Khanna : Yeah. So, on the Azmarda front, Rahul , you know, yes, we have been able to significantly grow the brand over the last six months , but as we have maintained that given the overall potential which we see , even if there is some price erosion which will happen , we believe volumes will be able to neutralize a significant part of that price erosion . That's point number one .

And the second thing is overall , from a margin standpoint , we will still be at a better position despite this price erosion , because we will be looking at local sourcing options . So, that's a key takeaway . You know, overall, it will , you know, just add to our profitability despite the price erosion , because some level of that will get neutralized because of volume uptake , and there will be significant benefits which we will get on the local sourcing upfront which would help us drive margins better .

Rahul Jeewani : Sure, sir. And my second question is on your CMO business . So, last quarte r we had indicated that the CMO business would see sequential moderation in 2Q, but we have been able to maintain the momentum in 2Q as well . So, how are you looking at growth

in the CMO business going into the second half of this year and for next year ? Thank you.

Nikhil Chopra : So, fortunately , Raul, CMO business what is called the century in quarter one , same continues to happen in quarter two. And just to share with the group , I think we are placed in a sweet spot . If you look at order book for quarter three and quarter four , that's who that is helping us . See, overall , the strategy for CMO business is not for a quarter or not for a year . We are looking at a long -term perspective . And earlier also , I have shared that we want this business to be close to \$100 million for us , and we want this business to contribute mid to long -term 20 % to overall JB business .

So, a lot of emphasis has been put in terms of what we want to do with this business in terms of new development of lozenges , looking at adding new partners in terms of where we stand , but these all things take time . Quarter three , quarter four , what I can share at this moment of time , order book is healthy . And looking at next year , I think the fundamental work that we are doing in this field should overall help us in terms of be a better place as compared to where we

are today .

Rahul Jeewani : Sure, sir. And on the CMO business , have you been able to get any new clients in this business , and the product launches which we have been talking about on the CMO business ? So, some of those new launches have happened .

Nikhil Chopra : So, with existing partners, we have added a couple of products . That is what I can say at this moment of time . Adding new partners , that has not happened , but that has got its own gestation period . As and when it happens , we will be more than happy to share .

Moderator : Thank you. Next question is from the line of Rashmi Sancheti from Dol at Capital . Please go ahead.

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Rashmi Sancheti : Sir, again on CMO segment, based on which strong order growth, now do you upgrade your guidance of CMO for the entire year or even 13% growth? And do you think that , you know, now the growth would be higher in this year ?

Nikhil Chopra : So, growth would be higher as compared to where we stand and what we have guided , but also , Rashmi , what I shared earlier when Rahul was talking , please understand from where we are coming . This is a business that we do with many of our partners . In this business , we are not looking for a quarter or for a year . We are looking at a long -term perspective in this business . Earlier also, what I have commented that 60 % of business should come from India formulation , short to midterm , and 20% of business mid to long -term, we are aiming that how do we at least get from the CDMO part of the business . So, that is where we stand .

So, things have helped us in terms of post -COVID in anti -inflammatory backed up lozenges are in good demand , but fundamentally , we want to strengthen the base of this business . That is why some fundamental work , what I shared in terms of the developmental work which is happening and with our teams at Daman, and we want to extend our offering beyond the world of cough and cold . That is what we are trying to do .

Rashmi Sancheti : And sir, on the export formulation , you know, this time we have grown at least 17 % during the quarter. If you can individually comment on , you know, each market like on U.S, South Africa , Russia , then rest of the world , you know, what is the kind of growth in CP terms we have seen , and how do we see these markets performing for the annually , on an annual basis ?

Nikhil Chopra : See, Rashmi, we don't divulge the geography wise overall performance , but just to share with you , in terms of rest of the year , you will see growth plus minus near to mid-teens in these markets . Overall, we have seen some demand coming back in BGX ROW market where the growth was flat here in Quarter Two , we have seen double -digit growth , which gives us confidence that second half of the year combination of ROW, U.S., Russia , South Africa , we should be able to show mid-teen growth.

Moderator : Thank you. The next question is in the line of Abdulkader Puranwala from Elara. Please go ahead .

A. Puranwala: Thank you for the opportunity . Sir, two questions from my end on the India business . So, you explained the key brands you have acquired , but within the quarter , how was the performance of the base brand of Cilacar, Rantac, if you could , you know, please throw some light there , you know, what is driving this growth ? And secondly , in terms of our MR productivity , so now that the India business seems to have crossed our earlier threshold of 100 crore per month run rate, where do we see the productivity inching up considering that there is a fair bit of MRs also been added post the previous acquisitions ? Thank you.

Nikhil Chopra : So, for the quarter , if you look at our acute part of the business , that is Rantac and

Metrogyl, they grow at a high single digit, and chronic part of the business, if I talk about Cilacar, Nocardia and some of that, that grew at mid-teens. And that was in line

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with what we had planned. In terms of MR productivity, if you have to talk about this year, by the end of this year, our MR productivity should be close to Rs. 6.5 lakh. That is where we stand.

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And from an addition perspective, if you look at, we have added 200 people for our team for Azmarda. Otherwise, there is no addition of people on the ground. When we acquired Sanzyme as a business, there were 250, close to 250, 300 people who came in. So, we had 1,600 crore, 1,600 people organically who were working for JB as medical reps, 300 from Sanzyme and 200 from Azmarda. Total Team stands to around 2,100. That is where we stand. So, from a productivity perspective, this is what we want to achieve probably at the end of this year.

A. Puranwala: And just one final question on the CDM O. So, sir, at this quarterly run rate of 110 crore, what is the capacity which is currently underutilized or what is left?

Kunal Khanna: See, purely from a capacity standpoint, we can go up almost 70 to 80% more in what we are currently manufacturing. You know, there are some packaging debottlenecking, you know, initiatives which are underway. But we have a very strong, you know, manufacturing capacity, which can be utilized to almost double the business from where we stand right now.

Moderator: Thank you. The next question is from the line of Tausif from BNP. Please go ahead.

Tausif: So, firstly on domestic business, I mean, I think they are performing very well, and we have closed three transactions this year, and all seem to be doing either in line or better than expectation. How should we look at M&A transactions going forward? And any specific category that you want to strengthen further from your own through acquisitions?

Nikhil Chopra: So, we are evaluating assets in terms of inorganic opportunities as and when it is coming. We would, like given a choice, we would like to acquire something in the world of cardiology, pediatrics, nephrology, respiratory. That is what we have stated earlier. And the three assets that we have acquired have performed well as per what we were expecting, and the ambition is with the right portfolio quality products that we have got, we want in India to serve more and more number of patients. You can, what I shared earlier that today from a prescription perspective, we are 15th rank company. So, with mass brands like Rantac, Metrogyl which we already had, and now with Sporlac being there, we are able to generate 1.5 crore prescriptions in a month, close to 5 crore prescriptions in a quarter. So, that overall is making JB as a company reaching all the corners of the country, and that we would like to do more and more in the coming time.

Tausif: That's helpful. And sir, for these businesses we don't need to add any MRSH, right?

Nikhil Chopra: No. We don't need. Actually, 3 to 12 months we don't need to add anything.

Tausif: And second on exports business, I mean, seems to be doing very good from the last two quarters. So, is it possible to share what would have been the constant currency growth in this quarter? And any specific market that would have done much better for us, which markets would have done better?

Nikhil Chopra: Sorry. What was the first line?

Tausif: Constant currency growth in export formulations for Q2.

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Lakshay Kataria: Nikhil, I will pick that, yeah. So, from a currency perspective, yes, we have seen some gains. So, you can look at maybe a, you know, five, six points being shaved off in terms of, you know, the currency gains, balance largely coming from the volume side.

Nikhil, you want to pick up the question on the markets?

Kunal Khanna: See, on the market side for international business, there are parts of Asia Pac, Middle East and Africa which will continue to be our growth and focused areas. Apart from that

ese on the home markets front, you know, we have like Nikhil stated on Russia, we are just very cautious. So, you know, it's not that we will be investing significantly there given the external market situation. South Africa continues to be a big growth driver for us both on the public and private side, and we see big opportunities for a South Africa business from a mid and long-term perspective also. So, this is the overall summary on international. And as Nikhil mentioned in the commentary also, you know, to further capitalize on our existing relationships, there will be filings in these international markets which would really help us to commercialize new products in these existing markets over the next or two to three years.

Tausif: Got it. And lastly on gross margins, I mean, I think Azmarda is definitely impacting

that, but how should we look at going forward, I mean, assuming that the freight charges are now cooling off, and maybe going forward raw material cost may also start normalizing? So, how should we look at the gross margin going forward?

Lakshay Kataria: So, from a gross margin perspective, if you really look at it, I think material cost as a basket, we are not seeing significant cooling off. There are some pockets where aluminum etc., seen some softening, but I think, again, given the scenario in Europe, we are very watchful in terms of how things pan out. So, as far as quarter two is concerned, you know, we pretty much saw I think the elevated levels of material costs, and that's how we see things sort of, you know, going forward. And from a perspective of, you know, the fuel prices and the freight prices, those sit in the other operating expenses. Those don't necessarily impact, you know, the gross margins significantly. So, I think the long answer short is, I think we continue to expect the cost side to continue to where it is right now from a quarter two perspective.

Tausif: That's helpful.

Moderator: Thank you. The next question is from the line of Shrikant Akolkar from AMSEC.

Please go ahead.

Shrikant Akolkar: Thanks for the opportunity. Again, I have a question on CMO business. So, this year we have benefited because of the cold and cough infections during the summer time.

So, I was wondering do you expect something like that benefiting in next year also?

Kunal Khanna: See, we are not too stressed about the cyclical variations, right? The important thing is we are broadening our portfolio as well, and we are working on life cycle management for the big brands, which we are currently supplying to our principal partners, and going beyond the conventional cough and cold, you know, therapeutic segment. We have always maintained when we look at finished dosage formulation, lozenges as a category, we wanted to look at areas like immunity, sleep, motion, sickness. All those things are underway or under development with our partners, not really restricted to cough and cold. So, yes, this year certainly, one has seen an unprecedented demand surge because, you know, of demand in certain parts of Asia - Pac with our principal partners really picking up, but as we look at the mid and long term, you know, investment opportunities, we are certainly broadening our portfolio to mitigate any such, you know, dependence.

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Shrikant Akolkar: And then on the capacity utilization, you talked about 70 to 80%. So, what is the goal to achieve as in terms of timeline, what is the goal to achieve?

Kunal Khanna: See the way to look at it is, you know, last year we were doing close to 4.5 to 5 crore lozenges per month. This year we are already managing close to 9 crore lozenges per month over the last three to four months, right? We can easily take this to almost 15 to 16 crore lozenges after debottlenecking of some, you know, packaging initiatives as underlined before. Over the

the next two, three months itself, if demand

holds, then including manufacturing and packaging, we would be in a position to do almost 12 crore lozenges per month.

Shrikant Akolkar: And last question on Ranitidine. So, we saw that coming out of price control. So, if you can talk about what was the trigger for the government to take it out from the DPCO? And how should we see next year whether you will take a good price rise in Ranitidine?

Kunal Khanna: See, you know, there are certain, it was not Ranitidine alone which got out of the essential list. There were quite a few mature products, mass mature products, products like Atenolol, right, which actually came out of price control, and the government would have given due consideration that if these are the products which are really reaching the last mile, and if these products have already seen a significant hike in the intermediate and material costs, which are very relevant for Ranitidine, and if you see the material cost of, you know, the way they have spiked up, they have given due considerations. And anyway, the cost of therapy, you know, when you look at products like Ranitidine and Atenolol these are, you know, the most affordable products. So, you know, the government may have given you consideration of how to ensure that the supply continuity and accessibility for these drugs remain. You know, maybe moving them out of price control would be the prudent decision. Apart from that we cannot really comment on, you know, wipe their decision on these list of 20, 25 medications.

Shrikant Akolkar: And last question with your permission is on Sanzyme's IVF business. So, if you can talk about the opportunity size and the overall outlook that we have, potentially competition also?

Kunal Khanna: IVF is a very competitive market, you know, but having said that, we are looking at additions of products which go beyond the core IVF portfolio, because we already have relationships with these IVF and IUI centers. For example, you know, we also

launched a product dydrogesterone, which you would have seen, you know, there was a monopoly by one of the largest multinational brands, and in the last 12 to 16 months, there have been domestic companies who have been able to manufacture and source this product and has been able to establish reasonable presence and gain market share. We are also doing reasonably well. So, we will continue to broaden our portfolio rather than only restrict to core hormone and IVF therapy to expand our presence on the Gynae side.

Shrikant Akolkar : And finally, if you can reiterate the size, the opportunity size for the IVF business in India?

Kunal Khanna : The IVF overall, it runs into close to 1,200 to 1,400 crore plus.

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Moderator : Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial Limited. Please go ahead.

Cyndrella Carvalho : Thanks for the opportunity. I just wanted to understand when we are looking at our prescription growth in the domestic market, how should we understand this from a little bit of a brand level or a therapy level? What are the key drivers here which is driving such a high prescription growth for us? And what are the key strategies which are helping us here?

Nikhil Chopra : See, overall, if you look at the market growth, Cyndrella, the market growth is also close to 40%, and this is on a week days of last year. But when you look at from a JB perspective, overall our mass brands, particularly in first half of the year, continue to do well, because of the acute season dominant. We have a steady flow of growth for our chronic part of the business, which is a combination of Cilacar and Nicardia.

: But what has happened for JB that we were generating around close to taking into consideration full portfolio, we were earlier generating close to around 1.2 crore prescriptions.

Now with the acquired portfolio, we are able to generate 1.5 crore prescriptions every month and close to around 5 crore prescriptions in a quarter. So, that is where we stand from a prescription perspective. Why I talk about prescription? Because that is a fundamental to overall business that you do when you talk about your primary or secondary sale, and from a prescription perspective, we are 15th rank company, and growing at a better pace as compared to Industry. So, that gives us confidence in terms of the portfolio that we have. The portfolio that we have acquired is making JB now a known company in the offices of medical practitioners.

Cyndrella Carvalho: That's helpful. If I understand in terms of our seasonality in the overall portfolio, again, from a domestic perspective, second half will be, how is the outlook for the second half from a seasonality perspective?

Nikhil Chopra : Quarter four will be somewhere soft, but quarter three would be in line with, probably, in line with what we have performed, because now the mix also for us is somewhat we are trying to look at not easy in short period of time to change the mix, but if you look at the chronic contribution is now close to around 52% as compared to which was 45% around 1, 1.5 year ago. So, that is helping us in terms of bringing more stability to the business as compared to depending on the season.

Cyndrella Carvalho : That is helpful. And one last question. How should we look at the top line growth? I mean, the amount of top line growth we are seeing, how should we look at it over two to three years' time? We will have LOE also coming in plus, you know, this top line growth from an EBITDA perspective, how should we see it like going down like circling down to the PAT level? So, any color on that? Because, you know, we understand at the cash level of cost, but any sense on that will be helpful. That's it from my end.

Thank you.

Nikhil Chopra : So, the aspiration is now what we will achieve will be shown over a period of time. The aspiration is that we should be growing at mid-teens top line, and profit should grow better than the top line. So, 14 to 16% top line, 16 to 18% bottom line. That is what we keep in consideration when we look at in terms of planning our budgets and figures for next two, three years.

Moderator : Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

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Rahul Jeewani : Thanks for taking my follow-up question, sir. Now on the base business in first half, we have seen mid-teens kind of a growth on the organic base portfolio. So, if you can split that out between contribution from volume, price, and new introductions? And with respect to some of the new therapies which you have entered, which is respiratory, pediatrics and nephrology, how has been the traction been in some of these newer therapy areas for us?

Nikhil Chopra : See, overall, if you look at mid-teens growth that we have achieved for H1, 7 to 8% would be price driven growth, 5 to 6% would be volume driven growth, and 3 to 4%

will be the new introductions which are contributing to the growth. I can't go in detail, Rahul, in terms of, but overall, just to share about the new portfolio that we have launched, they are helping us in terms of gaining the prescription growth that I shared as compared to market in the clinics of chest physicians, pediatricians, physicians, nephrologists. That is what I can say.

Rahul Jeewani: Sure, sir. And would you like to comment anything on Sitagliptin, how that launch has been for us?

Nikhil Chopra: Very early. Very early. Two, three months. Very early to share about Sitagliptin.

Rahul Jeewani: And just a few questions for Lakshay. Sir, if we now look at your gross margins, your gross margins have stayed flat sequentially,

despite Azmarda growing very strongly during the quarter which implies that your base business would have seen some sort of a profitability improvement. So, how are you looking at your base business gross margins excluding Azmarda going forward?

Lakshay Kataria: Like I mentioned from a margin perspective, you know, the costs have now on the input side largely peaked. You are now expecting this to remain stable and, you know, that's how whether I look at base business or Azmarda, that's how things can be. So, peak costs are now into the P&L and Q2, and we see this going forward for Q3 and Q4 as well. Hope I have answered your question.

Rahul Jeewani: Yeah, sir. So, just on the imports from China, what is the contribution to us? And I think we source Metrogyl's API from China where we had seen significant cost escalations. So, have we started seeing cost moderation on Metrogyl API as well?

Kunal Khanna: We haven't seen any moderation as yet on the Metronidazole API. In fact, the cost is very similar to what it was almost two to three months back.

Moderator: Thank you. Next question is from the line of Kunal Randeria from Nuvama Wealth. Please go ahead.

Kunal Randeria: Sir, just one clarification needed on Ranitidine. You seem confident that the government will not ban this molecule. So, is this based on your conversation with government authorities?

Kunal Khanna: See, with respect to Ranitidine, I think technically there has been quite a few studies which have been done over the last three years trying to link the NDMA levels with the carcinogenicity of this product, and all of them, and these are not studies which have been locally conducted. These are studies conducted by FDA and, you know, EU regulatory authority, and it's clearly established that, you know, there is no risk of NDMA being linked to carcinogenicity for Ranitidine.

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Ranitidine globally as well continues to be in the WHO GMP list. There have been some companies who may have kind of withdrawn the product because of their focus on, you know, PPI versus H2RA, and given all the issues which happened almost four months back, but clearly enough clinical evidence, you know, this product has been there for almost 30, 40 years, and the recent studies suggest that there is no cancer risk associated with the NDMA, you know, levels. The Indian government had never kind of intended to put any restriction or limitation on this particular product. There is certainly no linkage of this coming out of NLEM based on the future outlook of this product not being there in the market because this is not the only product which came out. It was backed up with almost 25 products. So, we really see no risk of that. And in addition to that, we have been taking a lot of initiatives to keep ensuring the NDMA is an inherent system issue, which is not only there for Ranitidine, but other molecules like Metformin and all. So, how can we improve that? You know, we have been taking continuous improvement initiatives. At API levels, we have kind of gone into non-detectable limits of NDMA. So, those are the improvement initiatives which we are taking for the product as well.

Kunal Randeria: That's helpful, but just to maybe push you a bit more on this, you see because a couple of genetic companies had sort of, you know, gone for half a million-dollar kind of settlement with the lit again in the U.S., you know.

Kunal Khanna: I mean, those settlement litigations, clearly, those large Pharma cores clearly represented what the scientific findings were and, you know, kind of fought against those, fought against the litigation which was there. And in fact, we also hear that some of those same names want to kind of pursue the product once again, given the recent findings from these studies.

Moderator: Thank you. The next question is from the line of Sayantan Maji

from Credit Suisse.

Please go ahead.

Sayantan Maji: So, I have a couple of questions. So, first is on Cilacar. So, in Cilacar, have we seen any expansion in coverage among the cardiologists? And is there any, you know, plan

to, you know, scale this up as well , given that this is a large opportunity area for us ?

Nikhil Chopra : Not only at the level of cardiologists, but equally the opportunity lies across specialty when we talk of majorly in our people on the ground , a team of 500 people when they promote Cilacar, they are promoting to cardiologists , physicians, nephrologists . And also, I am happy to share that in patients who are suffering with , who are diabetic hypertensive , Cilacar -T, which is a combination of Cilnidipine and Telmisartan is a drug of choice , and if you look at IM F figures , this brand is now close to 120 crore and growing at a pace of 30 % . Then what I shared that it has now gained 76 ranks in last one year . So, it has become a drug of choice .

: Equally, teams have been working closely not only with the healthcare professionals but also with the consumers in terms of how do they adhere to therapy for long -term benefit . So, we continue to look at how do more and more number of physicians, when I am talking of physicians, that is doctors adopt this brand and at least that can be helpful to more and more number of patients who are suffering from hypertension .

Sayantan Maji : So, basically , what I was hinting at is , is there any , you know, benefit that we can leverage from promoting our smarter and , you know, leverage relationship with cardiologists to promote this as well ? So, do you see any initial indications with?

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Nikhil Chopra : 100% if you look at the medical fertility and with what we have done in the era of heart failure , the agenda going ahead is to prevent the progression of hypertension to heart failure . So, it's a combination of Cilacar and Azmarda where our teams have been working together , and at least help overall the patients who are suffering , who are undiagnosed hypertensive , who conceptually are hypertension is not controlled , and that has to be prevented to go into the era of heart failure . So, this acquisition of Azmarda and now the number of patients that we are catering to has overall helped us to improve our presence in the world of hypertension , and this will happen more in the coming time .

Sayantan Maji : That's helpful . My second question is on the new divisions respiratory and pediatrics. So, in respiratory , we had , you know, a few launches . We had launched Nintedanib, then Acetylcysteine, which is VISCOJOY and Dispred. So, have there been any further , you know, launches ? Or are we planning to scale these molecules up and grow these in this particular therapy ?

Nikhil Chopra : If you look at a couple of launches that we have done , that is , one is N-Acetylcysteine is a mucolytic agent , our brand VISCOJOY, and the combination N-Acetylcysteine with Acebrophylline , VISCOJOY AB that we are now at 100 or around 50 lakhs . It's close to around 6 crore brand.

Equally, anti-allergic , which is a combination of montelukast, Levocetirizine , which we have formulation for tablet , syrup , Akair LC , which is also now close to around 6 crore run rate a year. These two brands have done fairly well . This spread we have launched a new line extension in the form of 16 milligram . That also is helping us in terms of the family now which is available in the with Methylprednisolone.

Also, we have ventured into the world of nebulization with half a dozen nebulized products that we have launched in the field of respiratory , but that traction you will see in the season time probably from November to Feb . That should help us to ease the revenue .

Sayantan Maji : Understood. And for Pediatrics , the key brands right now are Rantac syrup and the Sporlac what we have

launched right now .

Nikhil Chopra : Rantac is there. We have Laxolite. We have Zecuf syrup . We have half a dozen formulation now . Also, what brands that we have acquired from Dr Reddy's which is a combination of Z&D and also antibiotic Pecef. So, we have now a good mix of portfolio, which our teams have been going , and we cover close to around 25 to 30,000 pediatricians . JB as a company that is now in the field of probiotic , is in the field of supplements in the form of Zinc , antibiotic , Rantac syrup. So, we have got a good mix of portfolio . And overall , we are getting good traction in terms of prescriptions from pediatrician as a specialty . And this should only improve .

Moderator : Thank you. The next question is from the line of Sonal Gupta from L&T Mutual Fund. Please go ahead .

Sonal Gupta : Thanks for taking my question . So, just wanted to ask one on Azmarda given that the LOE is in January . So, do we see a couple of months of no primary sales ahead of that? I mean , so this quarter could Q3 be impacted as a result of that? And then post whatever pricing settle , I mean , you could launch with a newer price post the LOE. How do we see the cadence there ?

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Kunal Khanna : So, there may be a cooling period for 10 to 15 days , but not to the extent as stated by you, you know, a couple of months . We will certainly have a cooling period to ensure

that the stock which is there in the market gets liquidated , and then we refill the channel with newer prices . The good thing about this product is that , you know, there is a very strong secondary velocity and demand . As a result of which , you know, the channel does not carry a significantly high inventory . So, whatever cooling period will be there , we will try to restrict it to , you know, a couple of weeks , and then see how the on ground situation spans out .

Sonal Gupta : And just on the head count , just a clarification . I think , previously , you have mentioned about 2 ,500 M Rs. Now you are stating 2 ,100. Just clarifying on that number .

Nikhil Chopra : 2100 plus managers .

Kunal Khanna : So, you know, the actual frontline field force is 2,100 plus you have the managers , which comprises of area managers , regional managers , and zonal managers . That's the general industry norm.

Sonal Gupta : So, I mean , like, because my understanding was the breakup was like 2 ,000 for JB and then 300 for --

Nikhil Chopra : No, no. I will tell you . I will just clarify . 1600 for JB around and around 300 for Sanzyme, and 200 for Azmarda . So, 2,100 is the number when we talk of medical rep, and the industry practice is that you calculate your per person productivity depending upon your frontline reps.

Moderator : Thank you. We take the next question from the line of Rajat Setiya from Ithought PMS. Please go ahead .

Rajat Setiya : Sir, we did 434 crore in domestic business this quarter . What would this number be without considering the acquisitions ?

Nikhil Chopra : This is full business that we have reported which is a part of that is what we have reported .

Kunal Khanna : So, if you are asking actually , essentially , the contribution of organic versus inorganic acquisitions , broadly , you can , our acquired portfolio runs into into 82 to 84 crore .

That's the number .

Rajat Setiya : Thank you so much . And the other question was about the ESOP cost that we will be incurring in FY24 and FY25?

Lakshay Kataria : So, basically , this quarter we had a cost of roughly about 18 crore . This fiscal will be about roughly 71 odd crore . And as we had carried earlier , you will start seeing a step decrease in the ESOP cost. So, next year should be in the range of 38 to 40 crore , and then maybe 25 to 30 crore in the following year . So, you will see a step-down improvement in the ESOP cost.

Rajat Setiya : And what will be the total number of shares , increase

in total number of shares

because of the ESOP s?

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Lakshay Kataria : If you look at the overall scheme that the Board has approved , it's roughly about 3 million shares .

Rajat Setiya : And sir, on the debt side , what are the debt metrics that we will look at now that we have become a net debt company for the first time , and we still have our plans to acquire new brands and maybe full -fledged companies as well . So, what kind of debt levels we will , and not debt levels , but the kind of let's say debt metrics like dead by EBITDA or dead by equity we would like to limit ourselves to ?

Lakshay Kataria : So, I can't give you a specific number , but I think directionally , what we can tell you is we will be very , very conservative to the usual industry thresholds on debt to EBITDA.

We do not want to stretch our balance sheet too much . Yeah, and we have a reasonably good cash generating business . If you look at our first half , we have generated almost 280 crore of cash from operations. So, we will look at how do we get a good balance of own generated capital and debt to fund most of the cost .

Rajat Setiya : Finally, we are also open to acquire full -fledged companies or we will continue to acquire smaller size brands or , you know, part of the companies?

Lakshay Kataria : We are open to acquiring companies as well. It is a matter of, you know, what opportunity comes our way that makes strategic and financial sense.

Moderator : Thank you. Ladies and gentlemen, that should be our last question for today. I now hand the conference back to Mr. Jason D'Souza for closing comments. Thank you, and over to you, Jason.

Jason D'Souza : Thank you, Aman. I would like to just hand it over to Nikhil Chopra for any closing comments.

Nikhil Chopra : First of all, thank you all for attending the conference call, and we will continue to focus on our entire strategy that we have spoken earlier in terms of along with the revenue drivers which are there in place in terms of top line , in terms of EBITDA, profitability which we aim always should be better as compared to top line growth. Also, what we have kept in mind in terms of how do we look at improving the productivity and also looking at the cost optimization initiatives which are fully in place,

which will only help us in creating strong operating leverage, which will help us to maintain our margins in an environment which you all understand is full of headwinds. And we will continue to engage with you in the coming time in our conference calls, and we would like to update you in terms of what has been happening in the company. Net-net, as a company, we want to create value for our shareholders, and look at how more and more JB as a company we can serve more and more number of patients in the coming time with the quality medicines coming from the house of JB. Thank you all. Thank you all for patient hearing. We will be connecting in our coming connecting call with all of you.

Moderator : Thank you very much . Ladies and gentlemen, on behalf of J.B. Pharma, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2023

February 13, 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on February 9, 2023 at 2.30 p.m. IST in relation to results and developments for the third quarter ended on December 31, 2022. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
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J. B. Chemicals & Pharmaceuticals Ltd.
Q3 FY23 Earnings Conference Call Transcript
February 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to JB Pharma's Q3 FY23 Earnings Conference Call as on the 9th of February 2023.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza – Vice President at JB Pharma.

Thank you, and over to you, sir.

Jason D'Souza: Welcome to the Q3 Earnings Call of JB Pharma. We have with us today Nikhil Chopra – CEO and Whole-Time Director; Mr. Kunal Khanna – President (Operations); and Mr. Lakshay Kataria – Chief Financial Officer.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available on the Q3 FY23 results presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call for his 'Opening Remarks'. And after that, Mr. Lakshay Kataria will address the 'Financial Highlights'. Over to you, sir.

Nikhil Chopra: Thank you Jason and good afternoon to everyone for joining us on our Conference Call. We plan to discuss the performance during Quarter 3 of FY23.

I shall commence with the remarks on the performance and provide updates on the business. I will be followed by our CFO – Lakshay Kataria, who will address the

financial perspectives to you. After our remarks, we will take the queries from the participants.

Friends, I am glad to share a solid performance backed up by expansion in both our domestic and international businesses. In Quarter 3 of FY23, we saw a 32% increase in our revenues at Rs. 793 crores. The domestic market saw market -beating growth

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trends prevailing during the quarter, with an improvement of 42% year -on-year, witnessing revenue at Rs. 407 crores. Organic growth came in at mid -teens with JB leading the industry on the growth path. As per IQVIA data, we have emerged as the fastest -growing company in top 25 in the year 2022. Thus, for the second consecutive calendar year, we have been the fastest -growing company in the industry in top 25. In the acquired portfolio, we have witnessed similar growth trends. We have shown 34% growth in Quarter 3 of FY23 as per IQVIA data on a like -to-like basis. The probiotic range continued to perform well, and Sporlac witnessed good growth rates and is now ranked at 361 number. Azmarda, which is creating a niche for itself in the cardiac segment, saw a 50% growth in the quarter. As per MAT December 2022 data, Azmarda appeared in IPM in top 300 list as well, ranking at 270 number. The traction in this brand is healthy, and we continue to bet the brand with the revamped go -to-market model. We have announced a price reduction of 50% in Azmarda in December and are already beginning to see a good volume uptick post the price reduction.

We have put in place a cost -effective sourcing model for Azmarda, which will focus on delivering high -quality products to the patients. Also wanted to share the competitive intensity has significantly increased in the market for the sacubitril/valsartan combinations.

The quarter marked the acquisition of Razel, i.e., rosuvastatin range, formalizing our entry into the statin market, which is the largest segment within the cardiology segment. Razel trends among the top 10 brands in rosuvastatin molecule category whereas rosuvastatin and its combination have delivered 3 -year sales CAGR of 14% as per IQVIA data. We are thus present in 3 major segments in cardiology segments, namely antihypertensives where we lead with our brands Cilacar and Nicardia; heart failure, where we have Azmarda, has created a strong niche for itself; and now statins where we have recently acquired Razel. The combination of being present in all these segments helps capture us into top 10 companies by sales in cardiology as per IQVIA MAT December 2022. I am also proud and happy to share with all of you that we are the fastest -growing company in the cardiology segment among the top 10 players as per IQVIA MAT December 2022. This is indeed an achievement considering the space is dominated by large pharma companies.

Moving on to our international business :

Our international business recorded good performance overall. The business saw momentum continuing in each of the segments, whether it is CDMO business which delivered a robust set of numbers with revenues growing at 92% during the Quarter 3 of FY23 and we once again could achieve Rs. 100 crores revenue for our CDMO business. New launches in specific markets are showing good progress. Export formulations delivered the highest ever sales during the quarter. Rest of the World and U.S. markets showed marked improvement in sales. Russia and CIS countries also witnessed enhanced traction on the revenues. In South Africa, our public business is witnessing some competitive pressures. Given the prevailing geopolitical scenarios and economic uncertainty, we expect to witness some impact on the demand in South Africa market.

I shall draw your attention now towards the outlook of the business for the coming quarters :

In domestic business, we are aiming to grow ahead of market. That is what we have been guiding since the last 6 to 8 quarters. This will be based on growth in our

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selected brands where we are leaders in the respective categories and continued traction in our portfolio of acquired brands. In line with our revised go -to-market strategy, we are building in higher productivities of our MR teams on the ground. The outcomes are being tracked through high momentum in prescrip-

tions. Also, what we

have been talking about in our earlier commentary, our new product contribution is also now close to 5% for the quarter, which is inching up as compared to when we started our journey; in October 2020, the contribution was only 1.5%. This all shows overall the strength now what JB enjoys in the market with healthcare professionals, particularly for the new progressive portfolio.

In our international business, we have a sharp focus on driving the right market mix

with our portfolio of offerings. Demand from export formulations, especially in the ROW business, remains good.

I've just come to the end of my note and would like to invite our CFO – Mr. Lakshay Kataria, to share his views on the financial perspective. Over to you, Lakshay. And thank you all for patient hearing.

Lakshay Kataria: A very good afternoon to all of you and welcome to our Earnings Call. I will now take you through the financial highlights of Quarter 3 of FY23. The revenue for the quarter was Rs. 793 crore, an overall growth of 32% over the same quarter FY22. The mix of domestic and international business stood at 51% to 49%. Our domestic business reported a revenue of Rs. 407 crores, a year-on-year growth of 42%. And organically, the business saw a growth in the mid-teens. Our international business saw a 23% growth year-on-year and another quarter of Rs. 385 crores of revenue. Performance in this business was particularly supported by international formulations and CMO business along with strong performance in our Russia operations.

Gross margins at 62.3% for the quarter, pretty much closer to where we were last quarter and compared to 65% in the last financial year. The margin saw an impact of cost inflation and higher Azmarda sales during the quarter. During the quarter, we delivered an operating EBITDA before ESOP costs of Rs. 193 crores. We saw a growth of 26% year-on-year. Margins came in at 24.3% versus 25.5% in the same quarter last year.

During the quarter, other expenses as a percentage of sales improved versus last year to 22.8% vis-a-vis 24.5% last year. As you would have seen, the depreciation during the quarter was higher as it includes the amortization charge of Rs. 11 crores towards acquired brands. The amortization number will move up marginally due to acquisition of Razel franchise towards the end of Quarter 3. Profit after tax was at Rs. 106 crores, which increased by 26% year-on-year.

Quickly covering the cash part; as of 31st December, we had a debt of Rs. 571 crores and cash and investments to the tune of Rs. 142 crores. This debt is after funding acquisitions of the Razel franchise. Our operating cash flows continue to be strong. And in the recently concluded Board meeting, we declared an interim dividend of 8.5 per share.

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Overall, we continue to remain optimistic about the business, and we see operating leverage increasing for the business as we move forward. With this, I now request the moderator to please open the forum for discussion and questions.

Moderator: We will now begin the question & answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Sir, first question on debt. This Razel acquisition amount has been completely funded by debt or it is partly funded by debt? If you can give me that number. And what is the cost of debt also?

Lakshay Kataria: As far as Razel was concerned, we took a further loan of Rs. 250 crores towards this acquisition. And the balance, roughly about Rs. 130 crores was funded through internal accruals. This is the total cost with all the applicable taxes and working capital. In terms of cost, it's closer to 8.5%.

Rashmi Shetty: Now what will be the blended cost of debt for your overall debt that is Rs. 573 crores?

Lakshay Kataria: It will be closer to 8.1%, 8.2%.

Rashmi Shetty: Sir, on the CMO segment

t, this quarter also we have seen a good run rate and this year probably we will be ending with a very high base in the CMO segment. From FY24 and FY25, how should we look at this business? Is it that Rs. 70 crores to Rs. 80 crores per quarter CMO business would continue to give this kind of base? Or you feel that on the higher base, we should expect a decline or a lower growth on this peak of the business?

Nikhil Chopra: Fortunately, we were able to take care of the demand, particularly in the world of cough & cold lozenges, which has happened this year. And overall, for quarter 4 also, the order book is healthy. But going ahead, the dialogues that we have been having with our partners is you should expect moderate growth probably for the next year. And next to next year, there is a lot of developmental program which is happening in the world of CDMO, particularly for lozenges where the intention is to add new partners and also widen our portfolio. Today, our major portfolio is in the world of cough & cold. We have developed some new proof of concept, which I have been talking and that should see some daylight probably 8 to 10 months to 12 months from here, particularly in the world of sleep disorders, motion sickness, oral thrush, all those lozenges we have developed the proof of concept and we have shared those with our partners. These all programs that we are working with our partners takes its own time.

It has got its own gestation period. So, the short answer is we should expect moderate growth next year. And going ahead, we are very much aspirational in this part of the business. This business today is contributing 12% to our revenue. Going ahead probably 3 years from here, this business should contribute 20% of our revenue.

Rashmi Shetty: As we have become large in terms of cardiology therapy, can you give the top 3 therapy (Inaudible) which you want to make it big for your domestic business? And their current contribution towards the 9 months of FY23?

Nikhil Chopra: We don't share and we don't measure in terms of contribution from therapy, but just to share with you, we are a dominant player in the world of cardiology; Cilacar being a big brand, close to Rs. 500 crores; Nicardia being a big brand, close to Rs. 150 crores as reported in IMS. And now with our venturing into the world of heart failure and getting into the world of statins, overall if I have to talk about the chronic
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contribution today to India business is close to 50%. The intention is how do we improve this chronic contribution to India business close to 60%. That is short to midterm.

Rashmi Shetty: How has Metrogyl and Rantac have done during the quarter in terms of growth?

Nikhil Chopra: Metrogyl overall, it is more a seasonal product, if you look at it. With summers coming in, I think March onwards, we will see the demand ramping up. Overall, from a volume perspective, both the products are flat in terms of what we have achieved in the last 6 months. And I think March onwards, March to July -August is the season where we see good traction for Rantac and Metrogyl.

Moderator: The next question is from the line of Sriraam Rathi from BNP Paribas. Please go ahead.

Sriraam Rathi: Sir, my question was on India business. That we took a price cut in Azmarda, so is it fair to assume that the contribution of Azmarda would have been significantly higher this quarter versus in the normal scenario?

Kunal Khanna: The price cut has been taken effective January. We are talking about Q3 numbers which are reflective of pretty much the same scenario which existed when we actually took the Azmarda brand from the innovator partner. So, you really don't see any price cut impact for Azmarda in Q3. What you clearly see is a significant growth, which Nikhil added in his commentary, where we have actually been able to double the volumes and the value at the same price since the

time we took this brand from Novartis.

Sriraam Rathi: Secondly, a related question on the gross margin. The gross margin in 9 months has been lower because of inflationary pressure on the costs as well as the higher sales of Azmarda. Now going forward, how should we look at it? Because historically, we used to be around 65% gross margin business and now we are at 63%. So, how should we look at this number going forward?

Kunal Khanna: When you look at our gross margin trends, we are not very different from the industry given the inflationary environment, and there is a product mix impact largely stemming from Azmarda. But of late, very recently, we do see the intermediate cost from China easing out a bit. And hopefully, the situation in Europe should also improve going forward. And with the local sourcing of Azmarda already being activated, we see our gross margin profile inching upwards towards 64% and northwards moving ahead.

Moderator: The next question is from the line of Shrikant Akolkar from Asian Market Securities. Please go ahead.

Shrikant Akolkar: Two questions. First question is on the U.S. business. If you can talk about what has changed for us in the U.S. business in the ongoing quarter? And the second question is, if you can talk about the kind of synergy that exists between our chronic products, which is Cilacar, Azmarda, Nicardia, and the recently acquired rosuvastatin franchise?

Nikhil Chopra: The U.S. business, conceptually, if you see the overall track over the last 3-4 years, quarter 2 and Quarter 3 are good quarters. That is what things are there in terms of we as a company today have 15 ANDAs and the biggest product being glipizide that is giving us the benefit in terms of the revenues that we are generating for U.S.

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business. This was in line with what we had planned for the year. That is where we stand for the U.S. business. And equally, if you are asking about what is happening in the world of chronic synergy of this brand what I shared earlier now. When we started our journey, we were 13th ranked company in cardiology, i.e., Cilacar and Nicardia. When we acquired Azmarda heart failure pill, we were the 11th ranked company. And with Razel coming in, today we are 8th ranked company and we are the fastest-growing company in the world of cardiology in top 10. Lot of synergy buildup in terms of cardiologists, physicians, nephrologists; these very close

specialties where JB has strong foothold and with widening of our portfolio, I think this gives us benefit in terms of how we can closely work with all these 3 specialties and help more and more patients in terms of getting right diagnosis; that is the intention, early stage diagnosis. Just to also share with you, with the heart failure pill, Azmarda, that we have launched, JB is the only company which is running 200-plus heart failure clinics. And the intention is how do we get more and more patients of heart failure in stage 1 and stage 2 get diagnosed with the help of 2D and 3D echo which is a marker of measuring the patient's severity of heart failure. All these initiatives have been put in place. Also a lot of consumer campaigns with the help of healthcare professionals we would be running for in the world of hypertension because of the burden of the disease being so high, close to 100 million people suffer from hypertension in the country and one in four hypertensive patients is undiagnosed. A lot of those emphasis is we are giving in building the ecosystem, influencing the ecosystem in collaboration with the healthcare professionals. This is what we are trying to do and strengthen our place in the world of chronic, particularly in the world of cardiology.

Shrikant A kolkar: Just one follow-up on the U.S. business. How should I look at the next year from the U.S. revenue or pricing erosion sort of perspective?

Kunal Khanna: Just to add to what Nikhil mentioned,

we have always maintained for us it's basically as far as the U.S. is concerned, we will be looking at very limited set of product opportunities. And the good part is the R&D journey which we started. In the last 4 to 5 months, we have had 3 new filings. These filings have an approval timeline of close to 12 to 18 months. As we continue to organically scale up our business with OROS technology and platform, the recent filings which we have done should ideally be commercially available for the markets 12 to 18 months from here on.

Nikhil Chopra: And the last approval that we got was in the form of venlafaxine. That was the ANDA which we got approved. What has been spoken in the world of U.S. business is we are a very small fish in a big pond. So, we conceptually are working in accord to our strengths in terms of the products that we manufacture based on the technology backup that we have got, be it extended release, modified release. That is the technology that JB owns. That is the dialogue that we continuously have with our partners in the U.S., and that is how they help us to distribute the product. And that is how we do the business in U.S., it's a costless model.

Moderator: The next question is from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal: Nikhil, a quick question on cardiac and diabetes market from IPM perspective. We have been seeing a remarkable slowdown in growth rate for cardiac and diabetes. Apart from some of the big brands going off-patent and reducing the overall value size, are there some other trend changes that you are seeing in the market on the ground?

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Kunal Khanna: Not really, actually. The slowdown is attributed to a few things which are not completely volume based. There have been big molecules and big brands which have been subject to price pressure which has led to a slowdown in the recent past. With respect to offtake of the molecules, patient adoption, or the compliance rates, systemically there is nothing really changing in the market. Yes, there are certain molecule categories where the combinations and the FDCs are doing much better than the single molecules because the doctors see patients who are already there with comorbid conditions. Also with respect to Indian market, cost of therapy is a very very important parameter. So, you may see trends that some of the single large molecules are being substituted by FDCs. But from an adoption-compliance-prescription perspective, there is systemically nothing really changing. The large product insulins which were there in the market, historically with large market share, have been subject to price pressure, which are reflected in the overall slightly muted growth in the overall therapy area.

Alok Dalal: Per se, no change in prescription trends as such in the market?

Kunal Khanna: No, there is no change in prescription trend. The prescriptions continue to increase. In fact, for most of the product categories in our basket, what we have seen is that the prescription numbers have actually surpassed the pre-COVID levels as well, which clearly indicates that the prescription-practicing pattern is all pretty much inching towards normal steady-state levels. And quite honestly, some of the feedback which we have got from patient perspective, the research work, the patient compliance has improved significantly in the market. So, there is nothing really systemically changing out there.

Alok Dalal: And second question is on the company. The company has, in the last 2-3 years, undergone a significant change. You have bridged the portfolio gaps through

acquisitions. Do you think now the low -hanging fruits are kind of done? And say when you want to reach the 50 -50 chronic -acute mix, what else does the company need to do to achieve that target?

Nikhil Chopra: What I shared in my earlier context setting is if you lo

ok at wh at we have built

organically and what we have acquired probably gives us confidence in terms of how we can improve the chronic contribution towards India business. And besides the brands outside the chronic space, there are a lot of opportunities in the ar ea of pediatrics, respiratory, GI, antibiotics where we are confident enough in terms of wherever we are present, we want to look at how do we go more in the depth and improve our penetration in terms of prescription. By the way, we may be 22nd or 23rd ranked company in terms of value, but from a prescription perspective, we are 15th ranked company. Also, in the area of probiotic that we have acquired, it's a huge opportunity. Probiotic being a Rs. 2,000 -crore s market, we are the 5th largest player with 7.5 % market share. We are looking at an opportunity on why not to double our market share because we have got a good brand in terms of Sporlac. We have the fundamental work of life cycle management getting into women health Sporlac and pediatric Sporlac versi ons, all those things. We see opportunity in terms of the portfolio that we have got today in our hand.

Alok Dalal: Nikhil, no plans to enter any new therapies; just bridge portfolio gaps within existing therapy area?

Nikhil Chopra: Yes, absolutely right.

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Moderator: The next question is from the line of Abdulkader Puranwala from Elara Capital. Please go ahead.

A. K. Puranwala: Sir, my first question is on the price cut what we took on Azmarda. Is this what we had already planned or this was largely because of the competitive pressure that we had to? And secondly, when we talk about some gross margin improvement to happen from the next quarter onwards because of the sourcing, how should we look at the gross margins? We guided close to 64% but with the kind of sales volume we are witnessing currently, would that be any risk to the margin guidance what we have provided?

Kunal Khanna: We will take the first question in terms of the price cut. When we actually looked at this acquisition, we were very certain that there is going to be price erosion in the market. And we were quite prepared in terms of at what price we will be positioning our product, at what price point. We continue to maintain that price point. The scenario for us has not changed from what we initi ally envisaged in terms of how the market will shape up. For all the similar molecules and brands where such LOE has happened, you do see that eventually it's the innovator and the innovator partners who pretty much hold significant majority market share. And for us also, we believe that that's how the market is going to shape up. In fact, the first month post LOE gives us good confidence that we are on the right path of increasing volumes even if it comes at the cost of price erosion by making the product much more affordable. And in the first month itself, we have seen a volume uptick of closer to 1.25x to 1.3x than what we used to do pre -LOE scenario.

Coming to the point of how the local sourcing of Azmarda will change the overall gross margin profile, we don't want to comment on product -specific margin and its impact on our overall gross margin profile. But the overall key elements which will play out, which we believe that the recent trends with China opening up, some prices easing up, and if the overall situation in Europe further eases out going forward , then there is no reason for us to not believe that we will be closer to 64%.

Laksh ay Kataria: And the fact that in terms of gross margins, this will build more towards Q1 and after that. I think Q4 pre tty much will be similar in this range.

Kunal Khanna: Because we are still in the transitional quarter.

A. K. Puranwala: Sir, my second question is on the CDMO business where we earlier spoke about the revenue contribution increasing from 12% to 30%. Sir, are we indicating that the M&A focus would sh

ift from India to this line of business? Or this would be entirely achievable through the capacities what we have created so far?

Nikhil Chopra: There are no plans of getting into M&A in the world of CDMO. What I shared was the contribution going from 12% to 20%, not 30%. And overall, there is a two -fold strategy. One is the entire journey that we have started to work in the world of CDMO is to add new partners. There as and when the progress happens, we will be more than happy to share. And second, what I shared earlier was some new products within the world of lozenges what we have developed should help us probably in this journey, which

is beyond the world of cough & cold where there are continuous dialogues with our partners in terms of what do they want in the form of lozenges in their markets. This entire buildup will be organic and just to also share with the teams is the capacity that we have in terms of lozenges that we can manufacture is around close to 2.5 billion. This year, we will be selling close to 1.1 billion lozenges. Capacity is not an issue,

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capability we have, good partners we have got. This is the journey that we would like to travel mid to long term in terms of CDMO business.

Moderator: The next question is from the line of Aarti Rao from Anand Rathi. Please go ahead.

Aarti Rao: Sir, I had a question regarding Sanzyme. How would have that been growing for 9 months? And how do we expect it to grow for the next 2 years? Because I believe probiotic segment would be growing at 12% to 14%. Are we doing better than that? Or how do we see that?

Nikhil Chopra: This entire Sanzyme business is a part of 3 segments, first is probiotic, second is women health, and third is infertility portfolio. Particularly in the world of probiotic, the market has been growing at 12% to 14%, and our growth that we have demonstrated for the last 2 quarters is (+20%). This has happened because of 3-4 reasons. Overall, when we acquired this asset, this asset overall was under-penetrated and under-represented and with now coming from the JB house, we have improved the penetration and we have improved our presence. Secondly, the synergies that we got in, in terms of the prescription because generally a probiotic is being prescribed with an antibiotic for antibiotic-induced diarrhea, in the world of IBS, from gastroenterologist, that is where JB has a strong foothold. And third is the life cycle management that we have done. We have launched a couple of more versions of Sporlac, i.e., Sporlac GG for pediatric and Sporlac Eva for women health. This all is helping us in terms of outscoring the market and delivering better performance in the world of probiotic. Equally, there are steps that we have taken in terms of how do we improve our performance in the world of women health and infertility portfolio.

Aarti Rao: I believe, sir, there are some 320 MRs coming from Sanzyme. What's the total MRs that we have? And how much of that is kept for Sanzyme?

Nikhil Chopra: You are absolutely right. There are 300-plus people who came from Sanzyme. And today the MR strength for JB on the ground is close to 2,500.

Aarti Rao: How do we see this MR productivity, particularly for Sanzyme growing ahead in future? I believe it will be 3 million per MR per year, if I am not wrong, if I just go by the numbers.

Nikhil Chopra: I think it is better than 3 million. It is, I think, close to 3.5 million if I am not wrong. And now growing at a pace of around 20% because if you look at the productivity of JB as a company now, what we are enjoying is close to 6.5 million, i.e., 65 lakhs. So, there is a huge scope in terms of how do we come at par. And with the way we are growing at (+20%) and with the expansion in portfolio that we are doing, there is no need that we want to add people, but to penetrate better, widen our portfolio, and meet the same set of doctor

s, be it in the world of infertility, be it in the world of mass and class probiotic, be it in the world of gynecologists so that overall will help us in terms of how do we enhance the productivity in the world of Sanzyme.

Aarti Rao: And sir, if I may ask, the last question, given that ranitidine is now out of NLEM, we used to have like 30% plus kind of exposure on a company level. How much can that possibly come down to probably 20% is something I have been estimating....

Kunal Khanna: The current exposure to NLEM portfolio is closer to 12% to 13%.

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Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial Limited. Please go ahead.

Cyndrella Carvalho: Any color that we can provide on the Russia and the ROW business that we have? And what kind of growth estimates should we work with for the coming year?

Kunal Khanna: Overall, the good thing is that our international business even outside of CDMO has trended very well in terms of if you see the Q3 performance. As Nikhil mentioned, further if we really dissect this business, the 2 to 3 key parts are rest of the world, South Africa as well as Russia. Russia, we saw a very good demand coming from the cough & cold segment, which is pretty much reflective in our international business growing. Our overall ROW markets have also rebounded well. And as we see the order book position, we are quite confident of maintaining that trajectory. South Africa, there is possibly some level of moderation which we are seeing more on the public side. And as the next 2 quarters progress, we will have a further firmer visibility on how the mix of public and private portfolios will stack up. But despite all this, we are still looking closer to double-digit growth for our international business.

Nikhil Chopra: Also just to share one more point, in terms of our BGx market in the world of ROW,

which happens in 4 clusters, i.e., Sub-Saharan Africa, Latin America, Southeast Asia, and Middle East, you should see us launching some progressive portfolios in the second part of next year, i.e., H2, because this part of the world had been denied new launches. So, the teams have been working in R&D in terms of identifying the right portfolio. And this overall business model is distributor-led where we have been talking to the regulatory bodies of that part of the world. And with the product development that we have done, you should see us doing BE filings. And as and when things progress, we will be more than happy to share.

Cyndrella Carvalho: And one clarification. You mentioned the CDMO contribution from 12% to 20%. Is that 20% for FY24? Or what's the time line?

Kunal Khanna: This is essentially our long-term aspiration. When we look at the contribution coming in from CDMO and it is inching up to closer to 20%, it's a long-term 3- to 5-year time period which we are looking at.

Cyndrella Carvalho: And in terms of all the cost efficiencies that we were talking about, considering a majority of the acquisitions and synergies that you have already spoken on the call, how should we see this going ahead in FY24?

Kunal Khanna: There are certain areas where we have got operating leverage and cost synergies on day 1, particularly when we acquired the pediatric portfolio. For example, even when we are looking at the Razel acquisition, because there is no real need for us to add incremental feet on the street, cost synergies for those have already been realized. Our main focus is to drive these brands which we have acquired. Some of them were under-invested. If you take an example of Sanzyme's Sporlac, you see what we have done with the pediatric portfolio or Azmard a portfolio. Our main focus and thrust is how do we keep on increasing our market share, get more top line synergies and revenues which will further help us drive better operating leverage. That's the way we are looking at our ac-

quisitions.

Cyndrella Carvalho: But in terms of further synergies or overall cost efficiencies that we have been working on, we should be able to see some more benefits coming in, in FY24 as well as we have seen so far?

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Kunal Khanna: Certainly, yes. And there is always an area for improvement as far as cost synergies go, be it on the front-end side or the back-end side. And the fact that we are not committing to any significant feet-on-the-street addition, yes, there will be certain marginal pockets and territories, but the fact that we are not committing to significant go-to-market addition of numbers, we will certainly see more synergies and benefits coming up.

Cyndrella Carvalho: And if I may ask one last question. On the women health side, Nikhil was mentioning that we have a good strategy working. But do we see ourselves well in place from a WH category side? Or do we still see some gaps there on the women health, which we may need to address over the coming 12 to 18 months' time frame? What are we thinking?

Kunal Khanna: Our main strength in the women health portfolio is basically reproductive health and IVF portfolio. There we have some very strong relationships with CAM accounts which we continue to build upon. We don't see ourselves as a company which will be present in every molecule and every subcategory of women health. We want to continue to expand our presence in areas where we play with, which are essentially reproductive health, IVF portfolio, and some hormones category. As long as we are playing and building on our strengths in those categories and increasing our market share, we will be pretty much well placed with respect to our aspirations. But we don't aspire to be there in every molecule within women health portfolio.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Just to understand the price, volume, new launches growth for the domestic formulation base business for the quarter without acquisitions?

Nikhil Chopra: If you look at the market first of all, the market is flat to negative for volume growth. And our volume growth is 4% to 5%. Price growth is close to 7% to 8%. And the new introduction contribution is close to 5%.

Tushar Manudhane: And in constant currency terms, how much would have been the growth for international formulations – overall, exports?

Lakshay Kataria: In terms of top line, if you look at it, there will be an impact roughly of about Rs. 20 crores on the revenue. What we reported is about 23% growth. That will come down to about 17% to 18% on constant currency terms.

Tushar Manudhane: Broadly, what could be the gross margin breakdown for domestic formulations and exports?

Lakshay Kataria: Sorry, we don't share that number.

Tushar Manudhane: In terms of presence across, let's say, top 1 or top 2 Tier-cities or top 3 cities, that way what would be the presence of JB brands?

Kunal Khanna: You are talking about our field force presence across metro, Tier-1, Tier-2, and beyond?

Tushar Manudhane: Yes, both on the MR side as well as on the brands.

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Kunal Khanna: Where the MRs are present, that's where the brands are present. Essentially, our presence varies depending on the portfolio which we are operating in. For our acute portfolio and especially where we have our mature brands such as Rantac and Metrogyl, our presence is very strong even in Tier-3 and Tier-4 markets and semi-urban towns. For our chronic portfolio, 70% of our business is essentially coming in from metro, Tier-1, and Tier-2. And the remaining 25% to 30% comes from Tier-2 and beyond towns.

Moderator: The next question is from the line of Neelam Punjabi from Perpetuity Ventures LLP.

Please go ahead.

Neelam Punjabi: My first question is on the CMO business. The business has been quite strong for thi

s

year, and we have been sustaining the Rs. 100 crores quarterly run rate plus or minus 5%. Are we confident of sustaining this kind of numbers for FY24, about Rs. 400 crores annually? And how is the order book looking for this business for us?

Nikhil Chopra: Neelam, I think one of your colleagues had asked this question but let me repeat in terms of the way we see. The order book for quarter 4 looks good. That is point number 1. This year our business almost has doubled in the world of CDMO, which does not happen in a hurry. And this has happened because of the entire upsurge that we saw in the world of anti-inflammatory and cough lozenges, particularly in South East Asia, Australia, New Zealand, and Canada. Depending upon the seasonal variability, we will be able to add more color probably in our next conference call. We may be close to what we are doing today. We have the capability in terms of giving the output. Today, we are manufacturing close to around 8 crores to 9 crores lozenges a month. Long-term agenda what we spoke earlier, probably 2-3 years from here, you should see us getting into a new portfolio of lozenges, which is a little long-term plan; in terms of what I shared earlier – sleep disorder, motion sickness, irritable bowel syndrome, and some of the new concepts that we have developed. And equally, the business development team is working in terms of adding new partners across geography outside India. Those are the plans that we are putting in place in terms of the way we look at this business.

Neelam Punjabi: Secondly, my question is on the operating EBITDA margin. Could you please give us guidance for FY24? Are we planning to be in the range of 24% to 26% or higher?

Lakshay Kataria: In terms of EBITDA margins, our endeavor is to up the level of operating margin next year compared to this year. We are still working through the plans. This is obviously the budget season. Probably once we meet in May, I think we will be able to give you a better sense, but it will surely be upward from where we are standing this year.

Neelam Punjabi: And lastly, on the API business, I am not sure if this was touched upon earlier, but the business is down about 4% Y-o-Y, although it's small for us. Could you highlight what were the reasons behind the same?

Kunal Khanna: It's just got to do with some offtake patterns. Last year there was a significant uptick for us in Q3. So, the business, we believe, will end with moderate growth, but there is no real aberration from what we see fundamentally in our business. And Q4, we expect the muted offtake which happened in Q3 to cover up for that.

Moderator: Next question will be the last question that is from the line of Yash Sinha from MIPL.

Please go ahead.

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Yash Sinha: I wanted to understand why on the balance sheet the purchase of stock-in-trade metric has almost doubled year-on-year?

Lakshay Kataria: That is because this heart failure product that we acquired this year is largely being acquired on a P2P basis. That's why you are seeing a significant upsurge.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Jason D'Souza for closing comments. Thank you and over to you.

Jason D'Souza: I'd just like to hand over the mic to Nikhil Chopra to say the final remarks.

Nikhil Chopra: First of all, thank you all. Thank you all participants for participating in today's Conference Call.

Closing remarks in terms of what I have shared earlier, JB continues to deliver performance in terms of market beating. And the guidance going ahead is, in terms of India business where we will continue to gain market share, in terms of the portfolio that organically made, inorganic acquisition that we have done, and equally the new products that we have launched which will help us to deliver market-beating

performance, maybe close to mid -teen

growth. That is where we see ourselves positioned. International market, if I have to comment, overall, the way we see volatility and opportunities, probably our growth should be close to low double digit. That is where we see ourselves in the coming time. And as Laksh ay shared, in terms of EBITDA margin guidance, I think we should be better placed for the coming year in terms of inching up as compared to where we stand in terms of operating EBITDA margin. That is the closing remark from my end. And once again, thank you all. We will be more than happy to share the proceedings and the development happening in the company as we have been doing it regularly.

Moderator: Ladies and gentlemen, on behalf of JB Pharma, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2023

May 30 , 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on May 25 , 2023 at 3.00 p.m. IST in relation to results and developments for the fourth quarter ended on March 31, 2023. The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 19

J B Pharma
Q4 FY '23 Earnings Conference Call
May 25, 2023

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Call of JB Pharma as on date 25th of May 2023. As a reminder, all participants will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza, Vice President at JB Pharma. Thank you. And over to you, sir.

Jason D'Souza: Thank you, Bikram. Welcome to the earnings call of JB Pharma. We have with us today; Nikhil Chopra, CEO and Whole-Time Director; Mr. Kunal Khanna, President, Operations; and Mr. Lakshay Kataria, Chief Financial Officer of JB Chemicals & Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available on the Q4 FY '23 results presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call with his opening comments, after which, Mr. Lakshay Kataria will address the financial highlights. Over to you, sir.

Nikhil Chopra: Thank you, Jason, and very good afternoon to all of you, who have taken time out to join us for the

fourth quarter and annual conference call for JB Pharma. To commence, I would like to take all of
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you through the highlights of our performance and then as Jason shared, our CFO, Mr. Lakshay Kataria will follow with his views on the financials. And after our comments, we'll be more than happy to take the questions from all the participants.

So to start with, I'm pleased to announce a robust quarter and a financial year with a healthy contribution from both domestic and international business. During fourth quarter, we reported a revenue growth of 22% to INR762 crore and crossed a milestone of INR3,000 -plus crore sales for the financial year. Our domestic business -- formulation business grew at 29% and the revenues increased to INR380 crore in the quarter, whereas annually it stood for INR1,640 crore for the current financial year with a growth of 38%. While our big brands got bigger, the acquired portfolio also ramped up. Our per person productivity improved to INR6.2 lakhs in the year, up fr

om INR5.4 lakhs in FY '22.

Speaking of the brands that we acquired, starting with Azmarda, a very potent addition to our cardiac portfolio, emerged among the top 300 brands in IPM as per IQVIA MAT March 2023, and now ranks at the number of 261 as per IQVIA MAT March data. I'm pleased to share that thanks to our dedicated efforts of our team, Azmarda continues to draw monthly volume similar to those in our pre-exclusivity periods.

Across our big brands, I'm again happy to share that we have made gains in our market rankings. As per IQVIA MAT March 2023, the domestic business witnessed a growth of 22% versus IPM growth of 8%. I'm proud to note that as per this information, we are the fastest-growing company among top 25 in IPM for 2 consecutive years. And if you talk about the big brands, what we have been talking, the entire concept of making big brands bigger, let me talk about Rantac, which gained 10 ranks, which stood at #35. Cilacar, Cilnidipine, our anti-hypertensive franchisee gained 8 ranks to rank at #44. Metrogyl gained 52 ranks to rank at #142. Nicardia gained 68 ranks to rank at #172. Cilacar -T, combination of Cilnidipine and Telmisartan gained 9 ranks to #194. And Azmarda, what I shared earlier, gained 125 ranks to rank at #261.

Why I'm sharing these numbers is in lieu of the business that we have achieved in India is a combination of both organic and inorganic mix that we're trying to drive on the ground with our 2,000 -plus medical reps, who day-in and out meet all the healthcare professionals and the entire hypothesis of making big brands bigger and not going wide. But going deep in terms of what we have done for our brands in terms of lifecycle management, incremental innovation, looking at what we can do with the patients in terms of consumerization, looking at what more can be done in terms of driving better adherence in chronic therapy, those all aspects we have taken of building the business that is where we stand.

And in terms of value what I shared that we ranked at 23rd number, fastest-growing company in top 25. But also I'm very happy to share from a backbone perspective, from a prescription perspective, we are now 15th ranked company in the country. JB Chemical generates close to 5 crore prescriptions in a quarter, which enlightens me in terms of the journey that we have travelled in last 8 quarters and we have gained ranks in prescription.

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Talking more about what we're trying to do in India, our chronic portfolio continues to outperform.

The chronic portfolio outperformed the overall industry chronic portfolio growth at 24% in the year as compared to 11% IPM growth in chronic part. JB Pharma now ranks 20th in overall chronic segment, gaining 4 ranks in last 12 months. And within chronic portfolio, if we're talking of cardiology, we are now 8th ranked company as compared to 13th ranked company 18 months ago. And 3 of our brands feature in top 25 in cardiology. Besides having a progressive portfolio like Azmarda and Razel, we are well placed to drive the therapy shaping initiatives across the care continuum for hypertension to heart failure.

Let me talk about the acquisitions in the inorganic business that we acquired in last 1.5 years. The acquisitions we have made have been strategic, keeping in mind company's overall objectives. Azmarda and Razel have strengthened our presence in cardiology therapy as I shared earlier and now we are 8th ranked company in cardiology overall as a segment and we are the fastest-growing company in the cardiology segment.

As per IQVIA March 2023 data, JB Pharma is the fastest-growing company in top 10 in cardiology and that was shared earlier. And talking about Sporlac, Sporlac gained 152 ranks in -- and is now ranking at #334. And overall in the covered markets, Sporlac is #1 brand when we compare ourselves to Bifilac and Vizylac. Our paediatric brands that we acquired

have also performed well during the

financial year. Smooth integration of our acquired Razel franchisee, rosuvastatin, which we acquired 4 months ago is as per plan. The company is already beginning to witness good momentum for Razel. So concluding in terms of the way we are positioned now in India, 23rd ranked company in terms of value, close to INR1,640 crore revenue that we generated for the financial year. In terms of prescription, we are 15th ranked company. Mix of our organic brands, as well as inorganic acquisitions are overall performing as per our plan and we have 2,000 -plus medical reps who continue

to day -in and out with doctors and our purpose on productivity now stands at around INR6.2 lakhs. I shall now turn my attention towards international business. We witnessed good traction in the international formulation this quarter and the year. The Russia business witnessed demand normalization, while we continue to focus on increasing our sale in South Africa private market. Our other BGx market, which is a combination of Sub-Saharan Africa, Latin America, Southeast Asia and Middle East, also reported good results on the back of demand normalcy seen back post-COVID times.

Put together, if you look at the way we have performed in our ROW international market, first half of the year we were flat in growth, but if you look at our YTD growth, it is around 12%. So, we have gained growth and overall the demand has come back in quarter 3 and quarter 4, particularly in our business in BGx that is ROW, Russia and South Africa. Also, just to share in terms of the work that we do in our CMO business, our CMO business has been a feather in the cap, registering a growth of 60% to a revenue of INR406 crore in the financial year, while the growth for the quarter has been 18%.

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If you look at our CDMO business we have been touching a figure of INR100 crore every quarter, which has been a fantastic performance and it has only helped us in terms of what revenue and what EBITDA we have generated to further invest in the company. The CMO business, along with domestic formulation business today accounts for 65% to total revenue in the year.

I would like to repeat this once again. The CMO business, along with domestic formulation business accounts for 65% of total revenue in the year. The increasing acceptance and continued demand of lozenges was the key driver for this upsurge. We have introduced a number of products in our industrial markets in the world of lozenges with our marquee partners, and expect that they should gain traction in the coming years. We are cognizant of geopolitical issues and economic headwinds and their impact on the demand patterns. Our teams are managing our response in a calibrated manner. Our focus on containing costs continues as we combat inflammatory, as well as environment issues globally.

Now, I would like to hand over to Mr. Lakshay Kataria to take you through the financial details and overall performance of the company.

Lakshay Kataria: Thank you, Nikhil. A very good afternoon to all of you and welcome to our earnings call. I will now be taking you through the financial highlights of quarter 4 fiscal '23 and fiscal '23 overall. We witnessed a strong growth on our revenues, both for the quarter and financial year. Quarter 4, we clocked a revenue of INR762 crore. And the year, we clocked a revenue of INR3,149 crore. Gross margins stood at roughly 63.9% in the last quarter versus 65.9% in the same quarter previous year, with a sequential improvement from 62.3% in the previous quarter.

Gross margins for the year was 62.9% versus 65% last year, largely impacted by cost inflation and higher Azmarda sales in the year. In the quarter, our operating EBITDA, which is EBITDA before ESOP cost, reached INR181 crore, reflecting a 21% year-on-year growth. The margins were flat compared to Q4 FY '22. However, we registered

an increase of 26% in the operating EBITDA for the year, which was at INR765 crore versus INR605 crore in the previous year.

On the expense front, our total employee cost, including ESOPs as a percentage to overall revenue, improved both for the quarter and for the financial year. There was a reduction in the non-cash ESOP cost and therefore, this cost as a percentage to reported EBITDA improved from 19.2% in quarter 4 fiscal '22 to 10.4% in quarter 4 fiscal '23, and from 11.4% in fiscal '22 to 9.9% in fiscal '23.

Other expenses as a percentage of sales improved to 24.7% in Q4 fiscal '23 vis-a-vis 27.4% in Q4 FY '22. Also in the financial year, this ratio was 23.6% versus 24.7% in the last fiscal year. Depreciation was INR32 crore in the quarter, up quarter-on-quarter due to new acquisition of Razel, and INR114 crore in the financial year on account of amortization of aquired brands. The increase in finance cost year-on-year and quarter-on-quarter was largely due to term loan for brand acquisitions. Profit after tax for the quarter was at INR88 crore with a growth of 4%, while it stood at INR410 crore in the financial year. ETR for the year, that is the effective tax rate was 26%.

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We reported a healthy balance sheet and a strong cash flow during the year. Operating cash flow at INR626 crore versus INR170 crore in the last fiscal. The company's cash and cash equivalents, including investments in mutual funds was at INR282 crore. And our net debt situation also improved from INR429 crore in December '22 to INR266 crore in March '23. There was a substantial improvement in our net working capital metrics, which improved to 89 days from 111 days in FY '22. This is the lowest level of working capital that the company has witnessed in the past many years in an overall challenged macroeconomic environment.

In summary, our journey of growth and transformation continues. And as we move forward, we hope to continue to improve our operational efficiency.

I now request the moderator to please open the forum for Q&A.

Moderator: We'll take our first question from the line of Rahul Jeewani from IIFL Securities Limited.

Rahul Jeewani: Yes. So, sir, our organic India business growth looks slightly muted this quarter that for the 9 months, our run rate on organic India business was around mid-teens. But for this quarter we have grown in

double -digits, likely at 11%, 12%. So what has led to this muted performance on our organic India business? Was it any base effect or the NLEM price revisions impacted us?

Nikhil Chopra: So, I don't think there was any base effect or any NLEM impact. Overall, Rahul, if you look at quarter 4 has been soft. This quarter has been soft for us. And if you look at overall the IPM performance, particularly, I think 2, 3 category of elements, particularly if you look at respiratory, you look at conjunctivitis, you look at upper respiratory tract infections. There, I think you could see the upsurge. I'm talking of IPM now. And JB does not have that type of portfolio.

Our portfolio is steady in terms of what we market for cardiology, what we do with our antibiotic and GI product, and whatever new launches we have done, probiotic. So it was a soft quarter for us. But overall the guidance that we would like to give for India business that we should always be 300, 400 bps better than the market that is how -- and you will see more stability in terms of how -- what we report every quarter -to-quarter in terms of what we deliver for India business.

Rahul Jeewani: Sure, sir. So for the categories where you are present, can you call out what was the growth at an IPM level for, let's say, cardiac or the anti-infective segment? How would these therapies have grown at a market level?

Nikhil Chopra: Rahul, I think -- offline, I think, Jason, will be more than happy to share all the specific details. And

I

will ask Jason to share all this. So more or less, if you look at the growth that we saw, if I have to give a top view, our chronic portfolio grew at around mid-teens plus and our acute portfolio grew at around high-single-digit. That is what I can share. But more details, we will be more than happy to share with you offline.

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Rahul Jeewani: Sure, sir. And on the gross margins, we saw a quarter-on-quarter improvement. So was that gross margin improvement entirely driven by lower Azmarda sales during the quarter?

Kunal Khanna: Rahul, we have certainly seen RM and PM prices being in a steady state from November, December onwards, right? Compared to what we saw in H1 of last financial year, the inflationary pressure is much lower. If the trend continues, we certainly see sequential improvement in gross margins as was stated earlier, which should overall help our EBITDA operating margin profile as well. So it's a mix of steady-state RM, PM. And yes, there is a marginal impact of Azmarda portfolio mix as well.

Rahul Jeewani: Okay. And sir, our guidance for next year's gross margins earlier was around 64% and we have at 64% in fourth quarter itself. So do you see any upside just to our gross margin estimates for next year?

Nikhil Chopra: So Rahul, let me more talk about the guidance that we would like to give for our EBITDA margins. If you look at what EBITDA margins guidance that we have been giving for last 2 years is 24% to 26%, operating EBITDA I'm talking. And for the current financial year as what Lakshay shared, we reported INR765 crore EBITDA, which was 24.3% margin.

Going ahead for next couple of years, we are revising our EBITDA margin guidance from 24% to 26% to 25% to 27%. That is what we would like to share. And this will be backed up by some gain that we will get in Azmarda because of now sourcing becoming more softer for us. And equally, the better mix of products that we see, which we want to sell and probably some benefits that we will get in overall RM and PM and freight softening. That is how we are trying to at least give the guidance.

Rahul Jeewani: So, I was asking a question on your CMO business that this year we saw very strong growth of 60%. So what is the outlook for the next year, given that this year we would have also benefited from, let's say, an acute cold and flu season across markets?

Nikhil Chopra: So the fortunate part of the story, Rahul, is that we have a handsome book order for first 3 months, 4 months of the year, which we are trying to look at how do you meet the demand. Probably, we will get some view. Because, see, this all business is happening with our partners outside India, outside India and outside US and Europe in every part of the world. And we work with all the big players. So right now, the demand is there. Probably August, September, we'll be able to put more colour in terms of how do we see rest of the year.

Generally, in this business, the front-end loading in terms of order, which comes in, is the way of business. So first half of the year, you will see a better performance. But if you get a good season, which happened for the last year, then probably you outscore yourself. If I have to give a guidance, low double-digit to mid-teens growth that is what we should get into in terms of what we see our CMO business. But we can outscore ourselves depending upon how the season is there of post viral, cough and cold symptoms and that we will get to know only probably in August, September. And at that time, we will be able to share more details with you.

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Moderator: We'll take the next question from the line of Sriraam Rathi from BNP Paribas.

Sriraam Rathi: Yes. And congratulations on good set of numbers. So firstly, just continuing from the previous question of CMO. So, you said that, I mean, for the next 3 months, 4 months, you have strong order

book. I mean, is it fair to assume that the quantum would be higher than what we would have done in the last 3 months, 4 months?

Nikhil Chopra: If you calculate backwards, our growth has been 60% for the year and for quarter 4, we grew at 18%.

And if you look at the way we see first 3 months, 4 months of the year, we should be a t par with what we have delivered every quarter. Going ahead, what I shared earlier, I think by mid of quarter 2, we will be able to share more details.

Sriraam Rathi: Okay. Got it. And secondly, in India business in the last, I mean, 12 month s to 18 month s, we have done multiple acquisitions and now the base is also very strong. So in terms of M&A, what would be the strategy going forward? Which therapies we will target further, similar therapies or new therapies you're are looking at? And if you can share , I mean, what kind of size will be appropriate for JB now in terms of, I mean, doing any M&A?

Nikhil Chopra: So, we'll continue to evalua te opportunities in terms of what is available in the market. And we would like to be -- we would like to -- given a c hoice, we would like to do a deal in the therapies where we are already present, which will be more synergistic to what we are trying to d o in India business from a portfolio perspective. But if we get an opportunity, where we think that we ca n grow this p ortion better than the way portfolio is growing today, with the concerned company who is owning the portfolio today, we will evaluate the right pricing in terms of what historically you've seen us paying 3x, 4x of the top line and around 15x to 18x of -- 15x of EBITDA, that is where we stand.

And more so, it is not that tomorrow we are in a rat race. It is not that tomorrow we want to -- we will look at things from a perspective. If tomorrow it is suiting overall from a portfolio perspective , suiting from a valuation perspective and probably, if we can build some synergy and if those type of assets are available, then we will surely evalua te and look at overall how we can take that ahead.

Sriraam Rathi: Okay. Sure. That's helpful. And then I astly on gros s margin. I mean, of course, Azmarda sourcing would have benefited to some extent this quarter. So, I mean, are we still continuing to sour ce from the innovator or we have changed the source?

Kunal Khanna: See, we would not like to divulge a l ot of details on our sourcing strategy. What we can clearly state is that Azmarda as a brand is EBITDA accretive for us. You see the performance even af ter LOE erosion, we have been able to maintain the market share. The recent month numbers -- figures sug gest that our volumes have increased by almost 20%. It's a great, great portfolio for us in a very, very progressive therapy area. Yes, the gross margin s will significantly improve. But beyond that, we don't want to further divulge any sourcing details.

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Moderator: We'll take the next question from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Yes. Just on the CMO segment again. We had seen a huge demand in terms of cough and cold segment, but we were also planning to enter into the other segm ents like mot ion sickness and all. So when are we targeting those lozenges?

Nikhil Chopra: So very good question. And I missed in terms of what we want to do in the world of lozenges going ahead. You should see us launching lozenges in the category of slee p disorders, in the category of anti-inflammatory lozenges probably Q4 of the current -- of the financial year, probably FY '24. And immunity also, immu nity, sleep disorders, overall, anti -inflammatory.

These are some of the products that we have developed , and we have got the inputs from our partners.

See, please understand this entire process has got its own gestation period. The discussions, they happe n with our partners, then you get the reference product, you develop the product, y

ou share the

product with them, ou r partners, they do their own research and study and then they come back to you. And then you do modification and then go back to them.

So all this takes time. That is why whenever we are talking in terms of the way new category of lozenges, w e will be abl e to get business. It will come, but it has its own modality. But we are onto that journey. These are 3 category of products, which you sho uld see us launching FY '24, probably quarter 4. That is the task that we have taken and more so. And mo re so in our offering. At the right time, we will be more than happy. Not only this, but if you look at anti -fungal lozenges for dry mouth, those all th ings at some given time you will see us entering into more categories.

Rashmi Shetty: Okay. And sir, in terms of geog raphical expansion, we are currently present in some of the European countries, in some of the emerging markets. But any plans for the US e ntry in terms of lozenges? Or do you think that it is like, the company would be struggling and we won't get a proper tie-ups? Or do you think that it is a commodity business? Any colour if you can give on how lozenges business is basically in the US and ar e you planning to enter?

Kunal Khanna: See, our first focus is definitely deepening our presence in cur rent markets with our existing partners and look at pockets of expanding in the geography areas like APAC itself, identifying more countries like parts o f Middle East, parts of Europe, Russia, CIS, right? In addition to that, there is certainly more oport unities we ar e evaluating in other geographies such as LatAm, parts of Central America as well.

As far as North America is concerned, yes, a long -term vi ew on that, but too early to comment on what exactly will be our strategy there. Also please note, we h ave always ma intained like Nikhil mentioned earlier, we operate in the medicated lozenges space, right? We don't want to do conventional lozenges. So jus t because North America is a big private market for conventional lozenges, that is not something which pretty much h its our out sweet spot.

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Nikhil Chopra: Couple of more addition to this. We also are on the roadmap of launching around some of the

lozenges in our home market that is South Africa. Should happen probably in quarter 2 and also we are testing waters in terms of what we're trying to do in India. We have introduced around 3, 4 lozenges in the country where we are trying to now put a very different model not to market and not direct to consumer, but we are trying to look at how do you have the mind space of the entire digital ways of selling and making your product exposed to the community. So, we are trying to put some different model, how can you do some retail activities, which will help you to expose your products. So, these are some of the trials that we are trying to do. At the right time, once we have some more substantial things to share, we will be more than happy to talk.

Rashmi Shetty: Okay. And regarding your export formulation business. Russia, we have seen some demand revival, but is this temporary or you see that things are stabilized and Russia could actually grow better? Also in your South Africa business, if you could call out the proportion of private and public share in terms of the business. Because I think that we are seeing some increasing share in the private market business, so if you could tell that. And finally, on the US business, if you can comment something whether we are growing in that market, we are still launching 1 to 2 products. What exactly is happening over there?

Kunal Khanna: I will take the Russia piece first. We have always maintained that for Russia and CIS region, H1 tends to be strong and we were expecting a revival when the demand comes in Q3 and Q4. And the same was witnessed in FY '23. As things stand right now, the demand is much more norm

alized than what

the situation is, and we expect the same trends to continue going forward as well. Yes, there were some benefits of currency gain also, which will be pretty much normalized going forward.

South Africa, as the team has also always mentioned that our focus clearly will be to drive profitability through increasing private share mix and that is going to be the main objective for the coming next couple of years that how do we really drive our profitability by increasing our private market share mix. And that's in line with our strategy what Nikhil spoke about launching our own lozenges and looking at other product categories.

From a long-term standpoint, we have always looked at expanding our portfolio and that is for ROW and US market as well. We are pleased to state that as we had mentioned that we will be doing close to 3 to 4 filings every year. In the last financial year in H2 particularly, we were able to do filings and we expect that the approvals for the same should come over the next 14 months to 16 months.

Moderator: We'll take our next question from the line of Dheeresh Pathak from WhiteOak Capital.

Dheeresh Pathak : Yes. For the international formulations business, what is the share of branded generic in that INR1,000 crore of revenue for the full year?

Kunal Khanna : So for international formulation business, we really don't divulge geography wise or portfolio wise share.

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Dheeresh Pathak : Okay. To the earlier question of the growth in the India business, organic growth down from mid-teens from 9 months to fourth quarter low double-digit. I didn't understand the answer. So, you're saying that there is no base impact, there is no NLEM impact this quarter. And we are growing faster than the market. So, are we saying that the market growth decelerated in the fourth quarter? And what is the baseline growth to expect? Is it mid-teens? Or is it low double-digits?

Kunal Khanna : No, I think the conclusion drawn there is slightly erroneous to what you have stated right now. See, when you look at the Indian market overall, let's understand at what rate the Indian market has grown over the last 12 months, right? The Indian market grew at 8%, okay, which I'm talking about total, right? Compared to that, our growth was pegged at 22 %.

Now in the last quarter of -- when you look at Jan, Feb, March MAT, the IPM reflection was slightly higher, which was at 14%, 15% to what Nikhil had stated that, that was because of some categories growing significantly because of a very high season, specifically in upper respiratory as well as conjunctivitis, right? Now just because certain categories have grown significantly, that does not mean that we should be stressed about why we've not been able to grow those categories because we don't have the portfolio in those categories as well. So as far as our growth momentum is there, it is maintained. Overall, Q4 tends to be slightly softer than Q1, Q2, and Q3. And that is what the reflection is in terms of our double-digit growth, but there is nothing else to be stressed about.

Dheeresh Pathak : No, I'm still not understanding. So what I'm saying is, I'm not comparing your growth to the market growth rate. I'm saying, as per your disclosures, for 9 months, your growth in organic growth in your business -- keeping the market aside, organic growth in your business was mid-teens. In Q4, it is low double-digit. So clearly, there is a deceleration in your growth in the organic portfolio. Now what is the correct assumption to have in mind? Is your organic portfolio growing in low-double-digit or is it growing in mid-teens?

Kunal Khanna: So the right way to look at it is that the organic portfolio is in a steady-state scenario growing at mid-teens only. March tends to be soft and that's a reflection of what you have seen.

Dheeresh Pathak : Okay. Last question. Azmarda, in one

comment you said volumes are up 20% pre-exclusivity. In the presentation, it says March month volumes are flat. So, can you just explain like volumes pre-exclusivity, are they up, are they flat?

Kunal Khanna: So pre-exclusivity, the volumes are up. When we said that volumes are up 20%, they are as per the latest figures reflection of April if you look at it and you compare that with pre-LOE and post-LOE, you see a significant difference, which is 20% up delta.

Dheeresh Pathak : Okay. But the market volumes are up by 50%. So, we've lost some volume market share, right?

Kunal Khanna: We have lost some market volume share. Our overall value share pretty much remains the same. We have maintained an 18% overall market share. Yes, the competition increasing, generics coming,

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there will be some kind of competition, which will be there. But overall, we've been able to maintain the run rate and market share, which we have projected.

Moderator: We'll take our next question from the line of Shrikant Akolkar from AMSEC.

Shrikant Akolkar: Just on the CMO business. Is it possible for us to rank the largest market for our CMO business? And is it possible to talk about which markets are seeing very strong demand currently?

Nikhil Chopra: So what we -- there are -- the way CMO business is poised, I think overall Southeast Asia is doing well. That is where we stand. We have business in MENA region. We do business in Australia, New Zealand, Canada also. But if I have to rate, I think Southeast Asia has performed much better for the last financial year.

Shrikant Akolkar: Okay. And on the domestic market, we have seen very strong price increase led growth in FY '23? Within that, I think Ranitidine probably also saw some of the very strong growth in last 2 years. So going in FY '24, what should be the outlook on the pricing? And specifically on Ranitidine, if you can provide commentary on pricing, as well as one of the litigation that has been filed in the Gujarat High Court?

Nikhil Chopra: For the litigation part, we still have to receive the details, which we have not got. So, I can't comment on that. On the pricing point, if I have to talk about, we will adhere to what pricing policy government adopts in terms of the control portfolio. Otherwise outside the control portfolio, what we think will be competitive in the market, there is a price increase. It will take between 6% to 7%. That is where we will stand.

What was your first question?

Shrikant Akolkar: On Ranitidine. It has seen very strong growth because of pricing. So...

Nikhil Chopra: We should see high-single-digit, low double-digit growth in Ranitidine. That is what we want. That is what you should see.

Moderator: We take the next question from the line of Cyndrella Carvalho from JM Financial.

Cyndrella Carvalho: So first question is, we are seeing increasing strong growth on an annual basis in the domestic market. We are growing the domestic market share also. But somewhere like I'm trying to understand the gross margin profile. Is there any impact of the raw material costs, still they're sitting in which is troubling us apart from Azmarda? Or should we be able to see a 65% gross margin level in FY '24?

Can you help us understand this? I'm looking at an annual level. I'm not looking at quarterly numbers.

Kunal Khanna: See, that's a fair assumption, which you've made in terms of FY '24. If things remain the way they are, then we should certainly be looking at those levels. From an FY '23 perspective, specifically for the first 6 months to 8 months, there was inflationary pressure. Since end of Q3, Q4, we are seeing that

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pressure being eased out. And as we mentioned earlier, if the situation remains the way it is and with the Azmarda sourcing mix also improving, we should be closer to the number which you stated for FY '24.

Cyndrella Carvalho: Okay.

y. This is helpful. Now coming to the PAT growth number. I mean, we understand the acquisition impact. We know that. But is there any thought process to pass on the EBITDA level growth? Or should we start seeing it more from FY '26 perspective that this growth number at the EBITDA level will start flowing in? But of course, I know our focus on acquisition. So, I'm just trying to understand what is the management's thought process on this working or looking at the PAT growth levels? Lakshay Kataria: So you're absolutely right. I think there should be a transformation of the EBITDA growth into the PAT numbers. As we are looking at FY '23, '24, you will start seeing some of that reflection. The drivers clearly being, one, strong cash flow generation that the business has seen. So, we will sort of turn cash positive or zero debt by Q3 this year. So, that will take off a fair bit of charge from a borrowing perspective on the P&L.

Second, from a perspective of the investments in M&A, as you know, each of these assets are seeing significant growth, both in terms of top line and bottom line. So that operating leverage impact of EBITDA will also start reflecting in PAT. So those will be the 2 drivers. So as we move on from here, with the portfolios we right now have, you will start seeing improvement in the PAT margins as we move forward.

Cyndrella Carvalho: Okay. We have mentioned ROCEs of around 35%. Any update, when can we expect these in terms of timeline? Can you highlight what should be ideal timeframe to look at these levels for ROCE?

Lakshay Kataria: So if you look at last year, we are at a ROCE of about 21%. Steady state right now with no more acquisitions, we should inch up to about 25%, 26% by end of next fiscal. And you will see that sort of sequential growth happening year-on-year to ROCE. So in the next, say, about the 3 odd years, we should target 30% upwards in terms of ROCE.

Cyndrella Carvalho: Okay. This is helpful. One more thing on the performance side. On the India performance side, if I'm

looking at the prescription growth that you've highlighted and your equity, as well as your MR productivity. It has improved significantly. What were the key -- is it, again, our top key 5, 6 brands are the key drivers of this? Or even the new products that we are able to bring on our platform are also aiding the entire process here? Can you help us understand the mix a bit in terms of the MR productivity, as well as the prescription growth drivers for us? That's it.

Nikhil Chopra: It's a mix of many things. It's a mix. First of all, I would like to talk about -- it's a mix of -- it starts with discipline in terms of the way discussions happen with our feet on the ground in terms of what we expect from them to do when they visit healthcare professionals in terms of what products have to be detailed.

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And company has not shied away in terms of investment that we have done with equipping all our teams on the ground with iPads, looking at in terms of the investments that we have done in putting teams in head office in aspect of sales force excellence, sales force automation, getting into the world -- embracing technology, getting into the world of digital retailing. All those things over a period of time it has helped us in terms of when we talk of prescriptions and when we talk of productivity enhancement.

Obviously, the mix has been a combination of all our big brands, which I shared in my commentary, which only have been gaining ranks, which only have been gaining market share. Also, there are some other brands outside the 7, 8 brands, which range between INR10 crore to INR15 crore revenue annually, which also have been growing handsomely and there we are gaining good momentum.

And last, but not the least, overall, the acquired portfolio is also helping us in terms of garnering more and more prescriptions, parti

cularly in mass category, be it in the area of probiotic, be in the area of now heart failure, be in the area of organic portfolio for Rantac and Metrogyl. So, this is overall, which has helped us in terms of being now 15 ranked company for prescriptions and our productivity going up from INR5.4 lakhs to INR6.2 lakhs. That is where we stand. By the way, we have top 2 brands in top 10 prescribed brands in the country, which is Rantac and Metrogyl. That also, I think, details are there as we talk about prescriptions. I hope this helps you.

Cyndrella Carvalho: It does.

Moderator: We'll take the next question from the line of Sayantan Maji from Credit Suisse.

Sayantan Maji: Yes. So, my first question is on the guidance that you've given that organically we are expecting 200 bps to 300 bps to 400 bps above IPM. Now that Sporlac, Azmarda, they are also in the base and whatever synergies are left, we will continue to grow. But is it coming more from your base molecules of Ranitidine, Metrogyl and Cilacar? Or is it more from the acquired brands further ramping up?

Nikhil Chopra: Both. If I have to talk about -- if I have to talk about Sporlac, probiotic, we started, we have 7.5% market share. Today, we are close to around 9%, 10% market share. We have huge opportunity in terms of where we stand. The revenue at that time was close to INR60 crore when we acquired. The revenue is INR90 crore. Lot of -- I think better penetration that we have done across the country, better distribution practices, lifecycle management, launching new versions of Sporlac, that is what we have done.

Azmarda, Kunal spoke about in terms of where we stand. Let me talk about the burden of disease. 15 million to 20 million people suffer from heart failure and only 10% to 15% are getting the treatment.

And now with the cost of therapy annually going down from 45,000 to 25,000, and the way we are facilitating with 500 plus heart failure clinics that we are running with healthcare professionals and

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point of care diagnosis being available at that place. I think more and more patients are only going to get benefit who are suffering from heart failure.

Equally, when you look at Razel, rosuvastatin, the product that we have acquired, we are 10 ranked company in rosuvastatin in the country. We want to only inch up. We want to gain ranks. And there we have good portfolio. So, this was more from an acquired perspective. But equally, I think the teams, both on the ground and in the corporate have done good work in terms of new launches, lifecycle management for our organic brands, incremental innovation, exploring those opportunities, whether we talk of Metrogyl.

Metrogyl, we have traditional -- Metrogyl 200 and 400 milligram. But the entire focus now is on Metrogyl ER 600, which is really dosage formulation, which is more accepted from surgeons and gynaecists. We acquired this product called Z&D. Z&D is zinc supplement from Dr. Reddy's in the form of crops. We are now launching Z&D liquid syrup formulation.

Lot of opportunities are there in terms of when we look at how do we want to look at growing better than the market and we have identified our spaces. And what earlier also I spoke about that we do not want to go wide and start getting into new category of portfolio and launch new businesses. But we would like to do better lifecycle management. We would like to penetrate deep and increase our market share in the existing portfolio that we have got.

Sayantan Maji: Sure. So, my next question is on, now that we are a formidable player in the cardiac therapy, we are now ranked 8th with addition of Azmarda and Razel as well. Do you see some rub-off benefit in improvement in Cilacar prescriptions among cardiologists? And do you expect that there is further

headroom to this?

Nikhil Chopra: Not only from cardiologists, we are looking at -- from the diabetol

ogists also. Because if you look at

Cilacar -T, that is what I spoke, is now close to around INR120 crore brand. It's a drug of choice for diabetic hypertensive. Cardiology, overall, we can share details with you in terms of the prescription that we are gaining at the level of cardiologist for our Cilacar franchisee. And it's a combination of Cilnidipine, Cilacar and Cilacar -T, and now teams are also focusing on combination of Cilnidipine and Metoprolol, which comes from cardiologists.

Combination of Cilnidipine and Nebivolol, which once again targets specialty cardiologists and also 2 versions of Cilacar, which are triple combo that is Cilacar -TC; Cilnidipine, Telmisartan and Chlorthalidone and Cilacar, Telmisartan and Metoprolol. So all these prescriptions, we are targeting to get from cardiologists as a specialty only. Cardio, diabeto, endo, that is the agenda going ahead. Sayantan Maji: Sure. Okay. And my last question is on Razel. So like -- you mentioned that in Sporlac there were or in acquired Sanzyme portfolio, there are multiple synergies in terms of improving the geographical reach or improving prescriptions among general physicians as well. So what would be, say, the top 1
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or 2 revenue synergies that you expect to play out in that acquired label franchise? Are there any gaps that you see where JB is already strong, which you can fill to grow this franchise?

Nikhil Chopra: So the teams on the ground -- I met a couple of teams when I was in Jaipur and Delhi. We've been a dominant player in the world of hypertension. People -- the teams on the ground have started organizing cross talks of diabetologists, cardiologists and physicians under the banner of Lipid tension, lipid-lowering pills and hypertension treatment tablets. So what we're trying to do in terms of how do you partner with the healthcare professional and position yourself as a company who cares for their patient.

So, we try to run different types of programs, whether it is for doctor education, as well as what we ran a campaign for consumers in the world of hypertension, "BP right karo", in terms of how you can create more awareness at the level of patients with the help of healthcare professionals. By the way, just going and promoting product in the clinic of doctors is not going to give you results. That era is gone. Because you are not first to launch. You're a 10th ranked company.

So, you need to either have opportunity of lifecycle management or a different drug delivery in terms of what you have or to go with the partner with healthcare professional or directly got to the consumer with the help of healthcare professionals in terms of how they can live a better quality of life and drive better adherence. So, these are some of the elements that we use. And at the end of the day, better segmentation, targeting of the right SKU to the right specialty with a discipline helps you long term. So that is what we follow at JB.

Sayantan Maji: Okay. Got it. And finally, can you give the number of the revenue contribution from the 4 acquired portfolio in this quarter?

Nikhil Chopra: We have shared in the presentation. It's close to around INR 300 crore for the year.

Jason D'Souza: For the acquired, we have given the growth rates, right?

Nikhil Chopra: It's close to INR80 crore.

Sayantan Maji: INR80 crore. Okay. Sure.

Moderator: We'll take the next question from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal: Yes. My questions are related to 2, 3 things. One is, if you see the AICD data, it had a soft April and I hear the May is also soft. And the main reason was volume decline. And I heard you saying that you are seeing good growth across the newly acquired brands double-digit and one product you said 20%. So what do you think is the key here? And do you think the market volume growth can revive soon?

Nikhil Chopra: So first

of all, Prakash, we unfortunately don't follow AICD and its data. But we subscribe to IMS, we subscribe to SMSRC prescription audit data. And I can talk more about that if you want to hear more
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about April. In April, the market was -- market grew at around 11% as per IMS data and we grew at around 18%. And out of 18%, JB volume growth was 11%, which was highest and we were once again the fastest-growing company in top 25. Obviously, when you look at INR2 lakh crore market in IMS, we cover close to INR45,000 crore market. That is what is our penetration when we look at the portfolio that we have got.

So Prakash, what we have done, we have identified our winning propositions and our winning portfolio, where we would like to either gain market share like what we want to do for Sporlac, what we want to do for Razel, what we want to do for Azmarda. Azmarda, at least -- the status now is that we want to maintain our market share. Somewhere in the world of hypertension with 50% to 80% market share, there we are looking at how do you influence the ecosystem, how do you drive better campaigns with the consumers. So that is what we are trying to do in the company. That is how at least what we can talk about ourselves.

Market tomorrow may grow at 8%. Market may grow at 11%, 12%, but this is how we are focusing, the way we are positioning as a company and being focused, this helps us. We are not into 15 categories of portfolio. We are into half a dozen. So, that helps us with now 3, 4 teams, one team

focusing on chronic business, one team focusing on acute business, one team focusing on hospital and your overall business in respiratory and paediatrics. So, that is the way we have structured. That is helping us in terms of driving better volumes and better prescription opportunities.

Prakash Agarwal: Perfect. And you mentioned your volume growth was higher. So this price increase that companies are taking starting 1st April, so this is more effective from second quarter is what I understand from?

Nikhil Chopra: Prakash, every company carries 41 days to 60 days inventory, so that price benefit probably you should start seeing probably June starting or some part of May. That is what practice I have seen over a period of time.

Prakash Agarwal: And sir, you mentioned in your presentation. Slide 19, you given this MR productivity. If you could just break it down into the field force and the manager and the total number of the staff we have?

Nikhil Chopra: This is MR productivity, nothing to do with managers. We calculate productivity based on the number of MRs. There is nothing to do with managers.

Prakash Agarwal: Okay. And what is that number?

Nikhil Chopra: It is around 2,200.

Kunal Khanna: 2,200.

Prakash Agarwal: Okay. And would you split it versus chronic and acute?

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Nikhil Chopra: 50/50, 50/60 -- it is 55-45. That is how it is.

Prakash Agarwal: 45 being acute?

Nikhil Chopra: 45 being acute. 45 being chronic. 50-50 would be a good figure to use.

Prakash Agarwal: Okay. And in the last slide, you mentioned that our target is to in the medium term to achieve 60% in chronic share. So where are we today and where are the gaps that you plan to address over the medium term?

Nikhil Chopra: So from a gap perspective, I think we have been addressing every 6 months. So we start -- what we did with Cilacar and Nicardia in terms of lifecycle management, that is what we started doing when we -- in early 2021 when we acquired Azmarda. That is once again in the space of chronic part. Then we acquired Razel. So, I think we have got the right portfolio now in terms of where we are. We are 10 ranked company, especially.

Only opportunity for us is to gain ranks, is to gain market share. Cilacar, Nicardia, we want to look at what we can do with the line -- with the extensions, where we can look at how we can get

market

share there and build the ecosystem. Azmarda, right now, the competition is stiff. But I think the story would be very different in 6 months, where you will see selective players and being patient and looking at in terms of continuing to do what we have planned.

So from a chronic perspective, we want to be a 60% chronic portfolio over a period of time and probably that should happen 18 months to 24 months from here. So, we have got a portfolio. We have got the portfolio. It is not that tomorrow, we are looking at anything that we have not got. So this will happen in the existing portfolio.

Prakash Agarwal: With the existing portfolio, you plan to move it to 60% is what I understand, is that right?

Nikhil Chopra: Yes.

Prakash Agarwal: And there would be some additions were -- if there are any gaps?

Nikhil Chopra: If it comes across, yes.

Prakash Agarwal: Yes. And the current number is what, sir, for chronic?

Kunal Khanna: Closer to 53.

Nikhil Chopra: 53.

Prakash Agarwal: Okay. Perfect. This is very helpful.

Moderator: We'll take the next question from the line of Alka Katiyar from Centrum Broking.

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Alka Katiyar: My question has already been answered.

Moderator: We'll take our next question from the line of Ankit Shah from Canara Robeco.

Ankit Shah: Sir, you mentioned that by Q3, we'll turn net cash and you also touched upon M&A opportunities. But if attractive opportunities do not turn up, can you give some sense on how the capital would be deployed going forward?

Lakshay Kataria: So, I can only give you scenarios because like you rightly said, we don't know how M&A, et cetera, and some of the other investment opportunities are in it. So currently, if you look at our borrowing, it's about INR550 crore and at an average cost of about 8.5%. We will watch out the situation for 1 or 2 quarters. If there is no significant investment opportunity, we can start repaying some of the loans. That is always an opportunity.

In the short run, we are invested in liquid and mutual funds, which generate in the range of about 7% to 7.5%. So incrementally, if you see what we are carrying is about 1%, 1.5% of costs, which at the right moment during the year, we will take a call in terms of whether we want to start repaying the loans or there is more opportunity to invest.

Kunal Khanna: Just to add to that, there is no real significant greenfield expansion. So, our capex addition is largely steady at the rate of INR70 crore.

Lakshay Kataria: I hope we've answered your question.

Ankit Shah: Say, in case, you do turn net cash and don't find investment opportunities, I mean, would you deploy - I mean, would it be distributed to shareholders like what we will do?

Lakshay Kataria: Ideal would be to repay the debt, right? We would want to start repaying the debt.

Ankit Shah: No. I'm talking about once the debt is repaid. So by maybe end of next year, it might get repaid.

Lakshay Kataria: At least our calculation shows we will have cash enough to run the liquidity of the company. I mean, ideally, we want to retain that level of cash in the company. I think that question probably will arise next year and we'll address it next year when we get there.

Ankit Shah: Got it. And couple of clarification on financials. So on the other expenses front sequentially, there was an increase of around INR7 crore, INR8 crore or so. Any non-recurring item in that? Or this kind of run rate will continue going forward?

Lakshay Kataria: So, there are a few non-recurring items. One, there have been a few integration-related costs as we acquired the Razel portfolio last quarter. There were few integration-related costs that we've taken. In addition, some of the expenses seasonality change this year. So some of the expenses moved into Q4. But I think overall from a year perspective, like I covered in my commentary, I think we

've seen

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reasonable operating leverage. And some of this should even out as we move forward, right? So, I think you should look at year as a whole and not look at really a quarter in trying to extrapolate numbers.

Ankit Shah: Right. But would you be able to quantify the integration-related costs in this quarter?

Lakshay Kataria: We wouldn't want to quantify. Like I said -- see, it's re-phasing and integrated, so look at year as a whole, don't sort of try and extrapolate the quarter.

Ankit Shah: Right. And similarly, on the depreciation side, there was an amortization cost of INR14 crore related to brands. So, this will continue at a similar rate going forward as well?

Lakshay Kataria: Yes. It will be at a similar pace for next year.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question-and-answer session. And I would now like to hand the conference back over to the management for closing comments. Over to you, gentlemen.

Nikhil Chopra: So first of all, thank you for attending the Annual Conference Call for J. B. Pharmaceutical s. Just once again, in my concluding remarks, I would like to share the overall guidance that we see for next couple of years. Business growing at around 12% to 14%. EBITDA growth, we should be better off. We should be growing at around 16% to 18%. EBITDA margin, what we have revised to 25% to 27%. That is what we would like to, at least share. We would like to see in terms of the journey that we have travelled in terms of the portfolio for India business organically in organic business that we have done, how do we continue to at least build a robust company in India with leading ranks in prescriptions, not only in terms of value.

And couple of opportunities that we see outside India is in the world of CDMO, which I shared earlier, more therapeutic options that we would like to share with our partners. And equally new launches in the BGx world. Net-net, the journey that we have travelled as the leaders in the company and I can talk on behalf of our company that we want to see our organization, and we want to build our organization which is resilient to difficulty.

You don't know, you can't predict the future. But overall, it has been a good year for us in terms of what milestones we have achieved in terms of INR3,000 crore plus revenue and close to INR765 crore EBITDA. I'm also happy to share in terms of where we stand from a guidance perspective.

Thank you, all. Thank you, all, for patient hearing, and we will continue to be in touch with all of you.

Moderator: Thank you, members of the management. Ladies and gentleman, on behalf of JB Pharma, that concludes this conference call. Thank you for joining with us. You may now disconnect your lines.

Call: Aug 2023

August 16 , 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on August 10 , 2023 at 2.30 p.m. IST in relation to results and developments for the first quarter ended on June 30 , 2023. The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 17

J B Chemicals and Pharmaceuticals Limited
Q1 FY '24 Earnings Conference Call
August 10 , 2023

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '24 Earnings Conference Call of J.B. Pharma. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza, Executive Vice President, J.B. Pharma. Thank you, and over to you, sir.

Jason D'Souza: Thank you, Nirav. Welcome to the earnings call of J.B. Pharma. We have with us today, Nikhil Chopra, CEO and Whole -time Director; Kunal Khanna, President Operations; and Lakshay Kataria, Chief Financial Officer at J.B. Chemicals & Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements today perception may be forward - looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q1 FY '24 investor presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call for his opening comments, after which Mr. Lakshay Kataria will address the financial highlights. Over to

you, sir.

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Nikhil Chopra: Thank you, Jason, and a warm welcome to all of you. Thank you for joining us on the first quarter call to discuss J.B. Pharma's performance. I will begin with the operating and strategic highlights and we will be followed by our CFO, Mr. Lakshay Kataria. He will be sharing the financial highlights and his thoughts on the performance. Subsequently to our comments, the forum will be open for the questions, and we'll be glad to address those.

Dear friends quarter 1 has marked a continuation of the trends set in the previous year. Growth across both domestic and international businesses have been good. To share some numbers, in quarter 1, we reported a revenue of INR896 crore, marking a growth of 14%. The key aspect being debt, we crossed a milestone of INR400 crore in quarterly run rate in the international operations at INR407 crore, growing at 11% year-over-year. This followed good traction in our CDMO offices. Domestic

cardio business delivered 17% growth to touch INR489 crore on the back of impressive growth in the acquired and chronic portfolio, where most of these brands have completed 1 full year as a part of our J.B. portfolio. On the chronic side, J.B. continues to outpace the chronic I PM by a wide margin. Certain parts of exit portfolio saw weaker seasonal demand income.

Turning the discussion to our branded portfolio, we have made good gains in the track bands, which you would have seen in our investor presentation. As per IQVIA MAT June 2023, J.B. showed a growth of 20.7%, contrasting with 10.6% in the IP in the Indian pharma market growth. Our biggest brand has on have grown even bigger.

We are pleased at how the market has responded to Azmarda our heart failure pill where we had reduced the pricing by 50% in December 2022 before the loss of exclusivity. The team has been particular about a life cycle management of existing products while successfully introducing new offerings. Our task is simple to make these star brands even bigger. And this is basically working both in our own as well as acquired portfolio.

The recent acquisition that is Razel that is Rosuvastatin portfolio is gaining good traction and its monthly sales have jumped from a monthly average of INR5.5 crore in the current year FY '22, it is prior to us acquiring the brand to INR6.7 crore in June 2023 as per IQVIA.

Our portfolio in Cardiac is competed with every product registering a good performance. At this junction, I must say, the acute segment has witnessed several challenges due to late monsoon, while the acute business performance was muted during the quarter, we hope the uptick will increase in the second quarter.

Moving on to our international business. We have seen healthy numbers. Our international formulations have grown at 12% to INR275 crore, a strong growth came in CDMO, which has been continued and businesses achieved to 20% growth in the quarter. However, we will need to closely watch the upcoming winter season as that will drive the secondary demand probably for quarter 3 and quarter 4.

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The prevailing geopolitical issues continue to cast uncertainty in the markets that we operate, translating into impacted demand in some of the cases and currency devaluation in some of the markets. The silver lining here is that logistics and trade costs have stabilized and we have witnessed some benefits on margins on that account. Operating margins have improved for the quarter on account of better business mix, increased efficiency, in-sourcing and higher volumes.

The South Africa business is going through a transformation. We have made choices with respect to certain product portfolio in public businesses. This is impacting growth in our international formulation business as overall. Our endeavor remains to drive India as well as CDMO business combined to contribute 75% to 80% to our revenues, which we have been talking in previously in our conference call.

Both these businesses give us high returns and operate at good margins, which helps us to reinvest in the business. The path forward is predicted on driving our core strategies in both domestic as well as international markets. Domestic will see a first on big brands and active product management. We have a sharp focus on CDMO business and scale-up in our ROW market, is in a highlights in our intentional operations.

As we grow, we are making sure that cost savings are put on priority wherever possible so that we are more resilient to operate in challenging environment.

With this, I will hand over to Lakshay Kataria to walk through in detail about our financial performance for the quarter. Over to you, Lakshay.

Lakshay Kataria: Thank you, Nikhil. A very good afternoon, everyone, and welcome to our earnings call. I will now take you through the financial highlights of quarter 1 FY '24. Revenues for the quarter were at

INR896 crore, representing an increase of 14% year-on-year. The domestic-to-international business mix was at 55% to 45%, respectively. The domestic business achieved revenues of INR489 crore with a growth of 17%.

As Nikhil mentioned, acquired brands performed well and continue to deliver healthy returns. The international business demonstrated 11% year-on-year growth, generating revenues of INR407 crore.

This was driven by the CDMO business, which grew by 19% year -on-year, and the international formulation business improving by 12% year -on-year. Reduction in logistics and freight costs have positively impacted our operating margins for this business. We do see some softness on the ruble and ZAR from a currency perspective, which has impacted our reported performance for the quarter. Gross margins for the quarter stood at 65.4%, expanding 270 bps from last year's same quarter. In the quarter, our operating EBITDA, excluding ESOP cost was at IN R243 crore , reflecting a 28% year -on-year growth. The margins were at 27.1%, an expansion of 290 bps as compared to 24.2% in the same quarter last year.

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On the expenses side, the total employee costs, including ESOP, increased by 11% to INR149 crore . Empl oyee cost as a percentage to sales improved to 16.6% from 17.1% reflecting operational efficiency. Non -cash ESOP cost was at 5% of the reported EBITDA versus 10% year -on-year. Our other expenses increased by 11% to INR205 crore , and as a percentage to sal es improved by about 100 bps. Depreciation included in amortization charge of INR14 crore on account of acquired brands. Profit after tax was at INR142 crore , which increased 35% year -on-year. We continue to focus on working capital efficiency and cash gen eration from the business.

Happy to report that our net debt as of 30 June came down to INR102 crore from INR266 crore in the prior quarter of 31st March 2023. While our operating margins have improved significantly in Q1 FY '24, we reiterate d our guidance for operating margins between 25% to 27%. On the balance sheet side, we continue to focus on managing our working capital efficiently and improving our ROCE.

Our operating cash flow continues to remain healthy, and we expect to become cash positive in FY '23, '24. As we continue on this journey of growth and transformation, we remain confident on a positive outlook through opportunities for the company and providing value to all our stakeholders.

That concludes my opening remarks, and I now request the operator to open the question to the forum for Q&A session. Thank you.

Moderator: Thank you very much. We now begin the question -and-answer question. First question is from the line of Rahul Jeewani from IIFL.

Rahul: Jeewani: Yes. Sir, on this AU business, have we been able to add any new customers or new product technologies, which we have found about in the past? And what is the outlook for this business for the rest of the year given that you indicated that we need to watch out for how the wi nter season place out?

Nikhil Chopra : So, as we have been talking Rahul, in terms of about the partner, it's work in progress. We'll be able to add more color probably in coming quarters. There are some developments which have happened.

And as I spoke earlier, we have healthy order book for quarter 2. September, probably mid - September, we'll be able to at least get some inputs from our partners in terms of how the winter season is setting in. That is where we stand.

Also what we are trying t o do that we are looking at same partners, newer geographies we are trying to get in. That has happened, which is overall helping us. If you look at in terms of what we have demonstrated overall in quarter 1, close to INR120 crore delivery.

So, that was th e initial case if you are working with that with the existing partners new geographies for the portfolio that we have that, that has helped us

and that is helping us for the quarter 2. But new products, new partners, still, I think we'll be able to add mor e color probably next 3 to 4 months.

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Rahul: Jeewani: Sure sir, and are you disclosing the new geographies which you have been able to add. So are these Southeast Asian market places? I was asking regarding these new geographies which you have been able to add, are you disclosing the names these new geographies?

Kunal Khanna : Rahul, we cannot disclose specific geographies, it's confidential information, but it's part of the regions which we already predominantly operate in.

Rahul: Jeewani: Sure, sir. And then on the domestic business, our attraction on the acquired portfolio has been good.

So can you quantify in terms of how the trends have been with respect to Azmarda? Because in last quarter, you had indicated that we had seen 25% higher volu mes as compared to pre -expiry volumes.

So, how are the volume trends sustaining on Azmarda? And what has led to the strong growth in Razel as well?

Kunal Khanna : So on the Azmarda front, post immediately, there was a ramp -up in the volume an d this ramp -up you are seeing in the overall R&D market and for our product as well. Having said that, the market is also stabilizing a bit right now.

And one cannot expect that the sequential growth of 20%, 25% month -on-month will continue. But our overal l thesis on the overall market opportunity attractiveness and our play of having an established brand like Azmarda continues. The market is very, very attractive. arni adoption across cardiologists and physicians is seeing a massive uptick, a nd we continue to be extremely bullish on this particular segment.

Nikhil Chopra: And on Razel what you are asking is overall, the focus is more on adding the prescribers. Because overall, when you see the fabric of the brand, it was more physician -prescri bed product when it was from the company – we bring a company close to cardiologist. We are looking at how do we get more and more cardiologist prescribers for Rosuvastatin combination.

So, that work gives in progress, and we are more focusing on secondary demand, generating more prescriptions. So there is what Rahul we have been doing for more and more number of portfolios. And we are confident of at least growing this brand at double digit as compared to the brand has been flat or growth for the last 3 years CAGR where we stand from Razel portfolio.

Rahul: Jeewani: Sure, sir. So double-digit growth on this brand versus flat growth over the past 3 years?

Nikhil Chopra : Yes.

Rahul: Jeewani: Sure, sir. And last question before I come back in the queue. So, our API business sales was sluggish this quarter. So there was a 40% Y-o-Y decline. So anything to call out for in terms of what led to muted sales on the API business?

Kunal Khanna : Nothing much. It's just a postponement of some orders with one of our key customers. As a business also, we have traditionally seen that H2 tends to be much, much higher. We will be ensuring that we cover a major part of the muted trend which we saw in Q1 over second half of the year.

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Rahul: Jeewani : Okay. Sure, sir.

Moderator: Next question is from the line of Sriraam from BNP Paribas

Sriraam: Yes. So one question on the gross margin. I mean, it has seen decent improvement this quarter, of course, because of the raw material cost softening and all. So how should we look at this number going forward? I mean is it likely to sustain or may improve further from here on?

Lakshay Kataria : So we look. You want to be closer to the range of 55 to 60, that's the number we're looking at for. And basically, this is the improvement that you're seeing in margins is coming on account of three drivers.

One is the business mix, given the performance in chronic, the focus on private market in South Africa. That's driving the margins healthier. Second, we have d

riven sourcing initiatives on Azmarda

and rest parts of our portfolio. So that's a contributing to gross margin. And thirdly, our inflation is a little bit soft. So, that's also rating us from the perspective of gross margins. And I think we should be able to be in the range of 65% to 66%.

Sriraam: Okay. Got it. So sir, any reason to maintain the guidance of 25% to 27% EBITDA margin because assuming that gross margin remains around 65% to 66% and our endeavours have been to increase the chronic contribution as well as in the South Africa market also to focus on the private market. And we are trending higher than the range as of now. Can there be a positive surprise to that or how should we look at that?

Nikhil Chopra : See, overall, the guidance that we have been given and what we could see this quarter is one of the best quarters that we to deliver mid-teens growth and EBITDA margin was 27%. Now that is why we are giving a range. With gross margin, we are fortunate at all the 3 aspects of what improvement that we wanted to see has worked in our favor in this quarter.

And as you know, the markets are so dynamic that the cost of intermediates and APIs just shoot up and you conceptually for the business continuity plan for securing partnerships with some of the big partners that we work for being a responsible company in India for making the products available throughout the year, you have to abide by the regulations that you are working in the environment. So, this is the range that we have given.

We'll be more than happy to be on the higher side of the range. But all the three aspects have worked for us in terms of top line and in terms of mix, in terms of efficiency, that is where we stand as a company. So our guidance continues to be between 25% to 27% of EBITDA margin. And for India business, what we have been talking that we should be growing better than the market. If you see today, also deals, the higher figures have come for the month of July, when the market is showing 6% growth and J.B. continues to grow at 11%. We are the fastest-growing company in top 25.

This for the month of July, we are now 22nd rank company in the market. And that is what we will demonstrate over a period of time. And that is what we demonstrated over the last now 8 quarters, 10

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quarters and for international market, we should grow at double digit. That is what overall the guidance that we would like to keep for the rest of the year.

Sriraam: Sure. Very helpful. Thank you so much.

Moderator: Thank you. Next question is from the line of Abdul Kadir Poonawala from ICICI Securities. Please go ahead.

Abdul Kadir Poonawala: My first question is on the India business. So we called out that Razel is having INR6.5 crore kind of a monthly run rate. So, if you strip that out, the base business should be growing at close to 12%, 13%, but that, as you mentioned, would have some impact of the price reduction what you have taken in Azmarda. So sir, adjusting to that, could you please help us understand what would be the core brands or the earlier brands growth rate in terms of your base business?

Nikhil Chopra : So, we don't get into specific growth business of brand, but I think as IMS reports, we have sharing our investor presentation, but let me talk about overall the way we look at business. Our chronic portfolio continues to grow at mid-teen. Our entire growth in India probably has been backed by the entire performers that we have demonstrated for our chronic portfolio. As earlier also, Mr. Kadir we have been commenting on the contribution that we want to take up on chronic part of the business, close to 60%, which is today close to around 54% within India business.

Unfortunately, in quarter 1, our portfolio in acute part of the business is more gastro intestinal

dependence where we have not seen that uptake . That is why my Rantac, Metrogyl and Sporlac have not

gone at the base that we were expecting. But the entire hard work that we are trying to do more looking at hypertension, heart failure, lipid lowering products. That overall has helped us to demonstrate a 17% growth for the quarter, and that will be the agenda going ahead.

Abdul Kadir Poonawala: Sure, sir. And my second one is coming the M&A strategy. So I know, clearly, when we have the visibility that we would be coming [inaudible 0:23:00] cash this year. So going ahead, what would be the focus area, I mean, would it be to acquire the right kind of brands, which should sit in the current portfolio or to venture out into some therapies, which would be more inclined to us?

Nikhil Chopra : So, agenda M&A continues to remain the same. We continue to evaluate assets. We'll continue to look at in terms of what value will suit us in terms of being on the buying side. What we look at three aspects, four aspects. We look at if we can grow the asset at a better pace as compared to where it stands today or we can improve gross margins of the business that we are acquiring by better sourcing or looking at things from in-house manufacturing of API . And from a perspective, how much synergies that we can build in in consume therapy areas where we want to play and win. So, those are the aspects that we have kept in mind for M&A, and we continue to be evaluate assets. I am not running away that we are not in that process. We continue to evaluate assets and at the right time, if we see that any opportunities building up, we'll be more than happy to share with all of you at that time that is what I can comment.

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Abdul Kadir Poonawala: Sure sir. Thank you and wish you all the best.

Nikhil Chopra : Thank you.

Moderator: Thank you. Next question is from the line of Tausif from BNP Paribas. Please go ahead.

Tausif: Sir thanks for the opportunity and congrats on a good set of numbers once again, one question on domestic business. What would have been your market share Azmarda in this quarter still at the range of 18% or have you seen any improvement over there?

Kunal Khanna : So we are trending in the region of 16% to 18%. That's correct.

Tausif: Okay, thanks.

Moderator: Thank you. Next question is from the line of Alka Katiyar from Baroda BNP Paribas. Please go ahead.

Alka Katiyar: So sir, just wanted to know how is the export formulation business being in the Russia and how the growth been and also, if you can share some color on the South Africa business?

Kunal Khanna : On the Russia front, despite some of the uncertainties in the market, we have been able to hold demand. And again, given our portfolio mix, we actually see peak happening post -September, October only. That's when the season is. As Lakshay mentioned, that there is a slight concern on the forex part. But apart from that, for both Russia and CIS region, despite some of the uncertainties, we would say that the secondary demand is still holding up.

We just need to be much more cautious about the forex part. On the South Africa front I think we have been very clear, and Nikhil also mentioned in his commentary, the focus going forward clearly is how do we improve the margin profile of the business and therefore, the entire trust on driving better private mix that continues to remain our margins.

Alka Katiyar: Sure. And the number of launches will continue to remain 2 to 3?

Kunal Khanna : For South Africa, we will certainly be slightly more aggressive in terms of launches because we want to improve our private mix there. So, certainly, that's part of our pipeline strategy. For Russia we will be more on the conservative side.

Alka Katiyar: Okay. And lastly, on the U.S. front how have we been going ahead in terms of launches?

Kunal Khanna : Last year, we did four filings and the next 12 months to 14 months is about ensuring that the approval for the filing come through. In addition

to that, we'll be maintaining a run rate of two to three filings per year.

Alka Katiyar: Sure. Thank you. And just quickly on the CMO segment. So, are we still in the process of launching other lozenges segment like motion sickness and all?

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Nikhil Chopra : So, for motion sickness, for sleep disorders, anti-inflammatory lozenges those are some of the lozenges immunity. Those are some of the products and more expanding portfolio in the world of cough and cold. Those all things are working products. See what I've been telling in the world of CDMO, the entire business, adding new partners, adding new products, has it got its own gestation period.

But we are in a very sweet spot in terms of what we have got very good partners, and the relationship has been here for the last now 2 decades plus. And now with a capacity close to 2 billion lozenges that we can manufacture annually. So, that overall helps us in terms of sustaining the business, for existing products, looking at doing business with the existing partners in new geographies and also looking at adding more partners and adding more products in the existing partners.

These all things we are trying to do. And business touchwood has been close to INR120 crore for the quarter. What I can say at this moment of time that our order book for quarter 2 is also healthy.

Equally, we are waiting for some indications from our partners that should come in probably in the

month of September, which should help us to give more color on this portfolio.

Also existing portfolio, for example, we last year could conclude our relationship with Reckitt where we had launched where we couldn't manufacture Strepsils for them, the life cycle management where the team at J.B and Reckitt Benckise r and now we are able to extend that partnership to Strepsils immune.

So, those were things continue to happen in terms of life cycle management, new geographies, existing product lifecycle management that is helping us where we stand from our CDMO business. I think this helps overall because many of our colleagues also will be having questions here. And so where we are in the world of CDMO. So this is what I wanted to share.

Alka Katiyar: Sure. Thank you. That's answer my question.

Moderator: Thank you. Next question is from the line of Girish Bakhru from OrbiMed. Please go ahead.

Girish Bakhru: Actually, first question is on clarification Azmarda. You were talking about month -on-month growth still being very strong. But I'm just saying the data Q -o-Q, has the volumes come down a bit, I mean, is the market resetting from that perspective?

Kunal Khanna : The overall markets what we were maintaining was the overall market when the price was reduced was at an inflection point. And therefore, what you saw sequentially at that point, the growth was much more rapid. Now to maintain that same momentum going forward is not at the same rate is something which may not be possible to sustain. But overall, the market still will continue to grow. So one cannot expect that the volumes, which grew in March and April at almost 30%, 35% or month -by-month, that month -on-month increase in volumes will continue. That's what we are maintaining.

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Girish Bakhru: And when you see the market right now, let's say, it's maybe doing about 18 million, 20 million units per month. This was about 10 million before the expiry. So, do you think still that this can potentially double -triple in the next two years, three years?

Kunal Khanna : For sure.

Girish Bakhru: So there is a lot of under -diagnosis, which is yet to get covered in the market.

Kunal Khanna : We have always maintained that and we are going in thesis for this brand. The sharp price, which you saw with the price reduction itself is a reflection of what the market opportunity is really. And whatever change you have seen over the past 5 months to 6 months has not happened because

systemically the market has changed. So, suddenly, overnight, the diagnosis rate did not increase. It was only the affordability factor.

And over the next three years to four years, when you see some of the systemic changes happening in the market, which are more related to therapy shaping diagnosis and all, you will certainly see that the market will continue to grow. And that's where we are taking the lead. So, even Nikhil mentioned that our main focus is how do we really influence therapy -shaping initiatives, heart failure clinics, to ensure more diagnosis, that's going to be a thrust for the next three years to four years.

Girish Bakhru: That's very helpful. And the second question on sporlac, I mean, last time, of course, we indicated that probably market share is about 10% now, about INR90 crore sales. How do you see this going and is it going to be the leading brand within the probiotics?

Nikhil Chopra : So, obviously for us it is a leading brand in probiotics because it is the biggest brand that we have got. So, when we acquired this was close to INR60 crore , INR65 crore . Now we stand around close to INR90 crore and likely so the market share is 10%. And what has helped us in terms of looking at the entire strength of J.B. as a company from a distribution perspective, from synergy and prescriptions from life cycle management.

All those has helped us to scale up this brand to closer INR90 crore , the brand overall the portfolio Sporlac as a portfolio for us because there are half a dozen brands continue to be grow at mid teens. And which will continue to happen and overall, probably quarter -to-quarter or for this year -to-year, you should see us only gaining market share.

Girish Bakhru: So [inaudible 0:33:05] mentioning its leading brand within the probiotic market like is it bigger than Vizylac right now or...

Kunal Khanna : In terms of prescriptions and volumes, we are much bigger. But traditionally, this has been a brand which has been always been much more affordable in the probiotic space. So therefore, value -wise, there is a difference of one or two ranks.

Girish Bakhru: And among these top five brands, six brands which are in the probiotics, would you say most are covered by J.B. and would be the mix, let's say, Rx versus OTC or most of them?

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Kunal Khanna : Just to clarify, we don't operate in the OTC segment. There may be repeat purchases of probiotics, but that's not our trust area. The other three to four players also are operating, every player has a different stream, and we also have our own stream. Now we have done some life cycle management initiatives on the strain, and we'll continue to do that.

But at the end of the day, across these five brands, there may be overlap of one or two brands where the strain is common. Otherwise, there are in different strains and these are prescription brands. We are not talking about OTC category.

Girish Bakhru: And more would be a GP right irrespective of the strain?

Nikhil Chopra : It's a combination of GP, paediatrician. It all depends upon the strain, GP, paediatrician, gastro. We have probiotic where we go and promote to Nephrologist also one of the brand, which we have Lobun, where we are it's a INR25 crore - INR30 crore brand, which is basically responsible for halting the progress of chronic kidney disease, which is a INR30 crore brand. So there are depending upon the strain, the content, depending upon the indication that is how probiotic as a product behaves in the market.

Girish Bakhru : Understood. Thank you. Very helpful. Thank you.

Moderator: Thank you. Next question is from the line of Nitin Gosar from BOI Mutual Fund, please go ahead.

Nitin Gosar: Hi sir, I wanted to understand the Russia piece. The broad understanding was over the last two years, we would have gained a bit of more traction assuming some of the players or the global players would

d

have exited the market. A, wanted to understand the size of business for us today, the share carries.

And B, how do we hedge the ruble piece that's been pretty volatile over the last three years, four years?

Kunal Khanna : So we will not certainly disclose segment-wise revenues. But the business, still, last year also grew at a healthy rate of mid-teens. Of course, the currency played a very important role that time. We have always maintained that, we are adopting a cautious approach in this market, ensuring that whatever we have on the ground, we completely optimize those resources on the ground. Don't get into any investment mode, but get the best out of what we have.

And we have been fairly successful in doing that. Yes, last six months particularly, the currency volatility is slightly high. We are keeping a closed watch. We've kind of hedged some part of it, but yes, we'll have to wait and watch on how the scenario unfolds. We cannot completely undermine the forex risk. However, we have a very strong hedging policy, and our exposure to that extent is not significant.

Nitin Gosar: Okay. And would it be fair to assume that the exposure we had two years back would be similar to that level, so would it have gone up, reduced, anything that you can throw some colour?

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Lakshay Kataria : We've always been cautious on ruble hedging. So even when in 2022, the war situation happened, it did not significantly impact us. So we continue to maintain a conservative policy on hedging and we minimize the exposure.

Nitin Gosar: Fair enough, sir. Thank you.

Moderator: Thank you. Next question is from Harsh Bhatia from Bandhan Asset Management. Please go ahead.

Harsh Bhatia: Yes, thank you. Good afternoon. So can you help us understand a little bit more on what's happening for the Sanzyme portfolio, particularly with regards to Pubergen and Gynogen, because that is the conversation that you are having through IVF Linux, right? So can you throw some more color on that part?

Nikhil Chopra : So that business is closed, that business would be close to 20% of the business that we acquired. Fortunately our teams are able to cover close to 1,500 infertility clinics in the country and both the products as you mentioned Pubergen and Gynogen, are well recognized and well accepted and trusted brands from the IV infertility specialist.

So we continue to leverage that strength of Sanzyme as a company and we continue to source their products from Sanzyme. And that is a continuity plan. Overall, if you look at the entire world of infertility, the demand is only going up. So we also are growing that portfolio at mid-teens. That is what we can say. That is what we can come out of this.

Nikhil Chopra : We organically at JB also have launched some supportive therapies for infertility, which is helping overall teams to go with a wider portfolio.

Harsh Bhatia: Sure, and what would be the volume run rate for Rantac right now, for the first quarter of this year, versus the first quarter of last year, financial year?

Nikhil Chopra : We would be flat on volumes in terms of and that has been shared here in the investor presentation deck. It would be around INR15 crore to INR16 crore. That is where we stand as a brand monthly.

Kunal Khanna : 45 to 50 lakh units, that's the broad range, which we are operating in. Whenever the season comes up, it goes up to almost 65 lakhs to 70 lakh in terms of volumes.

Harsh Bhatia: Okay, and lastly, the broader price to volume split for the India market for the first quarter, the 18% growth, can you just provide the split?

Nikhil Chopra : So if you look at volumes, close to high single digit, that is where we stand. Price is close to 5% to 6% and new product contribution is close to 2% to 3%.

Harsh Bhatia: Okay, sir, thank you.

Nikhil Chopra : There is market is probably flat or negative in volume for first four months - five months.

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Harsh Bhatia: Sure sir, thank you.

Moderator: Thank you. Next question is from the land of Maulik from Anand Rathi, please go ahead.

Maulik: Hi sir, good afternoon. I just wanted to know, have we increased our number of MRs and what is the MR productivity now in terms of the organic business also, and acquired business also?

Nikhil Chopra : So I will talk to you in totality, in terms of the productivity. Last year, our productivity was around

close to INR6.2 lakhs. And this year, with 50, 70 people that we would have added in some of the portfolios, today the total number of MR count is close to around 2,200. Our productivity plan that we have put in place is, the aspiration is close to INR7 lakhs. That is where we stand.

Maulik: Okay. And the second question is, sir, are we more, I understand the go-to-market strategy which we have, so are we more focused and penetrated in the Tier 2 to Tier 6 towns and cities or more in the metro city? Can you throw some light on understanding on it?

Nikhil Chopra : This was the scenario, a couple of years ago. But if you look at today, the scenario would have changed, tilting contribution increasing to metro and Tier 1 part of the country. Because overall when you look at the heart failure product, the result portfolio, overall what launches we have done, we are looking at how do you improve your contribution of prescription from the specialist as compared to generalist.

We can't run away from generalist because with Rantac, Metrogyl, Sporlac, those are mass brands, Nicardia. But you are right, it's a ballpark figure, it is not in black and white. Our contribution was close to 65% maybe from the Tier 2, Tier 3 parts of the country and 35% from the metro and Tier 1. But that was two years ago. But today, it will be 40% plus from metro and Tier 1 part of the country. And it will be progressively it will only increase. That is where we stand.

Maulik: Okay, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Dhawal from Jefferies India. Please go ahead.

Dhawal: Hi, thank you for taking my question. First one, just a clarification on the EBITDA margin guidance of 25% to 27%. Is it operating EBITDA or is it after the guidance?

Nikhil Chopra : Operating EBITDA.

Dhawal: Okay. Thank you. Second one, just wanted to know on our M&A appetite, so do we have any absolute number that we can go up to or is there any leverage number that we have in mind and that determines, what kind of M&A we could potentially go up to?

Nikhil Chopra : So we can go up to 1.5% of our EBITDA absolute. That is what the threshold we have kept, but it is not hard and fast that we have to go to that level. See, it all depends upon the quality of asset. And if we as a team think that we can turn around and what you have seen, what we have been talking about, Page 14 of 17

whether it is Sanzyme or whether it is for heart failure pill or what we want to try to do with Razel, if that confidence we as a team have, then we will look at in terms of how much maximum we can go to this threshold that we have kept for ourselves.

That is where, and by the way, there is no pressure on us to do any M&A just for the sake of doing an acquisition and rightly the way JB as a company is placed being a dominant player in the world of hypertension, heart failure, we have got a good product, progressive product in the form of secular vialatin, we have got a product for entire range of rosuvastatin for lipid lowering agent.

We are into probiotic market, we are into infertility market. We are now a good dominant player in the world of pediatrics. We have got a good range of products portfolio in the field of respiratory. So we have got enough in terms of what we can, how at least we can grow the business in terms of what I spoke earlier, our productivity can go up from INR6.2 lakhs to INR7 lakhs.

But if there

is any good asset available, we do not like to miss on the right valuation that will suit us in terms of turning around the asset and at least looking at the payback period close to six years.

Dhawal: Okay, thank you. Just one last one from my side. What is our current spend on R&D in the US and what's the factor that determines it? Will it be the number of filings that we are fixated and that will determine the R&D? Or is it you have some kind of revenue target or it's the investment in the R&D that will be the limiting factor. So how do you decide on the investments on the US side and what are the current R&D spends?

Nikhil Chopra : Our R&D spends are sub 2%, first of all. There's no determination as compared to more than US. What earlier was spoken is the progressive work that we are doing in terms of getting into new therapeutic segments in the world of CDMO with Lozenges. That also is a part of our R&D spend. Second, what was spoken earlier that we continue to file 3 to 4 NDAs every year. And third is the BE filings that we have been doing. Last year, we could file around close to 10 products in our ROW market, that is rest of the world, BGX market, which is with the business today is close to \$40 million, that is our presence in Sub Sahara Africa, Latin America, South East Asia, Middle East and this entire model of business is distributed model.

So last year we could file 10 products, this year also we want to file 10 more products. So that is a part of our R&D investment. It is a combination of the developmental work that we do for CDMO, the filing that we do for ROW market and what we are trying to do in terms of filing 3 to 4 ANDAs in US every year. So our R&D spend earlier was sub 1% when we came in. Today, at least, it is close to 2%. Progressively, it will go up. That is where we stand as a company.

Dhawal: Okay. And just one last one. You made a press release that you formed a Philippines JV. So can you throw some light on that market and what's the breakup in terms of whether it's branded and what proportion of the market is branded, what's the growth rate of the market and how we are seeing the scale up that we will be able to do going forward?

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Lakshay Kataria : So, we have been present in this market historically through our distributors, so we have not had a

direct presence. The intent is to get into a direct presence and the opportunity lies both on the institutional side and the B2C side. So that's really the opportunity we are looking for. We surely want to invest in new products in the market, build our product portfolio and then sort of invest in a direct go-to-market model in the subset.

Having said this, there is a regulatory time frame around getting these product registrations in place and making that change in the go-to-market, which should happen somewhere in FY '25. And our aspiration is over the next three to four years, we would at least want to get to about \$4 to \$5 million of revenue from this subsidy.

Dhawal: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Shrikant from Asian Market Securities. Please go ahead.

Shrikant: Good afternoon. Thanks for the opportunity. Nikhil, can you please call out the facility utilization at the lozenges facility?

Nikhil Chopra : Sorry, I could not get that.

Kunal Khanna : So, on the lozenges capacity utilization, we can manufacture 18 crore lozenges. Currently we are manufacturing and packing close to 11 crore lozenges. From a packaging standpoint, we have a capacity which will in the next two months go up to close to 15 crore lozenges.

Shrikant: Okay. And because this year, we have done quite well in the lozenges business, I was wondering, if we need to add any more capability or capacity next fiscal year?

Kunal Khanna : So certainly our focus is on de-bottlenecking some of our packaging lines. That does not

call for a

significant investment. The efforts have already been put in there. So as we speak, as you know, mentioned that we'll be reaching 14 crore packaging capacity. That over the next 12 months also will be touching close to 18 to 20 crore lozenges .

Shrikant: Okay. And any guidance you would like to provide for the next fiscal on the lozenges business?

Kunal Khanna : Right now, we believe that, the CDMO business continues to grow healthy, double digit figures. Yes, last year there was a significant spurt, but we really see a very good, healthy order book situation. As

Nikhil mentioned, we'll have to watch out for how the seasonal trends reflect over the next three months to four months to give you a firmer view of almost next 10 to 12 months.

But irrespective, this is a very important strategic area for us, quite easily it will, over the long term, continue to grow in healthy double digit range. And in the next 12 to 14 months itself, that's why we have taken the effort of almost taking our manufacturing and packaging capacity to almost 18 crore lozenges.

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Shrikant Akolkar: All right. And on the domestic business, can you call out the acute chronic mix during this quarter?

Kunal Khanna : Acute was close to -- I'm just giving you a broad range, acute was closer to 44, 45 and the chronic was 54, 55.

Shrikant Akolkar: Okay. Because I was thinking that there has been lower chronic business has done well. So I was just wondering if there was any positive impact because chronic has done well. And at the same time, the acute has seen a slight dip in the contribution. So is that right assumption to make on this?

Nikhil Chopra : Yes. So overall, our I think, chronic contribution last year was close to 53% and that is what was I think what Kunal spoke was our chronic contribution should be close to 54%, 55% and acute contribution would be close to 45%.

Shrikant Akolkar: Understood. And last question. So in because we are putting a significant focus on the chronic business, so what will be our target in two to three years' time? Where do we see the acute chronic mix heading to?

Nikhil Chopra : These are so our contribution of chronic business, we want to take it to 60%.

Moderator: Thank you. Next question is from the line of Rahul from [Myostatin 0:52:29] Equities. Please go ahead.

Rahul: Yes. In the domestic business, apart from Sporlac, do you see any pricing big pricing differential between your brands and competition? And are there any efforts to narrow the sizing gap versus competition?

Kunal Khanna : Rahul, even if there is a pricing difference for all the schedule products, you cannot go beyond 10% range. So while there is a pricing difference for Sporlac, the maximum increase you can take from a price standpoint is not beyond 10%.

Rahul: Okay, sir. And apart from Sporlac, there are unsecure other brands would have a meaningful discount versus competition.

Kunal Khanna : So, apart from that, it's pretty much on parity with respect to our...

Rahul: And sir, some of your peers have called out the NLEM price cut impact the quarter. So did we also although, also our NLEM exposure has significantly come down to standard getting out of price control, but NLEM price cut impact our growth as well on the India business this quarter?

Kunal Khanna : There is a very marginal impact on Metrogyl, very -very marginal. Nothing to comment on.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Nikhil Chopra : So first of all, let me thank you, thank all of you for coming for the call today. And at least patiently listening to our commentary I'm more than happy we'll more than happy to at least take your

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questions and give the answers in the capacity that we could. Overall, once again, reiterating that our

guidance going ahead for the next three quarters should be what we

have spoken earlier is beating

overall India pharma market performance by 300 bps to 400 bps. And that is what we could demonstrate in the month of July also. What I showed earlier, the INR figures that we have demonstrated for last four months and which it will continue.

Our entire focus within India would be how to continue to work on the theme of making big brands bigger, particularly in chronic part of the business and aspire to take that contribution to 60%, more than happy in terms of the portfolio that we have acquired and the new brands that we have built is only helping us to not improve our ranking and value, but also to also improve our ranking in prescriptions. That is what we fundamentally believe that how do you build your business, which is fundamentally strong. This was on India

International, the focus will continue to be on the CDMO business continuously working with our partners and equally looking at what opportunities we can explore in the BGX market. Also, as stated earlier, South Africa this year, the entire aspect of transformation of business, looking at how we can improve our contribution from private market will happen for a period of time.

So, international business growing at double digit, touching double -digit growth and India market beating IP up by 300 bps to 400 bps. And the margin guidance that we have stated earlier also will be between 25% to 27%. That is where we stand in the company and committed overall, not only in India but globally to deliver quality medicines, which comes from the house of JB. Thank you all once again for coming for today's conference call, and we'll continue to touch base with you in coming quarters. Thank you.

Moderator: Thank you very much. On behalf of J.B. Pharma, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

November 13 , 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on November 8, 2023 at 3.30 p.m. IST in relation to results and developments for the second quarter ended on September 30, 2023. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 14

J. B. Chemicals & Pharmaceuticals Ltd.
Q2 FY24 Earnings Conference Call Transcript
November 08 , 2023

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of J .B. Chemicals and Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza, Executive Vice President, J.B. Pharma. Thank you and over to you.

Jason D'Souza: Welcome to J .B. Pharma's Q2 Earnings Call. I would like to introduce the management, who's present at this call; we have Mr. Nikhil Chopra, CEO and Whole - Time Director, J .B. Pharma; Mr. Kunal Khanna -- President, Operations, J .B. Pharma; and Lakshya Kataria – CFO, J .B. Pharma. I would like to hand this over to Mr. Nikhil Chopra for his opening remarks. Over to you, sir.

Nikhil Chopra: Thank you, Jason, and a big welcome to all of you for the Conference Call for J .B. Pharma.

Overall, we are gathered to discuss the Operating and the Strategic Progress made by J.B. Pharma during Q2 and First Half of the Year. Let me first talk about Q2.

During Q2, the business delivered a healthy blend of domestic and international business growth with expansion in domestic business led by our chronic segment and acquired portfolio.

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Sharing quick highlights of the results in Q2 FY24, we saw revenues of INR882 crore, which is an increase of around 9% year-on-year. With a combination of good product mix and execution of our strategy, we saw gross margins rising strongly by 350 bps in Q2 FY24 over the last year.

We have a dedicated approach on the cost containment, and this has led to translation of good performance into higher operating EBITDA margins at 28.5% relative to 25% in the same period last year.

Domestically, we saw continued traction in chronic therapies and our acquired portfolio driving domestic business growth of 11% year-on-year to INR481 crore in the same period.

J.B. Pharma Featured as the Fastest Growing Company in Top 25 within IPM as per IQVIA MAT September 2023 Data with a growth of around 18% versus IPM growth of 10%.

We have also earned the distinction of being the "Fastest Growing Business among the Top 25 in Chronic Segment with 18% year-on-year growth versus IPM Chronic growth of 12%." Our entire hypothesis of making big brands continues to be there with our big brands only gaining ranks and improving market share.

The focus on building brand franchise remains and we have seen a good performance from all our big three franchises, that is Cilacar franchisee for hypertension, which is nearing now Rs.600 crore, the Ranitidine franchisee that is Rs.400 crore and Metrogyl franchisee which is now crossed Rs.300 crore.

In a short period also, we are delighted to share that we have now bid another Rs.100 crore franchise, which is in the form of Sporlac. The Sporlac brand has seen a significant gain in rankings and is now ranked 336 closes to entering the top 300 brands in Indian pharma market.

Now, giving "Highlights of International Business." The international business recorded revenue of Rs.401 crore in Q2 FY24 and Rs.808 crore in H1 FY24.

Excluding South Africa, the business grew double-digit in Q2 FY24 and mid-teens in H1 FY24. CDMO has witnessed sustained momentum, giving us revenue of Rs.115 crore in Q2 FY24.

Let me throw some "Highlights of our Financials for First Half of the Year." For first half of the year, that is for six months, revenue saw a growth of 12% at Rs.778 crore. The domestic revenue was Rs.970 crore, growing at 14% aided by favorable product mix and acquired portfolio. In international business, our formulations segment grew by 10%, contributing Rs.538 crore, and CDMO segment 11% at Rs.234 crore. Rest of the world export contributed significantly to the growth in the first half.

Operating EBITDA, which excludes the ESOP charge was at Rs.494 crore versus Rs.392 crore for the corresponding period. Operating EBITDA margins saw an expansion coming in at 27.8% versus 24.6% in the prior year... this I'm talking about first half of the year. Operating cash flow was higher at Rs.421 crore versus Rs.279 crore in H1 FY23.

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Gross debt reduced to Rs.427 crore as on 30th of September 2023 versus Rs.548 crore as on 31st of March 2023, and net debt stood at Rs.18 crore as of 30th September 2023 versus Rs.266 crore as on 31st of March 2023.

We have invested close to Rs.93 crore in CAPEX for first half of the year, mainly in expanding our lozenges facility in Daman and estimated CAPEX is of Rs.145 crore for the current financial year.

With fresh fronts opening up in the geopolitical situations, we are cautious about our approach in international markets, using the learnings from past periods and favorable trade and logistic cost, we are driving a curated portfolio in selected markets. The way forward is going to be marked by superior execution of our stated strategy in our domestic business, especially for chronic side, together with CDMO. The combination of India and CDMO should contribute 75% to 80% of overall sales mid to long term.

We are investing in making our big brands bigger as I shared earlier

and we navigate

growth in chosen categories of cardiac, cardiology, probiotics, pediatrics and gastro segments in the domestic market. The international business will focus on expanding the offering in CDMO and ramp our presence in identified ROW markets by better productivities and costs. Given that the operating environment continues to throw up

new challenges, it will be an endeavor to keep control on cost across board so that we have the head rooms to react and readjust.

I would also like to add that being sustainable is just as core to us as our performances. We have published our "Second Sustainability Report" recently and urge those interested to access it at our website.

Thus, I have come to a conclusion of my remarks. I will take this opportunity to wish our CFO – Mr. Lakshya Kataria the best on behalf of everyone at J.B. for his sterling contribution to the company.

And also taking this opportunity to wish everyone on the call to you and your family members a Joyous and Happy Diwali and a Prosperous New Year.

Now, I hand it over to moderator and request to get the forum open for the question and answer session.

Moderator: We will now begin the question -and-answer session. We have a first question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Just want to know and understand more on the export formulations business where you mentioned that ex -South Africa, we have grown mid -teen, but in South Africa, since you have taken some restructuring, so what was the rationale behind it, what exactly you have done, how much sales we had foregone in this quarter, if you can give more color on it.

Nikhil Chopra: So South Africa, we have taken a haircut of around... you should assume that it should be close to around Rs.120 crore . So, for first half of the year it is close to Rs.60 crore . What we have done is some part of tender business which we are doing with government, we have let go because the margins were thin and more focus, we are asking our teams in South Africa to put in private market. We are getting into
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some consumer business, we are getting into some launch of new lozenges, we are closely working with Clicks and Dis-Chems who are the chain in South Africa market, that is what we are trying to do. So outside South Africa if you look at our BGX and CDMO business, they are showing handsome growth. That is what we were trying to communicate and that is what we have done overall resetting our base for our South Africa business for the current year.

Rashmi Shetty: This entire Rs.60 crore is gone from this quarter only or there were some parts sitting in the first quarter also?

Nikhil Chopra: This quarter it is Rs.30 crore . So, assume Rs.25 to Rs.30 crore every quarter.

Rashmi Shetty: Rs.25, 30 crore in the first quarter and more Rs.60 crore is expected to go in the second. Half?

Nikhil Chopra: Yes.

Rashmi Shetty: These products were mainly antivirals , anti -infective sort of the products or which kind of products?

Nikhil Chopra: It was a generalized portfolio, a mix of anti -antibiotics, anti -diabetics and cardiology segment. But also, one thing that we would also like to highlight, this entire Rs.120 crore does not make any big impact on our overall EBITDA margins and EBITDA absolute value.

Rashmi Shetty: So, the gross margins which we have seen improvement is majorly coming from a higher chronic share and to some extent which is coming from this rationalization of this kind of business?

Nikhil Chopra: And third is the CDMO contribution where there is weightage from one or two big players, which has overall helped us to maintain our gross margins.

Rashmi Shetty: In the CDMO businesses, this Rs.115 crore quarterly run rate which we have established, this will be continued in the 2nd Quarter, or we are expected to see higher number because the winter season will b

e setting in?

Nikhil Chopra: Winter season has already set in in that part of the geography. And when you look at us as a company in the world of CDMO business, if you look at in the last 12 to 18 months, Rashmi, almost we have doubled our business. So, the way this business has a trajectory , I think, in the first half of the year we do 60% of the revenue. You should see some softness in Q3, I think Q4, we should be back to where we are today. And our mid to long term plan which I've stated earlier continues to be there with this business now contributing around 12% to the overall revenue for J.B. which was last year close to \$50 million, we continue to stick to our commentary where we want to take this business to \$100 million in mid to long term.

Rashmi Shetty: As we are generating good cash, we are looking for more M&A activity or this cash will be used to pay off long term debt completely in this year?

Nikhil Chopra: There's no long -term debt. See, we are generating close to Rs.500 crore cash every year. Let us keep the debt and the M&A issue separate. Irrespective of debt being

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there or not there we continue to evaluate assets and that is what we have seen. We as a company have done around four acquisitions, invested close to \$200 million, buying around 275 crore revenues in India. And whenever we see right opportunity for us which has got more synergy with the business where we see payback period close to 7 to 8 years and where we see a potential quality asset will be more than happy to invest.

Moderator: We'll take our next question from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

A Puranwala : Sir, just a bit on the Indian side. So, in the presentation you talked about the acute growth getting slowed down. So, can you just provide some color as to for the quarter what would be your growth in acute brands like R antac and Metrogyl and vis -à-vis the chronic growth for the quarter?

Nikhil Chopra: If you look at Q2, the acute portfolio grew at around 6%, and we at J .B. also, the growth was 6% for acute. So, you should look at our overall R antac, Metrog yl franchisee grew around 5% to 7% for the quarter. And if you look at first half of the year, Abdul, the Indian pharma acute market grew at 7% and we also were in line with that growth. That is where we stand. Our portfolio is more dominant towards the GI part of acute. If you look at R antac, Metrog yl, Sporlac . So, the way we see traction in first half of the year, unfortunately for us and fortunately for the betterment of the mankind and humidity that people did not suffer from the GI infections. That is why you don't see the traction, which we see every year for J .B. portfolio in acute, that is what we would like to share. Going ahead, I think, what I shared earlier also the focus will be how do we improve our chronic contribution in India business where lot of effort has been put by the J .B. team in building the brands, particularly in hypertension and doing justice to the acquired portfolio in the field of heart failure, in the field of statin and launching some new portfolio in the field of diabetics. So, we will continue to focus on chronic and as and when we are supported by acute season I think the portfolio is there and I think the teams will do the needful in the doctors' clinic.

Kunal Khanna: Just to add to the point of chronic, if we look at the chronic growth scenario, in Q2, the IPM chronic grew by 9, whereas we grew at 14, and for H1, the chronic growth was 10% and we outpaced that by 8 percentage points growing at 18%.

A Puranwala: For the full year, what is the kind of growth we should bake in for India, I mean 10% to 15% something still looks achievable and reasonable?

Nikhil Chopra: See, the Indian pharma market, if you look at MAT September '23 is growing at around 10% and we are growing at around 18%. Indian pharma mark

et should grow

between 8% to 12% and we should be 200, 300 bps better than the market. That is what I have been stating in my commentary if you hear it. So, you should expect us to grow at around 12% to 14%.

A Puranwala: Sir, from hereon, do you have any plans to add any field force for any particular segment or any new segment you will be planning to enter?

Nikhil Chopra: Not as of now. I think we have adequate presence on the ground; we have close to 2,200 medical reps and we are meeting close to 2.5 lakh doctors across pan India and probably the productivity that we are expecting this year, we should be touching

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Rs.7 lakh and we should be pressure testing ourselves in terms of how we can inch up the productivity and grow at around 10% to 12% next year. So, in near future we are not looking at adding any as is medical reps on the ground.

Moderator: We'll take the next question from the line of Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani : Sir, can you please comment on this capacity expansion which you're doing on the lozenges business because if I remember correctly our utilization on the lozenges plant was around 55%, 60%. So, what necessitated this CAPEX for the lozenge's facility?

Kunal Khanna: See, Rahul, when you look at the capacity expansion, it has to be looked at it from two perspectives. One is the debottlenecking of the packaging lines, which we have to match the manufacturing capacity and the other part is the long -term land acquisition , which we have taken, for which we are not putting up any capacities right now, but that's a plan which is more kind of futuristic so that going forward, if we have to double the manufacturing through to two to three years from here on, we al ready have the land available, right. As we have stated earlier, we have a manufacturing throughput of close to 17 to 18 crore lozenges per month. Our packaging throughput was close to 12 to 13 crore lozenges which will match our manufacturing output by end of December. The significant investment which you see in the CAPEX is actually is for land acquisition, which is more of futuristic preparation if we want to double our

manufacturing capacity two to three years from here on. And that land was very adjacent to our current unit and therefore we saw synergies because of all the approvals which we have with our current principal partners, so that we don't have a dispersed manufacturing scenario and it also helps us logistically.

Rahul Jeewani: So, of this 145 crore CAPEX which you will be spending this year, what was the quantum for the acquisition of the land?

Kunal Khanna: So, land acquisition is 50 crore and the other we have always maintained there is close to 70 crore of maintenance CAPEX which anyways goes and we are also kind of expanding our granulation tablet unit, but that's again a very marginal CAPEX expansion. So, mainly the investment is on land acquisition close to Rs.50 crore .

Rahul Jeewani: Sir, you indicated that obviously our growth in the India business this quarter for a weak acute season, but what we hear from some of your other peers is that the season has started picking up from September onwards , even the October month growth was very robust for the domestic market. So , have we also seen Rantac and Metrogyl picking up from 3rd Quarter onwards ?

Nikhil Chopra: Please understand Rahul, which I stated earlier. There are two hypotheses which are coming in . First of all, October, November, December what you will see in Indian pharma market you will see good growth because of the base being low. Indian pharma market monthly reports around 19,000 crore and October base was 16,000 crore. So, you will see growth as i n absolute value, quarter -and-quarter you will not see. Second for us as a company, our portfolio is majorly dominant in the world of GI, Rantac, Metrog yl, Sporlac. So that tractio

n we could not see. That is what was the commentary which I stated earlier. But I think what was stated also parallelly , then that the entire effort of being improving the entire chronic contribution to the

business, looking at how we can with giving justice to the brands that we have now in chronic space, that will be the agenda going ahead for us.

Rahul Jeewani: In terms of operating EBITDA margins in the first half, we are closer to 28% kind of a number versus our guidance of 25 % to 27%. So , any thought process in terms of revising the margin guidance particularly given the fact that now you are also rationalizing some of your low margin export businesses such as the South Africa kind of business ?

Nikhil Chopra: So, fortunately, Rahul for us, I think in the first half of the year we have been on the higher side of the guidance that we have been giv ing. So, you can take that as a new guidance from us.

Rahul Jeewani: So that implies a 28% operating margin?

Nikhil Chopra: 25% to 27% that was the range that we had given. So , you can assume that we should be on the higher side of the guided margin.

Moderator: We have a next question from the line of S hrikant Akolkar from AMSEC . Please go ahead.

Shrikant Akolkar : Can you provide the update of the CMO business in terms of how should we look FY25 , because last two years have been very good for us and F Y25 seems to be not a pandemic year or not anyway related to cold and cough , so how should we look at the growth in CMO business ?

Kunal Khanna: First of all, none of our growth was attributed to COVID, right? Even in our India domestic business, when we look at our segments in which we are operating, we don't have any core or adj acent COVID portfolio. So , our business particularly was not kind of aided by any COVID portfolio. All the growth which we were driving is essentially excluding COVID. So , it really doesn't affect us much with the external market changing and everyone estimating that it's no longer going to be a phenomenon next year.

Shrikant Akolkar: Even in this CMO business ?

Kunal Khanna: The CMO is plain cough and cold. Again, we saw significant offtake last year, but the good thing is that we have seen similar trends this year as well and that's the reason why you see in H1 on a quarterly basis we have been able to maintain Rs.100 crore plus run rate. As Nikhil mentioned, we have almost travelled a journey of taking our CMO business from close to Rs.65 crore to Rs.110 crore levels right now. Q3 generally tends to be soft , but from a mid and long-term perspective as we see FY25 and next year we have our plans with our key clients , we are looking at life cycle management of brands, introduction of new portfolio , so, the growth trajectory will continue.

Shrikant Akolkar: For this quarter in domestic market, what was the acute chronic mix?

Kunal Khanna: So, we are close to 52 % to 53% chronic.

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Shrikant Akolkar: Coming to A zmarda, so can you talk about the addressable market and the last

quarter we had 16% to 18% market share in that market , so how has been the improvement between the quarters?

Kunal Khanna: So, the good thing is that the market has grown , of course , when we were talking about pre -LOE period somewhere around December, the market was closer to 10 lakh units per month, right . Right now, the market is trending at closer to 16 lakh units to 18 lakh units per month . Our overall market share continues to be in the range of 16 % to 18% despite the price erosion which we have taken and our steady state -run rate forecast was we had always estimated closer to 1.4 lakh units to 1.5 lakh units and we are pretty closer to maintaining that run rate.

Shrikant Akolkar: And lastly on Razel , so since we have acquired, how has been the impact on the profitability of the product ?

Kunal Khanna: From a profitability standpoint, it has of

course contributed very well. When we were talking about our overall gross margin profile, we did mention that the reason why the margins have gone up is because of the chronic mix in India improving and some of these acquired assets have significantly contributed to that margin going up . From a top line acceleration perspective, when we acquired the brand somewhere around December last year, it was closer to Rs.4 crore and we are actually closer to Rs.6 crore run rate right now.

Shrikant Akolkar: So, margins would have gone up during that period, right?

Kunal Khanna: Some of the decisions which we have taken in terms of shifting sources and insourcing of brand into our own manufacturing site have also helped us improve margin for the brand itself.

Shrikant Akolkar: Just wanted to understand our respiratory and pediatric play we have launched I think these . So, can you talk about our play in this area?

Nikhil Chopra : In respiratory, we are present with half a dozen products which are more in the oral space , anti-viral, anti-allergy, anti-mucolytic . We have launched nebulization range which is close to Rs.1 crore in the season that is where we have from a respiratory perspective . No plans of getting into the world of inhalation , very clear . In Pediatrics we have done fairly well. We meet close to 25,000 pediatricians. We have a dedicated team and the business if you look at pediatric all put together, it would be close to Rs.150 crore annually. We are present majorly in the world of Gut Health with Rantac Syrup, Sporlac Syrup, we are in to Laxolite Syrup, we have cough syrup. So, we have a range of portfolio in pediatrics which will only help us to double our business mid- to long -term.

Moderator: We have a next question from the line of Hari t Ahmed from Aven dus Spark. Please go ahead.

Harit Ahmed : So, in one of the slides, you've commented that the share of domestic and CDMO combined is expected to go up to 75 % to 80% in the near term. That's a sharp increase from around 68% in the quarter. So , what are the timelines that you're looking at for this share increase ?

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Nikhil Chopra: Mid to long term, around three years from here. So , if you look at , Harit, when we started this journey, the domestic contribution was 45% and CDMO contribution was 5%, today it is almost combination of 53 % and 12 % close to 65 %, 67% and three years from here we should be able to be close to 75 % to 80%.

Harit Ahmed: Can you comment a bit on the growth rates that you're seeing for your legacy brands like Ra ntac, Metrogyl , Nicardia? I'm looking at the MAT values that you've shared . Growth rate appears to be strong ; we're seeing almost 20% growth in Cilicar , 30% in Nica rdia. S o, are the primary sales growth trends in line with these IQVIA growth rates?

Kunal Khanna: So, if your question is more alluded towards primary versus secondary, whatever data you see is largely completely in line with the secondary sales trends . When we compare our inventory in the channel versus the peers, we have possibly the best inventory levels. We do not operate more than 32 to 34 days of inventory . For us Cilicar, Nicardia continue to be the most progressive brand s. And as was mentioned earlier, these are progressive therapeutic segments like hypertension . And the life cycle management initiatives which we have taken across these brands have actually helped us drive this level of growth.

Harit Ahmed: Kunal, just to confirm or just an additional clarity there. So , is it correct to assume that these brands are growing above the company average growth for the domestic business, which was around 11%?

Kunal Khanna: Absolutely, absolutely.

Harit Ahmed: Lastly on Azmarda we've seen a patent expiry, but when I look at the net value for September '23 versus September '22, we still managed to record growth in A zmarda. So, have we been able to offset the

p rice decline with additional volumes and is that why there is still growth that we're seeing in this brand ?

Kunal Khanna: See, when we compare what is the scenario 12 months back , yes, there has been kind of a volume increase which has happened. Having said that over the last three months we have achieved a steady state -run rate in this portfolio. So , for all said and done, yes , a large, significant percentage of the price erosion has been offset by the volume gain impact which we have seen.

Moderator: We have a next question from the line of Char ul Agrawal from Bank of America. Please go ahead.

Charul Agrawal : My first question is on the cardiac franchisee. Given that we have reached a good size over there with the Cilacar brand being among the top four p layers in the therapy , how should we look at growth from here -- would we expect the growth to moderate given the scale or do we see outperformance versus the therapy growth , and in that case, what would continue to drive growth from here.

Nikhil Chopra: So, overall, the way what we have been commenting on, we want to improve our chronic share within India business. Cilacar is a pivot brand and it is not only Cilacar play. See , when you talk of Cilacar of 600 crore, it's an umbrella brand and we have 10 different versions of Cilacar. And we fundamentally believe in the approach of STP segmentation targeting and positioning. Just to give you an example, what I'm trying to say is when you look at Cilacar T, that is Cilnidipine Telmisartan combination

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it's a fastest growing combination in anti-hypertensive and the revenue is close to around Rs. 120 crore . So , we have targeted that combination for diabetic hypertensive. Cilacar 20, as a brand for newly diagnosed hypertensive. Also, from a statistical point of view, when you look at India as a country , close to 100 million people potentially suffer from hypertension in the country and one in four patient s is undiagnosed. So , the way we are looking at this as an opportunity that being 50% market share in Cilnidipine franchise e with Cilacar as a brand, we have the o nus and the responsibility to grow the category. So , obviously to fulfill that we have to out go the market and that is the agenda going ahead.

Charul Agrawal: Just a follow up on that. So , when we're talking about growing the market, are we also going to new geographies or do we continue to focus on the areas where we have stronger presence?

Nikhil Chopra: I spoke earlier, I think we have pan India presence , basically we go to cardiologist s, physicians, GP s, nephrologists for our entire presence in Cilacar as a franchisee . We are trying to run some patient -centric campaign , we are trying to run some campaigns in terms of how tomorrow people should follow the precautions in terms of monitoring their blood pressure at their home. So , all those efforts have been put. Once you have a sizable brand and you have critical mass, this all helps us in terms of what you can do "Patient -centric campaign and adherence models " that we want to put in place which will only help us in terms of what more we can do. Also, besides Cilacar T, I think what we have also taken the right steps is getting to the right lifecycle management with combination of Cilnidipine and Metoprolol , that is dual combination and then getting into triple combination of Cilnidipine , Telmisartan Chlorothiazide , Cilnidipine Telmisartan Metoprolol. So, all this over a period of time is only going to help us to make this franchise e unique.

Charul Agrawal: My next question is regarding the additional therapy areas. So apart from the therapies you are currently present in, are you also excluding the therapy area?

Nikhil Chopra: I think earlier also what we have stated , we conceptually don't believe in starting things from scratch, and I think the concept which works better for us for India is

buy

versus build. So , I think we have efficient engine where we look at inorganic opportunities where we have a good starting point, that is from a buy perspective, but also the build that we have put in place is the entire competency model which we have in terms of how we can grow the asset better and the classical example is I think what was stated earlier was what we bought this asset Rosuvastatin from Glenmark which was around Rs.4.5 crore where in a period of one year we have taken it to Rs.6 crore . So, we see that opportunity in terms of how we can grow the asset better as compared to where it is placed by putting the right valuation on the table. So that makes us a company which conceptually are able to put right all the tick box for any inorganic opportunity. So , we find it difficult to start from scratch . That is not that we would like to get into any category of business starting from zero.

Moderator: We have our next question from the line of Tanmay Gandhi from Investec. Please go ahead.

Tanmay Gandhi : Sir, my question is on M&As. We know that chronic is a focus segment for us but if you can give some color on what could be the potential size of these acquisitions because if we look at our India business we have almost doubled our base in last

two, three years. So, is it fair to assume that the future acquisitions will be bigger than what we have done earlier?

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Nikhil Chopra: Very difficult to give any specific commentary on this. See, done we have acquired Rs. 35 crore revenue of pediatric portfolio from D r. Reddy 's to Rs.150 crore revenue from Sanzyme, that is probiotic and infertility portfolio. It all depends upon what valuation is available, the quality of asset being in progressive market, can we grow the asset better than where it stands today. So, we have to put all those things into perspective and then only you can arrive in terms of if you are interested to buy. Also, it is not that tomorrow everything has worked in our favor. We have let go many of the buying opportunities which I think other companies have bought and they think it suits them better. So, that is how this model works.

Tanmay Gandhi: Sir, how are the valuations looking at, right, in terms of M&A because lot of Indian pharma companies have a huge cash on books and due to acquire in India?

Kunal Khanna: On this point, we cannot comment on valuations or what others would be expected to be paying for the assets which are there in the market. I think the key takeaway for all of us is if you compare the acquisitions which we have made versus some of the other acquisitions which have happened, one will clearly understand that we have been judicious about our capital allocation strategy, right. So, we just don't believe in acquiring top line and paying a higher multiple. Like Nikhil said, it should be progressive, it should fit into our overall thesis, it should be synergistic with our existing focus areas and then we arrive at what value we'll pay for.

Tanmay Gandhi: So, you will continue to do a bolt on acquisitions only, right, so you are not really open to acquire smaller companies or maybe

Kunal Khanna: Again, it's difficult to comment because what we have done over the last 18 months, it's a combination of a small sales marketing, engine being bought from Sanzyme versus bolt-on acquisitions of pediatric portfolio and Rosuvastatin being brought from Glenmark, so, it could be either. Very difficult to comment on that.

Tanmay Gandhi: Again, on the M&A, is it possible for you to give a broad number in terms of what kind of return are we seeing on the acquisitions which we have done, right... I'm not asking for the margins but if you can give a broad number what kind of return on those acquisitions?

Kunal Khanna: See, we are very clear that our payback period should not be more than six years. We have some of our in

ternal hurdle rates and we work around those.

Moderator: We have a next question from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Just a clarification of India domestic growth. This 9% that you have reported I believe has the benefit of some inorganic acquisitions you did in the previous year. If we remove them out, what would the growth look like?

Kunal Khanna: Pretty much now everything is built in the base, right? So, whatever you see is the complete picture of organic and inorganic.

Moderator: We have our next question from the line of Alok Dalal from Jeffries India. Please go ahead.

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Alok Dalal: First question is, as you look to enter new geographies, can it lead to some incremental cost and maybe margins remain flattish for next year, is that something that is possible?

Nikhil Chopra: No, no, Alok, I think you would have read something that we are trying to do in the world of Philippines, but that is a very early starting point, nothing is happening probably one, two years from here, these whole things take time. So, there is no cost involved in terms of what you are asking in terms of setting up new geographies. So, no worries about that.

Alok Dalal: So, this 27.6 is not peak margins, right? Nikhil, there is room for margin expansion.

Nikhil Chopra: So, I stated earlier. Fortunately for first half of the year, we are on the higher side of the guidance that we have given. So that is what we continue to guide.

Alok Dalal: Nikhil, I think you were mentioning about some specific launches in CDMO say some sleep related disorder loss and these, etc., Have those been launched in the market already?

Nikhil Chopra: No, no, no. So, you should see I think two, three new launches should happen next year. That is what you should see. See, these all things take time; the gestation period is 24 to 30 months. Because with the entire conception of newer idea, getting the reference sample, developing the product, sending it to our partners, they are doing their own research, they give us back with some specification changes, we go back to them. So, all those things take their own time. You should see things happening probably in second half of next year. Some progress we have made. That

is why the guidance that I have been giving for CDMO business is we were fortunate enough that in the last 12 to 18 months because of the good cough and cold season, we could almost double our season. We are trying to explore more geographies with the existing portfolio, diversifying into new portfolio and also looking at cost saving of our existing products that we have to our existing partners. So, these all things put together will help us in terms of getting this business almost close to \$100 million in probably three years from here.

Alok Dalal: So, India has slowed down a bit. If you want to come back to the 13%, 15% growth rate, can you do it organically or you will need a small inorganic push here?

Nikhil Chopra: In Q3, you should see that growth coming in, that is not a worry. Because it all is a reflection of what I had said earlier that you will see all pharma companies showing good growth in Q3 because of the low base last year. So, for us overall, 12% to 14% growth will happen as is on the existing portfolio that we have got now. We have got a good presence within cardiology, hypertension, heart failure, statin, probiotic, pediatric, respiratory, GI. So, we have got a good range of products. What you did not see this year unfortunately was the traction in the GI portfolio, which is a combination of R antac, Metrogyl and Spor lac, which did not give us the benefit. Otherwise, if you look at our chronic journey, we are growing at 18% as compared to market growth of 10% in the first half of the year. So that itself tells the story in terms of what building blocks we are putting

ing for us in this journey is helping us to grow better than the market.

Moderator: We'll take our next question from the line of Harsh from Bandhan AMC. Please go ahead.

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Harsh: Just two, three questions from my side. One is on the gross margin aspect. This might be a little bit repetitive, but given 2nd Quarter, do we have a fair sense that for H2 FY24 this would be a base to work with in terms of gross margins? You've already highlighted a couple of points in terms of gross margins. But is there any incremental benefit of the raw material pricing scenario from the last three, four months perspective or let's say the last four, five months perspective? Because going forward, your chronic mix might change, your CDMO or product profile, customer profile might also change from that angle?

Kunal Khanna: So, I think first we'll talk about the material prices and inflationary pressure. The situation has been much better off than where we were almost 10-months back. And it's pretty much remained as is for the last four to six months and we don't see the scenario changing over the next two to three months as well. There are certain areas where there are kind of slight blips, but that should not kind of significantly hurt us. And overall, even our portfolio mix should pretty much remain the way it is with chronic continuing to grow for our India business and from a mid to long term perspective, the CDMO business also within the international formulations contributing significantly. So, this is the base we should work upon. Unless something changes as far as the external market situation is concerned, where there is more inflationary pressure which as of now we cannot predict, but otherwise this should broadly be the base we should work with.

Harsh: What is the split at the India level volume pricing and new product introductions in terms of year-on-year basis?

Kunal Khanna: If you really look at it from a reported growth perspective, volume and pricing is evenly split with some part of new introductions coming within the volume.

Harsh: But would volume be somewhere around 5% to 6%?

Kunal Khanna: That is correct.

Harsh: What is the situation on this Azmarda API sourcing as of now?

Kunal Khanna: So, as of now, we are actually sourcing the formulations from Novartis and we are doing finished formulations manufacturing through loan licensing arrangement in India as well.

Jason D'Souza: So, there is a question on the chat from Rajdeep is that, the international business reporting on sub-10% growth, where do you see the international business in the next year?

Nikhil Chopra: So, I think what was stated in the comment is that next year with resetting base of South Africa, we should grow at healthy double digit which is a combination of our branded generic business, which we do in four clusters. CDMO and with South Africa now base being reset of haircut that we have taken of Rs.120 crore. We should grow at around double digit, 12%.

Nikhil Chopra: So, thank you all for all the questions and patient hearing of our commentary. I think the progress that we have made delights us in terms of where we stand as a company in the first half of the year, and we will continue to focus on the entire growth

aspect , and looking at what efficiency we can drive with the company, which will only
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help us to maintain our gross margin and report healthy EBITDA margin on the upper side of the bracket in terms of the guidance that we have provided between 25 % to 27%. We as a company would like to go at mid -teens and what was stated that in terms of the combination of India and CDMO close to 80% contribution coming from these two businesses where we see bright future will only help us to serve more and more number of patients in India and serve more and more number of consumers and closely work with some big partners

outside India. Wishing you all and your family member s Happy Diwali and a Prosperous New Year , and Keep Healthy, Keep Safe, that is what we wish for all of you. Thank you , all.

Moderator: Thank you, members of the management team . On behalf of J .B. Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2023

December 26 , 2023

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on December 22, 2023 at 2.30 p.m. IST in relation to the Company's entry into the ophthalmology segment. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary

Page 1 of 7

JB Chemicals & Pharmaceuticals Limited
Conference Call Transcript
December 22 , 2023

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator Ladies and gentlemen, good day and welcome to the Conference Call of JB Chemicals & Pharmaceuticals Limited hosted by the Company to discuss its entry into Ophthalmology. This call is on the 22nd of December 2023.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D' Souza - Executive Vice President at JB Pharma. Thank you and over to you.

Jason D'Souza Thank you Yashasree. Good afternoon and welcome everyone to the conference Call of JB Pharma to discuss the company's foray into ophthalmology.

We have with us today Nikhil Chopra - CEO and Whole-time Director and Kunal Khanna - President Operations at JB Pharma.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. I would also like to state that during this call, we will entertain questions only pertaining to the Ophthalmology acquisition and we would not be able to answer any other questions.

Page 2 of 7 With this, I would like to hand it over to Mr. Nikhil Chopra to begin the proceedings of the call.

Nikhil Chopra Thank you, Jason and good afternoon, ladies and gentlemen, and thank you for joining us on today's call.

As you are aware, JB Pharma has entered into a trademark agreement with Novartis Innovative Therapies AG in perpetuity for select ophthalmology brands portfolio for India region. This is effective only January 2027 following the consideration of USD 116 million, which is payable on or before December 31st 2026. The transaction also includes a promotion and distribution agreement with Novartis Healthcare Private Limited for the same brand portfolio for 3 years commencing December 2023, a consideration of Rs. 125 crore is associated with this.

I am excited with the development as it positions us at JB well within the Ophthalmology segment and the overall market. Not only does this deal enable us to raise 2 ranks in Indian market, most importantly, JB enters the fast growing Ophthalmology segment and is now ranked among the leading players in this segment. Five of the brands are number one in its molecule category as many of you would have seen in our investor presentation and four brands are in top 3. The molecule segments are growing in a range of 10 to 20%, which is faster than the IPM growth. As per IQVIA MAT October 2023 data, the combined sales contribution from the portfolio was at around Rs. 207 crore.

As a therapeutic segment, Ophthalmology has consistently outperformed IPM and thus sits right within our objective of having a diversified high potential high growth product mix domestically. This portfolio helps us step into the growing segments such as anti-glaucoma, anti-allergics, antibiotics and NSAIDs within ophthalmology. At an overall level, you will acknowledge that Ophthalmology itself is the third fastest growing therapy in IPM with the 15% three-year CAGR.

As there are numerous reasons why we believe that the acquired portfolio will complement our growth agenda well as India is home to a large and expanding pool of patients that require continued eye care and there is a rising awareness around it. We are also witness to enhanced infrastructure and diagnostic for eye treatment combined with the advancements in surgical techniques, eye surgeries have become more accessible. The government trust in the area is under key driver.

I would now like to touch upon how this agreement impacts us favorably across multiple aspects of business. The strong brand equity follows for higher IPM even in short term, which will be complemented by absorption of Novartis field force, and we have plans to further expand the footprint. Further, post grant of Perpetual License, which happens in December 2026, January 2027, this acquisition is gross margin accretive. I would like to share that the operating margin profile here will be significantly higher than our domestic business margin posts the grant of Perpetual License. All in all, this complements the outlook we have on business. With this strategic agreement, JB Pharma now has the portfolio of leadership brands within Ophthalmology underlying our emphasis on growth through our powerful brands. On that note, I conclude my opening comments. We would now like to open this forum for our interactive session for the next 15-20 minutes and I will be happy to respond to all your questions on the announced transaction. Thank you all for patient hearing.

Moderator Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Harith Ahamed from Aventus Spark. Please go ahead.

Page 3 of 7 Harith Ahamed First questions on the September MAT face value that you that you have disclosed of around Rs. 208 crore, so how should I think about the primary sales for modeling purposes? Is it in line with

this Rs. 200 odd crore number?

Kunal Khanna Harith, the way to look at it is all the external market reflection is PTR and one can look at a normal margin profile between the distributor, retailer and the company. So, in that sense it is consistent with what the margin distributed to the channel is.

Harith Ahamed So, one of the reasons why I asked this question is because when I checked the AIOCD MAT value it is significantly lower number?

Kunal Khanna Yes, so basically from the PTR, just kind of deduct the distributor margin and you will have a sense of what the primary numbers are.

Nikhil Chopra For reference point is the way we look at we follow IMS-IQA number , so that will be a good reference point.

Harith Ahamed You talked about the gross margin and operating margin for the acquired portfolio after we execute the Perpetual License Agreement, which I believe is in Jan 27 , so until then, under the promotional distribution agreement, how should we think about margins, especially gross margins typically for licensed products is seen around 20 or 25 % , 20 to 30% range , so is it going to be similar ?

Kunal Khanna The way to look at this is the gross margin profile in the short term for the interim 3 years will be very similar to the conventional in -licensing margins, which exist in the industry . Overall , what we are looking at is absolute EBITDA, cumulative EBITDA of close to Rs. 75 to Rs. 100 crore over the next 3 years after which the operating margin profile, as Nikhil stated earlier also will be significantly higher than our domestic business margins.

Harith Ahamed And lastly, when I look at the growth profile of this acquired portfolio over the last couple of years basis , the numbers that you disclosed the IQVIA MAT these numbers if it is around 10% now, if I look at our acquisitions in the recent past, we have managed to turn around these acquired brands and accelerate growth, so should we look at a similar acceleration here versus the last couple of year 's growth of around 10% and does that mean there should more MRs to be added to achieve that growth ?

Kunal Khanna So, we are certainly looking at boosting this business and acceleration of the historic growth rates. The way to look at this is we are quite certain as we absorb the current field force and expand on the footprint in the near term, we should be looking at mid-teens growth over the near to midterm.

Moderator Thank you. We will take our next question from the line of Nitin Gosar from B OI Mutual Fund. Please go ahead .

Nitin Gosar Just wanted to understand how should we look at the agreement the way it has been drafted in two parts , so is there any obligation with regard to patent or something which is stopping us to buy out the brands upfront? How should we think about it?

Kunal Khanna There is no obligation with respect to any patent as far as Perpetual License is concerned . One has to understand that these trademarks which have been acquired are global trademarks what would be kind of a s part of their overall global ophthalmic divestment process is individually divesting in different geographies, right . The organization was more comfortable in handing over the perpetual license 3 years Page 4 of 7 hence , to be clear about what the global implications could be and that is why the grant is effective 3 years from now.

Nitin Gosar Second is with regard to understanding the agreement or the arrangement over next 3 years where Novartis still has the ophthalmic team or does JB also continues to add or build up ophthalmic team alongside of Novartis team ?

Kunal Khanna So, for this particular ophthalmic portfolio, which we are acquiring from Novartis, we are absorbing a team of close to 100 from Novartis . Over the next 12 to 18 months , we will be evaluating on expanding that footprint . The current number which we will be absorbing from Novartis stands

close to 100 . Over the next 12 to 16 months , we can look at increasing this into 130 to 140.

Nitin Gosar And P&L implication of the same because we are onboarding the cost of those employees , so we will have the cost sitting in our books, but we will continue to get gross margin which are similar to the in -licensing one ?

Kunal Khanna That is right . Since we will be absorbing this manpower, it will have impact on our manpower cost , but given that we are looking at gross margin, which is in line with the conventional in -licensing margin profile and as stated earlier, even for the next three years, cumulative EBITDA will be somewhere close to Rs. 75 to Rs. 100 crore.

One has to understand that YPMs, the productivity per rep in this business is very high. So, one does get a significant fixed operating leverage and despite the lower gross margin profile, one is still EBITDA accretive .

Nitin Gosar And last one, are there any milestones which could be required to be achieved to close this deal or this deal is now casted and there is no change in the valuation profile as we'll going forward?

Kunal Khanna This deal is pretty much casted, no change in valuation profile. It is just the nature of the deal given some of the global dynamics that for the first 3 years we have an in -licensing agreement and post that there is a Perpetual License grant.

Moderator Thank you. We will take our next question from the line of Abdul Kadar from ICICI Securities. Please go ahead .

Abdul Kadar Sir, just one question to start with on the chronic brands, what you have acquired , so sir, based on the data what you shared it more looks like these are pure kind of a mature brands sitting at a sizable market share , so when we talk about a mid-teen

growth, what is giving us confidence that in spite of the market being quite small, when we talk about the chronic portfolio, you would be still growing in mid-teens? Nikhil Chopra So, Abdul, if you look at overall, the burden of disease and you look at ophthalmology market, it is close to Rs. 4,000 crore and we with around Rs. 200 crore revenue holds 6 to 7% and the burden of disease of glaucoma is so high that we see good opportunity in terms of what we can do with our existing brands. Equally, within post chronic we also have antibiotics and combination eye drops and also we have antiallergics and NSAIDs. So, overall, I think what J B over a period of time has demonstrated not only with this transaction, but also historically if you see whether we see probiotic market, women health market, all those acquisitions that we have done, we are confident enough to drive maintain growth.

Abdul Kadar And sir just a final one, if I may, so on funding the transaction, how do you plan to fund? It is quite a distance away, but do you think you will turn cash positive till the time you have to make this US \$ 116 million payment?

Page 5 of 7 Nikhil Chopra Abdul, just for your information, we are right now today cash positive. Anything and everything that will be funded from internal funding will be done.

Moderator Thank you. We have our next question from the line of Sayantan Maji from UBS. Please go ahead.

Sayanthan Maji Just guiding on from previous participant question, so if I look at your chronic portfolio, the market share especially in the chronic portfolio for the molecules that have acquired is already high, so do you expect the categories itself to grow at a faster pace or do you expect that there is potential to expand the category similar to how you had thought for heart failure that a lot of population is undiagnosed and hence the category itself can grow, do you think that this can happen for some of your chronic acquired brands?

Nikhil Chopra So, I think it is a mix of both. If you look at what we have demonstrated over a period of time in our entire chronic therapies whether

it is in hypertension, heart failure and what we are trying to do in the world of lipid lowering agents, similarly for glaucoma based brands that we have acquired, earlier what I have stated that we have identified unmet needs, we are looking at the entire burden of disease with glaucoma and the relationship that we want to develop with the ophthalmologist equally what was stated in the commentary with currently high Y PMs and in short term we are looking at how can we boost that and eventually with JB strength, we will look at how do we improve our footprint. All this will help us in terms of improving our market share and driving better growth as compared to the way the ophthalmology market is going and this is why we have acquired. So, please understand the entire hypothesis of anything and everything that we acquire at JB is to grow the entire category better than the market growth and fortunately, what we have acquired is in the leadership area. So, leadership area, obviously you have to put effort in terms of creating firewall for the competition and looking at how differently you can look at the brands and with the specialty and eventually look at how do you grow all the category. That is the task which we have taken.

Sayantan Maji And also when you are suggesting that you will expand the field force space say by 30% to 40% over the next 1-1.5 years, so where will this extra field force be deployed, is it that the new prescribers you would target or if there are any geographies where probably these plants underpenetrated, so just wanted to understand where will that field force be deployed?

Kunal Khanna Essentially, it is going to be new geographies targeted by us. Currently, as we understand, almost 75 to 80% of the ophthalmologist coverage is serviced by the current team. So, certainly new geographies which give us access to the remaining 25% to 30% is what our endeavor will be.

Sayantan Maji And one last question, so if I look at the covered market of the brands that you have acquired is close to Rs. 1,000 crore, the total market for Ophthalmology is Rs. 4,000 crore, so the difference, the gap that is there right now of Rs. 3,000 crore, is it the same therapies, but different molecules or are these different therapies altogether where you plan to probably expand your portfolio once you start getting some traction with ophthalmology because Novartis plants should be well recognized with Ophthalmology, so do you think there is a scope to expand into some other sub-therapies within Ophthalmology?

Kunal Khanna Absolutely, there is potential to expand into different sub-therapies. Having said that, when one looks at covered market, it should not be looked at molecule specific covered market, one should really look at indication specific covered market. So, from an indication standpoint, we are still covering almost Rs. 2,500 to 2,800 crore of the ophthalmology market, which is being stated. Now, there will be opportunities for us

Page 6 of 7 to do lifecycle management to launch combinations of existing molecules which

currently Novartis is not servicing. So, that is the way one really has to look at it.
Sayantan Maji And what would be the remaining say, Rs. 1,20 0 crore market which probably you are not addressing right now with this portfolio ?

Kunal Khanna So, these are different combinations of the similar drugs in acute and antiglaucoma, right, so the re would be prostaglandin combinations and things like that , antihistamine combinations which will be natural progressions for us over the next 12 to 18 months.

Moderator Thank you. We have a nex t question from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil If I understand correctly, this Rs. 964 crore will be paid in December 26 and Rs. 125 crore will be paid right now , is that correct?

Kunal Khanna Yes, that is cor

rect.

Bino Pathiparampil And if I heard correctly, you said the cumulative EBITDA over next 3 years till the perpetual agreement comes in will be Rs. 75 to Rs. 100 crore ?

Kunal Khanna That is correct. That is cumulative over the next 3 years.

Bino Pathiparampil So, are we paying like Rs. 125 crore for this Rs. 75 to Rs. 100 crore of EBITDA? Am I missing something here?

Kunal Khanna Not at all. This is marketing, distribution and licensing fee what we are really paying for. EBITDA i s completely different based on our operations, what we sell in the mark.

Rs. 125 crore is the licensing fee for the next 3 years and post 3 years , there is some tech support , quality reference standards which will be established for us to kind of acquire the Perpetual License which will be very critical in the transitioning phase.

Bino Pathiparampil But effectively , we are paying Rs. 125 crore for a cumulative EBITDA of maybe Rs. 100 crore, right?

Kunal Khanna So, basically , what you are coming to is Rs. 125 crore being paid for the next 3 years, right? That is correct.

Bino Pathiparampil And in return , we are making EBITDA of only Rs. 100 crore ?

Kunal Khanna Yes, cumulative EBITDA of Rs. 75 to Rs. 100, that i s correct.

Bino Pathiparampil And this 125 would be amortized over next 3 years?

Kunal Khanna 125 will be amortized over the next 6 years.

Moderator Thank you. We will take the next question from the line of Punit Pujara from Helios Capital. Please go ahead.

Punit Pujara Sir, could you elaborate on the lif ecycle management which you touched upon? And could you do it in the current in -licensing space or you have to do it post Jan 27?

That is my first question.

Page 7 of 7 Kunal Khanna As far as lifecycle management is concerned we can do it right away. We don't have any limitations on new product launches, entering new indications. There are no restrictions for us.

Punit Pujara Second question is, sir, how many numbers of specialists are currently covered by the portfolio that you have in -license d and is there any target that you are calling out on the same?

Kunal Khanna So, the total universe is close to 22,000 ophthalmologists. The standard coverage based on the current field force size is closer to 15 ,000 to 16,000.

Punit Pujara And although from the language , it is very clear, but I will still ask for the clarification , is there any royalty to be paid post Jan 27 because it is still a perpetual in -licensing ?

Kunal Khanna No, there is no royalty. There is an upfront consideration of \$116 million . That is all.

Moderator Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

Nikhil Chopra So, let me once again thank all of you i n terms of coming and attending the call today.

What I would like to conclude is in terms of now with this entire opportunity at JB, we enter into a very progressive segment that is Ophthalmology which is the third largest fastest growing segment today in Indian pharma market and what I share d in my comment is that this comes with leadership position 5 of the brands out of total 10 brands that we have acquired are number one in their category. And also, it does not disturb our capital structure as of date because we are cash positive and the value which we have to pay is at the end of 3 years that is \$1 16 million and overall, the business 3 years from here, at the time of Perpetual License Grant is significantly highly margin accretive as compared to our dom form (domestic formulation) . This is where we stand . Once again looking at how do we make this opportunity bigger and create value for our stakeholder a nd some more and more number of patients across now in the field of Ophthalmology, from the quality eye drops, which comes from the house of Novartis and eventually from JB. Thank yo

u. Thank you all.

Moderator Thank you. On behalf of JB Pharma, that concludes this conference. Thank you for

joining us and you may now disconnect your line s.

Call: Feb 2024

February 12, 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on February 7, 2024 at 3.00 p.m. IST in relation to results and developments for the third quarter ended on December 31, 2023. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 14

J B Chemicals and Pharmaceuticals Limited
Q3 FY'24 Earnings Conference Call
February 07, 2024

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day, and welcome to J.B. Pharma's Q3 FY'24 Earnings Conference Call as on the 7th of February 2024. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza, Executive Vice President, J.B. Pharma. Thank you, and over to you, sir.

Jason D'Souza: Thank you, Ryan. Welcome to the earnings call of J.B. Pharma. We have with us today, Nikhil Chopra, CEO and Whole Time Director, Kunal Khanna, President Operations at J.B. Chemicals and Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q3 FY'24 results presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call and for his opening comments. Over to you.

Nikhil Chopra: Thank you, Jason, and good afternoon, everyone, and thank you for joining us today on J.B. Pharma's earnings discussion for Q3 and 9 months FY'24. During today's interaction, I shall cover progress

made by the business during the quarter, the imperatives that lie ahead and underlying the strategy for
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the growth. I will commence with Q3 results, where, yet again, our domestic business has stood ahead of the market in terms of performance. Let me bring up highlights of Q3 FY'24 results.

We reported revenues of INR845 crore, up 7% year-on-year. The overall revenue growth was impacted by strategic choices made in international business, especially South Africa. Excluding South Africa business, our revenue grew by 10% in Q3 FY'24 and 14% in 9 months FY'24. However, while the strategic decision impacted our top line, it boosted operating margins for overall business. Further, given our cost optimization efforts and favourable product mix, we also saw a marked improvement in gross margins by 530 bps in Q3 FY'24 versus Q3 FY'23. We reported considerable gains in operating EBITDA margins, which stood at 27.8% in Q3 FY'24.

Turning the attention towards domestic business, we saw a h

andsome growth of 14% to INR462 crore

in Q3 FY'24, which was on the back of continued traction in the chronic segment and recovery in acute business. J.B. Pharma stood as the fastest-growing company within top 25 in IPM as per IQVIA MAT December 2023 that are growing at 16% versus 10% IPM growth. With focus on chronic therapies and life cycle management, we have further enhanced our market rankings for our all key brands, which has been shared in the investor presentation deck.

The acquired portfolio is also showing a traction, and we are already looking at Sporlac as 1 of the big brand to be in INR100 crore brand club. It too has jumped 30 ranks year-on-year, standing to date 331 the rank as per IQVIA MAT December 2023 data. If one looks at Sporlac franchise units in totality, this is now INR121 crore portfolio as reported in IQVIA MAT December 2023 data. In keeping with our strategy of having leading brands within our offering, we entered the ophthalmology segment via our agreements with Novartis. We will now rank among the top 4 players in the covered market in ophthalmology segment.

We have a strong portfolio of leadership brands in this segment, with 5 of the brands being at #1 position and another 4 in top 3 in their respective molecule market segments. We remain excited about this portfolio because ophthalmology segment is expected to outpace IPM growth consistently. The deal is in line with our thesis of entering into high-growth progressive portfolio segments with high market share in the IPM.

Over there, I would like to emphasize that in the past 3 years, we have managed to transition the India domestic business from operating in stable, less growth segments to now operating majorly in progressive segments. If you notice, our CVM is growing at 12%, that is covered market for J.B. growing at 12% and J.B. domestic business within that CVM is growing at 16%. The covered market growing at 12% is 200 bps higher than IPM, indicating the progressive nature of India business. This will ensure sustainability of India business growth for a longer period of time. The addition of ophthalmology portfolio will only increase our CVM growth opportunity, all this points to a progressive portfolio for India market, which I emphasized upon joining the organization 3 years ago.

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Moving on to the international business. We reported a revenue of INR383 crore in quarter 3 FY'24. This includes South Africa, which, when we exclude the business, has reported a modest growth in moreover. CDMO, moreover has seen a minor dip during the period, going to base effect of quarter 3 last year, historically being a slow season for the business.

However, I'm happy to share that the order book for the forthcoming quarters for CDMO looks very healthy. The export branded business -- export branded generic business is doing very well and remain optimistic about that part of the business in international markets.

I will share key pointers for our 9-month performance now. The 9-month FY'24 revenues rose by 10% to INR2,622 crore. This comprised domestic revenue of INR1,432 crore, up 14% given impactful execution of our strategies. The international business saw formulation growth of 6% to INR802 crore during 9 months of FY'24 on the backing of strong exports in RoW market.

Strategic decisions regarding South Africa business continued to impact the international revenues, excluding which the growth was in double digits. Our operating EBITDA, excluding ESOP charge in 9-month period came in at INR729 crore, while the margin stood for -- at 27.8% for the 9 months FY'24.

Going forward, execution is going to be the key in such a volatile environment, and we are in a position to respond with agility in terms of portfolio and business mix decisions. J.B. Pharma will continue to pursue growth in domestic market, led by chronic strategy. You have seen the momentum of our brands

, brand-focused approach, both on organic and acquired portfolio basis. Along with the domestic business, our CDMO business will also remain in the area of focus, as mentioned earlier. Looking forward, we would like to continue focusing on strengthening our brands in domestic market and making them bigger while focusing on the recently acquired portfolio. Internationally, we are ramping up our CDMO business. We have seen a good traction of our innovative offerings and also have identified opportunities in our RoW markets. We run a healthy balance sheet and our cash flow position continues to be strong.

With this, I would also like to inform that we have appointed our new CFO, Mr. Narayan Saraf, effective from Feb 23, 2024. Mr. Saraf is a qualified chartered accountant and cost accountant and has 2 decades of work experience in the field of finance and accounts working with companies like ONGC, Indus, Unilever, Cipla and Thermo Fisher India Private Limited.

With this, I will conclude my opening remarks and wish to open the quorum for questions and answers. Thank you all for patiently hearing.

Moderator: The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Congratulations on good set of number. Sir, on your ophthalmology portfolio, if you can give more colour on it that since it is an in-license drug, what impact it will have on the GC, that is gross margin on an annual basis from the current levels? And also, your other expenses or employee cost is expected to

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go up because of this portfolio in terms of promotion, marketing, and you have also hired 75 to 80 MRs.

So, if you can give more picture on how the EBITDA margin could look like FY'25, '26? And also, this will be reflecting in quarter 4, so your EBITDA margin, excluding the ESOP of 25% to 27% impact in FY'24?

Nikhil Chopra: So, in case of ophthalmology portfolio, and this is for the group, we would like to reserve our comments. But what I can speak right now, it's a starting point. We would like to get our hands get to understand the business better in first 100 days, that is quarter 4, starting quarter 4, and it has been 15, 20 days of operation. It's a -- as reported in IMS, it's INR200 crore business. And the portfolio that we are present in is more interval of glaucoma, NSAIDs, anti-allergic, that is where we stand. Overall, from a guidance perspective, including our ophthalmology portfolio, which we have bought in, our guidance continue to remain 25% to 27% for the coming year also. More colour on ophthalmology once we get to know the market better, we will be able to talk about it post our quarter 4 results.

Rashmi Shetty: Sir, in this 25% to 27%, you're talking about the operating margin, right, excluding the ESOP?

Nikhil Chopra: Yes, is. Right now, what I spoke about 25%, 28%, the guidance remains same.

Rashmi Shetty: Okay. And related to your international formulation business in South Africa, this rationalization activity will take how long? Whether it will be continued in FY'25 also? If you can give that picture.

Also, currently, in South Africa business, what is the mix now after rationalization of the ratio between your private as well as the tender business? Because earlier, it was around 50:50?

Nikhil Chopra: So earlier, it was 40:60, 40 was private and 60 was public. This rationalization will continue till end of quarter 1. Next couple of quarters, you should see that impact. And I'm happy to share that this \$30 million business that we are doing in South Africa this year, the contribution has reversed. Now, the Private is contributing around 60% and public is contributing around 40%.

That is where we stand, and we have -- we are looking at more and more opportunities, how do we improve our share in private market, how do we get into some consumer business? We have launched some of our own lozenges in South Africa

a market. So once all those things start to -- start contributing, we will be sharing more colour on that.

Rashmi Shetty: Okay, sir. And excluding South Africa in the international formulation business is -- you're getting any prospects from the U.S. because their price erosion seems to be softening and overall improvement in the market dynamics. So, is the U.S. business becoming sizable or it is the same?

Nikhil Chopra: Our U.S. business is around \$30 million. And earlier also, what we have mentioned in our earlier commentaries, we conceptually, the model is a cost-plus model where we have -- we, as a company - owned 15 ANDAs and we have been filing 4-5 ANDAs to find us every year.

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Eventually, in a couple of years, two, three years, we should see this business from \$30 million going to \$50 million. No plans in terms of getting directly representation in U.S. business. And this is where we stand. Our aspirations are not that big for the U.S. business.

Rashmi Shetty: Got it, sir. And one last question. You have given a CVM growth of 12% in the domestic business. Can you give the CVM market share also?

Nikhil Chopra: Market share, I can come back to you, but it's a good opportunity size CVM presence that we have got. But offline, we will be more than happy to share it with you in the current time.

Moderator: The next question is from the line of Tausif Shaikh from BNP Paribas. Please go ahead.

Tausif Shaikh: Congrats on a good set of numbers. My first question is on the ophthalmic segment. Say, existing brands does not have any product for dry eye segment and which I believe is one of the largest segments in the total eye care market if I see. And in the previous comment, you have said, the existing agreement does not stop you for launching any new products. So, any comments on those. Do you have any near-term plans to launch dry eye products?

Nikhil Chopra: Which products? Dry eye.

Tausif Shaikh: Dry eye, yes, and dry eye category.

Nikhil Chopra: So earlier, I think what I shared is I think you should -- you will have to excuse us for comments coming into the ophthalmology opportunity, what I said earlier. Let us get to understand we are using this time period to understand the market better and post our quarter 4 results, probably in our quarter 4 commentary results, we will be happy to share more details in the coming time.

Tausif Shaikh: Okay. And second question on our M&A strategy now with Novartis segment in 2027, I think it's 2 years from now. What is the M&A strategy for FY'25? Are you still looking for assets to be acquired?

Nikhil Chopra: Yes, yes. We are looking at opportunities and tomorrow, we have a team, M&A team who continue to evaluate assets and then there's an opportunity, we 100% are looking at it. And as and when everything comes substantial comes, we will be more than happy to share with.

Moderator: The next question is from the line of Alka Katiyar from Baroda BNP Paribas. Please go ahead.

Alka Katiyar: Sir, if you can comment on your order book visibility for CMO?

Nikhil Chopra: So, our CMO business average is around INR100 crore a quarter. And I think there was a minor dip in quarter 3. That is -- that happens every year. So, it is not a worry. Probably, I think quarter 4, we should be close to INR100 crore. And the way we have planned our business getting into new geographies, which is part of our Mexico, Brazil, some parts of Europe, getting into new therapeutic segments, more partners, this business -- the guidance that we have given for this business in the

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coming time, which is around close to \$50 million, 3 to 5 years, you should see this business going to \$100 million.

Alka Katiyar: Fair enough. And just if you can -- like we have seen a Q-o-Q gross margin expansion about 140 bps. So, what were the major key drivers?

Kunal Khanna: So, as we have

mentioned during the last call, some softening of rates, which have happened around Q1, the actual benefit of that we would be realizing later in Q2 and majorly in Q3. So that's the key driver for improvement in gross margin profile.

Moderator: The next question is from the line of Dheeresh Pathak, WhiteOak. Please go ahead.

Dheeresh Pathak: Sir, what was the organic growth this quarter in domestic business?

Kunal Khanna: Pretty much what we see. Everything is organic and inorganic on mine because all our acquisitions are in the base right now.

Dheeresh Pathak: But maybe I have a wrong understanding this Denmark Basel portfolio, this was not in the base, side.

Kunal Khanna: So that's not making much of a difference to our overall growth numbers.

Dheeresh Pathak: There will be INR15 crore, right? It's at 4 percentage points to the growth.

Jason D'Souza: No, no. But then there is an impact of our model. So, I think that's what I was trying to mention.

Dheeresh Pathak: I did not understand, Jason, what did you say?

Nikhil Chopra: Net-net, what we are trying to share with you that everything that we are counting is a part of now organic growth. So that is what you should take as a commentary.

Dheeresh Pathak: No, sir, this is not very clear because if you can just explain whether it was part of the base and not part of the base?

Kunal Khanna: So, part of the...

Dheeresh Pathak: Part of the base, not part of the base except reason, what is the growth?

Kunal Khanna: Part of recent billing was already included because it was acquired in the month of December. There was some billing, which was included, right? What you have to neutralize is overall impact of close to INR6.5 crore to INR7 crore.

Dheeresh Pathak: INR7 crore. Okay. So almost close to 2 percentage points goes away. So that 12% would be the growth, right?

Kunal Khanna: And just on that, the point which was added was there was value erosion of Azmarda also. So net impact pretty much remains that the overall thing, which we were coming to.

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Moderator: The next question is from the line of Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani: Sir, on the CDMO business, we were doing an expansion of the packaging line, and we had acquired a land parcel as well last quarter. So, can you comment in terms of this capacity expansion progress on the CDMO business? And have we able -- and any traction in terms of adding either new clients or new products to this business?

Kunal Khanna: So, on the capacity expansion part, we currently have manufacturing and packaging capacity for 18 crore lozenges, which by end of Q2 was back at 13 crore to 14 crore lozenges. So that capacity expansion has already happened. And as mentioned in the last call, we would be ready with the actual throughput capacity of 18 crore by end of December, that's been executed as per the plan.

On the customer addition part, there was 1 anchor client, which was added last year, and there have been a couple of more added this year. But beyond that, we would not be able to comment anything at this stage.

Rahul Jeewani: Sure, sir. And on the margin guidance, which we have been giving of 25% to 27%, now if we look at our operating margins on a 9-month basis, this year have been around 28%. And with the growth which we are talking about in the domestic business and the CDMO business and the fact that incremental growth in India for us is being driven by chronic. Don't you think that FY'25 margins will potentially be higher than the range, which we are talking about, given that this year itself, we are closer to a 28% kind of a margin?

Nikhil Chopra: So, Rahul, this is Nikhil. If you look at overall the business dynamics, overall, what you -- everybody knows in terms of what is happening in the world of Red Sea, the freight costs have started escalating. There are some of the ma

for API costs, which are also being on the higher side. And the way we are looking at businesses, fortunately, that we have been on the higher side of the guidance, but I think the guidance which we are comfortable is ranging between 25% to 27%, which conceptually, the teams at J.B. are confident to deliver.

Rahul Jeewani: Sure, sir. And apart from, let's say, any external shocks, be it in terms of increasing freight costs, do you think that we will continue to see a steady margin improvement going forward? Or are we more focused in terms of ploughing back some of this profitability to drive higher growth in the domestic business?

Kunal Khanna : Sorry, Rahul. Could you repeat the last second part of your question?

Rahul Jeewani: Whether this incremental profitability, you want to invest back into the domestic business either in terms of let expansion to drive higher growth.

Kunal Khanna : So, I think if there is no uncertainty and volatility, we should be maintaining the margins, which we currently have, right? Because we do not necessarily have to invest significantly in part of our existing domestic business. We should remain closer to the margin profile, which we have.

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Rahul Jeewani: Sure, sir. And lastly, on the export business, now this year, obviously, has been a bit muted because of rationalization of the South Africa business. Do you see any other parts in your export business, which you can further rationalize in terms of any thoughts on rationalizing the Russia business given that is also a low-margin business for us?

Nikhil Chopra: For Russia business, there's not low margin business for us, it is a high gross margin, and we are into branded market formulation marketing. And there is no -- there is nothing as there tomorrow we will be rationalizing. And this also -- South Africa, the rationalizing only has happened in the world of public market. So, there is no point of rationalizing any other part of the business.

Rahul Jeewani: Okay. Sure, sir. So, you are saying that even I was asking about our own Russia business, it's of the CMO supplies, which we...

Nikhil Chopra: Our own business, yes.

Kunal Khanna : So now is the profitability because of the gross margin profile works in our favour. Whatever cost optimization initiatives need to be taken; we are looking at that. But as Nikhil mentioned, further opportunity for portfolio rationalization to improve the product margin mix, not specifically for Russia.

Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Just a question on Azmarda, given in the last year, it seems like Azmarda is not performing as well as we would have expected. Is that the case? How is it panning versus your initial expectations of the product post the competition that has come in? And do you -- what do we need to improve the performance of Azmarda from here?

Kunal Khanna : So, there are 2 parts of the Azmarda, one is how the market is growing. And the second is how we have been able to kind of protect our market share in this growing opportunity. First of all, it's a growing and progressive market. Yes, after our initial estimates, we would have -- we thought that the market will grow by 2.5x. It's not grown by 2.5x, it's grown by 2x still, and it will continue to grow because it's a progressive category, right? We would not kind of state that we have underperformed in this market.

Yes, we have some higher expectations in terms of volumes increase and the price is -- the competition is much more intensified because of some of the generic entry, but that is not cause of panic because we continue to protect our market share. We continue to drive the therapy with the cardiologist. The strategy execution is pretty much as per plan.

Whether on month-on-month sequential basis, we should have been probably 8% to 10% higher based on our i

nitial estimate. Yes, we could have been higher, but we are on the right part. So, we do not see really any reason to kind of be worried about how the brand is positioned.

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Neha Manpuria: And what do you think takes the -- our growth higher? It is just the category growth that alone is enough to improve the growth? Or are we trying to do anything else differently...

Kunal Khanna : Category growth alone on a stand-alone basis will kind of ensure that we are doing in this market as well. So, it's quite progressive and Azmarda is 1 of the top 3 brands. So, the category growth alone will ensure that we are progressing. Whether we want to -- yes, we want to do more to increase our market share. Those efforts will always be undertaken by us.

Neha Manpuria: Understood. And my second question, I know you did mention that you continue to expect that U.S. over time will ramp up, but your model there is not changing. But in terms of our filing strategy, is that changing versus what we have mentioned previously? Or it's the same couple of findings that we have...

Kunal Khanna: No change in our filing strategy. It's basically 3 to 4 filings per year. That is a run rate which we will maintain. And it will not be any specialty or complex products. We pretty much work with our oral solid dosage forms in the U.S. market, with the key differentiator being our cosmetic release platform.

Neha Manpuria: Understood. So, one other question, a follow-up, if I may. Within the domestic market, is there any therapy area we would like to launch more product in terms of white spaces in the focus areas that we're looking at from a covered market perspective, case in point in, being, let's say, SP or pediatric, would you -- I mean, are those areas where you want to do more, launch more products, expand your

shares?

Nikhil Chopra: So, we continue to launch 4 to 5 products every year. We will be more than happy to launch products in the world of GI, pediatrics, respiratory cardiology. So that you will continue to see our new product contribution continues to be around 3% to 4% every year. And I think we have got enough now portfolio in hand in terms of how do you leverage that and make the best use of what you have got in hand.

Neha Manpuria: Understood. So, we do not necessarily need to expand the portfolio to grow this segment?

Nikhil Chopra: So, we continue to -- what I said earlier, we will continue to do life cycle management in terms of we are -- you should see us launching in next quarter, we got the merger of Sporlac. We should continue to see versions of -- better versions of products in the GI portfolio. We definitely -- we should see one of the product launch. So, you should see 4 to 6 launches every year from our end.

Moderator: The next question is from the line of Utsav Jaipuria from DAM Capital. Please go ahead.

Utsav Jaipuria: My question is on gross margins over the last 3, 4 quarters, there has been a very strong scale -up in the gross margin number. How much further headroom do you think you have on this account? Do you think we can get to like a 70%, 71% number?

Kunal Khanna : Right now, this is the base which we want to work with. There are 2 key value levers for us, which has helped us scale up our gross margin profile over the last 6 to 8 months. One is the overall

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increasing mix of chronic within the domestic business and the fact that our products, Razel and all significantly started contributing to our overall portfolio mix. That is one reason, and there were a lot of cost improvement initiatives which are underway.

So, we are seeing the benefits of that. This is the base we should be working with. There are always efforts to improve whatever we can, and those efforts will always be pursued.

Moderator: The next question is from the line of Sayantan Maji from UBS. Please go ahead.

Sayantan Maji : So just continuing

on the previous question. So, within chronic, what products or what product families would have significantly driven the improvement in gross margin? Because...

Kunal Khanna : For us -- yes, for us. Essentially, the Cilacar franchise, the Razel franchise, the Nicardia franchise. And also, we saw improvement in gross margins from Azmarda.

Sayantan Maji : Okay. Got it. And in Brazil, is that current candidate, say, meaningfully higher than the pre-acquisition run rate of INR50 crore? So, can you give some idea as to how that portfolio is doing for us?

Kunal Khanna : We will not want to specifically comment on the internal numbers, but the market reflection is good enough for you to understand how the run rate has improved pre-acquisition and post-acquisition. We are certainly seeing a significant, significant improvement in the uptake of this brand.

Sayantan Maji : Okay. Got it. And also, there was a comment that other expenses were higher by 8% year-on-year because of some increase in freight costs. So -- but if I look at it on a sequential basis or even if I look at versus 1Q, it has pretty much remained the same. So, is it that the impact of higher freight cost has still not come in? And do you anticipate some impact going ahead?

Kunal Khanna : Sorry. Could you just completely repeat the question, the trade cost was in future anticipation...

Sayantan Maji : Yes. So other expenses, if I see versus 1Q or 2Q, it has pretty much -- I mean it has been flattish while there is a year-on-year increase, but sequentially, it has been pretty much flattish. So, do you expect these freight costs took impact in the future quarter?

Kunal Khanna : There will be some very -- some level of impact, which will continue in Q4 based on what we have seen in November, December.

Sayantan Maji : Okay. Got it. And my final question is on CDMO. So, in CDMO, I remember there was a guidance that you expect this business to contribute to 15% to 20% of the total business in the near term and \$100 million from the current run rate of \$50 million. So, is it really coming from the contribution from the new launches you were working on some new disease areas? So, is it mainly coming from there? Or will it come from entering new geographies or adding new clients? So, what will be the single most important driver of growth of this business in the next 1 or 2 years?

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Nikhil Chopra: There are 3 levers, which I earlier explained. One is newer geographies, which we are trying to get into and those geographies are a mix of Europe South Africa, Mexico, Brazil. New partners, which I cannot share right now. And third is new therapeutic segments. And probably second half of FY'24, '25, you should start seeing some of the new launches seeing the daylight, which may be a combination of lozenges, in the area of pain, in the area of sleep disorders, oral thrush, immunity wellness, those are the things that are in there. So, it's a combination of new partners, new geographies and new therapeutic areas. And our guidance remains same, \$50 million to \$100 million in three to five years.

Moderator: The next question is from Neelam Punjabi from Perpetuity. Please go ahead.

Neelam Punjabi: Congratulation on some good set of numbers. My first question is on the domestic business. So, excluding the acquired ophthalmic portfolio, what's the growth rate that we are targeting for this business in the next fiscal year?

Nikhil Chopra: The growth to India pharma market should grow at around 10%, that is what the way I see Indian pharma market growing. We should be growing at around 200 to 300 bps better than the market.

Neelam Punjabi: Got it. Okay. And was the growth rate that we're targeting for our international formulation business next fiscal?

Nikhil Chopra: Close to 10%.

Neelam Punjabi: Okay. And my final question is on the ESOP expenses. So, this has gone up sequentially as compared to

o last quarter. So, what's the reason behind it?

Kunal Khanna : There are some allocations based on the fair value, which has been kind of adjusted. And that's why you see, on a sequential basis, some level of increase. But from a going forward perspective, what you see as the quarterly ESOP charge, that's how it will remain, right? So, you do not -- you should not expect any further increase.

Neelam Punjabi: Got it. Sir, for the next fiscal year, what would be the ESOP expense if you can help me understand that?

Kunal Khanna : It should be close to 45 to 48.

Nikhil Chopra: Full year.

Moderator: The next question is from Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani: Can you please comment in terms of what is our existing cash balance right now?

Kunal Khanna: So, we are basically, from a cash balance perspective, close to INR136 crore net positive. Our operating cash flows are closer to INR614 crore, so which is almost 84% of the YTD operating EBITDA as reported.

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Rahul Jeewani: Sure. This is for 9 months?

Nikhil Chopra : Yes.

Kunal Khanna : Yes.

Rahul Jeewani: Sure, sir. And sir, just on this comment which you made about the growth expectation for your India business. Now, obviously, your covered market is growing at a 12% kind of a rate, then ideally on an organic basis, our India business growth should be closer to 14%, 15% instead of, let's say, when you commented, you commented versus IPM.

Nikhil Chopra: So, Rahul, we have been always in line with IPM, the way IPM deals and you have seen over the last so many quarters that we have beaten the IPM performance, so what guidance I have been telling, if market is growing at around 8%, 10%, we should be 200 to 300 bps better than the market.

Rahul Jeewani: No, no, sir, I'm asking that you also referred to the fact that the covered market in which you are present, is growing at a faster rate. And within that, you are even beating the covered market growth. Then the growth expectation, which you have for the domestic business next year, should ideally be some sort of outperformance versus the covered market growth instead of the IPM growth. So, am I missing something there?

Kunal Khanna : Rahul, just to simplify things, right? Out here, what Nikhil mentioned was total IPM growth, right? It's going to be 10%. Now at this stage, we are not kind of clearly pinpointing what's the covered market growth. We have always maintained that we will be 200 to 300 bps higher than the overall IPM growth. In our case, we pretty much drive the covered market growth because the molecules, where we are present, we have a dominant position.

So, you have to think that way that if the covered market is also growing higher, it's basically because we have dominant 50%, 60% market share in the categories which we play, and that is what we are driving, right? We will also be, of course, more than the covered market growth. So that's the way we look at it. The only other clarification which we can give at this stage is 200, 300 bps higher. And actually, the reported growth will be also higher because you add to the ophthalmic portfolio.

Moderator: The next question is from Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: On your comments regarding the gross margin sort of basing out around this current level of 68%, sir, when you look through the next 2, 3 years, what would be the drivers for our incremental operating level -- for incremental EBITDA margin improvement from here on? Or do we see EBITDA margin sort of stabilizing around the 25%, 27% mark from here on?

Nikhil Chopra: So, Nitin, as of now, the guidance that we are giving is 25% to 27%. Overall, over a period of time as our contribution from chronic therapy improves and CDMO improves, as and when that has a substantial effect, we will revise our guidance at that time.

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Nitin Agarwal:

Okay. And sir, on the export part of it, I mean, on a, say, next 3 to 5 years period, do you see the exports going faster than the domestic business for you?

Nikhil Chopra: We did see earlier, Nitin, if you look at our investor deck, the ambition is India, which is contributing to the 53% to overall revenue should contribute 60%, and CDMO, which is contributing 12% should contribute 20%. So, between India and CDMO, the contribution should be close to 80%. There is a guidance that we have kept for ourselves. And that is what we have been commenting for last now 3, 4 quarters.

Nitin Agarwal: Right. Sir, I mean, it's just sort of pushing the point. If you take India growth as a 12%, 13% base, and it's going to be growing faster than -- and you expect it to grow faster than the overall business for you?

Nikhil Chopra: Yes.

Moderator: Thank you . Ladies and gentlemen , to ask a q uestion please press star and one on your touchstone telephone .

Jason D'Souza: We have a question on the chat. Basically, t he question is on how does the Sanzyme franchise been performing and in particular, our Sporlac been doing?

Kunal Khanna : We have certainly delivered very strong performance on Sporlac over the last four to five quarters, and we maintain that we are going to continue looking at ma rket leading growth in the overall probiotic franchise. As Nikhil mentioned earlier also, some of our new launches under the same b rand umbrella are also doing well.

So, we have some new strains, which have been launched specifically focusing towards pedia. There will be one more SKU launch towards pedia division, and that will certainly help boost the overall franchise further.

Jason D'Souza: Yes. That's it from the chat box.

Moderator: Thank you very much. That was the last question. I would now like t o hand the conference back to the management team for closing comments.

Nikhil Chopra: So let me thank all the participants for joining the conference today. I think 9 months for the year , overall, it has been a fair performance, what we have delivered, with close to 1 0% growth and around 20% plus EBITDA growth. And that will be the guidance for the current year. And for the coming year, the business should grow at around 12% to 14% top line, EBITDA should grow at 16% to 18%, and then the hypothesis is that J.B. remains and how do we invest to grow .

And the journey continues to be only upwards and onwards. That is what we can comment with what we can do with our existing portfolio, making big brands bigger, making our new launches successful
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and do justice to the acquir ed portfolio. Thank you all for patience hearing. We will stay in touch with you. Thank you.

Moderator: Thank you very much. O n behalf of J.B. Pharma, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now d isconnect your lines.

Call: May 2024

May 24 , 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on May 21 , 2024 at 1.00 p.m. IST in relation to results and developments for the fourth quarter ended on March 31, 2024. The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 15

J B Chemicals and Pharmaceuticals Limited
Q4 FY '24 Earnings Conference Call
May 21, 2024

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day, and welcome to the J. B. Pharma's Q4 FY '24 Earnings Conference Call as on the 21st of May 2024. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'souza , Executive Vice President at J. B. Pharma. Thank you, and over to you, sir.

Jason D'souza : Thank you, Dr. Vin. Welcome to the earnings call of J. B. Pharma. We have with us today, Nikhil Chopra, CEO and Whole Time Director; Kunal Khanna, President, Operations; and Narayan Saraf, the CFO at J. B. Chemicals & Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q4 results presentation that has been sent to you earlier. I would like to now hand over the floor to Mr. Nikhil Chopra to begin the proceedings for the call and give us his opening comments.

Nikhil Chopra: Thank you, Jason, and good afternoon to all of you, and thank you for joining us to discuss J. B. Pharma's quarter 4 and full year performance FY '24. During today's interaction, I shall walk you

through the business performance for Q4 as well as the full financial year 2024 and sell through some light on our outlook for the business for the coming year.

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Dear friends at the onset, I'm pleased to share that J. B. Pharma achieved all around outperformance for quarter 4 as well as for FY '24. And our reported revenue for quarter 4 FY '24 was INR862 crores, recording a healthy growth of 13% year -on-year and closed the year with INR3,484 crores of revenue, registering growth of 11%. Overall, top line was impacted by strategic choices we made with respect to our South Africa business, excluding which, revenues grew at 17% in quarter 4 and 14% in FY '24. When it comes to profitability, our cost optimization efforts and favourable product mix aided in improving it significantly. Gross profit margins expanded by 130 basis points in Q4 FY '24 to 65.2%. And for the year, it expanded by 320 basis points to 66.1%. Operating EBITDA, which is EBITDA excluding n

oncash ESOP cost, witnessed year -on-year improvement to 23% to INR939 crores in FY '24 and 16% in Q4 FY '24 to INR210 crores.

J. B.'s balance sheet further strengthened in the year, and I'm glad to state that we are now net cash positive company. There has been a reduction in gross debt which was INR357 crores as on 31st March 2024 versus INR548 crores as on 31st March 2023. ROCE has also improved to 27% in FY '24 versus 21% in FY'23.

Now let me take your attention to our business performance, starting with the domestic business, which grew strong to INR465 crores in quarter 4, registering growth of 22% and INR1,897 crores in FY '24 , recording a healthy growth of 16%. This was driven by strong brand portfolio, meticulous execution on basing on the field productivities and higher share of chronic products. I'm pleased to inform you that the ophthalmology portfolio integrated smoothly with J. B. Pharma's DNA in January 2024 and has already started registering delivering growth. We remain optimistic about our ophthalmological business.

Our MR productivity metrics has almost doubled in the last 4 years, which stands to 7 lakhs at the end of FY '24 , which is per month per medical rep. J. B. has retained position as one of the fastest -growing company in top 25 in IPM, and we have outperformed IPM at 10% versus 7.6% industry growth as per IQVIA , MAT March 2024 data. I am also glad to announce that the company's 5 biggest brands now rank among the top 150 in the industry according to IQVIA MAT March '24, which is Rantac, Metrogyl, Cilacar , Cilacar T, Nicardia . The portfolio of brands that we have acquired has also given us momentum. As per IQVIA MAT March '24 our sporolac franchisee recorded a revenue of 122 crores growing at 33% CAGR in 3 years. Azmarda , our heart failure pill, dropped INR75 crores, and Razel has shown 24% growth year -on-year.

Our latest acquisition of Ophthalmology is integrated well and has recorded 11% growth month -on-month in March '24 as per IQVIA data. I would also like to emphasize that all our big chronic brands have registered strong volume growth. As per IQVIA , MAT 2024 March, Cilacar registered volume growth of 10% in FY '24 . Cilacar T registered 10% volume growth. And Nicardia registered 5% volume growth in FY '24 . And Razel also had a 22% volume growth in FY '24 .

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Also, in our domestic business, now the cardiology overall market being as high as \$3 billion market, and we are now 8th rank company, surpassing INR1,000 crores revenue in our chronic portfolio MAT March '24, we are the fastest -growing company in cardiology market today as March 2024 data. Our international business delivered revenue of INR397 crores in quarter 4 FY '24 and INR1,587 crores in FY '24 annually.

The international business was impacted by strategic choices we made with respect to South Africa business, plus, whereas the reported international business revenue at 4% in quarter 4 without including South Africa business, it showed an impressive growth of 15%. In South Africa, as you will all appreciate, we have lowered our tender business, and we are emphasising more on improving the mix and margin profile.

So today, as compared to 3 years ago, we have the private business contribution was 40% for the year FY '24 . Our private business contribution to South Africa business has gone up to 70% that is where we stand. US and Russia delivered the group with international formulations growing at around INR267 crores for quarter 4, FY '24 . CDMO grew at 9% year -on-year to INR109 crores in quarter 4 and closed the year at INR432 crores in FY '24 .

CDMO accounted for 27% of overall international business as compared to 21% in FY '21. Also happy to share the CDMO business has entered. Now we have entered into European market with a couple of strong consumer players in the world of immunity and cough and cold lozenges . For the last 3 years,

J. B. Pharma consistently delivered strong performance every year. Overall, the revenue has grown at CAGR 19% since FY '21, while the domestic business has more than doubled during the same period. J. B. Pharma marked its presence in some of the most progressive therapies 65% of our domestic business gets generated from brands which are in fast -growing therapeutic segments. Besides this, CDMO business almost has doubled over the same period. Domestic business and CDMO business today, both contribute around 67% and the total revenue as against 55% in FY

'21. This has helped operating margins and ROCE.

Operating EBITDA has grown at a CAGR of 19%, while operating cash flow have more than doubled to INR801 crores in FY '24 from INR315 crores in FY '21. Operating cash flow as a percentage to operating EBITDA improved to as high as 85% in FY '24 from 56% in FY '21. Net working capital has reduced from 98 days 3 years ago to 87 days in FY '24. The objective of sharing this data of the last 3 years in terms of -- is more to share with colleagues on the call is how J. B. as a company, J. B. Pharma as a company has progressed over the last 3 years consistently, not only in terms of top line, but, overall, in EBITDA, in profits and also in net working capital and operating cash flow.

Concluding, I would like to state that the domestic business will continue to outperform the IPM by 200 basis points. The domestic business share in the overall business will continue to increase while CDMO business will continue to gain traction. We expect both domestic and CDMO to cumulate the account for 75% to 80% of overall business in midterm. Apart from this, the focus for our

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international formulation business is to further improve profitability, the right business mix, and a progressive portfolio.

With this outlook, I'm pleased to revise our operating EBITDA margin guidance in the range of 26% to 28% as against our previous guidance of 25% to 27%. This upward revision is despite the addition of ophthalmology portfolio which will be limited gross margins in the short term for the company. I would now like to end my opening remarks and shall be open for the question and answers from all our colleagues on the call. Thank you all for patience hearing.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have the first question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Thanks for the opportunity and just want to know a bit more on the CDMO segment that the first half is normally heavy, second half is normally lower because the seasonality play the role, but despite that we have given a strong quarter 4. So how should we really look at it next year in terms of the annual growth?

And also whether it would be still episodic in nature spread across the quarters or how it would be whether we would be adding new geographies, whether we would be adding new categories like now currently we are into immunity and cold and cough segment. When are we going to add other products like motion sickness and the vitamins and all, if you can give more color on it?

Nikhil Chopra : It's a good question in terms of the world of CDMO if you look at, we could generate the revenue of close to INR 432 crores for the current year. This business should grow between 12% to 14% and you should see probably high teens growth happening quarter 3 onwards that is October onwards. That is how our order book is placed. More so what I spoke earlier that we have got into the world of immunity and immunity lozenges, also our melatonin -based lozenges.

We should start seeing them commercialize probably first quarter calendar year FY'25. Newer geographies what we have entered is in the world of Europe where we have commercialized our lozenges, but it's a small start probably God willing you should see our branded lozenges also

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available in the US market at the end of the year, but it's a very small order. It's a very small start. That is what should happen.

But we are very much bullish in terms of this business which is USD 50 million because the capacity that we have is close to 2 billion lozenges which we can manufacture. Last couple of years, we've been manufactured close to 1 billion lozenges and this business almost has doubled last to last year. For 3.5 years ago this business was contributing 5% of the revenue USD10 million. Today it is contributing 12% of the revenue.

You too also understand that this business has got high gestation period. It takes time for any new lozenges to being commercialized because the way it works with the reference sample. We have to

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match the product, develop the product, share with our partners. They will do their own research in the market, come back to us. There will be more tweaking to the product, that is how this world behaves.

But first -in-class immunity lozenges are already there in the market. Melatonin lozenges you should start seeing commercializing probably year -end or FY25 calendar starting year and probably also you should see our pain lozenges ibuprofen. We should also see commercialization probably sometime in quarter 2 FY'25 that is where we stand as a company in the world of CDMO.

Rashmi Shetty : Okay. And in the US, we will be supplying through the channel, I mean retail channels, or it would be directly to the partners? How the business model is over there?

Nikhil Chopra : It will be same model as what happens in other parts of the world, it will be through one of our partner.

Rashmi Shetty : Got it. And sir, then what would be your capex guidance in FY'25 and FY'26 like after whatever capex we have put in FY'24?

Kunal Khanna : We have already covered for capex as far as our CDMO business segment is concerned and specifically with respect to lozenges. We did make some investments in the last 1 year as well. As stated earlier, we have a capacity of 2 billion lozenges annualized. Currently, we are running at a run rate of 1 billion lozenges. So we have adequate capacity to kind of ramp up our business whatever

bottlenecks were there with respect to packaging apart from manufacturing have also been taken care of in the last 12 months.

Rashmi Shetty : So now it would be just a maintenance capex, right?

Kunal Khanna : That is correct.

Rashmi Shetty : Got it. And one more question on the domestic business. In the presentation, you have mentioned that prescription growth is around 20%. Would you like to call out the ratio of specialists versus GPs or if you can give some color that majority how much percent basically coming from the specialist only?

Kunal Khanna : We would not like to particularly call out any specialists versus generalists. The growth has been in line with our focused therapy areas and within focus therapy areas whichever prescribe a category we are covering we have seen significant growth in that. Specifically, cardiologists, nephrologists and consulting physicians have been the key growth drivers for us.

Rashmi Shetty : Got it, sir. And just on the last question for your top products. What I'm seeing that they have really grown very well this year. Just want to know that especially in your Cilacar and your cardiac products, whether you have increased the market share of the entire market, or the entire industry representative industry is only growing for those popular products?

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Nikhil Chopra : So overall, if you look at -- Rashmi, if you look at overall IPM, when you look at 7.6% growth, the overall growth is driven by what is happening in the chronic space which is 40% of the market USD25 billion market and there are many other companies who are doing good work in the world of chronic space, but if you look at J. B., our market share in plain Cilnidipin

and our market share

Cilnidipine, Telmisartan all this market share probably quarter-to-quarter have only gone up.

Nicardia, I don't want to tell because Nicardia we hold 90% market share. So actually what we can achieve only 100% that is where we stand, but equally Razel rosuvastatin though we are low in the ranking, but the growth has been what I shared earlier the growth has been in terms of volume, 20% plus volume growth in Razel also.

And equally, in the world of heart failure as Azmarda pill there also our performance has been fair. So overall, our chronic portfolio what I shared also is today we have crossed a benchmark of INR 1,000 crores revenue in cardiology. And we have the fastest growth in the cardiology segment with all our [inaudible 18:15] whether it is Cilacar, Cilacar T, Nicardia, Razel, Azmarda that is where we stand as a company.

Rashmi Shetty : Okay sir. Thank you. That's it from my side.

Moderator: Thank you. We have the next question from the line of Tausif from BNP. Please go ahead.

Tausif : So my first question is on India business ophthalmic brands with already 5 months into integration. What has been the key learnings and challenges you have been seeing because this is something a new segment for J. B.?

Kunal Khanna : See, the good thing is that there has been seamless transition. And the fact remains that when we acquired the brand, there was team transition also which happened. So we've got good support from our principal partner Novartis as well in managing this transition. The products are pretty much the same, the sourcing of these products have not changed, and we are seeing a good uptake happening because of them entering the J. B. DNA.

So we are fairly comfortable with what we have seen in the last 2 months to 3 months and are very, very optimistic about how we will kind of drive growth in this portfolio. Given the fact that we believe that these were under leverage and under invested brands earlier.

Tausif : Sir, any plans to increase the MR count in this business?

Kunal Khanna : Yes. So we have plans to increase the MR head count going forward within the - in the erstwhile organization this portfolio was being promoted by close to 75. Already the ramp-up has happened and we have gone up to close to 104 and slowly but gradually in the coming year we will kind of further ramp this up. But this is a steady state number, which we will work with for the next six to eight months.

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Tausif: Sir, my second question on the CMS segment, you have guided a growth of 13% to 15% for FY'25.

Can you highlight this last part of growth will be driven by new product launches? Or there's still room for going to new directly in new regions?

Nikhil Chopra: So it will be -- it will be a combination of both in terms of, the volume growth that you will see with some of our existing partners, existing products. And that is why I told you in second half of the year, probably October onwards, we will start seeing some element of growth coming from our new launches, which will happen. And at the right time, we'll be more than happy to share with the group.

Tausif: Thanks. I'll get back in the queue.

Moderator: Thank you. The next question comes from the line of Tanmay Gandhi from Investec. Please go ahead.

Tanmay Gandhi: Hi. Thanks for taking my question. Sir, firstly on the India business, right? So, you have guided for overall revenue growth of 12% to 14%, but the recently acquired ophthalmic portfolio itself should lead to 5% to 6% growth in FY'25, right? So, is your guidance on the organic side or that includes ophthalmic portfolio also?

Nikhil Chopra: This growth, 12% to 14% is outside ophthalmic.

Tanmay Gandhi: Okay. So is it fair to assume that overall consolable growth could be in high teens?

Nikhil Chopra: Yes, you can take that number, yes.

Tanmay Gandhi: Okay, sure. And secondly, now that we have tu

rned net cash positive, right? So , are we again on the lookout for acquisitions. And again, we have been seeing a lot of in -licensing deals announced by other companies as well, right? So , are you also looking for those kind of opportunities or you are more keen on acquiring brands?

Nikhil Chopra: It will be mix of all things happening across. First of all, the focus is beyond what we are trying to do with as is the portfolio that we have got. How can we make it big ? Equally, we are open to anything which is available in the market and the right value. And if we think that we can grow -- make it grow better as compared to where it stands. And thirdly, there are some , some initiatives that we have put that we've been now a dominant company in the era of cardiology, probiotics, ophthalmology, probably God willing, we might get into the world of in -licensing, but it will take its own time.

Tanmay Gandhi: Yes. And sir, lastly, what kind of contribution are we expecting from new launches over the next two years ?

Nikhil Chopra: So, if you look at this year, our new product contribution to overall growth as 3%, which will continue to happen.

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Tanmay Gandhi: Okay. And so far, I think this was largely led by our legacy brands side where we have extended the lifecycle through new SKUs , right? So , will that continue? Or you're planning to launch under new brand franchise or new product category?

Nikhil Chopra: 70%, 80%, you will see us doing much more in the existing therapeutic segments where we are present.

Tanmay Gandhi: Okay. Got it. Thank you.

Moderator: Thank you. T he next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Yes, hi. Thank for the opportunity. Sir, my first question is pertaining to the MR productivity. So , in the last two years, if you see, we have increased the MR count. We added close to 500 MRs and around despite that the productivity has been stopped . I mean going ahead, A, how should we see the productivity ramp up happening here with and without the opthal portfolio? And in terms of the new ly added MRs , is the entire traction visible in this number, what you posted in '24? Or that is still expected to jump in the years ahead?

Nikhil Chopra: So, productivity, what I shared in our -- in my commentary is now close to INR 7 lakh. And you should expect the productivity as is without any addition to grow around 8% to 10%.

Abdulkader Puranwala: Sure. And sir, my second question is with regards to the growth. So , India business, as you're guiding,

would be, say, somewhere around mid -teens. And on the CDMO side, also a similar kind of a guidance. So , that is the kind of aspiration al rate where we expect to grow in the medium to long term? Or it will -- there could be some surprise coming from the international market, and that will lift up the overall growth?

Nikhil Chopra: So, what I shared in my commentary, India, CDMO and our emerging market , which is RO W, should grow between 12% to 14%. US, Russia, South Africa should grow at around high single digit, around 8%, 9%. Overall, you should see us growing as a company, 12% to 14% top line outside the opthal portfolio.

Abdulkader Puranwala: Got it, sir. And sir, just a final one, if I may. So , considering our recent track record on the acquisition side. So , what is that in terms of the therapeutic exposure in the Indian market ? Any specific asset or any specific therapy where you'd like to increase your dominance further?

Nikhil Chopra: See, one year ago, we were not knowing that we will do , we'll do acquisition in the world of ophthalmology. It all will depend upon what is available in the market, and does it suit us, we basically go for a quality asset , not looking at as whether the asset is growing or not. And if you look - if we see any opportunity of an asset which is available, which is q

uality, the market is growing at a good valuation that we can get. We will certainly have a look at it.

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Abdulkader Puranwala: Sure, sir. And just a f inal one, if I may. So on the U S front, on the CDMO business, you said there would be a small order which you would be dispatching this year. So , sir, any outlook here? I mean, is some kind of a batch order quantity where the customer initially wants to supply and then that will relate to some bit of an order scale -up. Or h ow should we look at the US as an opportunity for the CDMO business?

Kunal Khanna : It's too early to comment on. We are working on a couple of projects, one of which is likely to get commercialized soon. We'll see how the data passes, and we have more clarity further going.

Abdulkader Puranwala: All right, sit. Thank you for answering questions. And wish you all the best.

Moderator: Thank you. T he next question is from the line of Neelam Punjabi from Perpetuity Ventures. Please go ahead.

Neelam Punjabi: Yes, thanks for the opportunity. My first question is on the domestic business. So , I just wanted to understand what would be our expected revenue for our Opthal business in the next in FY'25?

Kunal Khanna : For the Optal business, we are targeting monthly revenue run rate of INR15 crores to INR16 crores.

Neelam Punjabi: Got it. And the acute business has been pretty weak recently. So , how do we see this business going forward?

Kunal Khanna : The acute business last year was largely impacting because of muted season. As we see the trends, we believe that the season will be much better this year. But of course, we need to have a guided approach towards that. If the season is better than last year than we see -- certainly see growth coming in from acute as well apart from our chronic growth.

Neelam Punjabi: Got it. And on the PCP side, since we've reached about seven lakh and you guided for 8% to 9% -- 8% to 10% growth on that. Are we planning to add more field force for the domestic business , organic portfolio?

Nikhil Chopra: Not as of now. No.

Neelam Punjabi: Okay. And lastly, what is the targeted -- like what would be the ESOP cost for FY'25?

Narayan Saraf : Yes. The ESOP costs for FY'25, we are expecting it to be in the range of around INR40 crores.

Neelam Punjabi: Okay. That's all from my end. Thank you.

Moderator: Thank you. The next question is from the line of Sajal Kapoor an Individual Investor. Please go ahead.

Sajal Kapoor: Hi. I have two questions. First, many Indian branded generic companies are now actively looking at trade generics. And so Lupin is a recent example, right? And however, to my knowledge, there is no

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policy in India where it can be dispensed without a prescription or a shopkeeper in a remote village directly with [inaudible 29:25] So what do you think about this trade generics movement and that has kind of started with a renewed vigour in the branded generic space . Lupin being an example, recent one, Cipla been doing it for ages.

And second, on the CDMO segment, do you believe that medium to long term, the proposed US Biosecure Act can help grow this segment and significantly. In other words, can Biosecure be an additional tailwind for this CDMO? Thank you.

Kunal Khanna : So I'll take the first question. See, trade generics is something which is not new. Companies have been evaluating this segment. We have always maintained that it will be a very, very small proportion of our business. Whatever we are doing is to evaluate some markets where the conventional distribution model cannot reach. And that's how it will be for us as well. We primarily believe more in branded generic space where the margins are much more accretive. So it's going to be a very, very small part for us going forward as well. And we don't see the fundamental nature of the market changing much. Branded generics will continue to be the dominant

segment.

Nikhil Chopra : And on your second question, in terms of US Biosecure. I think that does not have any impact because much of the lozenges -- majority of the lozenges that we supply to our partners are more herbal in nature. And it's a business where our partners play that in the consumer world. So limited comment that we can give on this.

Sajal Kapoor: Right. And there is no competition from China that we are facing on the lozenges, right? So that can have a beneficial advantage?

Nikhil Chopra: No.

Moderator: The next question is from the line of Maulik Varia from B&K Securities.

Maulik Varia: I had one question. Just wanted to check what is our outlook for Azmarda for FY '25 and going ahead? And if I'm not wrong, it seems the brand is slightly under pressure as per the IQVIA data.

Please correct me if I'm wrong, but I just wanted a little outlook on the same ?

Kunal Khanna: You're right in terms of assessment of the competitive intensity has increased in this space. And last year, you saw a huge influx of brands, which did put our market share under some level of stress and pressure. But the good thing is, if we see the trends over the last 4 months, our market share volumes and value have pretty much remained steady.

And going forward, we believe that the market will further consolidate only any LOE event, the first 7 to 8 months, there is attention from a lot of players, but then the market pretty much consolidates between the top 4 to 5 players, and that's where we operate. Overall value wise, if we really look at our share, we are still operating at 14% to 15%. The segment is progressively growing. And we also

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believe that going forward, we will see a good volume growth in this arm segment . So we are fairly confident about the prospects of Azmarda in the future as well.

Moderator: The next question is from the line of Alok Dalal from Jefferies India Private Limited.

Alok Dalal: Question on EBITDA margin. So Nikhil, what is the guidance for EBITDA margin for FY '25?

Nikhil Chopra: Alok , the EBITDA margin, what I shared in my commentary is changing -- operating EBITDA margin is 26%, 28%.

Alok Dalal: Yes. And what will be the levers for margin improvement over FY '24?

Nikhil Chopra: So as I shared earlier in my commentary, overall, the product mix that you will see more improving over a period of time, which has been happening in the last couple of years, more gaining market share in our chronic portfolio. Second, overall efficiency program that we continue to run overall in the company, whether it is productivity on the field, larger bed sizes to bring efficiently better vendor management that will continue to happen, which will bring savings, which will probably help us to

drive better gross margins.

And last but not the least, is the journey that we have taken in the South Africa business where we will see some impact in top line in quarter 1 this year. But then going ahead, your absolute EBITDA margins will only go up north in the South Africa business, which, overall, in a more significant way help to range between 26% to 28% EBITDA margins for overall as a company.

Alok Dalal: Okay. Nikhil, the ophthalmologic portfolio, will there be a significant improvement in margin in FY '25? Or is this towards '26?

Nikhil Chopra: No, no, no. So I think that has to be clarified next couple of years FY '25, FY '26, you will see a reverse, probably close 200, again, 50 bps dip in EBITDA margins because of the ophthal revenue.

Gross margins -- gross margins, 100, 250 bps decline you may see. But it will be salvaged by the entire effort that we are putting to improve our overall product mix to drive better efficiency and to drive better margins in our South Africa and Russia business.

Alok Dalal: And when you refer to 26% to 28%, this is excluding the ESOP charges, right, noncash?

Nikhil Chopra: Yes, operating EBITDA. T

hat is what we are looking for operating EBITDA margins, which is 27%

there of INR939 crores EBITDA absolute value that we have reported, which is 27%. We will be continuing to range between 26% to 28% operating EBITDA margins.

Moderator: We have the next question from the line of Rahul Jeewani from IIFL Institutional Equities.

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Rahul Jeewani: Sir, this operating EBITDA margin guidance of 26% to 28%, this obviously has the dilutive impact of the ophthal acquisition. So can you comment in terms of how your base margins would have been or would trend excluding the ophthal portfolio?

Kunal Khanna: See the way we have to say this is while the gross margin is close to 150 bps dilutive because of ophthal. We get very strong operating leverage also on ophthal business. And some of the other levers, which we are talking about in terms of improvement of private mix in South Africa, overall portfolio mix in our international business. and the fact that our chronic and the domestic business will continue to grow, will help us maintain this 26% to 28% going forward despite the dilution happening at a gross margin level.

Rahul Jeewani: So yes, just a clarification on that. So by that, you mean that ophthal portfolio does not have any dilutive impact at an EBIT margin level?

Kunal Khanna: That is broadly, yes. But what we are saying is despite the dilution at gross margin level, right, we should be able to maintain this range of 26% to 28%. And on the ophthal side, Rahul, we get strong operating leverage as well.

Rahul Jeewani: Sure, sir. And on the international portfolio, with the revenue share for the South Africa private market business now increasing to 70%, have we already seen an improvement in profitability in that business playing out? Or do you think that would come largely in FY '25?

Kunal Khanna: Yes, that we have already seen specifically in H2 of this financial year.

Rahul Jeewani: Sure. And apart from the South Africa tender business which you rationalized, on the export side, do you see opportunity to rationalize other parts as well? Or that would not be the case going...

Kunal Khanna: The continuous process, we have been doing that. You have seen improvement this year and that's a continuous process, which we'll strive to kind of work towards and improve on.

Rahul Jeewani: Okay. Specifically, if you can comment in terms of Russia business because that is where I was getting to that Russia -- your own Russia business, your front -end presence in that business, our margins are lower than company average margins. So any plans of rationalizing the Russia business?

Kunal Khanna: In fact, a lot of initiators were taken in this financial year, and we have seen significant improvement in the profitability for our Russia business. This includes some front -end optimization as well. And also if we club Russia and CIS together, there has been a favourable product mix for our CIS markets. So we have already seen a significant improvement in terms of operating profitability this year, and that will continue to -- we'll continue to witness similar trends going forward as well.

Jason Dsouza : We have one question which has come in on the Q&A panel. So in the Sporlac franchise, we have seen very good growth in Lobun and Pubergen if the management would like to comment on that ?

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Kunal Khanna: Primarily, even when we acquired the probiotic portfolio, we were very clear with Sporlac, we were operating at the mass end of the market and with Lobun, specifically it was the niche market of nephrologists because of our strong brand equity with Cilacar with nephrologists. We were able to capitalize on this opportunity and that is reflective on the numbers which we see for Lobun. With respect in with respect to Pubergen, I think primarily driving the focus has helped us achieve scale even in a segment where we were not present.

Moderator:

Thank you. The next question is from the line of Neelam Punjabi from Perpetuity. Please go ahead.

Neelam Punjabi: Just wanted to understand what is the reason for higher other expenses during the quarter?

Narayan Saraf : Hi, Narayan this side. So very quickly, the reason of the higher other expenditures have been that during the quarter, we have seen a few one -off integration impact, that was one. And then they have been -- historically, if you see -- we clearly see that they are -- the margins do get impacted at the end of the quarter because of lower domestic things. And then they have been through one -off costs,

which have been incurred during the year -- during the quarter. So this was the mainly 3 reasons:

One-off integration impact through one -off costs. And yes, those are the two reasons, yes.

Neelam Punjabi: If possible, could you quantify the one -off integration and one -off costs during the quarter?

Kunal Khanna: See, we wouldn't really like to quantify. It's not substantial in nature, as Narayan mentioned. There's one-off integration cost. There is a nominal Red Sea phenomenon because of which our freight costs have gone up. And the third piece is that largely, if you look at Q4, domestic business tends to be soft in March and that impacts some margin profile. But overall, other expenses have been inflated because of -- nominally because of Red Sea and one -off integration.

Moderator: Thank you. The next question is from the line of Harith Ahamed from Avendus Spark . Please go ahead.

Harith Ahamed: So on the export side, this year, we called out some challenges, especially in South Africa and growth for the segment is coming a bit muted at around 6%. So directionally, for FY'25, how should we think about growth for the export segment? Will we get back to a double -digit growth for the 3 markets put together?

Nikhil Chopra: If you look at our export business, which is to be contributing 47% of the revenue, two parts of our export business, that is emerging market, which is \$50 million and CDMO, which is \$50 million should grow between 12% to 14%. Equally, Russia, South Africa and U.S. should grow at high single digit, 8% to 9%. So you should see us going in double digit for the year FY'25.

Harith Ahamed: Okay. And for the CDMO business, in the past, you talked about the aspiration to reach \$100 million of revenues. So do we -- does that number still hold? And do you have any timelines for that?

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Nikhil Chopra: So it's a journey is what I shared earlier, probably that is a journey that we want to travel for next 3 to 5 years with a lot of newer projects being on newer partners, geographies, which continue to happen. And you should start seeing what we have been talking about all these newer initiatives happening in the world of CDMO probably October FY'24 onwards and that will continue to happen and our aspiration of \$100 million still holds.

Harith Ahamed: Okay. And last one on the Novartis portfolio, can you remind us on how much of the Ophthal market is covered by the acquired portfolio and when we think in terms of growth, what exactly is the strategy we looking to add MRs? Are we looking to expand coverage in the space. So can you talk a bit about.

Nikhil Chopra: So Ophthalmology portfolio to in India close to INR4,000 crores, growing at 14%. We -- the portfolio that we have got, which is in the world of glaucoma, pain, antibiotic, anti -allergic covers close to INR2,800 crores market. Unfortunately, this portfolio of Novartis was not growing probably for the last couple of years, but the aspiration is to grow in the current year, it is FY'25, better than the Ophthal market growth.

Earlier, I think it was shared that around 70 -plus people joined us from Novartis. Today, we have a team of 104 medical reps on the ground. Pan -India, we have coverage. We would also like to expand our portfolio in the coming time in the worl

d of dry eyes, where the portfolio is not there and antioxidants for ophthalmology.

We may get into mid to long-term in -licensing partnering for some biologics in the world of ophthalmology. Those all things planned we have put in place. And we are very much optimistic in terms of how tomorrow at least we can grow better than the market. and improve our penetration with quality drops that we have got.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the CEO, Mr. Nikhil Chopra for closing comments. Over to you, sir.

Nikhil Chopra: Thank you all for participating in today's call. Once again, emphasizing on the guidance that we have been giving for the company, which is short to midterm. Overall business growing at around 12% to 14%; EBITDA growing it around 16% to 18%; and EBITDA margins -- operating EBITDA margins between 26% to 28%. That is where we stand. And both India and CDMO will contribute overall to the growth of the company. And overall generating gross margins closer to 65% for the coming 2 years. That is where we stand as a company.

Net-net, what we want to do is to overall improve our market share in the portfolio -- progressive portfolio that we have today got in India, which is in the world of cardiology, probiotics, paediatrics , respiratory, ophthalmology. Equally focus and take our CDMO business up north and also look at how do we start launching some of the new products in our emerging market, RoW markets where we have been doing filings for our products.

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Net-net, creating value for the stakeholders, looking at how more and more number of patients, not only in India, but globally are treated with the help of medicines which are coming from the from the house of JB . This is what I would like to conclude . And thank you all, once again, for participating and patiently hearing and for the questions that you people asked. Thank you.

Moderator: Thank you. On behalf of J. B. Pharma that concludes this conference. Thank you all for joining us. You may now disco nnect your lines.

Call: Aug 2024

August 12 , 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on August 9, 2024 at 2.00 p.m. IST in relation to results and developments for the first quarter ended on June 30 , 202 4. The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 9

J. B. Chemicals and Pharmaceuticals Limited
Q1 FY25 Earnings Conference Call
August 09, 2024

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator Ladies and gentlemen, good day and welcome to J . B. Pharma's Q1 FY25 Earnings Conference Call as on the 9th of August 2024.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'souza - Executive Vice President at J. B. Pharma . Thank you and over to you, sir.

Jason D'souza Thank you. Welcome to the Earnings Call of J . B. Pharma.

We have with us today , Nikhil Chopra - CEO and Whole-Time Director ; Kunal Khanna - President, Operation and Narayan Saraf - CFO at J. B. Chemicals and Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q1 FY25 results presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call for his "Opening Remarks".

Nikhil Chopra Thank you, Jason, and a very warm welcome to each one of you. Thank you for taking the time to join us.

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I will share my perspective on J. B. Pharma 1st Quarter Performance and give some Insights on the prospect for growth :

I am happy to share that J. B. Pharma has delivered a robust 1st Quarter . And also for the first time during any quarter, we have crossed quarterly sales of INR 1,000 crore. Reported revenue for Quarter 1 FY25 stood at Rs. 1,004 crore which is an increase of 12% year-on-year.

Gross profit margin stood at 66.2% higher by 80 basis points. Our operating EBITDA that is EBITDA excluding non-cash ESOP cost recorded a strong increase of 20% year-on-year to INR 292 crore .

I shall now move on to our "Business Updates ":

The domestic business has delivered traction with the revenue of Rs. 595 crore in Quarter 1 , up 22% year-on-year. Excluding Ophthalmology, our domestic business has grown at 13% year-on-year. J. B. Pharma continues to be one of the fastest growing companies in top 25 in Indian pharma market where we have delivered 12% growth against industry 9% as per IQ VIA Quarter 1 FY25 data. Amongst our big brands, Cilacar, Cilacar-T, Nica rdia, Metrog yl, and Sporlac gained ranks as per IQ VIA MAT June 20 24 data. Along with the brands, our brand franchisee are also registering strong growth. Our volume growth as per IQ VIA Q1 FY25 on a like to like basis was higher by 300 bps than the LPM volume growth.

I am also happy to share that with the recently added Ophthalmology portfolio, our domestic business now accounts for 60% of our overall topline in Quarter 1 FY25. This is a significant achievement considering domestic business was 44% overall in revenue in FY21, so from 44% in FY21 in Quarter 1 FY25, we are 60% .

Domestic business is contributing 60% to the overall revenue . The acquired portfolios are also sustaining momentum as per IQ VIA MAT June 2024 . Sporlac is Rs. 100 crore brand having delivered CAGR of 20% over 3 years.

Our Razel franchisee that is Rosuvastatin delivered a robust growth of 29% during the year to a revenue of Rs. 89 crore as per IQ VIA MAT June 2024 data. Further, our Ophthalmology portfolio is scaling up well. We have had a smooth transition and have managed to attain revenue momentum for this portfolio in short period.

Let me turn the attention to our International Business where we have seen stable revenues of Rs. 409 crore during Quarter 1 FY25. International formulations grew at 5% year-on-year and if we exclude South Africa business, then the international formulations grew at 10% where ROW and Russia delivered robust growth .

In the CDMO segment, we saw some moderated quarter due to muted cough and cold season across the world. Revenues were at Rs. 106 crore for Quarter 1 FY25 for CDMO business . This business is likely to pick up in second -half of the year starting September month.

On the balance sheet :

We have further strengthened the organization. The operating cash flows have improved. We have reduced our Rs. 249 crore of debt in Quarter 1 FY25 and our net cash position has further strengthened. We are maintaining our operating EBITDA margin guidance in the range of 26 % to 28%.

The domestic business should continue to grow better than the Indian pharma market, backed by strong brand franchisees and traction in the acquired portfolio. In CDMO, we expect realization momentum in the second -half as shared earlier. Russia and ROW business will

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continue to perform well and South Africa business should begin to record growth in second -half of the year .

As shared earlier , last 5 quarters, we had taken a haircut of around Rs. 150 crore for our South Africa business, which was more of tender business. We remain focused on making the organization progressive and future ready. That brings me to the conclusion of my opening remarks.

I would like to call on Mr. Narayan Saraf - our CFO, to share his views on the Financial Performance for the Quarter . Over t

o you, Narayan.

Narayan Saraf Thank you , Nikhil. A very good afternoon everyone and welcome to our Earnings Call.

I will now take you through the "Financial Highlights for the Quarter 1 FY25 :

Revenues for the quarter were at Rs. 1,004 crore, representing an increase of 12% year-on-year. The domestic to international business mix was 59 % to 41% respectively. The domestic business achieved revenues of Rs. 595 crore with growth of 22%. The international business remained flattish generating revenues of INR 409 crore . CDMO business was impacted due

to muted season and the international formulations business excluding South Africa improved by 9% year-on-year.

Gross margins for the quarter stood at 66.2 % expanding 80 basis points from last year's Quarter 1 . In the quarter, our operating EBITDA excluding ESOP cost was at Rs. 292 crore , reflecting a 20% year-on-year growth . The margins were at 29% and expansion of 190 basis points as compared to 27.1 % in the same quarter last year. On the expenses side, the total employee cost including ESOP increased by 12% to Rs. 167 crore. ESOP cost was at 4% of the reported EBITDA versus 5% year-on-year.

Other expenses as a percentage to sales improved by 130 basis points positively impacted by continuous focus on optimization of overhead and marketing spends. Freight costs continue to be higher impacted by geopolitical issues.

Finance cost reduction is due to prepayment of term loan and hence profit after tax was at Rs. 177 crore, which increased 25% year-on-year.

I am happy to report that our gross debt as of 30th June 2024 came down to Rs. 108 crore from Rs. 357 crore as on 31st March 2024. While our operating margins have improved significantly in Q1 FY25 , we reiterated our guidance for operating margins between 26 % and 28%.

On the balance sheet side, we continue to focus on managing our working capital efficiently and improving on return on capital employed. Our operating cash flow continues to remain healthy and we are net cash positive of Rs. 313 crore. As we continue on this journey of growth and transformation, we remain confident on a positive outlook through opportunities for the Company and providing value to our stakeholders. That concludes my opening remarks.

I now request the operator to open the floor for the question and answer session. Thank you.

Moderator Thank you very much. We will now begin the question and answer session. The first question is from the line of Tausif from BNP Paribas. Please go ahead.

Tausif My first question is on the domestic business ophthalmic portfolio , is it possible can you share the overall growth of this business witnessed on Y-o-Y basis and also it has been almost 6 months of integration , what has been your key learning challenges and how do you see this business going ahead?

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Kunal Khanna See, on the ophthalmic business side, we have been very positive on how the business is shaping up over the last 6 months . Our main focus was to kind of re-energize the brand assets which we have taken and we are seeing very good results after we have seen the transition happen on our side. Just to give you a sense, we have also kind of invested incrementally on the field course. So the reps who were working on the ground when it was taken from the erstwhile organization were close to 70. We have increased that field force size to closer to 105 and as a result of which we are seeing positive traction on the secondary demand as well. We have always maintained that this is a portfolio which we will grow closer to mid-teens just to give you a broad sense from an annualized run rate perspective. Last year, the portfolio clocked annualized sales of close to Rs. 160 crore. We maintained that the annualized run rate for this financial year for us will be Rs. 180 crore and plus. So that gives you a sense of the growth which we are looking at and from H2

onwards , this financial year , we will also be

looking at adding some new introductions . Significant part of that will materialize in terms of commercial opportunity for us for the next financial year.

Tausif Sir, my second question is on the CD MO business after the muted start for the years, do you maintain your guidance for double digit growth for FY25 in this business?

Nikhil Chopra Yes. So what I shared earlier in my commentary is, September onwards, we will see that traction in this business. The way this business is positioned because of the extreme heat condition across the globe and because of the climatic conditions, our order books are more in place for Quarter 3 and Quarter 4 . And there are a good number of new projects which are on. So by the end of the year, we should be able to deliver double digit growth for CDMO.

Moderator Thank you. The next question is from Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani Sir, you indicated that the volume growth for us in the India business this quarter was 300 basis points ahead of the IPM volume growth rate. So can you just take out the 12% growth which we saw as per secondary data between volume price and new launches ?

Kunal Khanna So volume growth has been the main driver for us, which has been (+4%). If we look at some of our key big large franchisees as well, Cilacar, for example , has grown at 13% , Cilacar combination T has grown at closer to 20% volume growth and even our Razel franchise as reflected in IMS is taking a volume growth of closer to 20% plus. Metrogyl is higher single digit volume growth, which is substantial for a mature brand like this. So overall, if you really look at it when we are looking at a 12%, 4% volume close to 6% is coming in terms of price and there are new introductions which are attributed closer to 2%. And we maintain that this volume growth, which we have always mentioned, we should be higher than IPM given the trends which we are seeing of our big brand franchisees , we will continue to drive that volume

growth going ahead as well.

Rahul Jeewani And sir, on the gross margins, we have seen a very strong improvement this quarter and this was despite the dilutive impact of the No vartis Ophthal acquisition. So can you please explain in terms of what is driving such a strong gross margin performance for us?

Nikhil Chopra So I think what was shared earlier, Rahul is if you look at overall in India, the growth which we are seeing in particular ly volume is coming in the chronic part of the business. Overall the mix is improving, which is overall helping us in terms of deriving better gross margins. And in spite of what you shared, that Ophthal business being dilutive in gross margin, still we are able to maintain 65 %-66% of gross margin. Also, t his quarter we saw very good performance in our Russia business which also helped us in terms of maintaining our gross margins and this was particularly in our supply to CIS countries . That has helped us and that will continue to happen for Quarter 2 and Quarter 3 for Russia business and South Africa business, though it may be small, but overall, you should see topline growing and Quarter 1 , our gross margin and profitability also have propelled up in a small way. So these all factors put together are helping us in maintaining gross margin 65 % to 66% in spite of Ophthal business being dilutive in gross margins.

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Rahul Jeewani And sir, you indicated that the CDMO business would pick up in the second -half of the year, and typically the domestic and the CDMO business are the highest EBITDA margin segments for us. So given that in 1st Quarter itself, we have delivered operating EBITDA margins of 29% and with the scale of which we anticipate in the CDMO portfolio in second -half. Do you think that we are being conservative on our operating margin guidance of 26 % to 28

%?

Nikhil Chopra See, Rahul, t he way it works , if you look at overall the trajectory for India business being acute and this year acute portfolio has contributed overall as compared to where we were last year, but this subsides down in second -half of the year. So India business will continue to grow, but H1 you will see overall better mix and better gross margin for India business . That is point number one and point number two , the way things are happening in the rest of the world market and with the logistic issues that we are f acing and material avai lability, k eeping that into consideration, all those issues that is why the guidance continues to be 26 % to 28% and what we want to also comment that our overall EBITDA margins would be on the higher side of the guidance that we are giving to the market.

Rahul Jeewani And sir, one last question from my end. So are you still evaluating deals in terms of acquisitions in the domestic market ?

Nikhil Chopra So we continue to, we have a team of 5 people who continue to evaluate assets depending upon availability , brands, mid-size countries. So that is the process which contin ues to happen in the Company , Rahul .

Moderator Thank you. The next question is from Rashmi Shetty from Dolat Capital. Please go ahead

Rashmi Shetty When we see your Rantac and Metrogyl molecule, you are saying that from last few quarters and also you have also indicated in the presentation that it is growing at CAGR of 11% -12% over 2 years, so just need to understand the dynamics that how is this Ranitidine market and Metronidazole market is growing , even whether that entire molecule market is also growing in double digit or JB is able to take up more share and growing in double digits. And how is the pricing overall in th ese 2 molecules ?

Kunal Khanna So we just explain you how the market is structured. In both these markets , we have a significant market share, right. So if the market has to grow, JB has to grow. That is point number one . What we have seen both in Metro gyl and Ran tac, last year we saw the demand is slightly subdued and we maintained that it was because of the moderate seasonal sales . This year, however, we have seen a good uptake specifically for our Metronidazole molecule where even in IMS reflection you have seen a good volume growth and internally also if we really look at our numbers, our volume growth has been substantial. So we have been able to grow this by the fact that, WPI price benefit was not passed on to Metrog yl as a brand this year, but still it has shown very strong growth . And Metronidazole as a molecule category will continue to be go al standard because there is really no substitute for any anaerobic infection. There are some seasons where the demand tends t o be subdued, but that is pretty much about it. Also we have done a lot of incremental innovation for this category , so we will continue to ensure that the molecule continues to be relevant innovation in terms of Metrogy l ER being an SKU where we are putting in a lot of trust that continues to be our focus area. Same goes for Ranitidine, y es, the demand was slightly under stress over the last 2 years, but the good thing to note is that now the steady state has been maintained and within the H2R A category, Ranitidine will c ontinue to kind of drive the market in the Gastro s egment. So we are not very stressed about that. We will continue to do life cycle management of this brand and that is how we are trying to grow the market and at the same time gain incremental market share as well.

Rashmi Shetty Sir, and the major growth is coming from the GP s, so it is a mix of both GP s and the specialists and is it something that are we seeing any shift from PPIs to this Ranitidine market?

Kunal Khanna For us, the demand continues to come from Consulting Physicians and GP s. For the life cycle management of certain SKUs ,

we tend to focus more on Gastro , so for example, Rantac OD,

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for example, the demand will come from Gastro NCP where that is for plain Rantac, i t will come from GPCP, right . So that continues to be the trend for us. So could you repeat the second question?

Rashmi Shetty Are we seeing any shift from PPI to that is your Pantoprazole, Omeprazole, from there to this Ranitidine market , any shift is taking place because of the higher side effects or it is still the same ?

Kunal Khanna Doctors continue to be guarded about the long -term side effects of PPI, but in all fairness, we don't see any significant prescription shifts happening as of now. As we mentioned, H2RA have their own relevance and they will continue to have their relevance in this segment .

Rashmi Shetty And my second q uestion is on Azmarda , what is the monthly sales rendered you currently have, how is the pricing and the competitive scenario in that molecule?

Kunal Khanna So the market is consolidated for sure. Whatever initial intense competition we saw that has stabilized and i t has become our game of top 4-5 players only. We are pleased to state that over the last 4 months , our demand has been s teady moving up from 110,000 units to 120,000 units. So we believe our product has achieved a steady state demand of 120 ,000-125,000 units and we should only see volume growth of double digits from here on.

Moderator Thank you. The next question is from the line of Sumit Gupta from Centr um. Please go ahead.

Sumit Gupta Sir, just want to understand on the EBITDA margin, so what was the primary reason behind the improvement in the EBITDA margin?

Narayan Saraf So very clearly like I mentioned in my comments here as well , the primary division of EBITDA margin was better control on our overheads and marketing spends, which had given us almost 130 basis points of improvement as the operating leverage and secondly, it was by the gross margin where we clearly saw 80 basis points improvement resulting in almost 200 basis points improvement in EBITDA margin and the GC mainly came from better price mix and cost benefits.

Sumit Gupta And sir, just for bookkeeping business, what is the ESOP charge for FY 25-FY27, how much is expected to be?

Narayan Saraf For the Q1, it is around 4%.

Kunal Khanna For the year, we had guided to around Rs. 42-Rs. 4 5 crore .

Sumit Gupta And sir, r egarding the debt position, do you have any repayment plans?

Narayan Saraf Like I mentioned that we have already repaid almost around Rs. 249 odd crore of debt. Now , we are left with around Rs. 108 crore out of which we are expecting to pay everything by March of F Y25. And there is equal installment which we pay every quarter.

Moderator Thank you. The next question is from the line of Alok Dalal from Jefferies. Please go ahead.

Alok Dalal Nikhil , the organic growth of 13% that you achieved in the quarter, is that sustainable for the full year?

Nikhil Chopra So we should be g rowing at mid-teens . That is what commentary we have been giving. We expect market to grow at around 8 % to 10% , Indian pharma market. We should be able to grow between 12 % and 14%. That is mid teen. That is what we have been guiding.

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Alok Dalal And second question on new launches, so how many new launches are being planned, including line extensions and which areas will those be in?

Nikhil Chopra So our new launches will be in the world of Pediatrics , will be in the world of GI , will be in the world of Probiotics. That is how . Alok, we try to launch the products where at least we have the big franchises. So you will see us launching some new launches in the world of , last month only, we have launched a topical application for Metro gyl franchisee , then we are getting into the world of Sporlac f ranchisee , all those new launches . You will see one or two products being launched every two months. Th

at is how trajectory you will see and new products today

are contributing to around 2 %-3% overall growth. And Alok, why I shared that we should be able to grow better than the market because you have to understand that if you look at today our presence in the categories where we are in India business, if you look at Cardiology market, which is going at 14% , our Cardiology growth is around 16 %-17% portfolio , hypertension, heart failure, lipids , overall put together . Pediatric market is growing better than the Indian pharma market. Probiotic market is growing better than the Indian pharma market. Pediatric market is growing better than the Indian pharma market and we have now good dominant presence in all these categori es. That is why at least we are confident in terms of delivering mid teen growth for India business.

Moderator Thank you.

Jason D'Souza We will just take a question which has come on the on the board. This is a question on interest cost, do we see interest cost coming down in the next few quarters ?

Narayan Saraf So we do expect that the interest costs coming down to almost Rs. 3 crore for Q2 compared to in Q1, we incurred Rs. 6 crore because of the prepayment of loans. So this will continue to come down as you prepay all the loans by 31st March 2025.

Moderator Thank you. The next question is from Pranav Chawla from Antique Broking. Please go ahead.

Pranav Chawla Sir, can you just provide what is the update on our C DMO, we had planned some expansion, we were planning new client additions as well as expanding to new therapeutic areas. Is there an update on that?

Nikhil Chopra So already our lozenges have started going to four countries in Europe. That is, immunity and wellness lozenges we have supplied through our partner to Europe and by January 2025, it will be available probably in more parts of the Europe. That is point number one. This is lozenges for immunity and wellness, combination of Zinc, Vitamin C, Peppermint That is number one. Number two is you should see our Melatonin based lozenges, also should touch the market, probably some markets in Middle East and Southeast Asia by year end that should happen. Already, this work in progress happening for our pain lozenges Ibuprofen, which should see the daylight in mid of FY25 that should happen. By year end or by Quarter 4 financial year, a small quantity of our branded lozenges would also be made available through our partner in US. These are some of the progress that we have made in the world of lozenges and we continue to work on many other projects which at the right time we will be able to share. So these are some of the progresses that we have made in the world of lozenges.

Pranav Chawla Sir, what would be the rough impact of this Red Sea crisis on our other expenses?

Kunal Khanna So some of the logistics costs have certainly been kind of impacted. So freight costs, if you really look at route wise rates, they have for some, out of our 6-8 major dominant routes, 5-6 are already looking at, we are looking at pre-COVID levels and that is why we are keeping a very close watch on the emerging freight scenario. But that is primarily kind of impacted us a bit.

Pranav Chawla And one last question from my end. What is our MR count productivity and is there any plan to expand our field force in this system?

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Kunal Khanna Apart from the nominal numbers which we spoke about in Ophthalmology, there is no real significant increase in MR count. So we continue to maintain the same number of reps as we have mentioned in the presentation also, close to 2300 reps plus managers and in the near term, we don't see any need for significant expansion.

Moderator Thank you. Next question is from Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani Sir, we obviously have been doing very well in the Cardiac portfolio, but can you indicate your

plans in terms of the Diabetes segment? Because I think we were also trying to scale up in diabetes, so have you seen any traction there?

Nikhil Chopra Rahul, we had launched three products in diabetes that is Vildagliptin, Sitagliptin and Dapagliflozin. Unfortunately, couple of products, Vilda and Sita have not done well, but Dapa, though the market has progressed well, we continue to have run rate of around Rs. 15 crore annually. That is where we stand with the Dapa franchisee. Not any big plans we have for metabolics, but we will continue to look at what more we can do in the world of Cardiology with our existing franchisees.

Rahul Jeewani So within Cardiac, do you still see gaps in your portfolio?

Nikhil Chopra So recently we have in-license one product from Novartis that is Inclisiran which is for LDL and triglyceride lowering agent which is one of its kind. The cost of therapy is as high as Rs. 3 lakh a year and it is one injection on day one, second injection on month three and third injection is 6 months. That is a starting first year dose and then subsequently 2 injections in a year. We are one of the companies, Novartis has in-license d this product to three companies in India and based on our cardiology presence, we were one of the partner who has been chosen. So we will continue to look at this type of opportunities whether it comes in terms of in-licensing, whether it comes in terms of partnering or tomorrow organically we want to launch any of the portfolio which can fulfill the gap and need in the market.

Rahul Jeewani So on this product, we are one of the three in-licensees for the product?

Nikhil Chopra Yes.

Rahul Jeewani And sir, on the export business, we started this rationalization of the South Africa tender business, I think in last year second quarter. And now it will be in the base going forward. So do you think that our export business growth would now start picking up from second quarter onwards, given that the South Africa nationalization would be in the base?

Nikhil Chopra So that is what I shared in my comment, Rahul that quarter to onwards you should start seeing mid teen growth happening for our South Africa business and that will contribute to growth for our international business in the coming time.

Rahul Jeewani And sir, in terms of outlook for the overall international business in terms of growth, because obviously we don't have the base for the South Africa business to model in that growth, but in terms of overall export business, how do you think the growth would pan out?

Nikhil Chopra So if you look at what I shared earlier, Rahul that see the way this business happens and I

think earlier also was spoken about because of the entire logistic issues that we have been facing , material availability issues that we have been facing , the order book looks robust for Quarter 2 onwards that is where we stand . And you should see business coming back to double digit growth Quarter 3 onwards for this part of the world that should happen. Moderator Thank you. The next question is from Vilina Jain from Perpetuity ventures. Please go ahead. Vilina Jain Sir, could you highlight the margin benefit that we could get from improvement in the South Africa business?

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Nikhil Chopra The South Africa business is Rs. 250 crore which is hardly contributing 5% of the revenue. It will have some impact, some improvement in terms of margin, but that would not be any big significant. That is how it will stand.

Moderator Thank you. The next question is from the line of Ma ulik Varia from B & K Securities. Please go ahead.

Maulik Varia I had one question regarding raw material cost , sorry , I joined a little late , so it is repetitive question. So there are geopolitical issues and are there any issues being faced by us? You mentioned something about raw material to previous partic

ipants , wanted a little more clarity on it, sir?

Kunal Khanna On the raw material side, what we maintained was that our gross margin should be in the range of 65 %-66%, despite the fact that Ophthal portfolio has come in and our earlier estimate was that we will be able to maintain the steady state 65 %-66% without Op hthal. Having said that we have shown that within Ophthal also because of the good product mix, good contribution from India, we have been able to drive good performance on the gross margin side and we should be able to maintain this range of 6 5%-66% going ahead also. Having said that, we are kind of watchful about what the situation is and the best we can do is try to focus on driving cost improvement initiatives and a lot of these initiatives around raw material, packaging materials have shown us benefits apart from the healthy product mix.

Moderator Thank you.

Jason D'Souza We just have another question on the board. The question is on A zmarela. What has been the overall performance of A zmarela and how is the market for Azmarela looking like for Sacubitril Valsartan?

Kunal Khanna The market for Sacubitril Valsartan h eart failure continues to be extremely attractive. The last one year post the LOE event saw a significant influx of generics and that is why there was the competition intensified , probably more than what we had initially anticipated. But this is a molecule category which we believe will continue to grow in double digits volume terms for the next 5-6 years . We have already spoken about the fact that more than 10 -15 million p atients suffering less than 15% diagnosis. So there is no reason why the market shoul d not expand and we will continue to be a dominant player in this category. The good thing now is that it is consolidated, so it has become a game of 4-5 key players and we continue to be among the top 3 players in this category. And we are also seeing good steady state demand improvement for our portfolio. So our run rate continues to be in the range of 120 ,000-125,000 units per month and we only expect double digit volume growth in this particular category going forward.

Moderator Thank you very much. That was the last question. I would now like to hand the conference over to Mr. Nikhil Chopra for closing comments.

Nikhil Chopra Thank you all for the participation in today's call. And as shared earlier , the Company is moving towards how we build the momentum in terms of what we have achieved over last 3 -4 years .

Quarterly run rate being now Rs. 1,000 crore , the onus in on us in terms of how we build on this trajectory that we have achieved which is a milestone for us and continue to grow the business , mid-teens and EBITDA margins as what we shared earlier between 26 % and 28%. And deliver EBITDA margins on the higher side of the guidance that we have been giving and we want to grow the profits better than the topline and basically create value for all our stakeholders and build our organization which is more progressive and future ready. That is what is the intention going ahead. Thank you all.

Moderator Thank you very much. On behalf of J . B. Chemicals and Pharmaceuticals Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen , you may now disconnect your lines.

Call: Nov 2024

November 12, 2024

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on November 7, 2024 at 3.00 p.m. IST in relation to results and developments for the second quarter ended on September 30, 2024. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary

: Page 1 of 11:

JB Chemicals & Pharmaceuticals Limited
Q2 FY25 Earnings Conference Call Transcript
November 07, 2024

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator : Ladies and gentlemen, good day and welcome to the JB Pharma's Q2 FY25 Earnings Conference Call as on the 7th of November 2024.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'souza - Executive Vice President at JB Pharma. Over to you, sir.

Jason D'souza : Thank you. Welcome to the Earnings Call of JB Pharma. We have with us today Nikhil Chopra - CEO and Whole-Time Director ; Kunal Khanna – President , Operations and Narayan Saraf - the CFO at JB Pharma.

Before we begin, I would like to state that some of the statements in today's discussions may be forward-looking in nature and may involve certain risks and uncertainties. A detailed

statement in this regard is available in the Q2 FY 25 "Results Presentation " that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call and for his "Opening Remarks ". Over to you, sir .

: Page 2 of 11 Nikhil Chopra : Thank you, Jason, and a warm welcome to all of you. Thank you for being with us today. I will commence with my thoughts on our Q2 Performance .

JB Pharma has maintained its space of performance with Rs. 1,000 crore revenues are being delivered yet , again in Quarter 2 FY25 . Our gross margins have held steady at 66.2%, whereas our operating EBITDA margins came in at 28.4 % . The operating EBITDA stood at 13% higher than the INR at INR Rs. 285 crore while net profit increased by 16% to Rs. 175 crore. I am pleased to share that our domestic business has continued to around 59% of the overall turnover during H1 relative to 55% during H1 FY24. This is representative of the consistent momentum in our brand portfolios. We have created leadership positions in the select categories where we operate and continue in turn to expand those categories.

Let me cover this in some details for all of you :

The domestic business delivered 22% growth year-on-year to INR 588 crore for Quarter 2 FY25. Excluding Ophthalmology, we have increased the business by 12% growth year-on-year. We have continued the trend of delivering ahead of market as per IQ VIA MAT September 24. JB Pharma has shown 11% growth versus I PM growth of 7.6%.

Each of our big brands has witnessed healthy gains. Presently, all our top five brands are among the top 150 in the country. We are within the top 10 players in the Cardiology market, whereas we have jumped ranks from 15 as per MAT September 21 to now 8 in MAT September 24, in the Cardiology market. Azmarda and Razel have contributed here, along with the Cilacar and Nicardia franchises.

Let me expand on our acquired portfolio performance :

Azmarda has delivered sales of Rs. 67 crore as per IQ VIA MAT September 24th post LOE and this trend is only likely to improve with Sacubitril and Valsartan market growing at 15 %-20% CAGR for the foreseeable next 5 years. Razel franchisee has given a strong 28% year-on-year growth as per IQ VIA MAT September 24. Sporlac franchisee reported revenue of Rs. 137 crore as per IQ VIA MAT September 24, growing at a 29% CAGR since Rs. 83 crore as per IQ VIA MAT September 22. So, from Rs. 83 crore in September 22 MAT today, we are Rs. 137 crore September 24 MAT for Sporlac franchisee . Our Pediatric portfolio has achieved some notable trends with Z&D pediatric syrup formulation becoming the Rs. 24 crore brand. Ophthalmology has been well -integrated in January '24 and has grown 19% in quarter FY25 related to Quarter 1 FY25 as per IQ VIA data.

Coming to our "International Operations ":

Our international business revenue has grown at 3% to Rs. 413 crore. Both South Africa and the US businesses have recorded double digit growth. Even our Russia and branded generic business in ROW markets had a high single digit performance. Our CDMO business remained muted for H1 FY25 and is expected to recover in H2 FY25. CDMO sale that is US \$ 2 million got deferred to Q3 FY 25 due to material availability challenges which further impacted our Quarter 2 FY25 performance. As a result , CDMO is expected to report a strong number for Q3 FY 25. We have a robust order book for Q3 and Q4 FY25. We are maintaining our margins outlook to 26 %-28% despite the uncertainties in the market where we operate. Cost optimization is a key focus area for us. Looking ahead, we anticipate our domestic business to continue to outgrow the market on the back of our brand focus and market share gains. The thrust on chronic and high growth portfolios will also contribute strongly to this performance for the coming time. We expect our CDMO business to show a strong trend in H2 as mentioned earlier and thereafter on the back of new launches, new partners and expansion into new geographies across the globe.

We are building a strong business that continues to deliver, backed up by efficient operating process

es and strong brands.

With that, I wish to conclude my "opening comments and request our CFO, Mr. Narayan, to continue with his comments. Over to you , Narayan.

: Page 3 of 11 Narayan Saraf : Thank you, Nikhil. Good afternoon, everyone, and welcome to our Q2 Earnings Call. I will now take you through the "Financial Highlights " for Q2 FY 25:

Revenues for the quarter were at Rs. 1,001 crore, representing an increase of 13% year-on-year. The domestic to international business mix was 59% to 41% respectively. The domestic business reported revenues of Rs. 588 crore with growth of 22% year-on-year. Not including the Ophthalmology portfolio, the domestic business reported a 12.6% year-on-year growth. As per IQ VIA MAT September 24 data within the I PM, the Company outperformed with the growth of 11% versus the I PM growth of 7.6 % . The international business saw moderate growth of 3% year-on-year at Rs. 413 crore. Gross profit margin for the quarter stood at 66.2 % grew by 13% excluding Ophthalmology portfolio, which currently has limited margin, gross

margin improved by more than 150 basis points year-on-year. However, cost optimization efforts, favorable product mix and price growth aided margin.

Operating EBITDA excluding ESOP costs stood at Rs. 285 crore with growth of 13% year-on-year. The margins were at 28.4 % in Q2 FY25. On the expenses, overheads including employee cost was contained, which also aided operating margin. Finance costs reduced from Rs. 10 crore in Q2 FY 24 to Rs. 2 crore due to decrease in gross debt. MTM FOREX impact of Rs. 4 crore was recorded in Q2, primarily due to depreciation in Ruble currency.

The Company's operating cash flow in H1 were at Rs. 380 crore as against Rs. 421 crore in H1 FY24. Cash tax has increased by Rs. 34 crore due to increased taxable profit and lower accumulation of deferred tax liabilities. The Company held inventory because of anticipated EPA costs and ophthalmology inventory.

The Company's gross debt as of 30th September 2024 was at Rs. 82 crore versus Rs. 358 crore as on 31st March 2024. The net CAPEX addition for H1 FY25 was Rs. 53 crore versus Rs. 93 crore in H1 FY24. We reiterate our guidance for operating margins between 26 % and 28%. We remain confident on a positive outlook through opportunities for the Company and providing value to our stakeholders.

that brings me to the end of my "Opening Remarks". I now request the moderator to open the forum for the question-and-answer session. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amey from JM Financial. Please go ahead.

Amey : So, two questions from my side. First, given our capacity expansion for the CDMO business, how do we see this business growing in the future and what would be the peak potential for this?

Nikhil Chopra : So, also in my earlier comment what we have projected, if you look at medium to long term, this business, it is now close to \$50 million, we want to take it \$ 100 million in 3-5 years, but in short to medium term, probably what comment they have shared in probably H2, you should see business ramping up because couple of million dollar got deferred in quarter 3 because of the material availability. There are lot many of new projects that we have put in place. New drug delivery, newer geographies, newer partners, newer category of lozenges, all these are in place. We will be more than happy to share the details as and when we are ready to share that, but overall the momentum that we see in this business is up north and our guidance in terms of the business that we want to take it to \$100 million still stands as is.

Amey : And second question, is it possible to provide constant currency growth for the international business segment?

Narayan Saraf : We will get back to you. We have not seen constant currency growth. We don't

have the numbers handy right now.

Moderator : Thank you. The next question comes from the line of Sumit Gupta from Centrum. Please go ahead.

: Page 4 of 11 Sumit Gupta : Sir, just two questions. So, first is on the Azmarda, what kind of potential do you see in Azmarda and what kind of growth can you create?

Kunal Khanna : So, the Azmarda growth rate in the future, we project growth at 15 %-20%. There is huge potential in the heart failure market as we maintained earlier also close to more than 10 million patients, less than 20% diagnosis, the adoption continues to be extremely high for this product.

In the last call also, we mentioned that our first goal was that consolidation happens, and we maintain our run rate of 125,000 units, which is close to Rs. 6 crore monthly value. We are there. We are consistently tracking at that mark and we continue to maintain a very positive momentum for this particular molecule. It will grow at 15 %-20% from here on.

Sumit Gupta : So, the demand is like how much, so last quarter you mentioned right around 125,000 units. So, there is steady or like how is it?

Kunal Khanna : From here on, so quarter-on-quarter, we expect close to 5,000-7,000 units gain. So, what we are expecting is by the end of this financial year, we will be close to 140,000 -145,000 units and from there on we should expect close to mid-teens growth for this particular molecule.

Sumit Gupta : And sir, lastly, on the operating EBITDA also for the first half, you delivered around 29% nearly and the guidance is still maintained at 26%-28%. So, what will likely lead to moderation in the margin second half?

Kunal Khanna : We maintain our guidance. Our endeavor is to be on the higher range of the guidance given. While we have delivered that, we are also mindful that Q4, India business in March because of inventory normalization, there is a marginal impact, but having said that, we are fairly confident that we should be at the higher range of the guidance given.

Moderator : Thank you. The next question is from the line of Tausif from BNP Paribas Exchange Research. Please go ahead.

Tausif : My first question was in India business. Can you provide the price and volume break up for this quarter?

Narayan Saraf : So, the volume growth was in the range of around 5% and the price growth was also in the range of around 6% for the quarter.

Tausif : Second question was CDM O partners, do you expect this raw material issue to get resolved in coming quarters?

Nikhil Chopra : Yes, that is what I shared in my commentary that already this material availability issue has been resolved and couple of million -dollar order which has been deferred in quarter, quarter 3 will be delivered that will be there.

Tausif : Sir, last question , in the last 4-5 years , on our top brands , what kind of volume growth we have witnessed ?

Kunal Khanna : Volume growth has been consistently at close to 6% plus. Even if we compare our volume growth of late in Quarter 2 , we have registered 5% versus IPM of less than 1 .5% and that is what we have always maintained that we will try to maintain an incremental 3 %-4% delta as far as volume growth in the IP M is concerned and we continue to trend along . Also just to clarify , the volume and price growth which was given was excluding ophthal portfolio. So, we clocked organically 13% and that was the breakup of volume and price.

Tausif : And if I am right, we have launched several line extension rig ht for the existing products in last 4-5 years?

Kunal Khanna : Yes, lifecycle management has been very critical to our overall growth strategy for the large brands. So, big brands like Metrog yl have now extensions like Metrog yl ER, our Ranta c has Rantac OD, Sporlac which we acquired , we did significant incremental innovations , so now we have other variants in the form of Sporlac GG and there are other various forms of probiotic

: Page 5 of 11 which we are looking at. So, LCM has been very core and critical to our overall strategy of organic and acquired portfolio.

Moderator : Thank you. The next question is from the line of Rashmi S from Dola t Capital. Please go ahead.

Rashmi S : My call was dropped , so I think I have missed that comment. Did you mention the reason for the non -availability of the raw materials in the CD MO segment ? Was it related to change in any particular vendor because of which it got delayed? Or any specific reason for it?

Kunal Khanna : No, this is not related to any change in vendor , nothing of concern, just specific excipients got delayed . Some of these excipients because it is a very unique and differentiated product come from regulated markets and there was just a slight delay , so nothing of concern. Overall, we see very strong traction for our CDM O business in H2 and some of these supply challenges will also get resolved .

Rashmi S : So, if we expect that growth would come back in H2 and first half, we have seen a decline , so can we expect that for this entire year at least we would close flattish over F Y24?

Kunal Khanna : Yes, that is a fair assumption. In fact, CDM O business for H2 will be in very high double digit growth rate to 20 % plus, so we don't expect any further impact on this business. We are seeing a healthy traction and it should be as suggested.

Rashmi S : And can you quantify like much sales in this q uarter was deferred to quarter 3 in this CMO part only?

Nikhil Chopra : You missed what I gave the comment, it w as couple of million dollar.

Rashmi S : And in the domestic business , we are seeing Razel franchise e showing a very strong growth . Earlier , we were anticipating that this franchisee will more or less be in line with the market and it is outperforming both Statins market and the Rosuvastatin market. So, what are the initiatives which you have taken is leading to this kind of growth and what do you expect that whether the growth will get normalized or it will continue in this way?

Kunal Khanna : See, the good thing is we are in a progressive market. If you just look at the numbers of plane and combination as reflected in IQ VIA, our plane has grown at 30% plus for Q2. The market is closer to 20 and our combinations are also growing at (+20%) which is higher than market. It is a very focused strategy which we have. This brand was part of our other second main chronic team where Nicardia was being promoted. We have good space in kind of ensuring that this brand gets P1 priority and given the expansion of cardiologist and consulting physician in the prescriber base, we have been able to get strong results for this.

Rashmi S : But any dedicated field force for this particular franchisee you have added or it is the same ?

Kunal Khanna : It was part of our main second flagship chronic team, which was promoting Nicardia . In that particular team this gets priority 1 positioning.

Rashmi S : And one question on CAPEX , what is the guidance for this year and the allocation for it like if there is any growth CAPEX plan because your Ophthalmology product would finally come in with the Company from F Y27-FY28 , so any plans for that? So, if you can give guidance on that?

Narayan Saraf : So, in the second -half, we are planning for another Rs. 50-Rs. 55 odd crore of CAPEX . So, totaling this year, we will be investing around Rs. 100 plus crore of CAPEX and obviously we will keep on investing besides maintenance into even growth CAPEX and supporting for our growth endeavor of future in all the business . So, we have plans to invest in machinery which will support our IVF portfolio which will support our business.

Nikhil Chopra : So, every year , we spend CAPEX, which is close to Rs. 100-Rs. 120 crore, should assume 15%-20% is the growth CAPEX.

: Page 6 of 11 Rashmi S : And one last question, \$116 million which we will be payi

ng before December 26th, that will

be entirely paid through the internal accruals, or we are going to because we have already repaid the debt, but are we going to add the debt in FY27 or we will be utilizing it through internal cash only?

Narayan Saraf : As of now, the intent is that we want to pay it off from the internal accruals only because we would have enough funds to pay off the loan at that point of time.

Moderator : Thank you. The next question is from the line of Harith Ahmad from Avenues Park. Please go ahead.

Harith Ahmad : In the Ophthalmology portfolio, I think when you back calculate revenues of around Rs. 90 crore in the first half. So, can you share some color on the kind of growth that we have seen in this portfolio and which you can also talk about some of the changes that we have brought in after licensing these brands and then including the addition of MRs, so any comment there would be helpful?

Kunal Khanna : Purely from a number standpoint, when we acquired this portfolio, the steady-state run rate of the acquired portfolio in the previous organization was close to Rs. 40 Cr. In H1, we had started seeing good growth trends and we were closer to Rs. 44-Rs. 45 and now we are closer to Rs. 48 crore run rate per quarter. So, we are well aligned to our overall objective of clocking close to Rs. 185-Rs. 190 crore for this portfolio. We have seen very strong secondary traction. If you look at the recent numbers for this quarter, even the external market reflection is showing close to 18%-19% growth. Our objectives of expanding the prescriber base have started yielding us results. So, when we took this portfolio under this team, they were close to 7000 ophthalmologists, which were being covered. We have expanded the team. We took it from 65 to closer to 105 and we are right now covering close to 13,500 ophthalmologists which in the near future in the next 12 months that prescriber coverage will also expand to 16,000-17,000. So, every quarter we are seeing good sequential growth and very strong secondary trends. We remain extremely confident and optimistic about this.

Nikhil Chopra : Couple of points, I would like to add, if you see our presence today in the Ophthalmic business where we are doing around Rs. 47-Rs. 48 crore during every quarter, our major presence is in the world of glaucoma, pain, anti-allergic, antibiotic and last month only we have launched a new product from JB House which is Sodium Hyaluronate. So, you will continue to see every 3 months, one product we will be launching in this portfolio. In terms of what are the unmet needs in this market with now the right coverage and 100 plus people working in this team, we have enough space in terms, so we can target newer categories.

Harith Ahmad : And second question is on your mature franchise was I am referring to Rantac and Metrogyl, so obviously growth has received slower growth versus the rest of the portfolio. But going forward, how should we think about these two large franchises because they continue to account for our signature about overall sales, so are we expecting these to deliver growth going forward or should we expect fairly flatish kind of sales?

Nikhil Chopra : So, the good news was that in first 6 months of the year, let me talk first about Metrogyl, Metrogyl this year has demonstrated high single digit growth because of the better uptake in terms of prescriptions and many of the progressive SKU's within Metrogyl franchisee, there was good uptake in the prescriptions and same old true for many of the franchisees within Rantac, but some other branch in Rantac is flat in volume which you should assume it should be flat in volume, but there are other SKUs within Rantac franchisee which are showing good double digit growth. So, basically low single digit growth what you should expect for Rantac franchisee and Metrogyl probably

ly this year the season has been good. So, that demonstrated a good high single digit growth. But the focus is more on the progressive prescriptive SKUs within the Rantac and Metrogyl franchisees.

Moderator : Thank you. We have the next question from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani : Sir, on the Cilacar portfolio, obviously, we have seen very good growth over the past few years, but if you look at this franchise now, this franchise is almost Rs. 700 crore franchise for us as per IQ VIA data. So, what kind of growth do you see in this franchise going forward and : Page 7 of 11 what would be the drivers for the same? So, do you see any doctor coverage gaps as far as the cardiologist or the nephrologist channel is concerned for Cilacar?

Nikhil Chopra : So, first of all, there is no doctor coverage gap. Basically, our bifurcated data focus on these changes where the focus continues to be on Cilnidipine, which is starting prescription for newly diagnosed hypertensive patient with compromised renal function that is point number one. Point number two is the way we have segmented Cilacar-T, as a product for patients who are suffering from comorbid conditions of diabetes with hypertension. That is where the focus continues to be there and equally there are other two franchises where we are focusing which is a combination of Cilnidipine and Metoprolol and equally Cilnidipine, Telmisartan and Metoprolol; and Cilnidipine, Telmisartan and Chlorthalidone. These are 5 SKUs within Cilni

and Cilacar franchises, which will continue to show good growth. See the way we see this market is not only in terms of revenue or what every month that is what we are generating, but we more look at in terms of the burden of disease. If you look at in a country like India, 100 million plus people suffer from hypertension and one in four patients is undiagnosed. So, we have basically put the entire positioning of segmentation, targeting and positioning for all our different SKUs to different specialty for different indication. So, we seem to be very bullish in terms of what we can do with Cilacar franchisee and targeting more from looking at how do you reduce the burden of disease and equally JB being a responsible Company, we are closely working with all the specialties, be it cardiologist, nephrologist, endocrinologist, MD medicine, not only going and promoting the products in the clinic of doctors, but also helping in dissemination of knowledge where we are also working closely with many of the societies like Cardiology Society of India, also Association of Nephrologist, equally MD Medicine in terms of what new guidelines can come in place and help in dissemination of knowledge all across which will help not only in terms of patients being diagnosed early and being given the right treatment for the right ailment they are suffering.

Rahul Jeewani : And sir, on this growth which we have seen for Cilacar and Cilacar -T, which has been around let us say 20 %-28% CAGR for past 3-year period, can you call out the volume growth for both these brands specifically over past 3 years?

Nikhil Chopra : So, the volume growth continues to be between 12 % and 14% for Cilacar and Cilacar -T.

Rahul Jeewani : So, 12%-14% is still being driven by volume growth?

Nikhil Chopra : Yes.

Rahul Jeewani : And sir, the second question which I had is on the export business. Now, if we see on the export formulation, this quarter, we saw growth pickup happening because of the fact that the rationalization of the South Africa tender business is now in the base quarter as well. So, given that the impact of South Africa tender rationalization in the base, what kind of growth are you targeting in the export formulation business over the next 2-3 year period?

Nikhil Chopra : First of all, let us talk of current year. Current year, we are looking

at this business, international

business to grow double digit and we should be closing the year, high single digit for this business. That is where we stand and South Africa as you told as you were what you are talking about last 5 quarters, we have come out with the haircut that we have taken off Rs. 150 crore, this quarter we showed double -digit growth and this business now will go at double digit around 10 %-12%. FY27, you should see better traction in our ROW branded generic business where we will see some traction coming from new launches which we have been filing. Last year, this year, both put together, we should be filing around 20 new products that should also contribute to the business growth for that business, which is once again approximately Rs. 100 crore a quarter. So, overall, because of this couple of million dollar business of CDMO getting deferred in quarter 3, that is why overall business you saw muted growth of 3%, but we should close the business with high single digit growth with double digit growth happening in H2 and this business overall should go at around double digit in the coming time.

Rahul Jeewani : Sir, last question from my end, so when the new management team had come in at JB, we had also expanded our R&D team in terms of a new R&D file, but if we see the traction on the exports business in terms of new filings or even new ANDA filings for the US business has : Page 8 of 11 been limited, so sir, when do you see some of those R&D efforts translating into better growth for the international business?

Kunal Khanna : Rahul, we have always maintained, there are two parts of our filing strategy. One is what we will do in our overall international ROW markets and a very selected stage gate approach as far as US market is concerned, right. So, with respect to the international rest of the world markets, as Nikhil was saying, we have already done close to 20 development and filings, the benefits of that and this being international market from the time the dossier is prepared, filed and once you get regulatory approval, it is 18-20-month process. So, the first phase of 10 products which we have filed, we should start seeing benefits and regulatory approvals coming for them somewhere in September, October or calendar year 25, which means basically Q3, Q4, FY 26 and for the other set of 10 products, you should start seeing incremental gains coming in FY27. So, we are fairly confident that the first two phases of international filings of 20 products, we should start seeing incremental gains from late FY26 and full realization in FY27. Coming to US, we have always maintained that it is going to be close to 3 filings a year. We have over the last 2 years maintained that and you should start seeing approvals also coming through in the next 9 -12 months.

Rahul Jeewani : And just one follow up on that, can you split out these 20 filings across markets if that is possible?

Kunal Khanna : No, we would not want to kind of give disclosures regarding that. That is very business specific strategy which we have for these products.

Moderator : Thank you. We have the next question from the line of Soumya from Desperado Advisory. Please go ahead.

Soumya : I wanted to ask that in previous concall , you quoted for the new product launches in Pediatrics, GI, Probiotics , so with an expected pace of 1-2 launches in every two months. So, could you please provide an update on whether this guidance has been followed so far or if so, could you please share the details of the recent launches?

Nikhil Chopra : So, first product that we had launched was this Ranraft syrup , which is in the GI franchisee , also which clock ed around Rs. 10 crore revenue for the year . Almost 6 months of the year has happened . That is point number one . Equally, a couple of launches had happened in the world of Spor lac franchis e

e what was shared earlier that is Sporlac GG that is a pediatric formulation of Sporlac and equal ly Sporlac Eva which is there . Equally , in Metrog yl franchisee , we have launched Metrog yl DG LA Gel which i s once again for dental health. You should see couple of more launches happening probably . We have also launched one eye drop that is Sodium Hyaluronate which is in the market in the world of ophthalmology . We have a very good iron supplement that is Bisfer XT tablet which is close to around Rs. 15-Rs. 20 crore product. We are launching a syrup formulation in that. Equally, you should see probiotic for dental health which should come in probably in the month of December and one or two m ore launches we should see in the world of Ophthalmology. So, this trend will continue.

Soumya : So, sir, what has been the outcome of debt on the revenue , has it impacted or not?

Nikhil Chopra : So, what was shared earlier by Narayan, if you look at the volume growth which was 5% and price growth was 6%, new products are contributing around 1.5% -2% to overall growth.

Moderator : Thank you. The next question comes from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta : Sir, two questions , first on the sales force productivity, how much is the MR base as of now ?

Nikhil Chopra : Today , we have MR base of 2300 including Ophthalmology.

Sumit Gupta : So, going forward , how do you see , MR productivity or do you plan to add new MRs?

: Page 9 of 11 Nikhil Chopra : So, right now , we don't have any plans to add more MRs, at least in the next 12-18 months, there is no plan to add any MR and t oday our productivity stand this year is around Rs. 11 lakh.

Sumit Gupta : And sir, second is on the ESOP cost, so you still maintain in FY 25 full year, you will be doing Rs. 45 crore?

Narayan Saraf : Yes, ESOP cost, we have incurred around Rs. 14 crore this quarter and yes, we expect it to be another Rs. 25-Rs. 30 odd crore in the second -half a nd annually , it would be around Rs. 45 crore .

Jason D'souza : Just one second , we have one question just come on the chat. So, in terms of which is come on the chat is that operating cash flows have been a little soft in the first half , so the question is, what is expected for EBITDA to operating cash flow conversion for the year ?

Narayan Saraf : Very clearly, we are very confident that our net operating cash for FY24 as a percentage to EBITDA will be (+80%) like previous years.

Moderator : Thank you. The next question on the audio bridge is from the line of Abdul kader Puran wala from ICICI Securities. Please go ahead.

Abdulkader Puranwala : In terms of your MR productivity, so could you help us understand, where is the scope for further improvement? Is it the new set of brands what you have launched in terms of the acquired brands or the line extensions where you believe, the next set of productivity improvement would be d riven ?

Nikhil Chopra : All across, if you look at what we are trying to do in the world of Cardiology , today, our productivity is higher than a ll India productivity. So, that can also inch u p as what you heard earlier, our volume growth in our biggest two franchise e is in mid teens . Equally, we see huge potential in terms of what we are trying to do in our acquired portfolio. New launches will continue to contribute to the growth where productivity will inch up and also we have identified around 18 -20 brands across Company that is 3 brands in every business unit w hich are the anchor brands which will drive the productivity . So, all across we see productivity, our productivity should go around 10 %-12%.

Abdulkader Puranwala : And sir, second is on your broader aspiration to become the 14th largest Company in the domestic pharma market, while I understand that the bridge is quite significant, but would this be largely met again by few more acquisitions or any particular

area where you think you can create a sizable value for yourself ?

Nikhil Chopra : So, first of all, I don't know from where this is coming that we want to become the 15th largest Company . Today , we are 22nd by value and 16th by prescription. If you ask aspiration, we want to inch up in terms of where we want to be in terms of prescription , we want to be in top 10 by the way in terms of prescription . Today , we have 16th rank, so that is what is in our hand. And what was shared earlier, we will continue to deliver better performance as compared to market . Market will grow at around 8 %-10% and we should grow better than the market. So, very difficult to say in terms of gaining ranks , we are happy where we are today, but we would like to increase our ranking in prescriptions with all our big brands, R antac,

Metrogyl, Sporlac, Razel, Azmarda, all those will contribute over a period of time to improve our prescription ranking.

Abdulkader Puranwala : Sir, final one on your CDMO business , so I understand that there were certain deception on the first half and the second -half will be a little stronger, but I think we have previously guided that in the long term , we aspire this to become like 100 million kind of a business segment for us. So, are we still retaining those guidance or you would like to update that one as well ?

Nikhil Chopra : This question was answered earlier, but let me once again share with you. So, our aspiration to be \$100 million stand as is with the work that we are trying to expand in newer geographies, which is a combination of getting into Brazil market, getting into Europe market, getting into US market and those are the things that we are attempting which will happen probably in medium term, equally getting into newer category of lozenges which we have been talking .

: Page 10 of 11 Next year , what we have been talking about getting into lozenges , which are Melatonin based, which should happen next year . We have been talking about getting into immunity and wellness sausages, which are already there in our European market in three European countries . Probably , in next one year, it will be available pan Europe and other more countries .

Also, you should see us getting into new doses of drug delivery, be it a combination of stick pack, throat spray, newer partners that we are trying to get into across the globe. So, all these are in place and what earlier was shared that the aspiration to be \$100 million Company in CDMO stands as is with right partners that we have got and equally the capacity that we have bought of 2 billion lozenges which can happen in 3 years, which can happen in 5 years in the coming time.

Jason D'souza : So, there is another question on chat. There are two questions, one is how do we see the performance of the India business in the second -half of the year and how has the performance been of the Probiotic business in the first half of this year ?

Nikhil Chopra : What was shared earlier that Sporlac as a franchise when we acquired was Rs. 83 crore couple of years ago . Today , it is Rs. 137 crore as reported in IQ VIA MAT and what we have done is done right, life cycle management and better distribution and representation of our people in the clinic with Sporlac franchisee. And we are very bullish on this. These are Rs. 2,000 crore market , still we are scratching the surface , use operationally in terms of what we can do with this franchisee. Probably , this is the sixth brand that at some given time we will see we will be in top 300 from JB. And overall, when you look at India business, we will continue to deliver market bidding performance, which we have been doing for last now 3 consistent years . Because of overall industrial practice , you may see a marginal dip happening in quarter 4, but then also it will be an equal to the market delivery, but this business will deliver good healthy 12 %-14

% growth for H2.

Moderator : Thank you. We have a follow -up question from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani : Sir, did I hear you correctly that the CAPEX investments which have slightly increased, these are investments into the IVF segment?

Kunal Khanna : Rahul, no, it is not IVF. It is basically injectable IV products, injectables for our rest of the world markets, it is basically for our export markets. So, from a Greenfield perspective, what Nikhil and Narayan were mentioning, there are two key dosage forms at least for this year. One, we are investing in throat spray and the other is expansion in the IV products.

Rahul Jeewani : Sir, what is the current contribution for, let us say these new dosage forms in the international business ?

Kunal Khanna : So, throat spray is essentially something which we are going to be doing for the first time. It is largely for our CDMO business with our main principal partner. And as far as IV products go, while we would not want to disclose from a value perspective, just to give you a sense, we do close to, we have a capacity of close to 54 lakh units per month. That is something which we are expanding to 75 -78 lakh units per month.

Rahul Jeewani : This is for the injectable products ?

Kunal Khanna : Injectable , yes .

Moderator : Thank you. We have another question from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta : Sir, I just wanted to understand on Melatonin and lozenges so when do you expect it to enter the market?

Nikhil Chopra : Sorry, you are talking about Melatonin and lozenges ?

Sumit Gupta : Yes.

: Page 11 of 11 Nikhil Chopra : So, that is what I said that would be available in some markets outside India probably next year.

Sumit Gupta : And for pain lozenges ?

Nikhil Chopra : Pain probably you should see that happening probably end of next year starting FY 27. In Brazil market.

Sumit Gupta : In Brazil, in the first half ?

Nikhil Chopra : Yes.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you , sir.

Nikhil Chopra : Thank you all for participating in today's call. I think last 2 quarters we have been delivering Rs. 1,000 crore plus revenue every quarter and our EBITDA margin stands close to around 28%. And we are confident that we end the year on a higher growth , which is backed up by what we are trying to do in India business which is growing better than the market. Equally , you should see some traction coming back in our C DMO business and we are all there in the Company in terms of how we can chart our future and remain focused on making the organization more p rogressive and future ready and create value for our sharehol ders and equally look at what more we can do to improve the quality of life of patients across the globe. Thank you.

Moderator : Thank you. On behalf of JB Pharma, that concludes this conference. Thank you all for joining us ad you may now disconnect your lines.

Call: Feb 2025

February 10, 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on February 5, 2025 at 12.00 noon IST in relation to results and developments for the third quarter ended on December 31, 2024. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 18

JB Chemicals & Pharmaceuticals Limited
Q3 FY25 Earnings Conference Call Transcript
February 05, 2025

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator : Ladies and gentlemen, good day and welcome to JB Pharma's Q 3 FY '25 Earnings Conference Call as on the 5th of February 2025.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza - Executive Vice President at JB Pharma. Thank you, and over to you.

Jason D'souza: Thank you, moderator. Welcome to the Earnings Call of JB Pharma. We have with us today Nikhil Chopra - CEO and Whole-Time Director; Kunal Khanna – President, Operations and Narayan Saraf - the CFO at JB Chemicals & Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussions may be forward-looking in nature and may involve certain risks and

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uncertainties. A detailed statement in this regard is available in the Q 3 FY '25 "Results Presentation" that has been sent to you earlier.

I would like to hand the floor to Mr. Nikhil Chopra to begin the proceedings of the call and for his "Opening Remarks".

Nikhil Chopra: Thank you, Jason. And a very warm welcome to all of you. Thank you all for being with us.

I will commence with my thoughts on our "Quarter 3 Performance ":

I would like to start by saying that JB continues to deliver strong profitable growth.

The Quarter 3 FY '25 performance is a reflection of this statement. While top line has grown by 14% to revenue of 963 crore , operating EBITDA has grown at 15% to 270 crore and net profit has surged to 162 crore , growing at 22%.

This performance has been enabled by our mix of businesses and markets, specifically our focus on India branded formulations, CDM O and some selected international markets.

We have maintained the run rate of quarterly performance with revenue of 963 crore. This was due to strong momentum in domestic business and improved traction for our CDMO businesses. Whereas we held on our gross margin at 67% in the quarter, our operating EBITDA saw improvement in margins to 28.1%.

Over the past couple of years, we have expanded the basket of our key brands. We are consistently enhancing share of our chronic within the mix and rank far ahead of IPM in category growth for our chronic at 24% versus 11% of IPM as per MAT . CAGR December 2020 to December 2024.

I will share some "Perspectives and Thoughts " on our domestic business :

Our domestic business grew by 22% to INR 566 crore year-on-year. The business accounted for the majority revenue during 9-month at 60% versus 55% in 9-month for FY '24. So today, domestic business contributes 60% to the overall revenue for JB. We are one of the fastest growing companies in the market and have delivered year-on-year 12% growth versus IPM growth of 8%. Each of our major brands, namely Cilacar, Cilacar -T, Nicardia and Sporlac have gained ranks as per IQVIA MAT December 2024.

Excluding ophthalmology portfolio, the domestic business grew at 12% for Quarter 3 FY '25. Excluding ophthalmology portfolio, the volume growth for domestic business was 7% for Quarter 3 , '25, and 6% for 9 -month FY '25. The ophthalmology portfolio sales is progressively well depicting consistent growth every quarter. We now have a dedicated field force of 120 people deployed to promote the brands that we have in that sense.

It is interesting to know that 65 of our overall domestic business is now a part of the progressive portfolio, which is growing faster than IPM. Around four years back, the progressive portfolio was only 35% to the overall domestic business. So, 35% has

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become 65%, which is progressive portfolio that we are placed in, which is growing better than the Indian Pharma Market . This is a marked change and will enable the domestic business to grow consistently over the next few years.

In December 2020, we had only 6 brands greater than 25 crore in the revenue. I am glad to share that in December 2024 , we have 25 brands which have a revenue more than 25 crore , out of which five are in the top 150 in the country.

Moving on to our "International Operations " now. During Quarter 3:

We reported a 4% improvement in growth to 397 crore with our C DMO business leading the segment with 33% growth to INR of 118 crore . The underlying growth momentum remains strong and is backed up by a strong order position. International formulations were impacted due to revenues decline in U.S., Russia, whereas South Africa and branded generic business showed growth.

In terms of the "Outlook ":

Although we have emphasis on growth, there is a strong focus on profitable growth. JB is now well positioned to deliver continued growth. The strategy and the levers

are

well defined. And we have a strong team that will execute the plan that we have put in place.

Our India business continues to drive market -beating growth led by chronic business and progressive portfolio within the acute segment.

Our export business continues to be steady with sequential improvement witness in our CDMO businesses. Advancement of various new projects in our CDMO business

will flow through into growth numbers in near to medium term. And we have a good pipeline of future product commercialization opportunities in the international business which will deliver sustainable value creation for the company.

I would now like to conclude my remarks and request our CFO, Mr. Narayan, to share his views. And over to you, Narayan.

Narayan Saraf: Thank you, Nikhil. And very good afternoon to everyone. Welcome to our earnings call.

Let me walk you through the key "Financial Highlights" for Quarter 3, FY '25:

For the quarter, we reported revenue of 963 crore, reflecting a year-over-year increase of 14%. The revenue mix between domestic and international markets was 60% and 40% respectively.

Our domestic business contributed 566 crore showing a growth of 22% year-on-year. Excluding the ophthalmology portfolio domestic revenue grew by 12% compared to the same period last year. According to IQV IA MAT, December 24th data, within the IPM, the company posted a growth of 12%, surpassing the overall IPM growth rate of 8%.

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Meanwhile, our international business delivered modest growth of 4% year-on-year with revenues reaching Rs. 397 crore. The gross profit margin for Q3 stood at 67.1% as compared to 67.6% in Q3 FY '24. Excluding the ophthalmology portfolio, the gross margins improved in Q3 by 160 basis points as well as at YTT level. This was driven by our cost optimization initiatives, a favorable product mix, and pricing growth.

Operating EBITDA, excluding ESOP expenses, was Rs. 270 crore, marking a 15% year-on-year increase. The operating margin for Quarter 3 FY '25 improved to 28.1%. On the expense front, other expenditure as a percentage to sales improved to 22.7% versus 23.2% in Q3 FY '24.

We continue to be agile in driving efficiency in our processes and spends, resulting in better management of costs. MTM Forex impact of Rs. 4 crore was recorded in Quarter 3, primarily due to depreciation in ruble currency.

Finance costs saw a significant reduction from Rs. 12 crore in Quarter 3 FY '24 to Rs. 3 crore, primarily due to the reduction in the gross debt. Depreciation remains the same as the previous quarter at Rs. 42 crore. As of 30th December '24, our gross debt stood at 54 crore and net cash was at Rs. 516 crore.

We aim to deliver operating margins between 26 and 28% despite inflationary pressures and external market's uncertainty. We remain confident about the positive outlook for the business and our ability to deliver value to our stakeholders.

With that, I conclude my opening remarks. I would now like to request the moderator to open the floor for the question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on the touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take our first question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes, thanks for the opportunity. Just on the ESOP side, we have already done around 41-42 crore in 9 months. How much are we guiding for Quarter 4 or the entire FY '25?

And what will be this number in FY '26 and FY '27?

Narayan Saraf: Yes. Thank you, Rashmi. So, in Quar

ter 4, we expect another ESOP cost of 16 crore.

So, at the full year level, we are looking at around 56 crore kind of ESOP cost for FY '25. In FY '26, we are looking at around 40 crore. And in FY '27, it would be around 24 crore.

Rashmi Shetty: 24 crore. Okay. Just on the export side, you know, earlier we had given that export international formulation will be able to do double-digit growth, you know, because second half would be better. But I understand that you faced some challenges in Russia because of the currency volatility. What was the Russia constant currency growth and what challenges have you faced in the U.S. business?

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Narayan Saraf: So, Russia, we saw challenges in the growth on two sides. One is currency and the second would be a muted season in the month of November and December. And if I look at the constant growth, it is around minus 5% versus minus 8%.

Rashmi Shetty: Okay. And the muted season, you mean to say the flu season, right?

Narayan Saraf: Yes.

Kunal Khanna: So basically, Russia for us, cough and cold season is, you know, spans out somewhere around November to Jan, Feb. November and December were slightly

muted. Having said that, the first six months of Russia, we have done phenomenally well, both in terms of revenue and profitability. So, it's just a minor seasonal impact and some impact of currency volatility. Nothing apart from that structurally changes for us.

Rashmi Shetty: Okay, and related to the U.S. business?

Kunal Khanna: U.S., you know, we are inching back. If we look at the current order book situation also, we remain fairly confident of closing the year, you know, on a high. And right now that's what we can comment on. The first six months were slightly soft, but otherwise things will be back on track.

Rashmi Shetty: Okay, and so any guidance change, you know, for the export business or you still think that, you know, we would be able to do double digit assuming Quarter 4 to be strong?

Kunal Khanna: Well, surely Quarter 4 is going to be strong, and we will witness a double-digit growth in Quarter 4. We are extremely confident of that and from a mid and long-term perspective also, we will be closer to high single-digit and double-digit growth as we have already said.

Rashmi Shetty: Understood. And just one last question on the domestic piece. Excluding, you know, Ophthalmology portfolio, we are growing in the range of 12%. Now, the inorganic portfolio has also become a sizeable portion and the progressive portfolio has also increased, which is doing pretty well. So, organic, we are doing around 11 to 12% sort of growth, but with this portfolio adding up for next two years, do we think that, you know, we would come back to around 13, 14% sort of growth in the entire domestic blended portfolio?

Nikhil Chopra: Yes. So, Rashmi, Nikhil Chopra here. So, what I shared earlier also in my commentary for organic growth is 12% backed up by volume growth of 6 to 7%. So, you should see us growing at mid-teens in India business backed up by strong volume growth.

Rashmi Shetty: Okay, this you are talking about the entire blended portfolio, right?

Nikhil Chopra: No, because Quarter 4 onwards, the base of ophthalmology will also come in.

Rashmi Shetty: Will also come in.

Nikhil Chopra: Yes.

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Rashmi Shetty: Okay, thank you so much.

Moderator: Thank you. Before we take the next question, we would like to remind participants to press "*" and "1" to ask a question. Next question is from the line of Tausif from BNP Paribas Exane Research. Please go ahead.

Tausif: Thanks for the opportunity, and congrats on a good set of numbers. My first question on your Ophthalmology portfolio, while you have already shared the revenue run rate for this business, can you share some more insight, like what has been the volume growth and what are the strategies you

have implemented post integration?

Kunal Khanna: If you really look at our Ophthalmology portfolio and a reflection of Quarter 3 also, the market has grown at close to 9%, whereas our business and portfolio is showing a strong growth of 28% plus. It's largely being driven by our focus on creating more demand for the set of products we have.

During the integration process also, we maintained our focus was on expanding the coverage of ophthalmologists. As a result of which, we had added more reps on the ground also. Close to 65 to 70 members, that ramp up happened. We had close to 105 to 110 field members working on the ground.

The ophthalmologist coverage increased from 7,000 to currently what we are training at 14 to 15,000. Plus, what we saw over the last two months was addition of a new product as well, which over the next 6 to 8 months, you will see that every quarter, we will be adding one or two SKUs.

So, our focus on creating more secondary demand generation, where we have seen almost a 15 to 20% increase uptake in terms of prescription and the units sold in the secondary market. And this being a very, very strong platform for new launches also happening is giving us good results. And we remain extremely confident about how this business is going to shape up for us in the mid and long term.

Tausif: So, I guess it's fair to assume large part of growth has been volume driven.

Kunal Khanna: Yes, it's a reflection of, you know, not only our Ophthalmology but even our overall India business and even Ophthalmology is absolutely volume driven. See, because beyond a certain point, there is no real opportunity for us to take price growth beyond 7 to 8%, right? So, it's volume driven.

Tausif: Okay. My second question is, can you share the revenue contribution from your top flagship products, excluding the line extension launch we have done in recent years compared to FY '20?

Kunal Khanna: Could you repeat that? Sorry.

Tausif: Can you share the revenue contribution from top 4 to 5 flagship products currently?

Kunal Khanna : From 4 to 5 flagship products ?

Tausif: In the domestic market.

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Kunal Khanna : In the domestic market, 5 flagship products are currently contributing close to 60 -65% of our overall India business.

Tausif: Okay, and compared to FY '20 could be lower.

Kunal Khanna : Absolutely, in FY '20, the top 5 to 6 products were contributing more than 75% , and this is exactly the result of new launches, some of the acquisitions which we have made and the fact that Nikhil mentioned that , you know , in his commentary as well , that in FY '20, there were only close to 6 brands which were more than 25 crore , but now we have a sizeable basket and a good progressive portfolio. which is more than 25 crore. And over the next two to three years they'll be set of 10 to 12 brands which will be inching closer towards 50 crore run rate .

Tausif: Just last question on CDMO business, do you expect this current quarter run rate to continue for this fourth quarter?

Nikhil Chopra: So, this is what I think if you recollect what we have been commenting on CDMO business , first half of the year was not great. Some orders we had to shift in Quarter 3. So, 32% growth is not the growth that we have been projecting. But Quarter 4 also will be good as we have a strong order book , and you should see this business going at mid -teens short to medium term.

Tausif: Thanks.

Moderator: Ladies and gentlemen, to ask a question, please press "*" and "1" on your phone.

Next question is from the line of Abdulkader Puranwala from IC ICI Securities. Please go ahead.

A. Puranwala: Hi, sir. Thank you for the opportunity . So, first on the CDMO business, so last quarter we have talked about some kind of a spillover to happen in Q3. So, is that completely happening or in Q4 also you will see some benefit of that?

Nikhil Chopra : So Q3 it has c

ompletely happened and Q4 will be on its own. But we earlier also had commented that you will see good traction in Q3 and Q4 . So, Q4 we have a good order book . And just to also share with you on the world of CDMO , if you see the next horizon of 18 to 24 months. There is good visibility of 4 to 5 big global projects which are kicking in. And all the development work is on for all these projects, maybe newer formulations, newer geographies that we have been speaking and at the right time , we will be able to share more light on them . So, we are very bullish on this entire world of CDMO , which we have been talking in our commentary in the past.

A. Puranwala: Understood . And sir, secondly on the India business, so I know if you have to classify your India portfolio into three buckets, one is your legacy portfolio and second , you know , whatever you have acquired between 22 -24 excluding the Ophthal brands and last is the Ophthal which is , you know , you have given a segregation of that , but within your legacy set of brands and the ones which you have acquired , I mean , if you could provide some color on how the growth has been in the first nine months would be very helpful .

Nikhil Chopra : So, what I give the commentary today , 65% of the portfolio. Is growing better than IPM, is progressive in nature . So, whether it is within the cardiology space, whether it

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is hypertension, heart failure, lipids , our pediatric portfolio , probiotic portfolio Metrogl has shown good growth this year.

Fortunately, we had a very good season . So, that portfolio continues to grow at around close to 12% plus, which is much, 400 b ps higher than the Indian Pharma Market growth. And out of that portfolio, what was shared earlier, there are around 25 brands which are more than 25 crore . So, that shows overall the momentum that we have built up over the last four years in terms of whether you talk about four or five big brands or what we have acquired or what was shared also about the ophthalmology portfolio backed up by solid volume growth, which we have seen over the last six months.

Because fundamentally , we have worked in terms of improving our coverage, whether it is in the world of probiotics, whether it is in the world of ophthalmology, whether what we are doing with the cardiologists and physician for our Razel and Azmarda brands, these are all acquired, and equally for our big organic brand, that is Cilacar . So, 65% of portfolio is growing better than the Indian Pharma Market , which overall tells about the strength which we have built over a period of time.

A. Puranwala: Got it, sir. That 's helpful. Just a final one on a bookkeeping question. Sir, for this quarter, because of currency headwinds in Russia, have you booked any kind of Forex loss or Forex gain, if at all, in other geographies?

Narayan Saraf: So, like I mentioned, the majority of the MTM loss of 4 crore that we hit in this quarter came because of the depletion of the ruble.

A. Puranwala: Okay. 4 crore. And that would be in the other expenses ?

Narayan Saraf: Yes.

A. Puranwala: Got it.

Narayan Saraf: And it's a non-cash charge. So, it was also then to that extent our EBITDA would have been better by 4 crore and cash would have been better by 4 crore.

A. Puranwala: Got it. Thank you.

Moderator: Thank you. We will take our next question from the line of Girish Bakhru from OrbiMed. Please go ahead.

Girish Bakhru: Yes, hi. Thanks for taking my question. Nikhil sir, just kind of a couple of questions on Cilacar. I mean, growth has been very impressive. If I look at the market, I mean, plain Cilnidipine is still growing much faster if you compare with the other molecules like Amlodipine. And we know this is partly because you keep saying it has a very strong renal protective effect. And where do you see this market growth slowing down for you in

Cilnidipine and combinations as well?

Nikhil Chopra: Where do I see market growth slowing down?

Girish Bakhru: Regional maturation growth number for the franchise?

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Nikhil Chopra: So, we see huge opportunities in the world of what we are trying to do with the work in the world of hypertension, be it Cilacar, be it Nicardia. Basically what we are trying to do is not only target to talk about in doctor's clinic for the world of hypertension, but also we are trying to talk, trying to look at what we can do more in the world of hypertension with comorbidities. That is helping us in terms of the enrichment of the discussion that our medical reps are having with the medical fraternity.

And we have got a full portfolio, which is what we spoke earlier also in your question that being a renal protective drug, plain Cilnidipine, combination of Cilnidipine plus Metoprolol gives us protection from angina. Combination of Cilnidipine with Azmarda gives us protection from heart failure. Combination of Cilnidipine with Razel gives us protection from high lipid levels. Combination of Cilnidipine with Telmisartan gives us protection from metabolic.

So, we have a whole range of portfolio and equally for uncontrolled hypertension, resistant hypertension we have Nicardia, Nicardia XL. So, whole gamut of portfolio we have got, and this is not only that we are going and talking in the clinic and generating value, but overall the objective is how to reduce the burden of disease for the patients who are suffering from hypertension and comorbidities. So, that is the task that we have taken. That is why you see the entire differential that we as a company bring on the table as compared to other companies.

Girish Bakhru: That's helpful. So, if I elaborate on this, because, say, plain Cilnidipine is better than Amlodipine, so in all the combinations, Cilnidipine combinations should ideally surpass Amlodipine combinations. Is that the right inference to draw? Like, if I look at the Amlodipine, Telmisartan market, that's probably about 1,000 crore market. Should Cilacar -T become a 1,000 crore product?

Kunal Khanna: Girish, that is certainly the endeavor, just to give you some numbers in terms of when you look at it from an anti-hypertensive lens or when you look at it from a diabetic hypertensive lens, right? In anti-hypertension of 200 million plus patients, one out of three is suffering from some kind of renal complication. And that is a responsibility we have taken in terms of how do we ensure the prescribing community is ensuring efficacy for renal complications when they are prescribing antihypertensive drugs. Even if when you look at it from a lens of diabetic hypertension, one out of two diabetic patients are already suffering from severe hypertension, which means they need a combination of Cilnidipine plus another ARB which will be required. So, for us, the market is big. We are not kind of only looking at Amlodipine as a market to be substituted. We are looking at how we can manage the entire antihypertensive plus diabetic, you know, suffering patients in the country. But that is the endeavor. We see a huge, huge opportunity in the foreseeable future. You know, substituting Amlo plus combinations is just one part of the overall journey.

Girish Bakhru: So, that is in a complicated hypertension, let's say 50% of those cases which you are saying, is Cilacar -T first line of treatment now?

Kunal Khanna: In complicated hypertension, if that is diabetic hypertension as per RSSDI guidelines, Cilacar -T is the first line of treatment, yes. It's CCB plus ARB and within CCB it's clearly mentioned Cilnidipine is the preferred molecule.

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Girish Bakhru: That's very helpful. And if I can just, a related question, ask you, last I think you said 600 MRs were behind Cilacar. How many there are now? And how does that number

look vis -a-

vis Telma and other brands?

Kunal Khanna : We would not want to compare or comment on how does that number look with the competition. What we mentioned in terms of during the last call in terms of reps detailing Cilacar and combination, that number hasn't changed.

Girish Bakhru: Okay, okay. And just last one, I mean, you clearly have a good pipeline, 25 brands over 25 crore sales. But just from the list, which are the real probable ones which can surpass 100 crore besides these top 6 brands?

Kunal Khanna : See, for us, the progressive portfolio, we are taking a big bet on all the brands which are upwards of 25 crore . The real growth progress story, we are very, very confident of our Metrogyl ER, Ranraft, Bizfer -XT, Loban as another probiotic . So, we have a set of 8 to 10 products which over the next 2.5 to 3 years will be closer to 50 and clearly from a mid and long -term perspective will inch towards 100 crore as well . So, some of these names which we mentioned in terms of Loban, Metrogyl ER, Ranraft, Laxolite, these are clearly, you know, progressive bets about which we are extremely bullish.

Girish Bakhru: Thank you . Thank you very much . Very helpful.

Moderator: Thank you. Before we take the next question, we would like to remind participants to press "*" and "1" to ask a question. Next question is from the line of Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta: Hi, thanks for the opportunity. The first question is on the gross margin . So, how do you see the gross margin trajectory going forward in Q4 and over the next two to three years?

Narayan Saraf : So, our cross margins continue to be in the range of 66 to 67% at a yearly level , and we see some challenges on EPI and Forex impacts , which right now we don't see any impact in the near future , but as we move on , we will continuously monitor them. And in the short and in the medium and long -term, we will find out actions to mitigate those challenges. But however, we continue to hold that it will be in the range of 66% to 67% in the near future. Kunal, do you want to add something?

Kunal Khanna: So, we are very confident of the range which we are holding right now as things stand despite the dollar -rupee situation. We are adequately covered with respect to the stock . So, for sure in Q4 , we should be pretty much close to the margins which you currently see.

On the long -term situation , you know , despite the volatility I think over the last three years also you have seen that we have always worked around efficiency measures to improve our gross margin profile. Those efforts will continue to drive from a mid and long -term perspective , and will be watchful of the situation.

Sumit Gupta: Okay . So, just want to hypothetically, like if you plan to expand the gross margin to 58% or more than that, so what will be the ideal scenario in that case?

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Kunal Khanna : Could you repeat the question please?

Sumit Gupta: Like if the gross Margin is , let's say , move to 68% to 69% kind of level. So , what would be the , like, ideal scenario in terms of pricing or volume or? It's a competition. So , I just want to understand on that aspect.

Kunal Khanna : See, our endeavor has always been, if you really look at how we have shaped up the business, you know, the more profitable parts of our business, which is India and CDMO have always taken priority which helps us in driving better product mix apart from the efficiencies which we continue to drive and which has been a major part of , you know , how we have seen gross margins improve over the last two to three years. Currently India and CDMO business is already inching up towards closer to 70%. We have put an aspiration of over the next two to three years how the both these segments will contribute 75 to 80%. You know , we are very confident that these segments will continue to drive growth. And if the externa

l market in terms of supplies

and API prices remain in the steady state and there is no volatile situation, we would see a closer to 125 to 150 bps being added on our margin profile with these two segments always improving. So , that's what we can comment at this stage.

Sumit Gupta: Understood, sir. And second question is around the Azmarda . So, what are the sales for 3rd Quarter and overall, nine months?

Kunal Khanna : So, overall, we are already trending at close to 130,000 units per month, which almost five to six months back was close to 95 to 100,000 units. So , as we mentioned last time also , every quarter -on-quarter sequentially we should be adding close to 15 to 20,000 units per month , and the visibility which we have and the trends which we see are very, very positive.

The competition of low -cost generics has almost phased out , and now it's become a

game of the top four to five players only. We have consolidated our position over the last six to eight months as well. We continue to be very confident about this segment in which we have invested. The volume growth will be closer to double -digit, and we will progress similarly. So , right now, even on what you see on IQVIA, our trending is closer to 70 crore , and we expect this particular brand to drive almost mid -teen growth for us going forward.

Sumit Gupta: Okay. So, for this quarter, it was around 70 crore .

Kunal Khanna : That is YTD MAT figure is what we are saying. Yes.

Sumit Gupta: Understood, sir. And sir, lastly on the ESOP, I, like apologies if it is a repeat. So , what were the ESOP charge expected for FY '2 5 and for the next two to three years ?

Narayan Saraf: So, let me just repeat it. So, FY '2 5, we are expecting ESOP charge of 56 crore . In FY '2 6, it would be around 40. FY '2 7, it would be around 24 crore .

Sumit Gupta: Okay, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Umesh Laddha from Nirmal Bang. Please go ahead.

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Umesh Laddha: Yes, thank you for the opportunity. So , first thing I wanted to reconfirm that we are having no plans to launch Semaglutide and if we are not having any plans to launch Semaglutide , then the launch of Semaglutide will affect our diabetics portfolio.

Nikhil Chopra : Right now it is very early to say that whether we will get into Semaglutide market or not, but our presence in diabetic portfolio is almost not there. So , it does not ...

Nikhil Chopra: Impact.

Nikhil Chopra : It doesn't impact us.

Umesh Laddha: Okay , sir. Thank you so much. And also one more thing is that are we planning for some inorganic growth in FY '2 6?

Nikhil Chopra : We continue to evaluate assets. That is a part of our plan. We as a team, we have a team of people who continue to evaluate assets. So, as and when anything which comes across which is suitable, synergistic, in line with the category where we would like to acquire , good payback period, quality asset , we will be more than happy to acquire.

Umesh Laddha: Okay, sir. That's it from my side . Thank you.

Moderator: Thank you. We will take our next question from the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: Yes, thank you for taking my question. Most of my questions are answered. Just one more. You said something on M&A as well, but if we see we have added three new therapies, Probiotics, Ophthal and Pediatric , for the last two to three years. Going ahead, your focus would be deepening our presence in these three therapies, or you would like to add a few more therapies ? Would we be opportunistic in adding new therapies?

Nikhil Chopra : Given a choice, we would like to deepen our presence in the existing therapies. Not that we will ignore anything new which is coming in from newer space. We will be more than happy to get. All will depend upon the quality of asset. We want to acquire something

g which is long lasting. May not be growing as is, but in a growing market. If tomorrow we have the capability to grow it better than the market , like what we have done in the world of ophthalmology or pediatrics or probiotics, that is what we have seen , that is our endeavor.

Amey Chalke: Sure. And the second question I have is related to this only. Like we have a very good presence in cardiology now. We are almost present across hypertension to heart - related issues, everything, cardiac. So , this therapy, you can leverage your presence very well while entering into diabetologists as well because many of these cardiologists also prescribe lot of diabetes prescription as well. So , why are we not thinking of going into or launching organically diabetes related brands?

Nikhil Chopra : We tried . We attempted launching Sitagliptin , Vildagliptin , Dapagliflozin . Not easy . By the way, the computation is intense. And what we have learned over a period of time , right now Dapagliflozin we are doing around 15 crore annually. What we have learned over a period of time, then let us stick to our domain , more in the area of cardiology

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and within cardiology we have segments like hypertension, heart failure, lipids. We may get into the world of arrhythmias, blood thinners. I think that suits us much better as compared to getting into the world of metabolic because not easy. Not easy the way we have seen. That is where we are.

Amey Chalke: So, is it possible like a GLP -1 could be an opportunity to enter because initially the competition would be low , which could give you a headway to create a brand?

Kunal Khanna : It's not fair to assume that competition will be low in GLP -1. You know, whenever products go LOE, we have seen in the Indian market that even if there are few

manufacturers, the market is open for all to source and market the products. Yes, over a period of time, the competition kind of eases out.

Given that we are not a dominant leader in this space, we don't currently, as of now, have any plans to make any serious impact on the GLP -1 side. But anything which is closely related to our main strengths, like on cardiology, what Nikhil mentioned, we are happy to evaluate other opportunities within cardiology. We are still operating at 70, 75% of covered market opportunity in cardiology. So, there will always be adjacencies which we can evaluate.

And on metabolic, you know, the organic strategy did not pay us good dividends. But if there are some other opportunities which we can evaluate from an inorganic perspective, we will be happy to evaluate them.

Amey Chalke: Sure. Thank you so much. I will join back the queue.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press "*" and "1" on your phone now.

Jason D'souza: We have a question that is there on the, just come on to the question vault. The question is for Na rayan. So, the net cash position has been fairly strong. How do we see the net cash position panning out for this financial year?

Narayan Saraf: So, thanks, Jason. So, very clearly, we see that currently we are sitting at a net cash flow of around 5 16 odd crore, and we clearly see after paying off the dividend which we have announced yesterday, and making ourselves debt free, we would be ending the year with around 650 crore of cash positive. So, we would be paying off all the loans and with dividend payout of almost 130 crore plus. In spite of that, we see our cash flow, net cash would be around 655 odd crore.

Jason D'souza: And the second question is, how do you see the Q4 performance panning out for the organization?

Nikhil Chopra: So, Q4 what I think what we shared earlier in the commentary, first of all, we are bullish in terms of we will deliver double-digit growth in our international business.

And equally, overall the trend will be strong as we have good order book

for our

CDMO business. India may be soft because of the March month. That is why the inventory goes down, but overall the traction will be maintained, and you will see a good trajectory to be continued in Q4, and we will end the year on a high note.

Jason D'souza: Thank you. Over to the queue now.

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Moderator: Thank you. Before we take the next question, I would like to remind participants to press "*" and "1" to ask a question. Next question is from the line of Rahul Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani: Yes. Hi, sir. Thanks for taking my question. Sir, within the domestic business, can you also talk about how has the traction been for our probiotics portfolio and Sporlac?

Kunal Khanna: Sporlac already, Rahul, is more than 120 crore reflection. Even from an internal perspective, we are just about inching towards the 100 crore mark. The category has grown this year. For us also, the brand and its variants like Sporlac GG have done fairly well. Even in external market reflections, we are pretty much on par with the market growth. So, you know, our strategy remains that we do better life cycle management of this brand, and we continue to grow this franchise.

Rahul Jeewani: Yes, sir. And so, within the Probiotic segment, we were also targeting to launch liquid probiotic formulation. So, where are we in terms of launches for some of these product segments within probiotics?

Kunal Khanna: That is poised for launching. And over the next couple of months, those variants are also going to get fully commercialized in the market. Those plans continue to be under implementation.

Nikhil Chopra: This month, Rahul, for the month of February you should see a new version of Sporlac being there in the market that is Sporlac DG. That is for dental health. Then you will see the liquid formulation. Then we are launching once again more formulation for woman health. So, we will continue to see the overall Mother franchise expanding with lot of SKUs for specific integration for the category.

Rahul Jeewani: Sure, sir. And within the overall India business, what are our rep expansion plans? So with, let's say, some of these launches happening in the Probiotic segment, do you think we will need to significantly expand our rep presence in India?

Nikhil Chopra: No, no, there is no, no, nothing significant, nothing like significant, we have been commenting on. Probably next 12 to 15 months, there is no plan to increase any medical rep.

Rahul Jeewani: Okay, so whatever growth we see would help us to drive productivity improvement.

Nikhil Chopra: Yes, we are adequately placed in terms of the representation that we need in the clinic of doctors for our portfolios that we have marketed in the country.

Rahul Jeewani: Yes, sure. So, sir, two more questions from my end. Now within the CDMO business,

we have been trying to develop some of these newer product concepts as well as expand to newer clients. But till date, we haven't seen some of those initiatives playing out. So, when do you expect, let's say, an inflection point to play out in the CDMO business, particularly with respect to some of these newer product segments or the newer clients which we have been targeting?

Nikhil Chopra: See, in last quarter commentary, Rahul, we have spoken that already the traction has started. If you look at, there are two new partners now in Europe. Europe market was not there. So, Quarter 3, quarter 2, we started our presence in Europe with a company

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called Krka, K-R-K-A, in Czech Republic, where our lozenge supply has already started.

And also with our existing partner, that is Kenvue, which is a consumer arm of J&J, where we do business in Russia, in the world of CDMO, we have announced our presence in Europe with a brand called Zarbees, which is for immunity and wellness which is in the

form of lozenges. First time we have manufactured for them.

They already have gummies and syrup for Zarbee. We are the company who are manufacturing lozenges for them. In this quarter, that is now in Quarter 4, which we will do the commentary in quarter 1, you will start seeing some new projects kicking in, what we have been speaking in some new geographies other than Europe, some new therapeutic dosage forms which we will start supplying.

So, all this will happen, and you will see traction coming. That is why if you see overall, we see this business going at mid teens probably for next year, and Quarter 4 already we have a very good order book in place. So, you will see good outcome in order in Q4 also for the CDMO business. So, we are very bullish.

And earlier I had spoken there are at the right time, we will also be sharing with all of you that probably for next 15 to 18 months, there are 4-5 big projects which are kicking in, and all this will require CAPEX, which already has been put in place. All this will require the entire facility that we have in our Daman plant, and some of the work that we have started doing for our CDMO in our Panoli plant also, all CAPEX have been placed, all developmental work which has been on. So, at the right time you will be hearing more and more positive commentary on this part of the business.

Rahul Jeewani: Sure, sir. And these four to five key projects which you are targeting, which might entail incremental CAPEX, what could be the quantum of CAPEX for the CDMO business then?

Kunal Khanna: The quantum of CAPEX is not much. We can easily absorb that as part of our regular expansion and maintenance CAPEX. So, this does not lead into any incremental CAPEX levels beyond our current steady-state level.

Rahul Jeewani: Sure, sir. And last question from my end. So, if you see, this year despite the dilutive impact of the Ophthal acquisition, so Ophthal acquisition diluted our gross margins by roughly 150-160 basis points, and despite that our operating EBITDA margins have improved almost 80 basis points in 9 months of FY '25 which implies on the base business, we would have seen almost a 200-250 basis point kind of an EBITDA margin expansion. So, what is your outlook in terms of margins going forward, particularly with the fact that our India and CMO revenue share continues to inch up?

Narayan Saraf: So, we clearly expect our margins to be in the range of 26% to 28%, which we have been giving the guidance.

Narayan Saraf: EBITDA margins.

Narayan Saraf: EBITDA margins. We would be in that same range. Obviously, we continue, like I mentioned in my notes, that we will continue to drive the efficiencies both in terms of cost and drive the mix improvement to enable us to keep on thriving on the EBITDA margin improvement.

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Nikhil Chopra: See, the way, Rahul, we see this business overall, please understand, the focus is always on India and CDMO, which are highly profitable and high cross margin business. Now with API prices going up, dollar touching Rs. 87, Rs. 88, obviously some impact will come, and this will be across industry. But right now, immediate, because of the inventory build-up, we don't see any impact. But we have been keeping fingers crossed. Probably, if the gross margins improve, we will be able to mitigate that.

You always will see Rahul, us being, what guidance we have been giving, of 26 to 28% probably we will be ending the year on a higher note on the higher side of the guidance. That is what we have been projecting, whether it was 25 to 27% which was earlier guidance, we close at 27% plus. Right now, the guidance is 26 to 28%. We will be closing close to 28%, and in the right time, we will be more than happy to revise our guidance.

Rahul Jeewani: Sure sir, I was asking more from a next 2 to 3-year perspective rather than this year as such

Nikhil Chopra : See, in the next 2 -3 year may once again , Rahul , if you see this entire aspect of ophthalmology will come in , which will give us 200 bps improvement in our overall EBITDA , where our gross margins from 20% will go up to 70% . So, all this calculation will play , but I am talking in terms of short -term volatility , which is in place . Probably after 3 months we may be speaking a different language . With rupee appreciating , API p rices being stable, product mix improving, probably our guidance will go up. So , right now, let us talk of this year, 28%. At the right time, we will be more than happy to revise our guidelines, which touch wood should be o n the upward trajectory only.

Rahul Jeewani: Sure, sir. Thank you. That's it from my side. Thank you.

Moderator: Thank you. We will take our next question from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, good afternoon , everyone. Sir, you spoke about healthy Metrogyl sales in 9 months. Want ed to understand what has been driving growth in the market and how sustainable is this?

Nikhil Chopra : Not that I can comment that it is sustainable, but it helps us in terms of season being better and GI infections being on the rise. That is why we could see healthy Metrogyl uptake for first nine months of the year. Probably Quarter 4 is not the right time.

But as a company, what we have realized that I think we should more talk about the virtues of Metronidazole as a molecule, which we want to do, which we are trying to look at, not only plain Metrogyl , but the newer versions of Metrogyl , topical applications of Metrogyl .

We put our whole effort in terms of how we can make this brand reach newer peaks. with half a dozen topical applications, with Metrogyl extended release, with Metrogyl , Metronidazole , Ofloxacin combination, all the portfolio what we have bought and with 70-80% market share , if season supports, probably it should go at high single digit . Otherwise , I think 5 -6% growth we should get for this portfolio.

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Alankar Garude: Sir, given the high market share which we already have in solids and liquids, would it be fair to assume , as you said , more focus on topicals? Should that be the key growth driver contributing to this 5 -6% growth which you mentioned?

Nikhil Chopra : This year what has helped us is overall the peak in tablets and equally the focus is more on the topicals in terms of the prescription that we generate. So , out of 6 topicals, 4 topicals we sell 100,000 tubes a month. So, more and more effort will be there to improve prescription trend for the topical, and if season supports , high single digit, otherwise 5 -6% growth, we will be more than happy.

Alankar Garude: Understood. The second question is, in our current ESOP plan, all the options are getting wasted late st by August 2027. Now this could happen earlier in case of KKR's exit. So , to provide greater visibility on management retention, are we evaluating a second ESOP plan?

Nikhil Chopra : Not, I don't think. Let us continue to focus on the result part. Not that we have given any thought on this entire part of ESOP. I think first let this entire ESOP scheme get over and at the right time , we will be thinking in terms of what type of new incentive plan we want to put in place for our team.

Alankar Garude: Fair enough , sir. That's it from my side . Thank you.

Moderator: Thank you. We will take our next question from the line of Harith Ahamed from Aventus Spark. Please go ahead.

Harith Ahamed: Thank you for the opportunity. Just one question. You talked about progressive therapy areas and how you targeted segments such as heart failure, ophthalmology, probiotics, et cetera , and how these segments account for our significant share of our revenues today. Are there any such areas outside of these that you have identified

which you plan to enter either organically or inorganically?

Nikhil Chopra : We would , see, when we see that there are brands which are growing better than the Indian pharma market and we see huge opportunity in creating market or capturing market share , given a choice, we will be more than happy to stick to where we are organically , and you will see new launches in that space only. We would not like to launch anything from scratch in any newer category of products in India. That is what we earlier also we have commented.

If we acquire anything outside the category where we are present , obviously we will have new launches in that category of business , like what we are doing today in the world of Ophthalmology . We have acquired 10 brands. Couple of brands we have launched in ophthalmology space , but if you see our new launches , more will be in

the area where we are present because we think that the ability of the company , the DNA of the company is that how do you make the big mother franchisee contribute bigger to the business.

Harith Ahamed: Okay . That's all from my side.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to management for closing comments.

Over to you, sir.

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Nikhil Chopra : First of all, thank you all for participating in today's conference call. We continue to focus as a company on profitable growth , as what I spoke earlier in my commentary.

And our major area of growth trajectory will continue to be in India.

Today we are rightly placed in the categories which is 65% of our business growing better than the market. We are fortunate enough to have that portfolio and also fortunate enough to have our teams on the ground who are doing their best in execution. That is India part.

India business today is contributing 60% to the revenue, which four years ago was contributing 45% to the revenue. So, today , 60% of revenue is coming from India.

And equally, what has been spoken is in the world of CDMO, which was contributing 5% of the revenue 4 years ago . It's contributing today 12% of the revenue.

So, India plus CDMO today continues to contribute 72% to the revenue, which have got high gross margins. And the endeavor going ahead will be, in short to medium term, how to take this 72% contribution to 80% , which will only help us to create overall value for our stakeholders and serve more and more number of patients in India in the world of C DMO. That is what we want to do overall as a country. Thank you all. Thank you all for patient hearing.

Moderator: Thank you. On behalf of JB Pharma, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 20 , 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on May 15 , 2025 at 2.00 PM IST in relation to results and developments for the fourth quarter ended on March 31, 2025 . The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary

Page 1 of 15

JB Chemicals & Pharmaceuticals Limited
Q4 FY'25 Earnings Conference Call Transcript
May 15, 2025

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and Gentlemen, Good Day and welcome to the JB Pharma 's Q4 FY25 Earnings Conference Call as on 15th of May 2025.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D' Souza – Executive Vice President of JB Pharma. Please go ahead, sir.

Jason D'Souza : Thank you, Ryan. Welcome to the Q4 Earnings Call of JB Pharma . We have with us today Mr. Nikhil Chopra, CEO and Whole-Time Director, Mr. Kunal Khanna, President , Operations and Mr. Narayan Saraf, the CFO at J B Chemicals and Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statement in today's discussion

may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q4 FY25 Results Presentation that has been sent to you earlier.

I would like to hand over the floor to “Mr. Nikhil Chopra to Begin the Proceedings of the Call and for his Opening Remarks .”

Page 2 of 15 Nikhil Chopra: Thank you, Jason, and a very warm welcome to all of you and thank you all for being with us today.

I will commence with the “Perspective on our Quarter 4 Performance” :

FY24 is yet another year when JB has maintained strong operating momentum. JB continued being one of the fastest growing domestic businesses in India as per Indian pharma market.

During Quarter 4, revenue saw a rise of 10% to INR949 crore, while operating EBITDA expanded by 15% to INR240 crore, underscoring efficiency and execution strength.

Net profit notably improved by 15% to INR146 crore , reflecting improved margins and disciplined cost management . This performance has been underlined by the growth in India branded formulations, our CDM O platform and carefully chosen international markets that align with our strengths.

Our gross margin was 66.1% during Quarter 4 marking an improvement over the previous year.

Our operating EBIT DA margin stood at 25.3% , representing an increase of 90 bps.

I will share “Some Views on our Domestic Business” :

The domestic business reported a growth of 11% year -on-year to INR519 crore in Quarter 4 FY25. As per IQ VIA, we have delivered 13% year -on-year growth in the quarter as compared to 7% growth for the industry .

As per IQ VIA, our chronic portfolio showed 16% YoY improvement in Quarter 4 FY25, whereas acute portfolio increased by 10% and our ophthalmic business recorded a growth of 22% to INR56 crore in Quarter 4 FY25. These are all IMS figures.

Clearly , we believe that we have one of the most progressive domestic formulation business, which has been demonstrated by our business consistently outpacing industry growth for the last five years now.

We have also done well on the prescription front with our prescriptions growing at 17% CAGR over the last four years.

We now cover around 3.5 lakh doctors across specialties.

Interestingly, majority of our portfolio is in fast -growing segments leading to growth prospects.

Around 75% of our business is generated from the segments that are progressive and growing faster than the IPM.

As we have been sharing in the earlier commentary also , our chronic mix continues to improve and our chronic business is growing significantly faster at a growth rate of 18% as compared to IPM chronic growth, which is at 10% as per IQ VIA MAT March '25 data.

Page 3 of 15 In the cardiac segment we have moved five ranks and now are ranked #8 in this therapy . Also, we have three brands among the top -20 brands in cardiovascular therapy .

Through emphasis on building and scaling brands , we are consistently placed ahead within the IPM on the growth. We have now six brands among the top 300 brands in the country, which Sporlac being the new entry in the top 300 brands in the IPM. Around four years back we had eight brands whose revenue was more than Rs.20 crore , currently , we have 25 brands whose revenue is more than Rs.20 crore annually and six brands where the revenue is more than Rs.100 crore annually.

We have shown a sustained improvement in the field force productivity, which now stands at 8 lakh PC PM as compared to 4.6 lakh in FY21.

All our acquisitions have integrated well and helped strengthen our position in the industry .

The Sporlac franchisee has risen from Rs.69 crore to Rs.134 crore as per IQ VIA MAT '25 data in the last three years.

Azmarda that is Sacubitril, Valsartan is now INR70 crore and Sacubitril, Valsartan market is expected to grow at around 15 % to 20% over the next 10 to 15 years . The recent franchisee now is Rs.99 crore in two years, which was Rs.67 crore two years ago.

Moving to “Our International Operations” :

Quarter 4 saw a high single digit growth, that is 9% to Rs.430 crore for our international operations with CDMO business driving the entire growth . CDMO grew at 18% at a revenue of Rs.129 crore for the quarter . Our position as one of the t

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five global CDMO player in Los Angeles reflects the strength of our capabilities and deep relationships with our marquee clients. We saw 6% improvement in our international formulations that is branded generic business to Rs.282 crore backed up by double-digit growth in Russia and branded generic exports.

Going forward, I see our international business gaining further momentum through new product launches, geographical expansion and a more focused CDMO strategy. Our ability to co-create with our global partner supported by world-class infrastructure and R&D capabilities, positions us well to drive sustained high quality growth in this segment.

As we look ahead, I remain confident in our ability to sustain growth across our core businesses in India. Our focus will be on scaling our larger brands, deepening our prescription share in recently acquired portfolio and further strengthening our presence in chronic therapy. We expect India and CDMO businesses to contribute 75% to 80% to overall revenues in the medium-term. The India and the CDMO businesses are high ROC and high operating margins, which will further enhance profitability of the organization. At the same time, we remain committed to delivering profitability and we are raising our operating margin guidance for the third year in row. EBITDA margins will be in the range of 27% to 29%. Once again, I will repeat, we are revising our operating EBITDA guidance for the third year in row. And our EBITDA margin guidance is now 27% to 29%. Underpinning all of this is our continued emphasis on the growth through planned execution. That brings me to the close of my opening script.

Page 4 of 15 I would now like to hand over to our "Mr. Narayan to Share his Views." Over to you, Narayan. Thank you.

Narayan Saraf: Thank you, Nikhil. A very good afternoon to everyone joining us on our Earnings Call. Let me take you through the "Key Financial Highlights for Q4 and FY25":

For the quarter, we reported revenue of INR949 crore reflecting a year-on-year growth of 10%.

The revenue mix stood at 55% domestic and 45% international. Our domestic business contributed INR519 crore, registering a year-on-year growth of 11% in Q4. The international business delivered year-on-year growth of 9% with revenues at INR430 crore.

Our gross profit margin stood at 66.1% with a 90-basis points expansion, which is despite the in-licensed ophthalmology portfolio.

Operating EBITDA excluding ESOP expenses came in at INR240 crore, marking a year-on-year increase of 15%. The operating EBITDA margin expanded by 90 basis points to 25.3% in Q4 FY25.

Now, on the "Cost Front":

Other expenditure as a percentage of sales reduced to 23.7 percentage by 80 basis points. We continue to maintain agility in enhancing operational efficiencies and managing expenses effectively. Finance cost saw a significant decline coming down from INR9 crore in Q4 FY24 to INR1 crore in Q4 FY25, mainly due to reduction in the gross debt. Net profit increased by 15% to INR146 crore.

Now on the "Financial Year 2025":

Revenue grew 12% to INR3,918 crore with domestic to international business mix at 58%:42%. The domestic business witnessed 20% growth and as per IQVIA MAT March 2025 data JB grew 12% versus I PM growth of 8%.

On the international business, it saw 4% growth to INR1,649 crore. In international formulations, Russia and branded generics export business witnessed double-digit growth.

CDMO saw a 3% growth, however, saw strong recovery in the second half of the year.

Gross profit for the full year stood at 66.4%, expanding by 30 basis points. Excluding ophthalmology portfolio margins increased by 130 basis points. Margins improved mainly due to a favorable product and business mix supported by ongoing cost optimization efforts.

On cost, non-cash ESOPs were at INR55 crore versus INR42 crore.

Depreciation increased from

INR138 crore in FY24 to INR171 crore in FY25 due to amortization of acquired and in-licensed brands. Therefore, net profit increased by 19% to INR660 crore.

Page 5 of 15 JB Pharma's operating cash flows in FY25 were reported at INR903 crore versus INR801 crore in the previous year.

In the pharma industry, we have reported one of the highest metrics on operating cash flow to operating EBITDA at 83 percentage.

Now, coming on to the "Balance Sheet":

ROC was at 32% versus 27% in FY24, while ROE improved to some extent at 19.2% in FY25 .

As of 31st March 2025, net cash was at INR689 crore versus INR107 crore in the previous year .

For the fiscal year, the board recommended a final dividend of INR7 per share resulting into total dividend of INR15.50, including of the interim dividend of INR8.50 per share.

We remain optimistic about the business outlook, and we are confident in our ability to continue delivering value to all our stakeholders. With that, I conclude my opening remarks, and I now request the moderator to open the forum for the Q&A session.

Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Tausif from BNP Paribas. Please go ahead.

Tausif : Good afternoon and thank you for the opportunity and congrats on good set of numbers . And my first question is on India business . Can you provide the breakup of India business ex of Azmarda in terms of price, volume and new product launch for the year?

Kunal Khanna : So excluding ophthalmology, our domestic business overall growth has been close to 12% and the volume growth is 6%. Outside that , there is price and close to 1% of NI growth. And if you compare this with the market, the market volume growth has reflected externally has been sub -2% with respect to volume.

Tausif: Also, if you can share some qualitative insight on the chronic portfolio ? I think that has significantly outperformed versus the IPM ; we have grown by 18% versus the IPM growth of 10%. Can you highlight which of the segments which have outperformed for JB?

Kunal Khanna: So like Nikhil mentioned, our flagship brands continue to outpace the market and by a significant margin . Our mainstay chronic brands like Cilacar, Cilacar T, Nocardia and RA CIL have consistently been outperforming the market. If you look at the MAT numbers has externally reflected as well . Cilacar Plain for us has grown at 19% while the market is 16%. This is despite the fact that we continue to inch our market share performance within the Cilacar franchise and are slowly graduating towards 6 0% market share in this particular plain brand . Cilacar T, we have grown at 37% compared to the market at 25 % . Razel for us, even the plain Rosuvastatin has grown at 24% versus market 14 % and including Nocardia Plain as well as XL has consistently delivered more than 20% growth over the last 12 -months. So these have been the mainstays for us and clearly reflected in our outperformance of our chronic portfolio. In addition to that, even if you really look at the Azmarda figures and if you really look at the quarterly updates , for the Q4 in Azmarda, we have clocked 30% growth, whereas the market is growing at 20% and we believe as Nikhil mentioned Page 6 of 15 in his commentary also that this particular category will continue to hit mid -teens volume growth in the future.

Tausif: Thanks. My second question is on your brands . I think there has been a newsletter to export panel recommended to suspend Rantac . Where do you stand currently means has the government has deferred the case to investigate further or is the final decision there will be no ban on the product?

Kunal Khanna: So there is no ban on the product, Rantac continues to be made available to the patients given its very strong clinical efficacy and safety profile . The government

has

given some instructions in maintaining in manufacturers kind of closely monitoring the quality. This is something which we have been doing for years and we will continue to deliver on that.

Tausif: Thanks. I will get back in the queue.

Moderator: Thank you. Next question comes from the line of Rashmi from Dolat Capital. Please go ahead.

Rashmi: Yes. Thanks for the opportunity. Just on the export formulations side, especially in Russia, South Africa and your other branded generic export market, what kind of new therapies or the products in different category are we doing the same what we have added in India , I mean all these products are also getting exported to this branded generic market. So what is the strategy which you are playing in this market? And how should we see the growth for the export formulation business ex your CDM and API business?

Nikhil Chopra: So our international business is contributing around 45%, which includes US, Russia, South Africa, branded generics and CDM O. Our branded generic business is in four clusters , that is in Sub-Saharan Africa, Latin America, South east Asia, Middle East . And in that part of the world, 50% of that business comes from participation in

tenders. What we have been doing for the last three years is filing progressive portfolio, which we have in India, which is a mix of Gliptins, G lozins, product for heart failure, eye drops and those all products will start commercializing in early FY27.

That is where we stand . And you should see growth for this business when this new product start commercializing . This quarter the growth was 10% for that BGX business. And probably FY27 onwards with the new progressive portfolio, we should see a couple of points more coming in terms of growth, we should go to around 12% plus.

Rashmi: Okay. So you're saying that 10% for FY26 and then going ahead once it ramps up, it should be in double digit in FY27?

Nikhil Chopra: Yes.

Rashmi: Okay. And for the CDM O segment in the presentation you said that the order book remains strong in the coming few quarters also . It is more related to the seasonality factor or we have added new products or added new geographies over there ? What is the guidance you give it on this part of the business?

Nikhil Chopra: If you look at the growth for CDM O for the quarter was 18% , that is what it is but that is not the growth for the year. Our average business that we do in the world of CDM O is around INR110 crore. That is the run -rate that we have been following and we continue to do business with our all-big clients across the globe. What we have shared in our report is going ahead, the company has been working progressively in last year on some big mar quee projects, which more details we can talk about in the Page 7 of 15 coming time but what details I can give you is these projects are some new lozenges which you will see in the world of Europe and US , you will see some Pan India project that we are running with one of our partner s in the world of ORS, y ou will see some developments happening in the world of throat spray for cough and cold in many markets across the globe , and also you should see iodine -based formulations maybe in the form of syrup and ointment which will see the daylight. So these are four or five big proj ects which we will be able to commercialize by the end of the year . And starting next financial year, our run rate that we assume with all th ese business es is seeing the daylight which today is around INR110 crore every quarter should be around INR150 crore every quarter.

Rashmi: Okay. You mentioned that you'll be targeting US , Europe market . So this will be through partnership with the retail chain models or you will have a partnership with the companies or distributors. So what will be the strategy over there?

Kunal Khanna: Now in CDM O business, we are quite clear that we work with o

ur principal partners

and our principal partners are large consumer companies with global presence.

Earlier we have voiced the kind of clientele profile which we have for our CDMO business. So we directly deal with them and of course they have an extensive network of distribution channel partners in respective geographies. So we will continue to build on the same model.

Rashmi: Okay. A nd one last question on your EBITDA margin . 27% to 29% is the ex -ESOP EBITDA margin guidance, right?

Nikhil Chopra: Yes, yes.

Rashmi: And what will be the ESOP number in F Y26 and F Y27 annual number if you can give?

Narayan Saraf: Yes, so the ESOP number in FY26 should be in the range of around INR 41 crore to INR46 crore and FY27 would be INR26 crore . In totality , now the ESOP cost that we are left with is around INR75 crore, which would be charged over the next two to two and half years.

Rashmi: Okay. Thank you so much.

Moderator: Thank you. The next question comes from the line of Sumit Gupta from Centrum Broking. Please go ahead.

Sumit Gupta : Hi, good afternoon. Hi, thanks for taking my quest ion. So first is on the domestic formulations segment. So sir, on this Azmarda , how much sales was for the quarter and what is the r un rate of units per month and how do you see this volume going forward ?

Kunal Khanna: So as we mentioned last time, we were targeting a run rate of close to 125,000 to 130,000 units per month. We are pleased to inform you that we have been able to maintain that run rate . By the end of H1 , so in the next quarter we should be targeting a run rate of close to 140,000 units plus and we will continue to build on that.

Sumit Gupta: Okay. So sales for this quarter was around INR70 crore or INR75 crore?

Kunal Khanna: For Azmarda for the quarter ?

Sumit Gupta: Yes.

Page 8 of 15 Kunal Khanna: When we talk about INR70 crore, that's the annualized run rate for A zmarda.

Sumit Gupta: So for the next two to three years at least h ow do you see this INR70 crore panning

out? Would we be taking price hike also?

Kunal Khanna: Of course, we are taking price hike also for this particular brand and the market is growing at mid-teens volume growth. So we clearly see that what is reflected in the market as a INR70 crore franchise, over the next two to three years we should be targeting INR100 crore Franchise for our A zmarka brand. As mentioned, we are looking at close to mid-teens volume growth and over and above whatever price growth we can accommodate, we will be able to build on that.

Sumit Gupta: Okay, great. And sir, what's the contribution from the top five products in India business?

Kunal Khanna: So currently the top seven to eight brands account for close to 64% to 65% of our overall India revenues. Four to five years back, the top five brands accounted almost 84%. So that goes back to the point that currently we have a large set of progressive portfolio and platforms which are contributing to our growth and we will continue to do so in the future as well.

Sumit Gupta: So can we expect over the next two to three years at least this percentage to come down at around 50%, 55%?

Kunal Khanna: We can do a broad math. Basically, when we say that other products will grow, even our top seven, eight franchisees will continue to grow, right. So we don't have the exact number right now to kind of estimate that, but the endeavor is to continue to build on the big brands as well as drive significant growth in our other progressive portfolio.

Sumit Gupta: Understood, understood. Sir, broadly on the sector level so I just want to understand how the overall IP M market is growing so, previously like one year, one and half year down the line, like before it was growing at around 10%, 11%, 12%; however, the growth is at around 6% to 7% now. So how do you see this panning up, like are you seeing competition from alternate c

hannels like how do you see that shaping up?

Kunal Khanna: So essentially, some of the volatility in the market tends to depend a lot on the seasonality. And last one year with respect to season acute has been slightly subdued, as a result of which we have seen the IPM market also being significantly subdued and volume growth has been a major factor. The market has still grown at close to 8% with the volume growth being close to 1.82%. What we believe is that when the season is good, the volume growth can come back to 4%, 4.5% numbers, which means that the IPM should potentially be pegged at 9% to 10%. So we are fairly confident that this is a market which will continue to be range-bound in the region of 8% to 10% going forward.

Sumit Gupta: On gross margin so you have highlighted like increased the guidance for operating margin, however from the gross margin perspective, how do you see that so, so shall we see improvement in product mix in gross margin, or will it be on the cost side?

Narayan Saraf: So we will continue to see in this FY26 as well around 30 to 50 basis points improvement in gross margin supported by certain cost initiatives that we keep on taking every year -on-year and obviously mix will also play a very significant role where in India business the chronic growing significantly ahead than the other businesses. So we clearly see both mix and cost initiatives will play a role in supporting around 30 to 50 basis points improvement in gross margin.

Page 9 of 15 Sumit Gupta: Okay. And sir lastly on the depreciation part, so sequentially we have seen around 10-11% growth in depreciation. So basically like what is the run-rate and shall we see this depreciation rate going forward?

Narayan Saraf: Depreciation is mainly because of the amortization of intangible assets, which we have acquired over the years and particularly the optical business also acquisition happened last year.

Sumit Gupta: Okay. So going forward, how shall we see this, the rate overall -- 4% to 5% or more?

Narayan Saraf: It would be in the range of 4% to 5% because we continue to invest in our Capex. So we see the depreciation to be increasing only 4% to 5% supported by Capex and intangible asset depreciation.

Sumit Gupta: Okay. So the follow up on that is what is the Capex guidance for the next two years?

Narayan Saraf: Around INR100 crore over next two years, each year we continue to spend.

Kunal Khanna: Yes, we maintain our consistent INR100 crore run rate, maintenance close to 65, 70, another 25 to 30 for growth Capex.

Sumit Gupta: Understood. Thank you.

Kunal Khanna: Thank you.

Moderator: Next question comes from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, good afternoon everyone. If I look at our international formulations sales for the last three years, we have been in that range of INR10 to INR11 billion. I understand we had the South Africa restructuring and then also the issues in the CDMO business

in the first half of FY25. But directionally, how should we look at this segment over the next couple of years?

Nikhil Chopra : Good question , Alankar in terms of what analysis you have done . See, in CDMO, we had a big spike in F Y23 because there the demand was drastically up. But now our partners have been also normalizing the inventory, and the inventory has normalized. So you will see CDMO business growing between 12 % to 14% in the coming time. And I earlier shared the commentary in terms of what we are trying to do in the world of CDM O business with our existing partners and the new projects that we try to run . Second , around INR120 crore cut that we took in South Africa , business that is done because that was more related to the tender business which we did not want to participate. In hindsight, it has given us a good bump up in our profitability in our South

Africa business, which is more now private business ; 65% to 70% business is now private, which was earlier 40%. So that is on South Africa, BGX has not been a good story for us. And that is the way the business was modeled. 50% of this business was more tender participation in government tendering where we have been facing issues in terms of competitive pricing. FY27 onwards every year we have been filing around 8 to 10 progressive products in these geographies; these are 40 countries across in Sub-Saharan, Africa, Latin America, Southeast Asia and Middle East. So once that comes in, we will be able to generate better demand , we will be able to demand better pricing and then I think the business will be more on a pathway where we wanted business to go healthy around 10 % to 12% . That is what you should see in the B GX business. Russia has been a very good story for us last year in terms of top line and profit margins. So South Africa, things are arrested, Russia on a good wicket , CDM O of 12% to 14% growth , FY27 onwards you will start Page 10 of 15 seeing BGX business growing basically it can 12% mid-teens growth but 10% growth you should see short to medium term , medium to long term 12% plus growth.

Alankar Garude: Understood, sir. That's really very helpful. The other question was on trade generics. What is the scale of our trade generics business today , and do we intend to focus a bit more on this segment going forward?

Kunal Khanna: We have always maintained that trade generics is not going to be our focus area. Some of the categories where we are present is by virtue of the fact that these categories are well served by distribution channels which go beyond tier 2 and tier 3 markets . It's negligible contribution to our overall India business and will continue to be so. So we are not focusing heavily on this particular segment.

Alankar Garude: Understood. Yes, that's it from my side. Thank you.

Moderator: Thank you . The next question comes from the line of Gaurav from Antique Stockbroking. Please go ahead.

Gaurav: Yes. Hi, good afternoon. Sir, India business has sequentially come down this quarter quite a bit. Any insight on that?

Kunal Khanna: Sequential numbers are largely because of the March phenomena, which has always been the case as part of the industry phenomena , where the trade also rationalizes the inventory levels. So it's got nothing to do with the demand of our products , prescriptions in the market, nothing like that , March generally tends to be so for the industry.

Gaurav: Sir, we have grown significantly faster than the market in India over the last few years. You did allude the India market growth where it's going to settle. How -

Kunal Khanna: We have always maintained that we will maintain a three to four percentage points higher than market growth. We have been able to deliver that over the last four to five years and our portfolio is well poised to continue to build on that.

Gaurav: And have we made new launches in the diabetes space in Q4 of this year?

Kunal Khanna: No, we haven't made any new launch in the diabetes space in Q4.

Gaurav: And going forward do we have some pipeline there that we want to launch in the next two years or three years?

Kunal Khanna: So we always continue to evaluate opportunities, but beyond that, we wouldn't want to divulge any information.

Gaurav: Okay. Understood. In terms of in-licensing portfolio for us, in terms of percentage of sales, how large would that be for the India business?

Kunal Khanna: So currently, if you really look at our in -licensing, it's largely for the optimal portfolio, but that is also an interim arrangement , because the main rationale for us to acquire the optimal portfolio was the fact that perpetual license will figure in December 2026, which will significantly push up our gross margin profile. Outside that , we really have nothing much. T

here is one product, a very specialized product which is a lipid - lowering agent. But apart from that there is no other in -licensed portfolio.

Page 11 of 15 Gaurav: Sir, the in-licensed portfolio will be contributing to EBITDA today too, while lower gross margins, but it would be EBITDA positive, right?

Kunal Khanna: It is a EBITDA positive in the ophthalmic portfolio that's correct. And as we have mentioned earlier as well that post perpetual license triggering it will be significantly EBITDA -accretive.

Gaurav: So if you can explain this a little further, what happens for CY26 -- do we get ownership of these brand names?

Kunal Khanna: That is correct. So we have already discussed the details about this arrangement which we have on the ophthalmic portfolio. In December 2026, the perpetual license gets triggered and we are full-fledged custodians of these trademarks.

Gaurav: And in terms of your appetite for more inorganic kind of opportunities in India, be it on the licensing side or acquisitions, what would be appetite and can we see some plays in the next two to three years?

Nikhil Chopra: So let me answer this. We look at opportunity in the therapeutic areas which are more aligned to the strength which we have in execution. So we earlier also in our commentary, have shared that can go up to 1.5 times of our EBITDA in terms of buying out any company, buying out brands. But we look at asset which is more quality base in a growth market and progressive. And the payback period that in place when we commit for any acquisition is seven to eight years. Thank you.

Gaurav: Thank you.

Jason D'Souza: Operator, we have a few questions that have come on the question queue. I'll just address that and then you can even open the floor for the questions. So I think the one question is on the ophthalmic business. What has been the current run-rate and what do we expect in terms of the current run rate for ophthalmic in the next two or three years?

Kunal Khanna: So the ophthalmic business is on a positive track. Like we had mentioned earlier during the time of acquisition as well, when we acquired the portfolio, the quarterly run rate was close to INR40 crore. Our first milestone was that over the next nine to 12 months, how do we inch this towards a INR45 crore quarterly run rate mark and we have been able to achieve that. As we move ahead, we look at the market growth opportunities. We are clearly seeing that from a quarterly run rate perspective. This is already inched towards INR48 crore run rate mark and we will continue to build on that. Our strategy in terms of prescriber expansion has started yielding us good results. Even if you look at the last 12 months performance for the ophthalmic market, our growth has been close to 11% where the market has been very subdued at 4.5%. So we will continue to build on our strategy. New launches have also started progressing and contributing and over the next one year we will see more contribution coming in from these new launches.

Jason D'Souza: And how do we see the ophthalmic business playing out in terms of top line growth for the domestic business over the next 2-3 years and its impact on profitability?

Kunal Khanna: So when we look at the ophthalmic portfolio, we see that this is a portfolio which will be closer towards mid-teen. We clearly see us being closer to that mid-teen growth run rate for this business. Part of that will also be attributed to some contribution coming in from new launches. With respect to overall profitability, this year we believe that from an annualized run rate perspective, this portfolio will be close to INR200 crore plus. And given the fact that in FY27 also we will be targeting close to mid-teens. We Page 12 of 15 are looking at close to INR230 crore annualized run rate franchisee when the perpetual license triggers in. And when the perpetual license triggers the

gross

margin profile changes significantly from the current conventional margin profile of closer to 20%, it will be much closer to our domestic gross margin profile. One can do the math and that's the significant upside we see kicking in, in our overall profitability.

Jason D'Souza: Great. The second question that we have is that considering that the net cash position is increasing, how do you see other income over the next one or two years?

Narayan Saraf: So we clearly see that we have a significant net cash surplus in this year end and based on that and with the future cash flows that we will be generating, we clearly see that other income should be in the range of INR65 to INR70 crore next year as a treasury income.

Jason D'Souza: And we talked about new partners which will commercialize on the CDMO business, any color that we would want to give in terms of the CDMO partners?

Kunal Khanna: The important thing is what we are doing with current partners and selected new accounts, and as Nikhil clearly mentioned the kind of new projects which are to be commercialized over the next 12 to 18 months, which include lozenges with key marquee clients in newer geographies like Europe and North America, there's also LATAM opportunity throat sprays, ORS solution. So these are important projects. In

addition to that , we have always maintained that our endeavor will be to add at least one or two more anchor clients every year and we are working towards that.

Jason D'Souza: Any update on the logistic cost in terms of the Red Sea issue especially on international freight?

Kunal Khanna: Pretty much the trends are consistent, no significant deviation from what the position was earlier.

Moderator: Thank you. The next question comes from the line of Rahul Ji wani from IIFL Securities Limited. Please go ahead.

Rahul Jiwani: Yes. Hi, sir. Thanks for taking my question . Sir, on the domestic business, our productivity has improved to 8 lakh already and given that the Novartis ophthalmic portfolio would also move announced to us by in FY28 how do you see the productivity shaping up for the domestic business over the next three -year period? And if you can also comment in terms of the profitability for the domestic India business with some of these moving parts?

Nikhil Chopra: So we don't talk about the profitability of individual business . Profitability I spoken about overall company, which I think has been shared earlier . But let me answer your first question. when we talk of 8 lakh productivity, you are talking in totality which is inclusive of our ophthalmic business and in the coming time you should see our productivity increasing by 12 % to 14% over the next two to three years.

Rahul Jiwani: Okay. Sure sir. And while we appreciate that gross margins on the ophthalmic portfolio will increase, let's say from a 20% kind of a number to a company average number in FY28, but do you expect the entire quantum of benefit to flow down to EBITDA as well and hence drive a significant improvement in EBITDA margins in FY28?

Kunal Khanna: That is correct, Rahul. A significant part of the gross margin will flow through in the EBITDA. It's not a function of productivity being impacted or more people being added. It's basically sourcing profile changing and gross margin flowing into EBITDA.

Page 13 of 15 And while we mentioned that we don't want to comment on individual business profitability, we have mentioned earlier that on a stand alone basis, the ophthalmic profitability will be if nothing higher than our India business current profitability.

Rahul Jiwani: Sure, sir. So can you also talk about given that there is this risk around Rantac . Let's say in the worst -case outcome of you being required to withdraw Rantac from the market, what would be our risk mitigation strategy be?

Kunal Khanna: We would not want to comment on anything like that. For us, this is a product which

has been pretty much been there in existence for so many years with a very strong safety profile and we believe that the government and the key stakeholders understand that very well and their request of manufacturers being much more vigilant towards quality is something which we respect and welcome so that some of the other low-cost generic players are pretty much cognizant of the quality parameters . As we speak, there are markets in which this molecule has been relaunched over the last six to eight months, which again is a very positive sign. And as manufacturers, we are committed to maintaining quality and government standards.

Rahul Jiwani: Sure, sir. And would it be possible to disclose the number of spreads which you would have for Rantac?

Kunal Khanna: It is part of our mass division and for that mass division it is not that Rantac is the only brand , there are a significant number of acute brands which we have in that particular division. So it's not that our division is dependent on Rantac. If nothing , Rantac is not even a priority product.

Rahul Jiwani: Sure , sir. That's it from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Naman Bagrecha from IIFL Capital Services Limited. Please go ahead.

Naman Bagrecha : Thanks for the opportunity . Sir, just wanted your views on the API business. While it's a small business we have seen over the last two years, '24, '25, it has been declining. So how should we see this business going ahead , do you expect further decline and what were the challenges over the last two years?

Kunal Khanna: Actually, when we look at our API business, the third -party sale has always been dependent on one key product which is diclofenac and we had always witnessed that over the last four years that the market for this particular category was in matured phase and in some geographies was declining. Therefore , we had taken a cautious call, how we can utilize the API business to maintain our own supply security as well as contribute more towards improving the margin profile of our US ANDAs. As a result of that we in -source some products and that is contributing to the profitability of our U.S. business. So we will continue to do that. We don't see a further decline even in terms of third -party sales from where things stand right now. It will pretty much be range -bound in what figures we are seeing over the last couple of years,

but more importantly , how we are leveraging our infrastructure towards contributing more towards overall business profitability in terms of captive consumption. That has been our effort.

Naman Bagrecha: Okay. In the opening remarks, we highlighted that our progressive portfolio is growing much faster than the IP M growth. Can you enumerate what would be our progressive portfolio growth versus let's say the market growth of that particular category ?

Page 14 of 15 Nikhil Chopra: So very difficult , Naman , to talk about. See, we in totality are speaking and I think earlier Kunal had spoken that probably Cilacar market , Cilnidipine combinations, Nicardia, Metrogel , Razel , Azmarda. All this category if I have to give you some glimpses, we are beating the market growth that is where we stand. More details can be shared offline. And on the other market also what was shared earlier are growing at 22% as compared to market growth of 11 %, 12%. So we have been beating for 75% of our progressive portfolio within India beating the market growth in a significant way. That is what I can share. I think Jason can help you at some given time offline . If you want more details we will be more than happy to share .

Naman Bagrecha: Sure, sure. Sure. Thank you. And sir, the last question is on the dividend payout policy. So our dividend has increased. Is there any stated policy where you would want to maintain let's say 40% , 50% or 60% kind of a dividend pa

yout?

Narayan Saraf: So our dividend payout , Naman, has been in the range of closer to 35% over last two, three years and we continue to be at 35% even for this year. So , I don't see any significant change in the strategy of our dividend policy.

Naman Bagrecha: All right. All right. Thanks. Thanks very much. All the best.

Moderator: Thank you. The next question comes from the line of Mohammed Patel from Edelweiss Public Alternate. Please go ahead.

Mohammed Patel: Yes. Hi. Sir, I have one question. Can you talk a little bit about the non -progressive portfolio and what are the management 's thoughts on this portfolio going ahead ?

Nikhil Chopra: See, the definition of non -progressive is what I think was spoken about that there are some brands within the Ranitidine franchisee , some SKUs within the Ranitidine franchisee, some SKUs within the Nicardia franchisee. So there are those type of portfolio which our people continue to give brand reminder in the clinic of doctor , there is no other strategy.

Mohammed Patel: Okay. So that part of the portfolio grows at least with the market or below market?

Nikhil Chopra: If you look at Ranitidine Plain, there is hardly any growth, it is at par with the market .

In Nicardia we are 90% of the market . So we are only driving the market , now we are driving the entire market growth for Nicardia franchise with the help of Nicardia XL, Nicardia XL is growing at 2 5%, 30% whereas Nicardia Plain which is INR7 to INR8 crore is stagnant but more now your prescriptions profitability , everything has been driven by Nicardia XL which is around INR3-4 crore a month. So that is how we manage the portfolio which is non -progressive.

Mohammed Patel: Okay. Got it. Thank you.

Moderator: We take the last question from the line of Meghna Agarwal from Mount Intra Finance . Please go ahead.

Meghna Agarwal: Thank you for the opportunity, I just wanted to understand about the sale that is happening. Any timeline for that?

Nikhil Chopra: Which sale? You are talking about which sale? Sale of what? We are into Formulations.

Meghna Agarwal: I am asking about the sale of stake by promoter ; what is the timeline for that ?

Page 15 of 15 Nikhil Chopra: It is very difficult for us to answer that question in this conference call. This conference call is more related to the performance of the business. So these questions will probably be more than ; if it is promoter sale, in terms of what actions they want to do; we basically are at the top management where we are more focused on the business operations.

Meghna Agarwal: So no timeline as of now?

Nikhil Chopra: No.

Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to the management for their closing comments.

Nikhil Chopra: So thank you all for attending the conference call today. This is the fifth year in row in terms of the way JB team has been coming , meeting you all and sharing the insights in terms of the way business is progressing in transparency. And couple of things that more I would like to talk business , business . I think anything and everything that we do at JB is best -in-class compliance and I think what was also shared that our plans also continue to get audited by US FDA , by other regulatory authorities and our people at the plants also have done a fantastic job in terms of

facing those audits and not only no 483, no observations. That is what we can boast in terms of what we have delivered as a company. So whatever drugs we manufacture are best-in-class compliance. That is what I wanted to share and equally the focus continues to be on the business delivery in terms of driving better profitability, focusing more on India which contributes to the 60% of our business, CDMO contributing 12% of our business, and also some pa

rtis of R oW market which

are more aligned to our strength, we will see how we can commercialize the new products and drive better growth and better productivity in the coming time. Thank you all.

Moderator: Thank you. On behalf of JB Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

August 5, 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on July 31, 2025 at 3.30 PM IST in relation to results and developments for the first quarter ended on June 30, 2025. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 11

J B Chemicals and Pharmaceuticals Limited
Q1 FY '26 Earnings Conference Call
July 31, 2025

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator : Ladies and gentlemen, good day, and welcome to J.B. Pharma's Q1 FY '26 Earnings Conference Call as on the 31st of July 2025. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Jason D'Souza, Executive Vice President at J.B. Pharma. Thank you, and over to you, sir.

Jason D'Souza: Thank you, Reyo. Welcome to the earnings call of J.B. Pharma. We have with us today, Nikhil Chopra, CEO and Whole-Time Director; Kunal Khanna, President, Operations; and Narayan Saraf, the CFO at J.B. Chemicals and Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q1 FY '26 results presentation that has been sent to you earlier.

I would like to hand it over to Mr. Nikhil Chopra to begin the proceedings of the call for his opening remarks.

Nikhil Chopra: Thank you, Jason, and welcome to all of you on today's call. Let me begin by addressing the

significant strategic development that was announced recently. On June 29, Torrent Pharma
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announced its intention to acquire controlling stake of KKR in J.B. Pharma to be followed by a merger of J.B. Pharma itself.

The transaction creates a diversified health care platform with deep capabilities in chronic and international CDMO segment. I will briefly share the highlights of the transaction with all of you. Torrent shall first acquire a 46.39% stake for a cash consideration of INR11,917 crore as per specified SPA. This will trigger the mandatory tender offer where the price has been fixed at INR1,639.18 per share. This will be followed by a merger of 2 companies with Torrent being the surviving listed entity once the scheme is effective. The transaction remains subject to CCI and other regulatory approvals, which have to come in place.

Meanwhile, coming back to J.B.'s performance for the quarter. Business is as usual at J.B., and I'm glad to share that J.B.'s operating momentum continues to impress. The business is amongst the fastest growing in India within the Indian pharma market. During quarter 1, overall revenues increased by 9% to INR

1,094 crore with operating EBITDA, excluding noncash ESOP and one -off charges, grew by 13% to INR330 crore. Our net profit showed a 14% increase of INR202 crore, given enhanced margins and cost alignment.

The gross margins during quarter 1 came in at 68.3%, growing 210 bps year -on-year. This followed consistent cost optimization initiatives, a favorable business mix and pricing growth. Operating EBITDA margin stood at 30.2%, higher by 120 bps year -on-year and once again, reemphasizing our focus on profitable growth. Just to also share with you, 30.2%, our EBITDA margins are the best up till now what we have been reported.

I shall now turn attention to our domestic business. The domestic business delivered 14% growth year-on-year to INR678 crore during quarter 1 FY '26. As per IQVIA, we showed 13% growth of quarter 1 FY '26 relative to 9% increase shown by the industry. Within domestic business, as per IQVIA, our chronic portfolio continued its growth trend, achieving 15% growth year -on-year. Quarter 1 also showed acute business increasing by 12% year -on-year.

Ophthalmology portfolio has also delivered a growth of 19% improvement over -- year-on-year as per IQVIA data. Our leading brands and their franchises continue to perform well and continue to outperform the market growth. Our acquired portfolio is going from strength to strength. As per MAT June 2025, Sporlac as a franchisee has grown to INR146 crore as compared to INR70 crore in June '22 as a comparison when we had just acquired the portfolio. Sporlac also recently entered the top 300 brands list in the country.

Azmarda is now a INR75 crore brand and present in one of the fastest -growing segment in cardiology that is heart failure. The Razel franchisee has performed well in a short period and for the first time has crossed INR100 crore as a franchisee as per IQVIA MAT June 2025. This is a significant development considering the franchisee was INR69 crore as per June 2023 IQVIA. So across,
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whether we talk of Sporlac, we talk of ophthalmology, we talk of Razel, we talk of Azmarda, all our franchisees continue to deliver very good performance.

I shall now turn attention to our international operations. During quarter 1, we saw a 2% growth of INR416 crore led by our CDMO business in the international operations. The CDMO business showed 8% improvement year -on-year to INR115 crore, given sustained momentum. The business has an attractive development pipeline of products of global significance with its key partners. International Formulations saw revenue of INR283 crore from INR290 crore previously, while Branded Export business recorded a growth of -- recorded growth for quarter 1 FY '26 and the other businesses that is Russia, U.S. and South Africa remained flat or marginally declined for the quarter. For the CDMO business, the first commercial quantities of new products such as Iodine Liquid, Throat Spray, variants of Immunity Lozenges in Asia Pac and EU markets have already been dispatched, which we have been talking earlier in our commentary in the investor call. This is what we wanted to share the detail that this is a progress that we have made in the world of CDMO business with new products now being dispatched in some of the Asia Pac and EU markets. We are expecting 3 to 4 important new launches in the next 12 to 18 months. J.B. continues to remain focused on driving top line momentum, cost optimization and organization efficiencies. The sustained emphasis on the domestic and CDMO business will continue supporting both growth and profitability. Backed up by a strong financial foundation and deeply execution -oriented culture, we are well equipped to steer confidentially -- confidently into the next phase of our evolution. I would like to now hand over to our CFO, Mr. Narayan Saraf, for his views. Over to you, Narayan. Thank you.

Narayan Saraf: Thank you, Nikhil. Welc

ome, everyone, to our Q1 FY '26 earnings call. I will now take you through the financial highlights. Revenues for the quarter stood at INR1,094 crore, reflecting a 9% year -on-year growth. The domestic to international business mix was 62% and 38%, respectively. The domestic business delivered revenues of INR678 crore, growing 14% year -on-year, aided by

traction in chronic, ophthalmology and acute portfolios. International business grew 2% year -on-year at INR416 crore . CDMO segment grew 8% year -on-year to INR115 crore , and we expect the momentum to continue.

The International Formulations business declined by 2% year -on-year to INR283 crore . Other businesses of Russia, U.S., South Africa were impacted, while exports, branded generics grew. The API vertical grew 38% year -on-year with revenues at INR18 crore . Gross margins for the quarter came in at 68.3 percentage versus 66.2 percentage in Q1 FY '25. This expansion of 210 basis points was aided by price growth, cost optimization efforts and favorable business mix.

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Operating EBITDA, excluding ESOP costs and one -off impact due to proposed merger scheme was at INR330 crore , marking a 13% year -on-year increase. Operating margin, excluding ESOP costs and one-off improved to 30.2 percentage versus 29% in Q1 FY '25, thereby reflecting 120 basis points improvement. PAT margin, excluding one -off impact, is at INR214 crore , improved to 19.6 percentage versus 17.6 percentage in Q1 FY '25, marking a 21% year -on-year increase.

On the cost front, employee benefit expenses increased 16% year -on-year to INR194 crore . ESOP cost was at INR14 crore versus INR12 crore last year same quarter. Other expenses increased by 16% to INR252 crore due to one -off charges of INR15 crore on account of the proposed merger scheme. Depreciation increased 5% year -on-year to INR43 crore versus INR41 crore in Q1 FY '25. We remain sharply focused on advancing top line growth, driving disciplined cost management and enhancing operational efficiency across our diverse portfolio. Our domestic and CDMO businesses continue to serve as key growth and profitability engines, reinforcing the strength of our multi -segment strategy. With the core enablers of sustainable growth now firmly established, we are well positioned to capitalize our future opportunities. I'm confident in our organization's ability to deliver consistent value creation for our shareholders and stakeholders in the years to come.

With that, I conclude my opening remarks. I now request the moderator to open the forum for the Q&A session. Thank you very much.

Moderator: Sure.

Jason D'Souza: We have a question that just come on the wall. It's on the international business. What is the overall outlook of the international business for the year? And how do we see all the 3, the International Formulation, the CDMO and the API business playing out?

Nikhil Chopra: So CDMO, as we have been guiding earlier, should grow at between 12% to 14%. At quarter 1, the business grew at 8%. We have good visibility of order book for CDMO for quarter 2 in terms of the growth perspective. Our average run rate this year will be around INR120 crore . That is what we had guided earlier.

And next year, this figure would be ranging between INR140 crore to INR150 crore . So CDMO continues to be on a good wicket. Our Branded Generic business declined for the quarter, but if you look at the overall trend of the business, second half of the business ramps up.

So there also, we have good visibility of order book for quarter 2. So by end of quarter 3, you should see that business growing at high single digit. That is what the visibility we have got for our international, Rest of the World Branded Generic business.

Jason D'Souza: On the domestic business, the follow -up question, which is there is that we've seen a very strong 14% growth, do we see this growth rate conti

nuing for the remaining part of the year?

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Kunal Khanna: Yes. If we look at the recent trends and the last quarter also, our growth has been fueled by major brands and the key franchisees of those brands. Our volume growth has been 350 bps higher than the market, while the market volume growth as per MAT June was close to 1.5%, we have registered 4% plus. So we will continue to see these growth trends with all our key brands fueling the growth, and we should be in the range of 12% to 14% with 300 bps to 350 bps higher than the market.

Jason D'Souza: We can take the questions back in the queue.

Moderator: Sure. The next question is from Rashmi from Dolat Capital.

Rashmi: Yes. And just one question again on the export business. You have mentioned that the export branded business have clearly declined mainly in the Russia, South Africa and the U.S. market. If you can explain that in each market, what has exactly happened and why this quarter is subdued?

Kunal Khanna: So specifically for the markets, Russia, the season was slightly slow. And anyway, most of the -- if you look at the trends, the actual demand pickup usually happens from H2 onwards. So September onwards, we will see a good demand pickup. South Africa, there have been some private and large institutional accounts where there has been a slightly muted growth. But with some of the grants and sanctions kicking in, we see a good positive trend coming in H2 for us.

U.S., while it was slightly slow to start with, we have good order visibility as we see our business for the next 4 to 6 months. There was some slight pricing pressure for 2 of our key molecules, but all of that will be neutralized as we see into the remaining part of the year. So these were the key reasons, but we do see all these markets picking up in the next 2 quarters, which would help us drive high single -digit growth going forward.

Rashmi: And U.S., would you mind just giving a quarterly run rate? What is the run rate generally we have for U.S. sales?

Kunal Khanna: We generally don't get into those kind of segment -wise disclosures.

Rashmi: Okay. And another question is on Azmarda. Now the sales are back at around INR75 crore . So how is the profitability over there with the intense competition and all? Are we able to improve the profitability as well? So if you can comment more on that particular project?

Kunal Khanna: Surely, as the sales increase, we do see better operating leverage kicking in, which helps the profitability of the brand. As we had mentioned that our first target almost 6 months back was to steadily hit 120,000 to 125,000 units per month, and we have reached that scale. The market reflection is also showing growth and closer to double -digit growth. We will continue to be on that path. For the next 3 to 4 months, our target is to reach 140,000 units going forward.

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Rashmi: Okay. And one last question on the integration expenses. We have seen -- just a clarification. We have seen INR15 crore integration expenses in the Torrent's result also, which is included in other expenses and the same thing. So the total integration expenses spent was around INR30 crore . Am I correct?

Narayan Saraf: Yes. So INR15 crore is the cost which we are...

Jason D'Souza: We can comment only on our expenses.

Narayan Saraf: Our expenses, which is INR15 crore .

Jason D'Souza: Just before we take the next question, we have one more question that's on the wall. The acute portfolio has rebounded pretty strongly in Q1. Would we see this momentum continue to sustain in the next few quarters?

Nikhil Chopra: So within acute portfolio, if you look at what I shared earlier, Sporlac as a brand has performed very well. It has been growing at a pace of high -teen growth. Rantac and Metrogyl as a franchisee, if you look at IQVIA figures also has been flat for the quarter. So entire growth was driven by the work that

the teams have done in the world of probiotic and the newer versions of probiotic.

And equally, some of the versions of our eye drops, majorly in the world of acute portfolio that is moxifloxacin and combinations and anti -allergics and pain eye drops, they have also performed well.

So our Ophthalmology and Sporlac business have shown high teens growth, and Rantac and Metrogyl have been flat for the quarter.

Jason D'Souza: Great. Just another question, and we'll go back to the queue. GCs have come up pretty high at 68%. How do we see GCs playing out in the remaining part of the year?

Narayan Saraf : So we hold our guidance where we are looking at the GCs in the range of 67% for the full year, and we will continue to hold that guidance of 67% for the full year. Thanks.

Jason D'Souza: We can go back to the queue, operator.

Moderator: Sure. The next question is from Sumit Gupta from Centrum.

Sumit Gupta: Yes. So few questions. So first, on the ...

Nikhil Chopra: Now you are not audible.

Sumit Gupta: Yes. So can you tell us the split of the domestic growth in volume price?

Narayan Saraf: So 14% is the domestic growth, price is around 7% and volume is also 7%.

Sumit Gupta: Pardon?

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Narayan Saraf: 14% is the growth of domestic business, out of which price and volume are 7% each.

Sumit Gupta: Okay. Okay. And with respect to the like margin guidance on the operating EBITDA front, so do you still maintain this 27% to 29% for full year?

Nikhil Chopra: Yes.

Narayan Saraf: Yes.

Nikhil Chopra: Yes. If you look at the guidance that we had given at the starting of the year was 27% to 29%.

Sumit Gupta: Yes.

Nikhil Chopra: So historically see and track us, our guidance, we always want to be at the top percentile of our guidance. So that will continue to be there for the year.

Sumit Gupta: Sure. And sir, lastly, on the API business, it witnessed a strong growth of nearly 40%. So can you highlight what drove this? And how should we see this business over the next, let's say, 2 to 3 years?

Kunal Khanna: So we have always maintained for us, API's priority more from captive consumption perspective. And this growth is largely coming in from some of the demand, which was pushed last year because of higher inventory for our key products. So nothing substantial or significantly has changed. Last year was a slightly slow year for us. So from a Q1 perspective, it was also operating on a lower base. No substantial or significant changes per se or upside on the demand front.

Sumit Gupta: Okay. So was there like any particular molecule which you can highlight?

Kunal Khanna: No, we have always been largely -- a lot of our demand has been kicking in from diclofenac API, which we tend to export a lot, and that offtake has been positive for us in Q1.

Sumit Gupta: Sure.

Jason D'Souza: Thanks. Thanks, Sumit. There's just one more question that's come on the wall. The Opthal business has rebounded pretty -- has recorded very strong growth at 19% as per IQVIA. Is this the reason primarily because of the new product launches or is it because of the historic old products?

Kunal Khanna: No. In fact, if we look at our portfolio, the overall chronic and acute, the historic legacy portfolio, which we were carrying have all registered significant growth. Brands like Vigamox, Vigadexa, Travakom have all been registering double -digit 12%, 13%, 14% growth plus. So this has -- this

growth has largely been a function of our acquired portfolio registering very strong demand in the market. When we started off, this business was trending at close to INR40 crore quarterly run rate.

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Now we are close to INR50 crore, and we will keep on building on this portfolio which we have. New launches have happened. They are contributing, but it's going to take some time before they become a significant contributor to the overall portfolio.

Nikhil Chopra: A couple

of additions in ophthalmology. Today, we have a field force of 105 people. We cover around 14,000 ophthalmologists. The market has been growing at low single digit, and we've been the fastest-growing company today in the ophthalmology segment growing at 19%. Today, we are sixth ranked company. And our aspiration is that probably 9 months to a year from here, we should be in top 5.

Jason D'Souza: Good. Just the last question, and we'll get back to the queue, which is on the wall. In terms of the other income, which is at INR15 crore, what is the reason for it? And how do we see operating cash flows for the entire year and for the quarter?

Narayan Saraf: Yes. So the reason of the other income being INR15 crore is because we had the surplus cash, which we have invested into -- as per our treasury policy, which has yielded us good returns. And the cash flow, we clearly expect the yearly cash flow to operating EBITDA in the range of 75% to 78% for the full year '26.

Jason D'Souza: We can go back to the queue.

Moderator: Sure. The next question is from Gaurav from Antique.

Gaurav: Yes. Sir, this quarter, we've seen almost a 16% year-on-year growth in staff cost. Have there been any field force expansions that you've undertaken this quarter?

Narayan Saraf: No. So there has been no major expansion in the field force. It's mainly because of the clearly increment and the field incentive that we have provided.

Gaurav: So this would be the new base going forward, right?

Narayan Saraf: Yes.

Gaurav: Okay. And in terms of the acquisition consummating, what do you think are the major milestones for the J.B. management to deliver so that acquisition kind of concludes within this fiscal year?

Jason D'Souza: I think Gaurav whatever is stated in the press release is as much as what we can state, which is already out there. So I think beyond that will be very difficult for us to comment. But for us, at J.B., it is business as usual.

Gaurav: Okay. Any guidance on the India business? We've delivered very strong growth, 14% on a year-on-year basis. We've said that we will deliver 300 bps to 400 bps outperformance to the market. So do we see the market growth coming up to 10% and this 14% being delivered on a full year basis for us?

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Nikhil Chopra: The market should grow 8% to 10%, depending upon the base variability. And as guided earlier, we should be able to grow 300 bps to 400 bps better than the market. That guidance continues to be there.

Moderator: Thank you.

Jason D'Souza: Just before we take the next question on the CDMO business, the question which has come in is how do we see Q2 playing out, which is a low base and also looking at Q3, Q4, which is a high base. So do we see CDMO back to double-digit growth?

Nikhil Chopra: So CDMO is, what has been shared earlier, our average run rate for H1, that is Q1 and Q2 should be at around INR120 crore, which we should be able to deliver. And probably for H2, the run rate should be close to INR130 crore. And then gradually, we'll start next year with average run rate of around INR140 crore to INR145 crore. That is where we stand. And by end of the year, as guided earlier, our CDMO growth should register -- the growth should be between 12% to 14% for the year.

Jason D'Souza: Thank you. Yes. We can go back to the queue.

Moderator: Next question is from Akshaya Shinde from SMIFS Limited.

Akshaya Shinde: I have just one question. So any development you want to share in export formulation business with respect to ROW market expansion? That's it. Yes.

Kunal Khanna: So in ROW market, basically, we have filed a lot of products over the last 2 years. And the first phase of the pipeline getting approvals should essentially kick start from September, October of this year, which are going to be 8 to 10 molecules across 14 to 16 key markets. There will be launch quantities, which should ideally start flow

ing in from Q4 of this financial year and full commercial annualized benefit, we should start seeing accruing in financial year '27.

We had these new launches over 3 phases. The first phase of pipeline starts getting approvals now. The second phase of our pipeline starts getting approvals from H2 of next financial year. So this will keep happening for the next 2 to 3 years, which should be significant value addition to our ROW markets.

Jason D'Souza: Thank you. Can you hear us?

Akshaya Shinde: Yes. This is helpful.

Jason D'Souza: Thank you. We'll just take -- there's one more question that's on the wall. Cilacar T has entered into the top 100 brands in the country in the month of June. How do we see the performance of this brand?

And do we see this entering into top 100 in MAT very soon? What are some of your thoughts here?

Kunal Khanna: Yes. We are very hopeful that the fact that it's entered in the top 100 for a month's time, we should be able to continue to see the momentum because it's a franchise which is growing at almost 20% plus.

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We hold leadership position in this franchise. We have done a lot of work in the area of diabetic hypertension and created a very niche position for Cilnidipine plus ARB in this particular segment. The market therapy shaping work continues, which is expanding the market and we being a market leader are seeing good results on that. So we are very confident that in the near future, very soon, we will see this top 100 reflection as part of the MAT reflection as well.

Jason D'Souza: We can go back to the queue.

Moderator: Next question is from Gaurav T from Antique.

Gaurav T: Yes. Sir, what would be the R&D spend for this quarter? And what would be the same number for 4Q and 1Q of last year, please?

Kunal Khanna: It's very negligible for us, just about close to 1%, and it's pretty much in line with what it was in Q1 of last year as well.

Gaurav T: And this would be mostly towards International Formulations?

Kunal Khanna: Yes. Essentially, yes, a significant part of it goes towards International Formulations. And as we mentioned that we have done -- we have been working a lot on building our international pipeline, which are being registered across 3 phases. So a substantial part of this goes towards building up that pipeline.

Jason D'Souza: I have one last question on the wall, which is on the Razel franchise. Razel has recorded extremely strong growth in this year and ever since it has been acquired, how do we see this portfolio playing out over the next 2 to 3 years? Do you see the strong growth rates continuing?

Kunal Khanna: We are fairly confident that this momentum which we have built on the brand post its acquisition, it will continue. As mentioned earlier, it was reflecting INR60 crore, almost 24 months during the acquisition, it is close to INR100 crore. And a lot of these combinations, which we are working on Razel brand and the single molecule, we have been able to build the momentum on that.

So the statin has been a good value addition, which allows us to further drive productivity with our core cardiologist prescriber base, which includes cardiologists as well as consulting physicians. And the work which we are trying to do on the lipid side with this brand has yielded positive results. So this will continue to grow at the same pace as what we have seen over the last 12 months.

Jason D'Souza: Great. Thanks. I think I don't see if there are any more questions that are left. And I just would like to hand this over back to Nikhil Chopra for his closing remarks.

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Nikhil Chopra: Thank you. Thank you all for attending the conference call. Business continues to be as usual at J.B., which I shared earlier. Once again, reemphasizing the fact figures, close to INR1,100 crore top line, that is what we could report for the quarter. Best-in-class India growth, 14%.

That

is what we could achieve. Operating EBITDA, excluding one-off, INR330 crore, PAT INR214 crore, that is excluding one-off, which is growing at 21%, 68.2% gross margin and 30.2% operating EBITDA margins. That is how at least we could achieve these all figures for the quarter, and we will continue to be a value-accretive company for our stakeholders and shareholders, and thank you all for showing the confidence in us. Thank you once again.

Narayan Saraf: Thank you.

Moderator: Thank you very much. On behalf of J.B. Pharma, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Jason D'Souza: Thank you.

Call: Nov 2025

November 14 , 2025

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on November 12 , 2025 at 2.00 PM IST in relation to results and developments for the second quarter ended on September 30, 2025. The same will also be available on the website of the Company www.jbpharma.com .

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary
Page 1 of 10

J B Chemicals and Pharmaceuticals Limited
Q2 FY '26 Earnings Conference Call
November 12 , 2025

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator: Ladies and gentlemen, good day and welcome to the J.B. Pharma's Q2 FY '26 Earnings Conference Call as on 12th November 2025. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

I now hand the conference over to Mr. Jason D'Souza, Executive Vice President at J.B. Pharma. Thank you and over to you, sir.

Jason D'Souza: Thank you , Sagar. Welcome to the Q2 FY ' 26 Earnings Call of J.B. Pharma. We have with us today Nikhil Chopra, CEO and Whole -Time Director; Kunal Khanna, President, Operations, and Narayan Saraf, the CFO at J.B. Chemicals and Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q2 FY 2026 results presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call and for his opening remarks.

Nikhil Chopra: Thank you, Jason, and welcome to all of you for today's call. J.B. Pharma delivered another quarter of

a good performance with the business going ahead of Indian pharma market. Quarter two saw overall revenues at INR1,085 crore , which is 8% higher than the previous year.

Page 2 of 10

Operating EBITDA, excluding non -cash ESOP, came in at INR319 crore , up 12%, and net profit was reported at INR208 crore , which grew at 19% year -on-year. Our Q2 FY '26 gross margins increased by 200 bps to 68.2% versus 66.2%. Cost optimization efforts, favorable product mix, and price growth positively impacted gross margins. Operating EBITDA margin came in at 29.4%, up 100 bps year-on-year, underscoring emphasis on improvement in profitability.

Moving along, let me draw the discussion towards the domestic business. Our domestic business grew 9% improvement year -on-year to INR644 crore . As per IQVIA September MAT data, J.B. Pharma is the fastest growing company among the top 25 companies in IPM.

Over the past several years, we have consistently remained one of the fastest growing companies in the country. This is indeed a major achievement for our organization as a whole. Further, all our major brands gained

ranks, with three of our brands now in top 100 brands in IPM.

We have now six brands in top 300 in the IPM. The business continues to be driven by strong brands with key franchises outperforming the market. As per IQVIA MAR September 2025 data, the Reserve Franchisee, i.e. Rosuvastatin Franchisee, has crossed INR100 crore in revenue. This is another achievement considering that in just two years, the franchisee has gone from sales of INR66 crore in MAT September 2022 to an INR104 crore as per MAT September 2025 data. We now have six brand franchises, each demonstrating healthy and sustained growth.

Moving on, let me address our international operations. Q2 FY '26 saw the business delivering 7% improvement year -on-year to an INR441 crore . This was driven by strong trends in our CDMO segment. CDMO business reported 20% year -on-year growth to an INR113 crore for the quarter. We have a robust pipeline of products lined up for our global partners and our order book remains strong for H2 FY '26. International Formulations reported a revenue of INR306 crore , up 2%. Russia markets recorded strong growth for the quarter, whereas our other markets stayed subdued. We expect growth to return in H2 FY '26. More of that we will talk in our Q&A.

J.B. remains a steadfast in advancing revenue growth while deepening its focus on cost discipline and organization agility. Our continued emphasis on the domestic and CDMO segments will be instrumental in sustaining both top -line expansion and margin strength. With a resilient balance sheet and a culture rooted in execution excellence, we are poised to navigate the future with confidence and steer the company into its next phase of strategic growth.

I would now like to request Mr. Narayan Saraf, our CFO, to continue with his views on the financial performance. Over to you, Narayan. Thank you.

Narayan Saraf: Thank you very much, Nikhil. Good afternoon everyone and welcome to J.B. Pharma's Q2 FY '26 Earnings Call. Now to take you through the financial updates for the second quarter, revenues for the quarter were at INR1,085 crore , representing an increase of 8% year -on-year. The domestic business to international business mix was 61% to 39% for H1 FY '26 versus H1 FY '25.

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The domestic business -- formulation business segment reported revenues of INR644 crore with a growth of 9% year -on-year. And as per IQVIA MAT September '25 data within the IPM, the company maintained its outperformance with a growth of 12% versus the IPM growth of 8%.

In International business, the segment reported a growth of 7% year -on-year at INR441 crore . International formulations grew moderately by 2% year -on-year to INR306 crore and the CDMO category grew strongly, recording an increase of 20% year -on-year at INR113 crore due to good sales momentum. Revenue from the API category were at INR22 crore as against INR19 crore in the previous year.

Operating EBITDA, which is excluding non -cash ESOP by 12% -- grew by 12% to INR319 crore for Q2 FY '26. Operating EBITDA margins increased by 100 basis points to 29.4% for Q2 FY '26. For H1 FY '26, operating EBITDA, excluding one -off impact in Q1 of INR15 crore due to merger scheme, grew by 13% to INR649 crore . Operating EBITDA margin was 29.8%, an increase of 110 basis points as compared to H1 F Y '25.

Gross profit margin grew by -- grew to 68.2% compared to 66.2% in Q2 FY '25. Cost optimization efforts, favorable product mix and price growth aided the margin improvement by 200 basis points. Overall, overheads, including employee costs were contained, which also aided operating margins. Finally, net profit increased by 19% to INR208 crore for Q2 FY '26 and increased by 17% to INR410 crore for H1 FY '26. Excluding one -off impact due to merger scheme, net profit for H1 grew by 20% to INR421 crore , an improvement of 180 basis points.

The operating cash flow in H1 FY '26 were a

t INR363 crore . Cash tax increased to INR116 crore . The company's gross debt as of 30th September ' 25 was at INR7 crore versus INR14 crore as on 31st March 2025. Net cash and cash equivalents, including investments in mutual funds were at INR939 crore as on 30th September '25. The net capex addition for H1 FY '26 was INR46 crore versus INR49 crore in H1 FY '25. We remain confident on a positive outlook through opportunities for the company

and providing value to our stakeholders.

That brings to my end of my opening remarks. I now request the moderator to open the forum for the Q&A session. Thank you very much.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Tausif Shaikh from BNP. Please go ahead.

Tausif Shaikh: Thanks for the opportunity. My first business on the domestic business. Just want to check whether our domestic business was impacted to the new GST rates and can you help us provide the growth of acute and chronic growth for this quarter to help this thing better?

Kunal Khanna : With respect to GST, the business was not impacted at all. Whatever numbers you see are without any significant impact on channel for the GST as far as GST implications go. Overall, our growth has again outpaced the market.

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If you really look at Q2 numbers, the volume growth for the market was in the range of 0.5% to 0.7%, whereas our volume growth was close to 4%. And we have always kind of maintained that the reason why we will be able to grow above the market is because we will grow at least 3 percentage points above the market with respect to volume growth and that trend continues to maintain.

Acute season was slightly muted, which has impacted our overall domestic growth for Q2, mainly impacting products like Metrogyl and Rantac. But beyond that, our chronic growth has been significant. In fact, our chronic portfolio has grown at over 20%. Some of our key brands like Cilacar, Cilacar T, Cilacar Plain has grown at almost 14%. Cilacar T continues to grow at 26%. Our Sporlac franchise has grown at 15%. Azmarda is growing at 23%. So all our big franchises on the chronic segment are actually growing at 20% plus.

Tausif Shaikh: That's helpful. Second question on the export formulation. I think this is the second consecutive quarter we have seen a muted growth. Which of the markets which are leading this drag to this kind of growth? Can you help us understand?

Nikhil Chopra : So, if you look at overall our performance in the international market, let me first talk about which markets got us a growth. CDMO grew at a pace of 20% for the quarter and equally Russia business demonstrated a good growth of 20% close to high -teens for the quarter and H1. Rest of the world and South Africa, they showed the muted growth.

But what we would like to state here that we have a good order book for rest of the world and we should see high single digit growth in H2 in rest of the world market and South Africa also will bounce back supported by the growth will continue to happen in CDMO and Russia.

Tausif Shaikh: That is helpful. I will get back in the room.

Nikhil Chopra: Thank you.

Moderator: Thank you. Our next question comes from the line of Alok Dalal from Jefferies India Private Limited. Please go ahead.

Alok Dalal: Yes, good afternoon, sir. Just two questions. First is for the quarter, we have seen India growth of 9%. This is slightly slower than previous quarters. Is it largely because of seasonality?

Kunal Khanna : Yes, as we mentioned earlier, largely because of acute season slightly be muted. Last year, Metrogyl, the overall acute season was quite positive for us and Metrogyl as a franchise had also grown. So it is an impact of a slightly higher base for some of these key legacy products. It is just a seasonal variation. If you compare overall volume growth and if y

ou see the chronic trends, we continue to outpace the market.

Nikhil Chopra : And Alok, we will continue to grow and Alok, Nikhil, here we will continue to outpace like what Kunal told we will continue to outpace at somewhere to IPM, we will continue to grow by 300 to 400 fixed data.

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Alok Dalal: Okay. Sure. And can you split the growth between volume price and new introductions?

Kunal Khanna : Sure. If you really look at it from a Q2 perspective, as reflected externally and also in line with our internal trends, overall volume growth is for Q2 4% and price is 6%. And overall H1 volume is 5% and the price is 7%. Some part of volume includes our NI, but that is not significant.

Alok Dalal: Got it. And last question is on field force. What is the current field force strength as of September?

Kunal Khanna : So currently the MRs are close to 2400, active MRs operating on the ground, no significant additions over the last four to six months.

Nikhil Chopra : And our productivity is closer on INR7.5 lakh.

Alok Dalal: Okay. Yes. So if I look at the March presentation, so the field force strength was about 2800. So has there been some attrition about 300, 400 MRs?

Jason D'Souza: No, no. I think that is including the managers, Alok.

Alok Dalal: Okay. This is on the ground, feet on the ground.

Alok Dalal: All right. Okay. Thank you for taking my questions.

Moderator: Thank you. Our next question comes from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes. Thanks for the opportunity. Again, a follow-up for the export market. You mentioned that South Africa and the US, we have seen some sort of struggle over, while Russia, which had seen slowdown in first quarter has seen a good season this quarter, and that is why it has picked up. But what exactly

in US and South Africa, the struggle is, is it related to any pricing pressure, or delayed product launches or anything? If you can give a bit in detail, though I understand that in the second half, we will be recovering? But what is the temporary issue over here?

Nikhil Chopra: Yes, yes. If you look at South Africa, over a period of time, we have been diminishing our overall participating in the public market. So that is a reason and it takes time in South Africa as a market where we are being highly relying upon public tender. But still, it was this public tendering participation and the contribution of business couple of years ago was 65%, today, it has come down to 35%, and private has gone up. But we are looking at how do you propel up the growth in the private market. So that will come that we are confident.

US, no pricing pressure, we do not take any price reduction in US. US has been a quarter where our last year base was high because of some supply would have been on the higher side. But it has been a trend, we do around \$10 million to \$12 million business every quarter. So I think that growth will bounce back in quarter three and quarter four for US business. So not a worry.

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Rashmi Shetty: Okay. And in domestic business, what kind of price hikes we have taken? I mean, the blended price hike for this year? We have already taken it, or we will be taking it now?

Kunal Khanna : So it happens product to product based on the when the price hikes are due for particular set of brands. If you really look at our H1 trending, price growth is 7% for our domestic business for Q2 specifically it was 6%.

Rashmi Shetty: And so we continue to maintain our guidance of 12% to 14% for domestic market expecting that the H2 will pick up due to the chronic segment?

Kunal Khanna : Absolutely. As we have always maintained, we will continue to outpace the market. And even if you really look at the volume growth figures compared to the IPM, we continue to be 3% higher than the market volume growth because and we will continue to maintain that. So we will be loo

king at 12%

to 14% growth for our domestic business.

Rashmi Shetty: Okay. And last quarter, you mentioned that gross margin guidance would be in the range of 67%. You still hold that because we are running at 68% now. And similarly, if you can guide on the EBITDA margin, whether you are retaining your guidance of around 27% to 29%?

Narayan Saraf: Yes, on gross margin, we continue to maintain that we would be in that range of 67% to 69% and EBITDA also very clearly we would be in the range of the earlier guidance, which we had given. And we continue to see that we are tuned to achieve those guidance's.

Rashmi Shetty: Okay. And just two more questions. Stock charges will get over by which year? And in case our ophthal portfolio gets consolidated, that is from FY28, what kind of gross margin improvement or margin we can see? Because our base business itself is now at around 29% EBITDA margin. So how much expansion can we expect from there?

Kunal Khanna : On the ophthal side, Narayan can take the sub -question later. On the ophthal side, the perpetual license gets triggered in December 2026. So from calendar year 2027, we will see a significant improvement on the overall gross margin profile.

We do not want to significantly peg any number or give any guidance. But just to give you a sense that even our Ophthal portfolio, the overall margin profile will be probably higher than our standalone domestic business current margin profile as well. So that gives you an indication of what the margin boost will look like.

Rashmi Shetty: Okay. And last question...

Narayan Saraf: And on the ESOP charge, we see that the balance charge which is left is approximately INR47 crore and the year till which it will be charged is FY 2027. However, very clearly we see 10 crore getting charged in Q3, as per Q2.

Rashmi Shetty: Okay. INR47 crore for this year, you are saying?

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Narayan Saraf: INR47 crore is the total remaining charge. INR47 crore is the total remaining charge.

Rashmi Shetty: Okay. And in FY 2027, how much will you charge it?

Narayan Saraf: So in FY '26, we see clearly around INR20 crore and balance INR27 crore will be in FY '27.

Rashmi Shetty: Okay. And one last question on the inventory days. In the presentation, you mentioned that the inventory levels have been increased. So will it get normalized at the end of March quarter, or it will remain elevated only to build your Ophthal inventory and also just to mitigate the risk of high -API cost?

Kunal Khanna : More or less, we will continue with the same levels of inventory. Given our Ophthal portfolio currently is imported, there are certain times in the year when you see a slightly increased level of finished goods inventory, but no real major concern of inventory levels going further high from the current levels. It will be range bound from what you have seen in Q1 and Q2.

Rashmi Shetty: Okay. So more or less, it would remain at the similar level of H1, FY '26?

Kunal Khanna : Yes.

Narayan Saraf : Yes.

Rashmi Shetty: Okay. Okay. Thank you. That is it from my side.

Moderator: Thank you. Our next question comes from the line of Gourav Bhama from JM Financial. Please go ahead.

Gourav Bhama: Hi, good afternoon, sir. Am I audible?

Nikhil Chopra : Yes, yes.

Gourav Bhama: To begin with, sir, congratulations on a good set of numbers, and thank you for offering me the opportunity to ask questions. I just wanted to understand the single -digit, high single digit growth expected in second half. Is it for the overall international business or just for the international formulation?

Nikhil Chopra: Overall business.

Gourav Bhama: Overall International Formulation business right, sir?

Nikhil Chopra: Overall business.

Gourav Bhama: That is it from my end, sir.

Nikhil Chopra: International Formulation Business, hello?

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Gourav Bhama: Thanks.

Nikhil Chopra: Yes.

Gourav

Bhama: Got it sir.

Moderator: Our next question comes from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Hi, sir. Thank you for the opportunity. The first question is pertaining to the ESOP charge. So, for clarity as to what is this charge pertaining, currently there has been some buyout already. And to what price is this ESOPs been issued?

Jason D 'Souza : Narayan, you want to take it?

Narayan Saraf: So, basically the charge which we see is in quarter two is around INR10 crore . And as I mentioned earlier, we continue to see the charge of INR10 crore even in quarter three. And the ESOPs which have been issued has been issued as per the rates which were governed and at the SPA, not as per the agreement which has been signed by each of the employees.

So, I think it is a different case for different employees. So, some of our key leaders have given ESOPs at different rates, which is as per the agreement with the employees. It is different -for-different employees. I hope I was able to answer your question.

Abdulkader Puranwala: Yes, thanks for that. And the second one is on the India business. So, on the acute side, I heard the comment about the season not being that favorable. But, sir, I mean, could you just help us understand why there would be a dependence portfolio in QP?

Nikhil Chopra: There will be, sorry?

Abdulkader Puranwala: So, was there a dip on this portfolio? Because when we talk about a chronic growing at 20%, overall growth was at 9%.

Kunal Khanna : So, what we maintained was that the key brands in chronic grow at 20% plus, right? And mainly because of the acute season being slightly muted, our key legacy brands, Rantac and Metrogl have shown slightly muted growth trends. And that is reflected in the overall number of 9%.

Having said that, if you really look at the overall volume growth numbers for the IPM and for us, IPM volume growth for Q2 is just around 0.3%, which is again a reflection of the muted season, whereas our volume growth internally is 4% and externally also is reflected at 3%. So, whatever dip you are seeing, majorly in some of our two large brands of acute and overall reflected in the acute portfolio is a function of how the market has behaved.

Abdulkader Puranwala: Got it. Thanks for that. And just one final one if I may. So, on the CDMO business, are we still holding on to our previous guidance of 12% to 14% growth this year?

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Kunal Khanna : Yes, we should be able to maintain that growth momentum. If you look at the quarter growth, as Nikhil mentioned earlier, we grew at 20%. Our H1 growth also currently is looking at 14%. So, we continue to see the momentum being driven forward also. And we should end the year with close to 12% to 14% growth for CDMO.

Abdulkader Puranwala: Sure. Thank you.

Jason D'Souza: Thanks, Abdul . We have two questions which have come in on the wall. One is on the OPHTHAL segment. How do we see the performance of the OPHTHAL segment in the first half of this year?

Kunal Khanna : On the OPHTHAL portfolio, the overall momentum which we were able to drive because of prescriber expansion, we continue to see good results coming as a result of that. If you look at the overall math numbers for the OPHTHAL portfolio in our covered markets, we have grown at almost 16%, whereas the market has grown at close to 8%. We have already hit a monthly run rate of close to INR17 crore to INR18 crore and we will continue to drive that going forward as well.

Nikhil Chopra : In OPHTHAL, couple of new launches also we have done organically in the age of trails which significantly also showing a good traction and our coverage overall also improve in the world ophthalmology in the doctor community which also is helping to improve the prescriber base.

Jason D'Souza: Right. The second question that we have is what is going to be capex for the entire

re year?

Kunal Khanna : Capex for the entire year, as mentioned earlier, also will be close to INR100 crore . We have always maintained that our maintenance capex is in the range of INR60 crore to INR65 crore. There is

greenfield capex and this year, greenfield capex was largely attributed to the new IV line, which is also going to get commissioned within the next two months. So, a major part of our greenfield capex also has been absorbed this year.

Jason D'Souza: The last question which has come in, you have seen some growth in the API business. Any views on that?

Kunal Khanna : We want to maintain a quarterly run rate of INR25 crore on the API side. H1 has been good so far, but as we have always maintained, it is not a function of any new launches. As far as our API business goes, we want to maximize the market with our current portfolio only and rather actually focus on API units serving the captive requirements and that will continue to be the focus going ahead as well.

Jason D'Souza: Yes, we can go back to the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Neelam Punjabi from Perpetuity. Please go ahead.

Neelam Punjabi: Yes. Thanks for the opportunity. My first question is on the MR productivity. So, you mentioned it is at 6.7 lakhs. So, what is the target for this productivity level over the next couple of years and at what level would we then evaluate and add to our field force?

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Nikhil Chopra: So, Neelam, just to correct you, the productivity trending this year is INR7.5 lakhs, not INR6.7 lakhs.

Neelam Punjabi: All right. My bad. Sorry.

Nikhil Chopra: And that is what we have guided also. So, we have taken an internal aspiration that we would like to at least touch INR8 lakh productivity, which would be a good productivity for the portfolio mix that we have got. And by that time, at least we will think in terms of if you want to add the field force on the ground. That we have guided earlier.

Neelam Punjabi: Got it. Okay. And my second question is on the international formulations business. Could you provide a breakout for the first half in Brazil, South Africa and US? What is the revenue split between the three?

Kunal Khanna: We do not provide a breakup of geographies, Neelam. But just to give you a broad sense, in our key markets, Russia CIS continues to perform well. South Africa and US was slightly muted, but given the order of the situation, we see then the tragic changing there in H2. APAC is on a good track as well. And that will continue also in our key markets and that is how the trending will happen.

Neelam Punjabi: Got it. That is it from my end. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Nikhil Chopra for closing comments.

Nikhil Chopra: Thank you all for coming for the investor conference call for JB. And we continue to outperform the market, particularly what is happening in Indian pharma market, growing at 300 to 400 bids better than the market. A lot of marquee projects are on in the world of CDMO, which will help us to drive mid-teens growth for CDMO business.

And as right now, our India plus CDMO contribution is close to 70%, which will only go up to 75% percent, 75% to 80% in the coming time. And that will help us to drive better EBITDA margins and continue to guide the state in terms of any revision that we want to do in terms of our cost margins as well as EBITDA margins. Thank you all once again. Thank you.

Moderator: Thank you. On behalf of JB Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

January 21, 2026

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on January 19, 2026 at 1.30 PM IST in relation to results and developments for the third quarter ended on December 31, 2025. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary

Page 1 of 10

J.B. Chemicals and Pharmaceuticals Limited
Q3 FY '26 Earnings Conference Call
January 19, 2026

This transcript is published as is what we have received from our vendor who manages the conference call. We would request you to go through the audio recording in case you want to reconfirm anything that has been mentioned in the transcript

Moderator : Ladies and gentlemen, good day, and welcome to J.B. Pharma. Q3 FY '26 Earnings Conference Call as on 19 January 2026. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jason D'Souza, Executive Vice President at J.B. Pharma. Thank you, and over to you, Mr. D'Souza.

Jason D'Souza : Thank you, Renju. Welcome to the earnings call of J.B. Pharma. We have with us today, Nikhil Chopra, CEO and Whole Time Director; Mr. Kunal Khanna, President, Operations; Narayan Saraf, the CFO at J.B. Chemicals and Pharmaceuticals Limited.

Before we begin, I would like to state that some of the statements in today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the results presentation that has been sent to you earlier.

I would like to hand over the floor to Mr. Nikhil Chopra to begin the proceedings of the call and for his opening remarks.

Nikhil Chopra : Jason, thank you. And I would like to welcome everyone today on the call to discuss J.B. Pharma's

performance for Q3 FY '26. Friends, once again, we have performed well with top line revenues growing at 11% to INR1,065 crore . Our operating EBITDA, excluding noncash ESOP, stood at

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INR305 crore , up 13% whereas net profit came in at INR198 crore , growing at 22% over the previous year.

Gross margins during the quarter 3 rose by 200 bps to 69.1% as compared to 67.1% last year. This is on the backup of attractive product mix, price improvement realized and stable raw material costs. The operating EBITDA margin stood at 28.7%, higher by 60 bps year -on-year given our consistent thrust on driving profitability.

Let me now draw your attention to the detailed discussions beginning with the domestic business. Our domestic business showed 10% growth year -on-year to INR620 crore . As per IQVIA December MAT data, J .B. remains the fastest -growing company within the top 25 names in Indian pharma market. All of our major brands have continued to deliver and have posted strong growth. Six brands now feature in top 300 brands in the Indian pharma market.

I would

like to underline that we have maintained momentum as one of the fastest growing pharma companies in the country over the past several years. The domestic business franchise now has a strong foundation, which will help the business continue to grow in the future, above than the Indian pharma market growth.

Turning to international operations. Quarter 3 FY '26 growth saw 12% growth year -on-year to INR445 crore . Our international operations growth was driven by international formulation businesses which saw a revenue of INR306 crore , up 20% year -on-year, given the strong performance in Russia, South Africa, U.S. and other branded export markets.

The CDMO business has sustained its momentum and once again performed well in quarter 3 FY '26 despite a high base in quarter 3 FY '25. Our focus on cost optimization, favorable product mix and operational efficiencies led to improved operating margins for the quarter FY '26 as well as for the 9 - month FY '26.

J.B. Pharma continues to pursue growth with conviction, driving revenue expansion with a sharper focus on efficiency and organizational agility. Our sustained investments in the domestic business and CDMO platform remains central to realizing consistent growth while protecting margins. Supported by strong balance sheet and an execution -driven culture, we are well positioned to adapt to evolving market conditions and advance confidently into company's next stage of strategic development.

I would like now -- I would now like to urge Mr. Narayan, our CFO, to continue with the views on the financial performance. Over to you, Narayan. Thank you.

Narayan Saraf : Thank you, Nikhil. Good afternoon, everyone, and welcome to J.B. Pharma's Q3 FY '26 Earnings Call. Now to take you through the financial updates for the third quarter, revenues for the quarter were at INR1,065 crore , representing a n increase of 11% year -on-year.

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The domestic business to international business mix was 58% to 42%. In domestic business, the domestic formulation business segment reported revenues of INR620 crore with a 10% year -on-year growth. As per IQVIA MAT December 2025 data within the IPM, the company outperformed with a growth of 12% versus the IPM growth of 9%.

In this segment, the company's franchisees results saw a growth of 11% year -on-year with revenue at INR108 crore . In international business, the international business segment grew by 12% year -on-year with revenues at INR445 crore .

The international formulations witnessed a robust growth of 20% year -on-year to INR306 crore , owing to the strong performance of the export business of South Africa, Russia, USA and branded exports market. The CDMO category remained nearly flat at INR117 crore for quarter 3 FY '26. That being said, sales momentum during the quarter was sustained despite a higher base of the previous year and is expected to continue on in Q4 FY '26. The revenues from API categories were at INR21 crore for quarter 3 FY '26. Gross profit margins expanded 200 basis points year -on-year at 69.1 percentage, increasing on the back of a better product mix, stable RM prices and positive price growth.

Operating EBITDA, which is excluding the ESOP cost, was at INR305 crore , growing 13% year -on-year. Margins expanded year -on-year at 28.7% versus 28.1% in quarter 3 FY '25. During the quarter, other income increased to INR18 crore as against INR8 crore in quarter 3 FY '25 due to treasury income. Depreciation increased to INR45 crore versus INR42 crore in quarter 3 FY '25.

Net profit increased by 22% year -on-year at INR198 crore . We reiterate our guidance for operating margins between 27% to 29% for FY '26. That brings me to the end of my opening remarks.

I now request the moderator to open the forum for the Q&A session. Thank you very much.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the

line of Sumit Gupta from Antique. Please go ahead.

Sumit Gupta: Am I audible?

Kunal Khanna : Yes.

Sumit Gupta: Thank you for the opportunity sir. So first question is on the domestic side, like what kind of price hikes we have taken for this quarter?

Kunal Khanna : Sorry, could you repeat the question, please?

Sumit Gupta: Price hikes in the domestic business for this quarter?

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Kunal Khanna : So if you really look at our numbers, we try to maximize the price hike. Our price hike generally for the quarter is in -- close to 7%.

Sumit Gupta: Okay. And with respect to the guidance, like you used to guide a 12% to 14% kind of growth for domestic market. However, if you see in this quarter, the growth has been kind of 9% to 10% though you still maintain this 12% to 14%? Or should we revise down to around 10% to 11%?

Nikhil Chopra : Yes, Sumit, if you look at our growth YTD 9 months for India business, which is close to around 11%, 12%, our guidance continues to be growing better than the market 200 to 300 bps, which is in line to where we stand today, and that is how it will happen by the end of the year also.

Sumit Gupta : Okay. So basically, you are expecting INR620 crore, INR630 crore kind of revenue for domestic to continue that -- to be continued?

Kunal Khanna : So what we were talking about was our growth with respect to market. If you really look at it from a quarterly perspective, March generally is a soft month for all Indian pharmaceutical companies for domestic market situation because of the inventory closing from the distributors end. So that quarterly run rate can be impacted because of natural March phenomenon, but overall, our growth will be higher than the industry.

Sumit Gupta: Sure. And second is on the margins, like your margins have increased even though the growth has been kind of normal or slower than -- slightly slower than normal. So what is that improvement in margins ?

Narayan Saraf : Sorry, your -- your voice is not clear.

Management: Sumit we can not hear you Sumit.

Moderator: Mr. Gupta, sorry for interfering. Please come next to the mic and speak.

Sumit Gupta: Is this fine?

Moderator: Yes, this is better. Thank you. Please go ahead.

Sumit Gupta: Okay. Yes. So basically to understand on the margin side. So apart from the domestic performance, like what is like the improvement in the margin, overall performance in the margin?

Nikhil Chopra : So overall, if you look at the product mix, which is a combination of what we have done in India business with our chronic portfolio contributing on the higher side and our international business mix of CDMO business and what business we have done in some of the geographies that has led to better gross margins for the quarter.

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Sumit Gupta: Right. So we can expect this to continue. And in the international side, also South Africa and the geographies, are they doing well?

Nikhil Chopra : So as we see what -- as we see quarter 4, the guidance would be that we have a good order book for quarter 4. And our gross margin should reach between 60% to 69% by the end of the year.

Sumit Gupta: Okay. Understood. All the best.

Moderator: Thank you. Next question comes from the line of Preen Parikh with Shree Capital. Please go ahead.

Preen Parikh : Hi, good afternoon. Congratulations on good set of numbers. I have two questions. One about the dividend policy. Is there any change in the dividend policy? There is no announcement of any interim dividend this time.

Narayan Saraf : Yes. So interim dividend, we have not announced yet. However, once the right time opportunity comes, we will inform and update you about the dividends.

Preen Parikh: This question was in the context of our regular announcement of interim dividend with the second -- the December results which usually, for last 5 years, it has been regularly announced, so if there is

any change?

Narayan Saraf : So control situation, it will happen over time, and we will update you once we take the decision.

Preen Parikh: All right. Secondly, about this pending merger with Torrent. Any guidance on the timeline?

Narayan Saraf : It is a work in progress, and it is progressing at its -- on normal speed. And we will keep on updating as and when we have got any fresh development.

Preen Parikh: So presently, what is likely -- I am sorry, if you have mentioned it in the earlier calls, but just to confirm, what is the guidance on -- by when this is likely to be completed, any understanding?

Narayan Saraf : So it may happen sometime in quarter 4.

Preen Parikh: Thank you so very much. And all the best.

Moderator: Thank you. Next question comes from the line of Ananya Khanna with Alpha Alternatives. Please go ahead.

Ananya Khanna : Am I audible?

Nikhil Chopra : Yes.

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Ananya Khanna : First of all, congratulations on a good set of results. So my question to you is -- expect the merger with J.B. Chemicals and Pharmaceuticals to be completed. Can you give us like a rough timeline?

And also, can you shed some light on the synergies created with the merger?

Nikhil Chopra : Sorry, I could not hear your last line, Ananya. What was -- your voice was cracking.

Narayan Saraf : Hello, Ananya, can you repeat?

Moderator: Mrs. Khanna, please -- yes, your voice was breaking. Can you just repeat the question once again?

Ananya Khanna: Yes. So can you give us like a rough estimate as to when the merger can be completed, the merger with J.B. Chemicals and can you give us a rough timeline for the same and also shed some light on the possible synergies that can be created via the merger?

Nikhil Chopra : So Ananya, first of all, this call is more to talk about the performance for the quarter, but as Narayan told to the previous call -- in the previous question that this is work in progress. And as and when we get more visibility, we will be happy to share, but it will happen sometime in quarter 4.

Kunal Khanna : The merger will -- so the closure is expected in quarter 4 and the merger can happen any time, 6 to 9 months from there on. That is the way to really look at the situation. At this stage, we can only...

Ananya Khanna: All right. Can you shed some light on the possible synergies that can be created via the merger?

Kunal Khanna : We would not like to comment on any of the synergy situation as of now.

Ananya Khanna: All right. Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Abdulkader Puranwala with ICICI Securities. Please go ahead.

Abdulkader Puranwala : Hi, sir. Thank you for the opportunity. And congratulations on a good set of numbers. My first question is pertaining to your CDMO business. So I understand there was a high base in the quarter, but then for FY '27, how should we look at the revenue run rate for this particular segment? And if you could also help us understand the utilization of the CDMO plant at what levels are they currently?

Nikhil Chopra : CDMO, what we shared earlier that -- this quarter was a base effect, but our run rate for the quarter -- for every quarter continues to be around INR115 crore to INR120 crore for this year. And you should expect us to grow at around 10% to 12% for FY '27.

Abdulkader Puranwala : Understood. And my next question is for CFO sir. So in this quarter, have we seen any impact coming

from the new labour law code or are we still in the process of evaluating the impact?

Narayan Saraf : No very significant. We have taken the necessary impacts in our P&L, and it was not something substantial enough.

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Abdulkader Puranwala: Got it. Thank you.

Moderator: Thank you. Next question comes from the line of Bino Pathiparampil with Elara Capital. Please go ahead.

Bino Pathiparampil : Hi, good afternoon. Just a follow-up on the merger

question earlier. So you said the deal will close in

Q4 and then another 6 to 9 months for the merger, is that correct?

Nikhil Chopra : Yes, yes.

Bino Pathiparampil: Okay. Okay. So what is the -- why such a delay between deal closure and merger, 6 to 9 months?

Jason Dsouza : So, I think that is all we will be able to share, I think, on this call. As we said that -- that is all that we will be able to share on this call -- we can focus on the performance, that will be more apt.

Bino Pathiparampil: Understood. Thank you.

Moderator: Thank you. Next question comes from the line of Naman Bagrecha with IIFL Capital Services Limited. Please go ahead.

Naman Bagrecha : Hello.

Management: Yes. Go ahead Naman.

Naman Bagrecha : Yes sir, can you elaborate on the group export formulation business that we saw this... ?

Moderator : Mr. Bagrecha, sorry for interrupting. Your sound is not clear. Can you come a little closer to the mic and speak.

Naman Bagrecha : Sure. Sir, can you explain or elaborate more on the export formulation business growth that we saw for this quarter? And how should one look at the next one ?

Nikhil Chopra : So Naman, for the quarter, as I think earlier guided, quarter 3 and quarter 4, we had a good order book, which was shared in quarter 2 commentary. So that is how the quarter 3 has performed for the international markets, and that is backed up by good performance in our both subsidiaries, South Africa and Russia. Also, our export branded business has also done well, that is where we stand. And what we guide for the year is we should grow at high single digit by the end of the year, and that is what we had shared in our quarter 2 commentary in the investor call.

Naman Bagrecha : Thanks sir. And sir, on the India business front, while for the first 9 months - first 9 months, we have grown in double digits, particularly the last three quarters Q3 and Q4, the growth has been, let us say, around 9%-9.5%. Any particular say slowdown that you are seeing in our portfolio or is just the market terms?

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Kunal Khanna : No. So no real concern with the overall growth for domestic business. Our chronic portfolio has done exceedingly well. And the 1%, 1.5% difference, which we are seeing, instead of that 11% to 12%, being closer to 10% is largely attributed to some slowdown for our acute business, more specifically the gastro portfolio. Apart from that, if you really look at the numbers of all our key brands and compare that with IPM, we have done exceedingly well.

Just to give some numbers, Cilacar has grown at 25% plus, Cilacar -T at almost 33%. Nicardia has

grown at almost 30%, Sporlac franchise is showing a growth of 13%. So all our big franchise have -- franchisees have done well with essentially some slowdown of the acute gastro, which is showing the difference.

Naman Bagrecha : Okay. Thank you.

Moderator : The next question comes from the line of Akshaya Shinde with SMIFS Limited. Please go ahead.

Akshaya Shinde : Yes, good afternoon, everyone, and thank you for the opportunity. Just a follow-up on our export formulation business. Can you give more detail on, like how the international markets are performing, like the growth is driven by the volume or the price hike there also? That is it from my side.

Nikhil Chopra : So we had a good demand in our both subsidiaries in terms of volume, particularly in South Africa and Russia for the quarter. And that is what we are looking forward in quarter 4 also. And our business, if you look at our quarter 2 performance for branded generics, we were flat. But this quarter, as earlier also shared, we had a good order book, so that we could execute for quarter 3 and equally, I am sharing at this moment of time that in quarter 4 also. For quarter 4 also, we have a good order book where we should see double-digit growth for the quarter, but for the year, we should grow at high single digit.

Nikhil Chopra : So we had a good demand in our both subsidiaries in terms of volume, particularly in South Africa and Russia for the quarter. And that is what we are looking forward in quarter 4 also. And our business, if you look at our quarter 2 performance for branded generics, we were flat. But this quarter, as earlier also shared, we had a good order book, so that we could execute for quarter 3 and equally, I am sharing at this moment of time that in quarter 4 also. For quarter 4 also, we have a good order book where we should see double-digit growth for the quarter, but for the year, we should grow at high single digit.

Akshaya Shinde : Understood. Thank you.

Moderator : Next question comes from the line of Jason D'Souza. Please go ahead.

Jason D'Souza : No, no. No, I will just take some questions which have come on the wall. So first question is on the ophthalmology business. It seems to be that the business is just 10%. Any guidance on that?

Kunal Khanna : I think we will be double-digit growth in Ophthalmology portfolio as well. Our chronic and glaucoma portfolio has done well. Some bit of slowdown is again attributed to the acute products. But otherwise, we are well poised to reach our aspirations of having a consistent INR17 crore to INR18 crore per month run rate for this portfolio in the next 3 to 4 months.

Jason D'Souza : The other question is, which is there on the FYQ4 performance. Any guidance on how the Q4 FY'26 performance will be there?

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Nikhil Chopra : So quarter 4, as what we have earlier shared, is India business should grow to 200 to 300 BPS better than the market. And international business as we have good order book, we should show the same performance as what we have demonstrated for quarter 3, which by the end of the year should grow at high single digit. So we will be as per what guidance we have been giving in terms of both our businesses, India as well as international market will, plus minus show the same performance as what we have delivered in quarter 3 and margins close to around 28%.

Jason D'Souza : And another question is assuming, as we said that the transaction gets closed in Q4, anything on the ESOP charge that we would like to mention?

Narayan Saraf : So assuming if the change of control event happens in quarter 4, then we are clearly looking at around INR40 crore of ESOP charge, whatever is balance leftover to be charged in the quarter 4.

Jason D'Souza : Great. And the last question, which is there in, a significant increase in other income to INR18 crore. Anything that you would like to highlight?

Narayan Saraf : So it is basically because of the simple reason is that, since we have repaid all our debt, we had some opening debt in last year. And now we have repaid all our debt, and we have got surplus cash which we are investing as per our treasury policy, and that is resulting into higher treasury income.

Jason D'Souza : Great. That is it from my side. Over to you, moderator.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to Nikhil for closing comments.

Nikhil Chopra : Thank you all for showing all the interest in J.B. Pharma's performance for the first 9 months of the year. And the guidance that we want to give for the current year is we will continue to outperform the market in India business. All our big brands getting -- will only get bigger driven by volume growth, particularly showing good performance in the chronic space.

Equally, in the international market, we have bounced back in quarter 3, and that momentum will continue in quarter 4, backed up by our subsidiaries doing better, South Africa, Russia, as well as international branded businesses also showed double-digit growth for the quarter. And we should end the year for our international business at high single-digit growth. And we will continue to maintain our EBITDA margins for the year close to 20% to 29%. And that was -- that is an accord to the guidance that we have given to all of you in our previous Investor calls. Thank you all.

Kunal Khanna : Thank you.

Narayan Saraf : Thank you.

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Moderator: Thank you. On behalf of J.B. Pharma, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

May 13, 2026

BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 001

BSE Scrip Code: 506943 Stock Symbol: JBCHEPHARM

Dear Sir,

Subject: Transcript of Investors/Analysts call

Ref.: Disclosure under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 read with Schedule III and Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find Transcript of Conference Call which was scheduled for Investors and Analysts on May 12, 2026 at 8:30 am IST in relation to results and developments for the fourth quarter ended March 31, 2026. The same will also be available on the website of the Company www.jbpharma.com.

We request you to take this on record.

Thanking you,

Yours faithfully,
For J.B. Chemicals & Pharmaceuticals Limited

Sandeep Phadnis
Vice President – Secretarial
& Company Secretary

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“JB Chemicals and Pharmaceuticals Limited
Q4 FY '26 Earnings Conference Call ”
May 12, 2026

MANAGEMENT : MR. AMAN MEHTA – MANAGING DIRECTOR
MR. KAUSHAL SOLANKI – CHIEF FINANCIAL OFFICER
MR. SANJAY GUPTA – EXECUTIVE DIRECTOR
INTERNATIONAL BUSINESS – TORRENT PHARMA
MR. SUDHIR MENON – CHIEF FINANCIAL OFFICER –
TORRENT PHARMA

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Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '26 Earnings Conference Call of JB Chemicals and Pharma. Today, we have with us Mr. Aman Mehta, Managing Director; Mr. Kaushal Solanki, Chief Financial Officer; Mr. Sanjay Gupta, Executive Director International Business, Torrent Pharma; and Mr. Sudhir Menon, Chief Financial Officer, Torrent Pharma. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during this conference call, please signal an operator by pressing star and zero on your touchtone phone. Please note that this conference is being recorded.

And now I hand the conference over to Mr. Kaushal Solanki, Chief Financial Officer. Thank you and over to you Mr. Solanki.

Kaushal Solanki: Thank you. Good morning, everyone and welcome to the Q4 FY '26 Results Call of JB Chemicals and Pharma Limited. This quarter is the first quarter for JB Pharma post change in control. Just to remind all participants that Torrent Pharma acquired a controlling stake in JB Chemicals and Pharma on 21st January 2026.

Q4 was a period of operational reset, which temporarily impacted performance. However, we expect normalization beginning in Q1 and continuing going forward. The company recorded revenue of INR904 crores, registering a decline of 5%. During the quarter, the one-offs including non-cash ESOP charges amounted to INR40 crores. Adjusted for such one-offs, EBITDA is flat at INR241 crores. Gross margin improved to around 70% from 66% compared to the corresponding quarter of previous year.

Adjusted EBITDA margin was about 27% compared to 25% in the corresponding quarter of previous year, an improvement of approximately 2%. Reported net profit after tax stood at INR101 crores. Adjusted for one-offs, the net profit after tax is INR150 crores. The Board of Directors have recommended a final dividend of INR9.3 per equity share of INR1 each for the year FY '26.

I will now hand over the call to Aman for his comments on the India business and overall progression on the integration.

Aman Mehta: Thanks, Kaushal. During the quarter, the India business grew by 2% year-on-year to INR526 crores. The main reason for the sequential slowdown in growth is because of the discontinuation of the trade generics business. Without the trade generics business, if we look at the branded business of JB for the India portfolio, that grew at 8% for the quarter. In FY '26, the India business grew 9% to INR2,461 crores and out of this, the branded business grew 11%.

As per the IQVIA MAT March '26 data set, the India business grew at 11% versus the IPM growth of 10%. The chronic business grew at 19% versus the industry growth of 14%. As Kaushal mentioned, this has been an operational reset in the quarter in both the India and International business and we can share some of the steps that we have taken as one-offs in the quarter as part of the integration.

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The first is optimization of the distribution network as part of the integration with the parent entity. Discontinuation of the low-margin portfolio of the trade generics business in India. Alignment of trade and sales closing practices with the parent entity including credit period, field incentives, and cut-off policies. On the merger process, we have received the requisite shareholder approvals for the merger of JB Pharma with Torrent and we are in the last stage of the process now.

I will now hand over to Mr. Sanjay Gupta for an update on the International Business of JB.

Sanjay Gupta: Thank you Aman. During Q4, we made efforts to align JB's practices in international markets with those of Torrent. The three notable areas for alignment are sales closing practices, harmonization

of credit policies, and also rationalization of in-market inventory. In the current international context, there were negative impacts which we hope will be normalized soon. These are linked to container shipment constraints to several markets and primarily to the Middle East but also to Asia.

Consequently, the International formulations business for the quarter reported a decline of 9% to INR259 crores. For FY '26, international formulations revenue grew 2% year-on-year to INR1,154 crores. The CDMO business revenues for the quarter declined by 22% due to a high base in the corresponding quarter of the previous year. For the year, it was flat at INR445 crores.

I would now request operator to open the call for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Neha from Bank of America. Please go ahead.

Neha: Yes, thanks for taking my question. On JB now that, you know, you mentioned an operational reset in fourth quarter and normalization, is it fair to assume that JB growth would go back to its low teens, mid-teens level starting first quarter or is there more time required for normalization of sales and it should be a more phased normalization?

Aman Mehta: Yes, so we can split it between the India business and the International business. We feel that both there would be a gradual recovery to the original growth trajectory. So, India business, double-digit growth or low teens growth would take maybe a couple of quarters. We're already seeing all the positive signs. International business single-digit growth should continue

potentially from Q1 but more likely from Q2.

Neha: And the International, there's also an impact of the West Asia crisis, right? That, so this single digit that is mentioned assumes that that will continue for the at least in the near term.

Aman Mehta: Yes, that's part of why there's been an additional impact as well. Yes, so Sanjay bhai, do you want to answer that as well?

Sanjay Gupta: Yes, Neha, so the crisis in Q1 actually, the container constraints were not only towards West Asia but we also saw in other places there was like kind of some shipping disruptions. So Asia, Southeast Asia, we've been able to catch up and we think in Q1 we will be able to catch up.

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West Asia is anybody's guess. So all in all, we think, you know, Q1 is a little bit uncertain but Q2 onwards we should be on track.

Neha: Understood. And my second question is on the gross margin improvement that we've seen in the quarter, which you mentioned obviously you've discontinued certain low margin businesses. So it's fair to assume that this is the base on which the synergies should now start flowing through from, you know, the other parts that Torrent had mentioned, you know, in their call?

Sudhir Menon: So Neha, I think there has been an improvement of 4% in this quarter, partially because of the trade generic reset which we've done and partially because of product mix. So I think for us to give some guidance on where it will settle for the full year, I would like to wait for one more quarter. First quarter will be indicative of where we are headed for.

Neha: Understood. That's helpful. Thank you so much.

Moderator: Next question is from the line of Devansh Jain from Neo Wealth Management. Please go ahead.

Devansh Jain: I just wanted to know when can we expect the merger process to complete?

Sudhir Menon: So, I think we're at the last phase of the merger process and the hearing date which we've got is in the second week of June. So, let's see.

Devansh Jain: Any tentative timeline around it or?

Sudhir Menon: So, I think it should be one to two months' time max for the merger should get effective I would say.

Devansh Jain: Okay sir, thank you.

Moderator: Next question is from the line of Rahul

Jeewani from IIFL Securities. Please go ahead.

Rahul Jeewani: Yes, hi sir, thanks for taking my question. Sir, can you quantify what was the contribution of the trade generic business to JB's India sales last year i.e. full year FY'26 and given that the growth differential between the reported India business and the BGx business is 5 to 6 percentage points because of the ramp down in the trade generics business, do you think that this impact will continue for the next three quarters as well till the rationalization of the trade generics business is in the base in 4Q FY '27?

Aman Mehta: Yes, that would be fair to say or assume. The exact number maybe Kaushal can help pull out but the trade generics contribution to the overall India top line is about 7% to 8% or was about 7% to 8% till Q3, which we've taken steps to significantly rationalize. So obviously because of that the overall India business growth would remain a bit lower than the branded business growth. And we don't intend to really, you know, reinvest or add more products in the trade generics business until we find a good product mix which may take some time.

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So frankly the trade generics business is not really a focus for us from here. We're looking at only growing the branded business more. So yes, to answer the question, the overall India business number may look slightly lower but the branded business is where the growth would normalize and we can start sharing the breakup of that growth from the coming quarter as well.

Rahul Jeewani: Okay, sure. So historically JB's India business has grown at a low double digit kind of a rate between 12% to 14%. So that essentially implies on a reported basis maybe for next three quarters our reported India business could grow only in mid-single digits?

Aman Mehta: Double-digit could be possible depending on how the branded business recovers as well. So difficult to comment at this stage but definitely there will be some negative impact by a few percent because of the trade generic impact.

Rahul Jeewani: Okay, sure. So basically, you are expecting maybe the BGx growth under Torrent would accelerate and that would help you to partly offset the impact of the TGx rationalization?

Aman Mehta: That is correct but obviously that would take some time. So, one obviously from coming from this reset and the change in practices done, there would be a recovery happening from there and second would be the actual change in business practices in the market aligned with

Torrent's business practices that would start adding to the growth profile as well which would be a longer time that it would take.

But intrinsically the branded business remains a double -digit growth business. We are confident that we can accelerate the growth by a few percentage points from the current trajectory . And maybe from next year onwards anyway the impact of the trade generics business would not be there. So that's when you can start seeing the earlier growth levels on a reported basis.

Rahul Jeewani: Sure sir. My second question is with respect to the fact that now you have had operational control of this asset for almost four months. So based on your initial assessment can you talk about what have been the positive or negative surprises with respect to what was your earlier expectations with respect to the asset? Thank you.

Aman Mehta: I think the positive surprises definitely would be that the brands in the India business in particular continue to give us confidence that, you know, these are such widely established and recognized brands and familiarity is so high that in a merged entity it would certainly be possible to accelerate the growth further. I think that was the thesis going in and we remain confident of that. On the negative I think probably integration we had to take the step that we did in Q4.

I don't think there's anyt

hing really concerning that we found because there was all these steps take time , the distribution integration is a step which has a bit of a timeline between when you implement it and it starts showing effect in the numbers. So , I wouldn't really say anything negative as such but certainly it would be a process that would require that we had to go through this phase rather in Q4 to help achieve the objectives of the of the merged entity.

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Rahul Jeewani: Sure sir, thank you. Just one book -keeping question . Can you call out the net cash number for JB as of FY26?

Sudhir Menon : Rahul, it is around INR1,200 cr.

Rahul Jeewani: Okay, okay . Sure, sir. Thank you. I will join back the queue.

Moderator: Thank you. Next question is from the line of Alok Dalal from Jefferies India. Please go ahead.

Alok Dalal: Yes, good morning. A quick one, what is the field force strength of JB today in India?

Aman Mehta: It is around 2,500 MRs.

Alok Dalal: Okay . So more or less similar to the previous quarter ?

Aman Mehta: Yes, so far there has been no change in the field force that has been done. That will not really be something that we would share at this stage , but certainly at some point that would be part of the integration as well.

Alok Dalal: Okay . So, you expect some kind of attrition here, either natural or you would want to tweak the field force a little bit to bring the synergies?

Aman Mehta: Attrition has been anyway ongoing. The attrition of the JB field force was significantly higher than the Torrent field force, which continues to remain and that is the case as well. So , I mean , I do not think that has to be factored into the overall integration in the next couple of months when we start merging some of th e brand s and divisions. So yes, certainly this number would reduce a little bit going ahead, which we can share maybe at the end of the coming quarter.

Alok Dalal: Okay, understood. And similarly on the export side have you seen attrition there as well, material attrition?

Sanjay Gupta: No Alok, the attrition there has been minimal. So, basically JB has a distributor led model, right, with direct subsidiaries only in two countries, South Africa where there is zero overlap with Torrent and Russia where there is some overlap. So there would be some degree of rationalization in Russia , but nothing elsewhere.

Alok Dalal: Okay, got it. And last question, what is the outlook for the CDMO business for FY27?

Sanjay Gupta: It is a little bit premature to give right now. What I would say is that we have enough growth drivers for this business to grow. So flat is not normal for this business. So on a 12 -month basis , I would say that it would be having a positive momentum. There are a sufficient number of new projects and new contracts on hand . I think the challenge that the team faces is in the execution and the delivery of the new products.

Alok Dalal: Okay. Sanjay, sorry, what is the challenge being faced? Can you elaborate a bit on the execution side?

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Sanjay Gupta: So what happens is, so the big customers, right, the top five OTC companies are part of JB's customer mix, right? So essentially, they bring to you new products or new ideation and you have to develop and manufacture these products and supply to them. So JB has some delays in

execution of these contracts which are on hand.

So our job is to accelerate the delivery of these new products so that they can come into our revenue quicker rather than later. So if execution, we are able to accelerate the traditional growth rate and deliver these products, then the business would be on a smoother growth trajectory.

Alok Dalal: Okay, understood.

Sanjay Gupta: So, the good part is the customers are there. So JB has all the top five customers and it has new contracts on hand. S

o, the challenge is just the execution part.

Alok Dalal: Execution. So, customers are there, capacities are there, it is just the execution that needs to be addressed.

Sanjay Gupta: Right, sooner rather than later. Sooner you do it, the quicker you get the revenues.

Alok Dalal: Understood. Okay, okay, thank you.

Moderator: Thank you. Next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Hi, good morning gentlemen. Could you give some outline around the strategies to tap the synergies between JB Chemicals and Torrent Pharma, especially in the domestic market? Where are these synergies coming from?

Are you seeing some operational inefficiencies, sales inefficiencies, etc, which you think you can improve or are there geographies where JB Chem is exceptionally strong which you think you can replicate in other geographies over there? Or are there product complementarities, you know, in case you can reduce the field force by clubbing products together etc? So could you give some broad outlines about where you see these synergies coming from especially in the domestic market part of the business?

Aman Mehta: Yes, sure. So maybe I can give a rather general statement to that before going to specifics. One would be that the objective that we have taken is to change the mix profile and the growth profile of the overall company as JB, which would be more geared towards India growth as a kind of outperformance driver rather than a mix of International and India, which International obviously will continue to be a focus, but we believe the real outperformance would come from the India business. That would be driven by recovery of the growth in the branded business and the subsequent revenue synergies that we expect may start in probably the next couple of quarters.

In terms of revenue, I think as you mentioned, definitely there is a lot of complementarity in the portfolio where coverage can be enhanced significantly for JB brands and brand equity can JB Chemicals and Pharma

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kind of be interchanged in products where either of the entity has a stronger presence, whether Torrent or JB. We have already seen some of that playing out.

So definitely the potential of the brands to accelerate from here is seen, especially on the chronic side. That would be one part of it. The second on cost, there would be already if you have seen, so one step that has been taken is the low margin portfolio discontinuation in the India business. We simply did not see any kind of reason to believe this would be turned around in the near future, that was one part of it.

Second would be procurement synergies which will start playing out now, but of course in the current year given the external geopolitics, the full impact of those synergies may not be visible, but certainly we are seeing a strong positive impact already from April. Third would be in the corporate overhead costs which things like distribution network optimization which has already been done and should start taking effect from April in terms of visibility in margin improvement. That is part of the process.

The back-end corporate overlapping functions, those would be important cost synergies as well. So net-net, I think having a better growth profile in the branded business in India coupled with some of these cost initiatives should hopefully deliver what we intend to deliver which is a more robust branded business with a significantly higher margin profile.

Bino Pathiparampil: Understood. Thank you for that. Just one follow-up, is there a chance that the total sales force number JB and Torrent put together, that total number is there a possibility that it can come down after you merge?

Aman Mehta: We would not want to comment on that at this stage. Maybe from Q1 onwards we can give a more color on the number of reps and so on.

n.

Bino Pathiparampil: Got it. And just one more question if I may. You know, as I understand JB chem is particularly concentrated in select geographies or states. You know, is that readily replicable in other states geographies? Is that a, you know, a mainstay of your strategy?

Aman Mehta: So, some of the products yes, they are dependent on a few states but, you know, if you take the

example of some of the acute products, they are not really in growing markets so, you know, you can't expect just by adding coverage in non-covered states they would start growing. So, you have to be selective in where you expect the coverage growth to come from, which we believe is more likely and in fact quite likely from the chronic business with the large chronic and especially the cardiac brands where definitely the coverage gap between JB and Torrent is an opportunity that has already been kind of seen as the early signs are seen but we can give more color on this in the subsequent quarters. But in the chronic business that's definitely part of the plan.

Bino Pathiparampil: Understood. Thank you very much.

Moderator: Thank you. Participants, you may press star and one to ask a question. Next question is from the line of Dr. Kartick Bane from Bajaj Life Insurance. Please go ahead.

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Kartick Bane: Hello sir, thank you for the opportunity. My question is on the CDMO segment. So how do we plan to optimize the capacity utilization in the CDMO and achieve the projected growth?

Hello, can you hear me?

Sanjay Gupta: Yes, we can hear you.

Kartick Bane: Yes, okay. Yes, and what are the potential bottlenecks and challenges that you see in maintaining the growth rate in this CDMO segment?

Sanjay Gupta: So, I mean the challenges are more in the development side because JB had a very lean development organization, product development and so we need to bring additional resources to product development so that the projects can be kind of executed faster. In terms of just underlying growth drivers, besides timely execution of deals that are already signed, we have, you know, the top companies in the world in the customer mix. So, there's companies like Innova, Kenvee, P&G, Reckitt, these are all part of JB's customer mix. So, we think we need to increase our wallet share with these existing customers.

So, for example we are supplying product A in a market, we can supply that product in other markets also. So, we need to expand the geographic footprint of JB inside these existing customers. And medium to long term there are a bunch of large customers not the top four but around the world where JB is not present. So, we need to kind of tap into these customers. So those would be the growth strategies. New customers, increased wallet share of existing customers, and then execute upon the deals which we have signed.

Kartick Bane: Okay, thank you.

Moderator: Thank you very much. A reminder to all the participants, you may press star and one to ask a question. As there are no further questions, I'll now hand the conference over to the management for closing comments.

Sudhir Menon: Thank you all for joining the Q4 call of JB Pharma. If you have any questions, please write to us. Thank you.

Moderator: Thank you very much. On behalf of JB Chemicals and Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.